



**KenGen**

*Energy for the nation.*

INTEGRATED REPORT &  
FINANCIAL STATEMENTS  
FOR THE YEAR ENDED  
30 JUNE 2025

**Green to Grid**



## OUR PROMISE

We promise to generate clean energy for the nation as we create value for our stakeholders. We have laid a firm foundation for a full transition to a renewable energy future. Our transition to 100% clean energy is about making a sustainable investment for our future. We remain committed to realizing our renewable agenda.

## OUR VISION

To be the market leader in provision of renewable energy solutions.



## MISSION

To deliver competitively priced electricity in the region by leveraging our highly skilled talent, engaging closely with stakeholders, employing efficient processes, and utilising modern technology.

## CORPORATE THEME

JenGa KenGen  
Inua Mapato



JenGa KenGen



## OUR VALUES

Core values are our guiding principles and form the foundation of our culture.

They are:

Team Spirit

Integrity

Professionalism

Safety Culture

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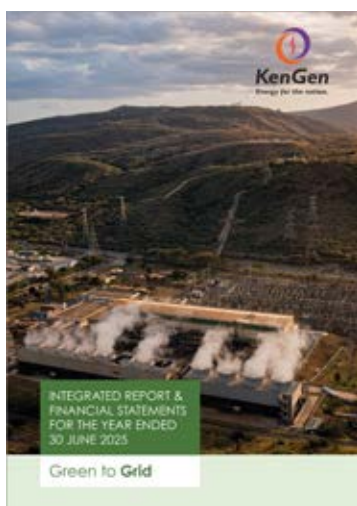
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# About this Report

*This Integrated Report serves as KenGen's primary communication tool to shareholders and stakeholders. The report provides an overview of the material issues, operational and financial performance, governance structures, longterm risks and opportunities.*

**The Integrated Report should be read in conjunction with the Annual Financial Statement to enhance a comprehensive understanding of our value creation journey.**



## REPORTING SCOPE AND BOUNDARY

This Integrated Report presents a comprehensive account of KenGen's performance for the financial year ended 30 June 2025. It covers our strategy, governance, material risks and opportunities, operational performance, and approach to responsible business practices, providing both financial and non-financial information relevant to our stakeholders. The report illustrates how we create sustainable value, aligning with our purpose of powering the nation through clean energy solutions. This report should be read alongside our Annual Financial Statements, which provide detailed financial disclosures.

## OUR APPROACH TO INTEGRATED REPORTING

Integrated thinking is embedded in KenGen's business and decision-making processes. Our reporting approach reflects our strategic pillars,

stakeholder expectations, and the key resources and relationships that underpin value creation. The structure and content of this report are guided by material matters identified through an inclusive process involving management and stakeholders. This process ensures that the report focuses on issues that significantly impact our ability to deliver value over time.

## REPORTING FRAMEWORKS

This Integrated Report has been prepared in line with globally recognized and locally applicable standards to ensure transparency, accuracy, and accountability in our disclosures. It is benchmarked by the International Integrated Reporting Framework (IIRF), which informs the structure and connectivity of our financial and non-financial information, the Nairobi Securities Exchange (NSE) ESG Reporting Guidelines to enhance our sustainability disclosures. The report also adheres to the International Financial Reporting Standards (IFRS) for the preparation of our financial statements. In addition to the requirements of the Kenyan Companies Act, 2015, and the Code of Corporate Governance for Issuers of Securities to the Public in Kenya (CMA Code) to ensure full compliance with corporate governance principles.

## MATERIALITY

Material matters are issues that can substantively affect KenGen's ability to create and sustain value over time. We determine materiality through a structured process that involves:

- Reviewing our business model and strategy
- Assessing the operating environment
- Considering stakeholder interests and expectations

- Identifying ESG-related risks and opportunities
- Materiality influences the content of this report and underpins our strategy and decision-making processes.

## ASSURANCE AND AUDIT

KenGen applies a combined assurance model to enhance the reliability of this report. Assurance is provided through:

- Management reviews
- Internal audit assessments overseen by the Board Audit, Risk, and Compliance Committee
- External audit of financial statements by the Office of the Auditor-General (OAG)

In compliance with the CMA Code of Corporate Governance, Legal and Compliance and Corporate Governance Audits are conducted biennial to ensure adherence to applicable laws, regulations, and governance standards. The Board has applied its collective judgment to this report and confirms that it provides a balanced and accurate reflection of KenGen's performance, strategy, and value-creation approach.

## Board Responsibility and Approval

The Board is accountable for the integrity and completeness of the integrated report and any additional information. The Audit Risk & Compliance Committee ensures the integrity of the report and has applied its collective mind to its preparation and presentation.

In considering the completeness of the material items dealt with and the reliability of information presented, based on the combined assurance process followed, the Board Audit Risk & Compliance Committee approved the 2025 Integrated Annual Report and Financial Statements and additional information on 10<sup>th</sup> November 2025.



# Who we Are

Kenya Electricity Generating Company PLC (KenGen) is East Africa's leading power producer, entrusted with the mandate to develop, manage, and operate power plants that keep the nation lit. The Company's vision is to be the market leader in the provision of renewable energy solutions.

As a geothermal trailblazer, KenGen has positioned Kenya as Africa's No. 1 and the world's seventh geothermal producer. With 984 MW of installed geothermal capacity 81% from KenGen alone, we stand at the forefront of sustainable energy innovation.

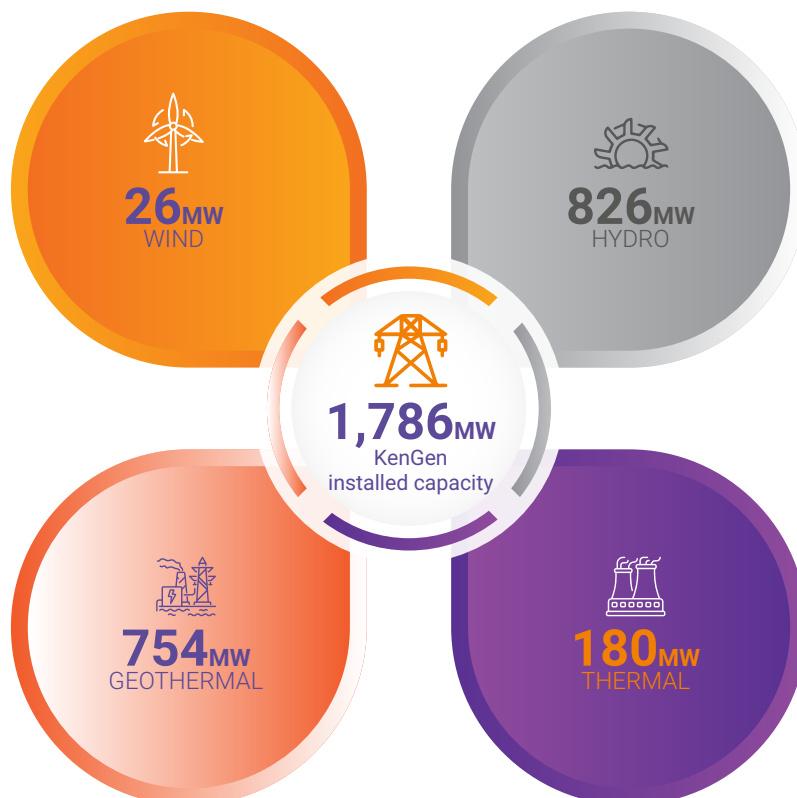
Our journey has also been one of trust and transformation. In 2006, KenGen revolutionised the Kenyan capital markets through its historic successful Initial Public Offer (IPO) on the Nairobi Securities Exchange (NSE), followed by the first corporate public infrastructure bond (PIBO) of KShs 25 billion in 2009, and a decade later, shareholders reaffirmed their confidence through a landmark KShs 28 billion rights issue.

Today, with a robust 1,786MW installed capacity and a commanding 54% market share, KenGen is the energy giant of the region. Our power mix Hydro (826MW), Geothermal (754MW), Thermal (180MW), and Wind (26MW) reflects a balance of green heritage and innovation.

KenGen is actively pursuing a diversification agenda under its G2G 2034 Strategy, which seeks to transform the Company beyond our traditional role of electricity generation. The strategy focuses on expanding into non-electricity generating business areas to enhance revenue streams and long-term sustainability.

Through innovation, strategic partnerships, and leveraging existing expertise, KenGen aims to establish new ventures in areas such as energy consultancy, e-mobility, carbon trading, and geothermal direct-use applications. The goal is to grow our non-electricity generating revenues to account for 20% of total revenues, strengthening resilience and positioning KenGen as a holistic energy solutions provider.

The Company has achieved several ground-breaking milestones, positioning it as a leader in sustainable energy development in Africa. Notably, KenGen was the first Kenyan company to earn Carbon Asset funds under the Clean Development Mechanism (CDM), a global initiative aimed at reducing greenhouse gas emissions. This achievement highlighted KenGen's commitment to climate change mitigation while generating revenue to support green energy expansion. KenGen also commissioned the first and largest Geothermal Spa in Africa at Olkaria, an in-house innovation showcasing the use of geothermal resources beyond electricity generation, while promoting eco-tourism and wellness.



# Who we Are



## 1,181

project-affected persons in Olkaria, ensuring that communities benefited from new housing, social amenities, and improved livelihoods.

To further nurture creativity and knowledge-sharing, KenGen institutionalized innovation through our G2G (Good to Great) Innovation Seminar, which provides a platform for employees to present and implement ground-breaking ideas.

As a responsible corporate citizen, KenGen successfully implemented a robust Community Resettlement Action Plan (RAP) for 1,181 project-affected persons in Olkaria, ensuring that communities benefited from new housing, social amenities, and improved livelihoods.

To maintain global standards, KenGen adheres to ISO QMS 9001:2015, Occupation Health & Safety Management System (ISO 45001) and Environmental Management Systems (ISO 14001), ensuring efficiency, quality, and environmental sustainability in its operations. These milestones collectively reinforce KenGen's role as a regional



### OUR PROMISE

Our journey is a bold and strategic transition towards a 100% renewable energy future. As a leader in sustainable energy, we pledge to generate clean energy for the nation while creating value for our shareholders. We are committed to building upon our strong foundation to ensure a sustainable and greener tomorrow for our country and all its people.



### OUR VISION

To be the market leader in provision of renewable energy solutions.



### OUR MISSION

To deliver competitively priced electricity in the region by leveraging our highly skilled talent, engaging closely with stakeholders, employing efficient processes, and utilizing modern technology.



### OUR VALUES

Our Core values of Team Spirit, Integrity, Professionalism and Safety Culture are our guiding principles and form the foundation of our culture.



JenGa KenGen

### CORPORATE THEME

JenGa KenGen Inua Mapato



**94<sub>MW</sub>**  
HYDRO



Kamburu Hydro Dam



# Who we Are

## Our Journey

### 1925 - 1944

#### Installed Capacity: 4.58MW

- Commissioned Ndula (2MW)
- Mesco Hydro Power plant commissioned (0.83MW)
- Tana power plant commissioned (2.2MW)

### 1955 - 1964

#### Installed Capacity: 35.78MW

- Completed the first three geothermal exploration wells in Africa within Olkaria Geothermal Field
- Gogo 2MW Hydro power plant commissioned

### 1975 - 1984

#### Installed Capacity: 417.08MW

- First 15MW Geothermal Unit in Olkaria I installed and a total of 45MW completed in 1985
- 144MW Gitaru Hydro Units 2 & 3 installed
- Masinga Hydro power plant commissioned

### 1985 -1994

#### Installed Capacity: 667.43MW

- First Ngong' Wind Farm 0.35MW commissioned.
- Turkwel 106MW Hydro Power Plant commissioned.
- Kiambere Hydro Power Plant 144MW commissioned

### 1945 - 1954

#### Installed Capacity: 26.38MW

- Kenya Power Company (KPC) incorporated in 1954.
- Wanjii Power Station 7.4MW commissioned
- Tana power station upgraded

### 1965 - 1974

#### Installed Capacity: 185.88MW

- Completed the first post-independence power plant along the Tana River: Kindaruma 40MW hydro plant
- Kamburu Hydro power plant commissioned
- Completed the first three Geothermal Wells in Africa within Olkaria Geothermal Field

### 1995 -2004

**Installed Capacity: 870.33MW**

- Kenya Power Company rebrand-ed as KenGen
- First Kenyan parastatal to be ISO: 9001 Standard certified.
- Commissioned Olkaria II (70MW) and Gitaru unit I (80MW)

### 2010 - 2014

**Installed Capacity: 1,343 MW**

- Established KenGen Foundation in 2012
- Innovated the Wellheads 83.5MW
- Completed Africa's first Geother-mal Spa in 2014

### 2019 - 2023

**Installed Capacity: 1,726 MW**

- Commissioned 172MW Olkaria V geothermal power plant
- Commenced geothermal commercial drilling in Ethiopia and Djibouti
- Took over operations and maintenance for Garissa 50MW Solar Plant
- Joined UN Global Compact (UNGC) BoD
- Commissioned 86MW Olkaria I Additional Unit 6 geothermal power plant
- Completed full Redemption of KenGen Infrastructure Bond
- Takeover of the operation and maintenance of 140MW Kipevu III from Wartsila to KenGen
- Commenced geothermal commercial drilling in Ethiopia and Djibouti
- Commenced operation and Maintenance contract with RREC for the 50MW Garissa Solar Power Plant
- Completed construction of Naivasha Level 5 Outpatient Hospital CSR project



### 2005 -2009

**Installed Capacity: 970.35MW**

- G2G transformation strategy launched
- 60MW Sondu Miriu power plant commissioned
- Kiambere optimization completed raising capacity from 144MW to 168MW
- Listed on the Nairobi Securities Exchange through an Initial Public Offer that attained 336% subscription
- Raised KShs 25 billion through Public Infrastructure Bond Offer

### 2015 - 2018

**Installed Capacity: 1,631 MW**

- Completed the single largest geothermal power project of 280MW
- Completed construction of the 25.5MW Ngong wind power farm
- Largest Rights Issue in East Africa in 2016 of KShs 28 billion
- Relocation of Embakasi 60MW Gas Turbine to Muhoroni

### 2024 - To Date

**Installed Capacity: 1,786 MW**

- Launched KenGen G2G 2024-2034 Strategy
- Executed Geothermal Geoscientific Consultancy in Eswatini
- Signed Geothermal Drilling contract and commenced drilling works in Tanania
- Gaettement of KenGen's Green Energy Park as a Special Economic Zone (SEZ)

# Who we Are

## Accolades



*Caption: His Excellency Dr. William Samoei Ruto, C.G.H., President of the Republic of Kenya and Commander-in-Chief of the Defence Forces, together with KenGen Managing Director and CEO, Eng. Peter Njenga, during the flag-off ceremony of the World Rally Championship.*





*Team JenGa KenGen proudly took top honors at the HR Awards, a celebration of excellence in people management and workplace innovation.*



*KenGen team receiving an award at the Fire Awards. This recognition celebrates our commitment to excellence, transparency, and innovation in financial reporting.*

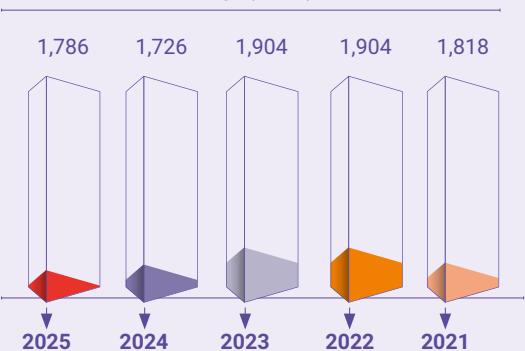


*KenGen General Manager ICT, Ahmed Haji Issack, proudly presents the CIO 100 Award to KenGen Managing Director and CEO, Eng. Peter Njenga, at Stima Plaza. Looking on is ICT Manager, Dr. Dan Kemei. This recognition celebrates KenGen's excellence in digital innovation and technology-driven transformation powering sustainable growth.*

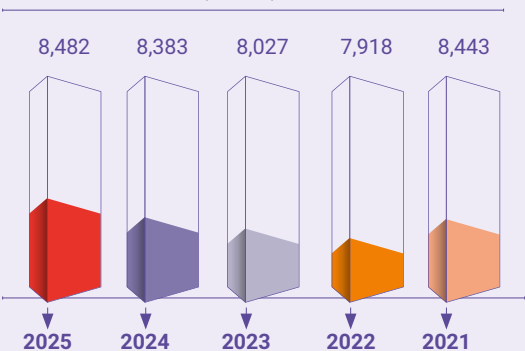
# 2025 Business Verticals

## Key Generation Metrics

Installed Capacity (MW)

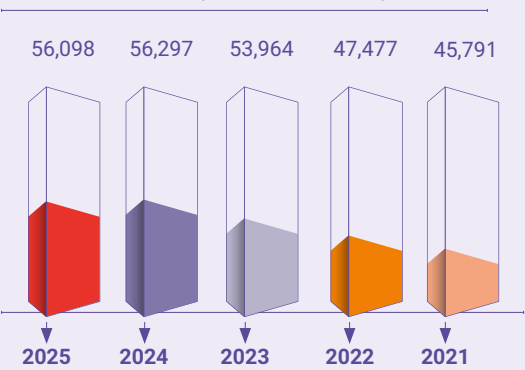


Units Sold Out (GWh)

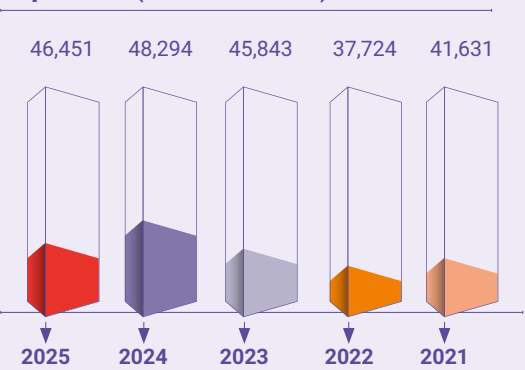


## Key Financial Metrics

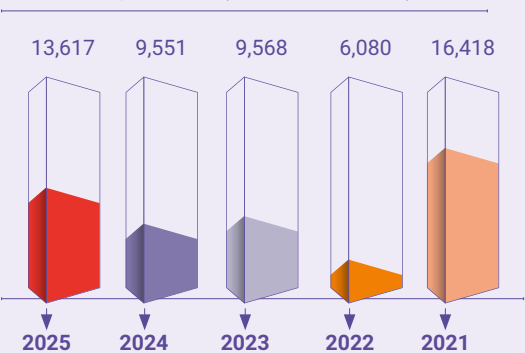
Total Revenue (KShs Millions)



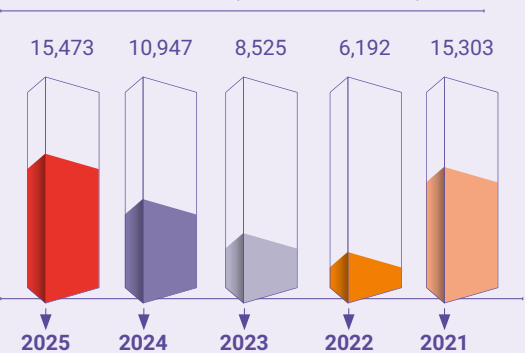
Revenue less reimbursable expenses (KShs Millions)



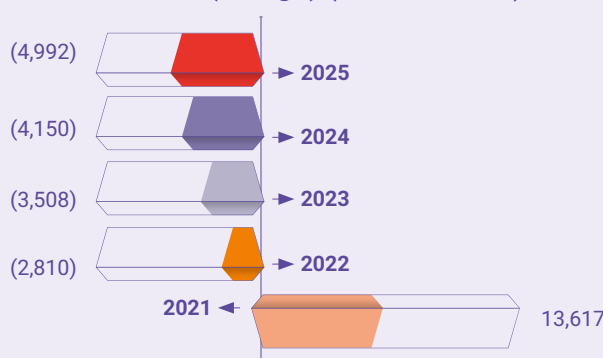
Operating Profit (KShs Millions)



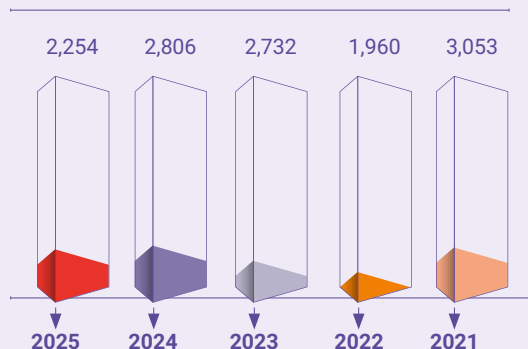
Profit Before Tax (KShs Millions)



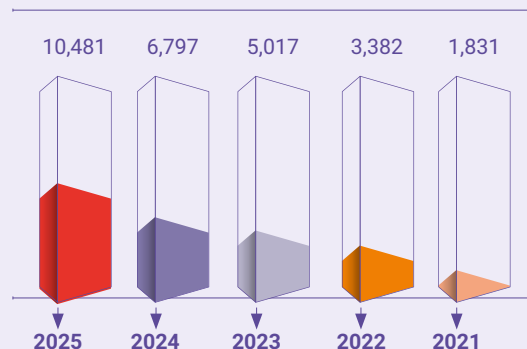
Taxation credit/(charge) (KShs Millions)



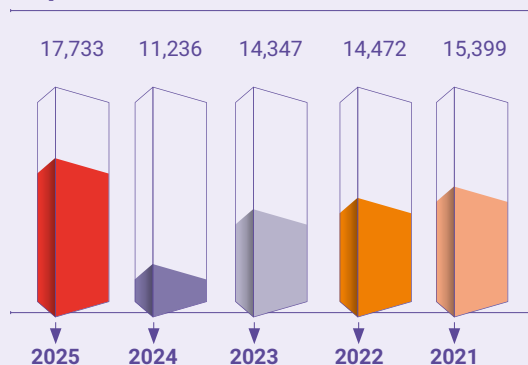
### Finance Costs (KShs Millions)



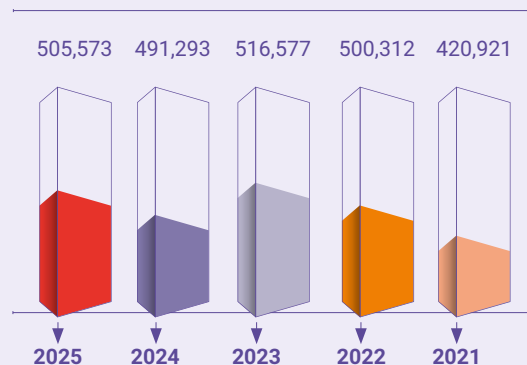
### Profit After Tax (KShs Millions)



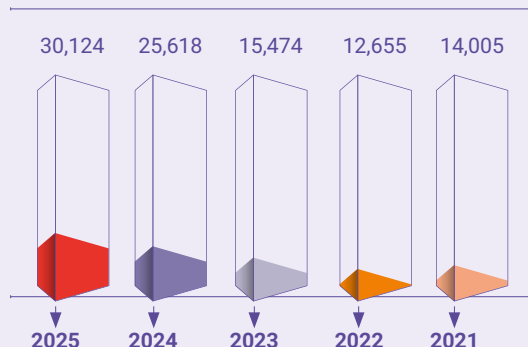
### Capital Investments (KShs Millions)



### Total Assets (KShs Millions)



### Cash and Cash Equivalents (KShs Millions)



### Employee Numbers



# Who we Are

## Corporate Information

### BOARD OF DIRECTORS

|                                |                                                                                                  |
|--------------------------------|--------------------------------------------------------------------------------------------------|
| <b>Hon. Alfred Agoi</b>        | Elected at the AGM on 28th November 2024<br>Appointed Chairman of the Board on 5th December 2024 |
| <b>CPA John Mbadi</b>          | Cabinet Secretary, The National Treasury                                                         |
| <b>Mr. Alex Wachira</b>        | Principal Secretary, State Department for Energy                                                 |
| <b>Eng. Peter Njenga</b>       | Managing Director & CEO                                                                          |
| <b>Ms. Josephine Koisaba</b>   |                                                                                                  |
| <b>Hon. Stephen Mutai</b>      |                                                                                                  |
| <b>Mr. William Rahedi</b>      |                                                                                                  |
| <b>CPA Bernard Ngugi</b>       |                                                                                                  |
| <b>Mr. Umuro Wario</b>         |                                                                                                  |
| <b>Eng. Frank Konuche</b>      |                                                                                                  |
| <b>Hon. Rehema Hassan</b>      | Elected at the AGM on 28th November 2024                                                         |
| <b>Dr. Rosemarie Wanyoike</b>  | Retired on 28th November 2024                                                                    |
| <b>Mr. Kennedy Ondieki</b>     | Alternate Director to CS, The National Treasury                                                  |
| <b>Mr. Chrispin Lupe</b>       | Alternate Director to Principal Secretary, State Department for Energy                           |
| <b>Mr. Chrisologus Makokha</b> | Representative, Inspectorate of State Corporations                                               |



# Who we Are

## Corporate Information

|                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                      |
|------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Registered Office<br/>Head Office</b> | KenGen Pension Plaza 2<br>Kolobot Road, P.O. Box 47936-00100<br>GPO Nairobi, Kenya                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                      |
| <b>Registrars</b>                        | Image Registrars Limited<br>ABSA Towers, 5th Floor, Loita Street<br>P.O. Box 9287-00100 GPO, Nairobi, Kenya                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                      |
| <b>Principal Auditor</b>                 | The Auditor-General<br>Anniversary Towers<br>P.O. Box 30084-00100 GPO, Nairobi, Kenya                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                      |
| <b>Delegated Auditor</b>                 | Deloitte & Touché<br>Certified Public Accountants (Kenya)<br>Delta Towers, Waiyaki Way/Chiromo Road, Westlands<br>P.O. Box 40092 - 00100 GPO, Nairobi, Kenya                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                      |
| <b>Principal Bankers</b>                 | <p>Citibank NA Kenya<br/>Upper Hill<br/>P.O. Box 30711 - 00100<br/>Nairobi</p> <p>Stanbic Bank (K) Ltd<br/>Kenyatta Avenue<br/>Branch<br/>P.O. Box 30552 - 00100<br/>Nairobi</p> <p>Equity Bank (K) Ltd<br/>Westlands,<br/>P.O. Box 14253 - 00800<br/>Nairobi</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | <p>Co-operative Bank of<br/>Kenya Limited<br/>Stima Plaza<br/>P.O. Box 38764-00600<br/>Nairobi</p> <p>KCB Bank (K) Ltd<br/>Moi Avenue Branch<br/>P.O. Box 24030 - 00100<br/>Nairobi</p> <p>Absa Bank Kenya Plc<br/>Westend Building, Cor-<br/>porate Banking Centre<br/>P.O. Box 30120 – 00100<br/>Nairobi</p> | <p>NCBA Bank Kenya Plc<br/>Wabera Street<br/>P.O. Box 30437 - 00100<br/>Nairobi</p> <p>Standard Chartered Bank<br/>Kenya Limited<br/>Harambee Avenue<br/>P.O. Box 30003 - 00100<br/>Nairobi</p> <p>Bank of Africa (K) Ltd<br/>Sameer Business Park,<br/>Unit C. 1st Floor<br/>P.O. Box 69562 - 00400<br/>Nairobi</p> |
| <b>Management Team</b>                   | <p>Eng. Peter Njenga - Managing Director &amp; CEO</p> <p>FCS. Austin Ouko - Company Secretary &amp; General Manager Legal Affairs</p> <p>CPA. Mary Maalu - General Manager, Finance</p> <p>Mr. Peketsa Mangi - General Manager, Geothermal Development</p> <p>CPA. Elizabeth Njenga - General Manager, Business Development &amp; Strategy</p> <p>Eng. Julius Odumbe - General Manager, Operations</p> <p>CPA, CIA. Erick Audi - General Manager, Internal Audit</p> <p>Mr. Ahmed Haji Issack - General Manager, ICT</p> <p>Mr. Vincent Mamboleo - General Manager, Supply Chain</p> <p>Mr. Philip Yego - General Manager, Supply Chain (Retired 1st November 2024)</p> <p>Eng. Ronoh Kibet - General Manager, Commercial Services</p> <p>Mr. David Muthike - General Manager, Commercial Services (Retired 1st November 2024)</p> <p>Mrs. Beatrice Kandie - General Manager, Corporate Services</p> <p>Mr. Abraham Serem - General Manager, Corporate Services (Retired 20th February 2025)</p> |                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                      |

# Who we Are

## Corporate Information

### Our Stakeholders: What Matters to Them

KenGen is committed to engaging with stakeholders at global, national, and local levels to cultivate long-term, mutually beneficial relationships.

As a company, we believe in fostering healthy relationships with our stakeholders, which enhances our ability to communicate how our business decisions, activities, and performance can significantly impact or interest them. Through our stakeholder mapping process to better understand their needs opportunities, expectations, and areas for collaboration across diverse groups, each of which requires tailored engagement strategies as they play unique roles in shaping KenGen's business environment.

| Stakeholder                                                                   | Why this stakeholder is important to us                                                                                                                                                  | How we engage                                                                                                                                                                                                                                                                                                               | What Matters to our stakeholders                                                                                                                                                                                                                      | How we respond to them                                                                                                                                                                                                                                             |
|-------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Government (MoEP, National Treasury, Counties, Politicians and Others)</b> | We seek to contribute to the national discourse on the regulatory environment in which we operate and collaborate in creating solutions to meeting Kenyans aspirations and energy demand | <ul style="list-style-type: none"> <li>• Letters</li> <li>• Site Tours</li> <li>• One-on-One meetings</li> <li>• Courtesy Calls</li> <li>• Technical Working Groups</li> </ul>                                                                                                                                              | <ul style="list-style-type: none"> <li>• uninterrupted supply of electricity</li> <li>• Cost of power</li> <li>• Public interest</li> <li>• Capacity expansion</li> </ul>                                                                             | <ul style="list-style-type: none"> <li>• Running of power plants.</li> <li>• Deployment of affordable electricity generating technologies.</li> <li>• Building new power plants</li> </ul>                                                                         |
| <b>Shareholder/ Investors</b>                                                 | The support of our shareholders enables us to implement our strategy and achieve business goals                                                                                          | <ul style="list-style-type: none"> <li>• Investor briefings</li> <li>• shareholder tours</li> <li>• NSE announcements and activities</li> <li>• Investor relations</li> <li>• Results Announcements</li> <li>• Shareholder information on the Website</li> <li>• Annual General Meeting</li> <li>• Annual Report</li> </ul> | <ul style="list-style-type: none"> <li>• Dividends</li> <li>• Business Performance</li> <li>• Robust Corporate Governance</li> <li>• Sustainability</li> <li>• Shareholder value.</li> <li>• Astute leadership</li> <li>• Board continuity</li> </ul> | <ul style="list-style-type: none"> <li>• Dividend payout and share performance</li> <li>• Continual improvement</li> <li>• Regular Dialogue and communication</li> <li>• Robust Corporate Governance.</li> <li>• Implementing ESG</li> <li>• Innovation</li> </ul> |

# Who we Are

## Corporate Information

### Our Stakeholders: What Matters to Them

| Stakeholder                   | Why this stakeholder is important to us                                                                                                                                                                                                                                                   | How we engage                                                                                                                                                                  | What Matters to our stakeholders                                                                                                                                                                                                                         | How we respond to them                                                                                                                                                                                                                                                                                                                |
|-------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Regulators</b>             | As a responsible corporate citizen KenGen's operates within set laws, rules and regulations. Our compliance and fidelity to the law makes our business sustainable. Through the oversight of our diverse regulators, we deliver value within the confines of the law and laid down rules. | <ul style="list-style-type: none"> <li>• Letters/Emails</li> <li>• Roundtable Briefings</li> <li>• One-on-One meetings</li> <li>• Courtesy calls</li> <li>• Reports</li> </ul> | <ul style="list-style-type: none"> <li>• Regulatory Compliance</li> <li>• Good practices</li> <li>• Dialogue</li> <li>• Licenses</li> <li>• Consultations</li> <li>• Support</li> <li>• Enforcement</li> <li>• Reports</li> <li>• Regulations</li> </ul> | <ul style="list-style-type: none"> <li>• Audits</li> <li>• Regulatory reporting</li> <li>• Implementation of regulations</li> <li>• Benchmarking</li> <li>• Regular communication and participation in regulatory activities.</li> <li>• Continual engagement and involvement.</li> <li>• Licenses application and renewal</li> </ul> |
| <b>Energy Sector Partners</b> | Through the energy sector value, KenGen collaborates with other sector players to ensure we deliver competitively priced electricity to Kenyans from generation to transmission to distribution.                                                                                          | <ul style="list-style-type: none"> <li>• Round table meetings.</li> <li>• Energy planning meetings.</li> <li>• Site visits</li> </ul>                                          | <ul style="list-style-type: none"> <li>• Updates and new developments in the energy sector</li> <li>• Collaboration requirements to ensure power availability.</li> <li>• Emerging issues</li> <li>• Contingency Plans for the sector</li> </ul>         | <ul style="list-style-type: none"> <li>• Regular information on power production.</li> <li>• Regular information on water levels at the dams regarding hydro power generation.</li> <li>• Cooperation and collaboration</li> <li>• Energy Planning meetings</li> </ul>                                                                |
| <b>Development Partners</b>   | As we generate electricity, KenGen requires financial partners who provide affordable financing for building power plants. Our development partners offer us affordable financing.                                                                                                        | <ul style="list-style-type: none"> <li>• Courtesy Calls</li> <li>• Meetings</li> <li>• Site visits</li> <li>• Financial reports</li> </ul>                                     | <ul style="list-style-type: none"> <li>• Projects progress</li> <li>• Strategic plans</li> <li>• Ability to repay loans.</li> <li>• Sound financial status</li> <li>• Donor Specific requirements</li> </ul>                                             | <ul style="list-style-type: none"> <li>• Project Appraisal report.</li> <li>• Project pipeline updates and outlook.</li> <li>• Good financial performance.</li> <li>• Complying with financing requirements</li> </ul>                                                                                                                |

# Who we Are

## Corporate Information

### Our Stakeholders: What Matters to Them

| Stakeholder        | Why this stakeholder is important to us                                                                                                                                                                    | How we engage                                                                                                                                                                                                                                                                                                                  | What Matters to our stakeholders                                                                                                                                                                                                                                                                            | How we respond to them                                                                                                                                                                                                                                                                                                                                                                                                                           |
|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Employees</b>   | The quality of our employees is the reason why we continue to perform well. We are committed to attracting and retaining best talent while providing a fulfilling reward and responsible work environment. | <ul style="list-style-type: none"> <li>• Memos</li> <li>• Internal Newsletter (KenGen Weekly)</li> <li>• Intranet</li> <li>• Notice Boards</li> <li>• Emails</li> <li>• Virtual forums and townhalls</li> <li>• Training events</li> <li>• Individual performance review</li> <li>• Employee surveys</li> <li>• SMS</li> </ul> | <ul style="list-style-type: none"> <li>• Reward</li> <li>• Career Growth</li> <li>• Diversity and Inclusion</li> <li>• Health and safety</li> <li>• Training</li> <li>• Strategic targets</li> <li>• information</li> </ul>                                                                                 | <ul style="list-style-type: none"> <li>• Regular employee engagement and communication.</li> <li>• Launch of diversity and inclusion programs for women, youth, persons with disabilities: Pink Energy, Y-Gen and Blue- Gen</li> <li>• OHS Safety strategy and awareness.</li> <li>• Training and development programs</li> <li>• Individual performance review and appraisals</li> <li>• Internal communication campaigns and themes</li> </ul> |
| <b>Communities</b> | We are committed to sustainable relationships with communities we operate in.                                                                                                                              | <ul style="list-style-type: none"> <li>• Stakeholder Coordination Committee meetings</li> <li>• Barazas/Town Halls</li> <li>• Local Media</li> <li>• Flyers and Posters</li> <li>• Road shows</li> <li>• Invitation to key company events</li> <li>• Surveys</li> <li>• Letters</li> <li>• Telephone calls</li> </ul>          | <ul style="list-style-type: none"> <li>• CSR support</li> <li>• Involvements and consultations</li> <li>• Economic opportunities</li> <li>• Climate change and environmental impacts</li> <li>• Timely information regarding impending natural disturbances, e.g. floods</li> <li>• partnerships</li> </ul> | <ul style="list-style-type: none"> <li>• Community investments</li> <li>• Implementing the community engagement strategy</li> <li>• Job opportunities</li> <li>• Environment conservation programs</li> <li>• Stakeholder coordination committee meetings</li> </ul>                                                                                                                                                                             |



# Who we Are

## Corporate Information

### Our Stakeholders: What Matters to Them

| Stakeholder      | Why this stakeholder is important to us                                                                                                         | How we engage                                                                                                                                                                                                                                                                                                                          | What Matters to our stakeholders                                                                                                                                                                                                                                                                                            | How we respond to them                                                                                                                                                                                                                                                                                                |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Suppliers</b> | KenGen values good relationships with our suppliers because they are essential to an efficient, productive, and secure supply chain.            | <ul style="list-style-type: none"> <li>• Virtual and physical Sensitization workshops</li> <li>• Letters</li> <li>• Supplier reviews</li> <li>• Strategic partnerships</li> <li>• procurement Advertisements</li> <li>• Karibu Centre</li> <li>• Survey</li> <li>• Meetings</li> </ul>                                                 | <ul style="list-style-type: none"> <li>• Economic opportunities</li> <li>• Productivity/ quality/cost</li> <li>• Sustainable procurement</li> <li>• Health and safety</li> </ul>                                                                                                                                            | <ul style="list-style-type: none"> <li>• Supplier code of conduct</li> <li>• Public announcement of business opportunities</li> <li>• E- procurement platform</li> <li>• Implementing the Principle of value for money in procurement</li> </ul>                                                                      |
| <b>Media</b>     | To enhance our brand, we are committed to strategic media engagement and partnership in telling the company's story to our diverse stakeholders | <ul style="list-style-type: none"> <li>• Media Roundtables</li> <li>• Editorial Opinion</li> <li>• Focus Group Discussions.</li> <li>• Brownbag meetings</li> <li>• Press Releases/ media statements.</li> <li>• Media interviews</li> <li>• Press Briefing</li> <li>• Media tours</li> <li>• Partnership and collaboration</li> </ul> | <p>Critical information relevant to the public:</p> <ul style="list-style-type: none"> <li>• New developments within the organization</li> <li>• Relevant updates</li> <li>• Clarification on emerging issues</li> <li>• KenGen's financial status</li> <li>Continuous Involvement, engagement, and consultation</li> </ul> | <ul style="list-style-type: none"> <li>• Press briefing</li> <li>• Focus Group Discussions</li> <li>• Media tour to KenGen Installations</li> <li>• Invitation to KenGen events</li> <li>• Energy Café</li> <li>• Regional media workshops</li> <li>• Period media interviews</li> <li>• Editorial opinion</li> </ul> |

# Who we Are

## Corporate Information

### Our Stakeholders: What Matters to Them

| Stakeholder                                                    | Why this stakeholder is important to us                                                                                                                                                                                   | How we engage                                                                                                                                                                                                                                                                             | What Matters to our stakeholders                                                                                                                                                                      | How we respond to them                                                                                                                                                                                                                                            |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>General Public</b>                                          | KenGen is committed to providing uninterrupted and affordable power production to Kenyans. As we deliver energy for the nation, we are committed to the timely updates about the company to the public                    | <ul style="list-style-type: none"> <li>• Mass media</li> <li>• Social media</li> <li>• Website</li> <li>• Site visits and tours</li> <li>• Flyers and brochures</li> <li>• Advertisements</li> <li>• Corporate Magazine</li> <li>• Road shows</li> <li>• Fairs and Exhibitions</li> </ul> | <ul style="list-style-type: none"> <li>• Assurance about uninterrupted and affordable power production</li> <li>• Timely updates about the company</li> <li>• KenGen financial performance</li> </ul> | <ul style="list-style-type: none"> <li>• Continuous generation reliable and affordable electricity</li> <li>• Public notices</li> <li>• Media advertisements</li> <li>• Documentaries</li> <li>• Infomercials</li> <li>• Social media</li> </ul>                  |
| <b>Facility owners (dam owners)</b>                            | Hydro- electricity has been KenGen's mainstay for years through the dams, we will endeavour in maintaining them with the owners.                                                                                          | <ul style="list-style-type: none"> <li>• Meetings</li> <li>• Site visits</li> <li>• Letters</li> <li>• Technical Working Group</li> </ul>                                                                                                                                                 | <ul style="list-style-type: none"> <li>• Maintenance of dams</li> <li>• Consultations and engagements</li> </ul>                                                                                      | <ul style="list-style-type: none"> <li>• Monitoring of dams</li> <li>• Dam repairs</li> <li>• Reporting on dam status.</li> <li>• Consultation meetings</li> </ul>                                                                                                |
| <b>Civil society</b>                                           | As company we shall endeavour to operate and act in a manner that promotes public good through transparency in our operations                                                                                             | <ul style="list-style-type: none"> <li>• Site visits</li> <li>• One-on-One meetings</li> <li>• Letters/ Emails</li> <li>• Round tables</li> <li>• Survey</li> </ul>                                                                                                                       | Public good<br>Transparency<br>Public interest                                                                                                                                                        | <ul style="list-style-type: none"> <li>• Observing Public interest and good through public participation and consultation programs</li> <li>• Membership to Stakeholder coordination Committees</li> </ul>                                                        |
| <b>Other sector players, Industries, large power consumers</b> | As we generate electricity KenGen reassures the manufacturers and industry continuous energy production through our robust measures in place, explore areas of collaboration with industry and generate affordable power. | <ul style="list-style-type: none"> <li>• Round table meetings</li> <li>• Conferences and exhibition</li> <li>• Media</li> <li>• Letters</li> <li>• Survey</li> </ul>                                                                                                                      | <ul style="list-style-type: none"> <li>• Continuous supply of uninterrupted electricity</li> <li>• Affordable electricity</li> </ul>                                                                  | <ul style="list-style-type: none"> <li>• Effective Running power plants to generate electricity.</li> <li>• Deployment of affordable electricity generating technologies.</li> <li>• Building new power plants</li> <li>• Holding round table meetings</li> </ul> |

# Who we Are

## Corporate Information

### BOARD COMMITTEES

|                                               |                                                                                                                                                                                                                               |
|-----------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Audit, Risk &amp; Compliance Committee</b> | CPA Bernard Ngugi - (Chairperson)<br>Mr. Kennedy Ondieki - Alternate Director to CS-National Treasury<br>Hon. Stephen Mutai<br>Ms. Josephine Koisaba<br>Mr. Umuro Wario                                                       |
| <b>Strategy Committee</b>                     | Eng. Frank Konuche - (Chairperson)<br>Mr. Chrispin Lupe - Alternate Director to PS-State Department for Energy<br>Mr. Umuro Wario<br>Mr. William Rahedi<br>Eng. Peter Njenga                                                  |
| <b>HR &amp; Nomination Committee</b>          | Hon. Rehema Hassan - (Chairperson)<br>Eng. Frank Konuche<br>Ms. Josephine Koisaba<br>CPA Bernard Ngugi<br>Eng. Peter Njenga                                                                                                   |
| <b>Governance Advisory Committee</b>          | Hon. Stephen Mutai - (Chairperson)<br>Ms. Josephine Koisaba<br>Mr. Bernard Ngugi<br>Hon. Rehema Hassan<br>Eng. Peter Njenga                                                                                                   |
| <b>Finance &amp; Investment Committee</b>     | Mr. William Rahedi - (Chairperson)<br>Mr. Kennedy Ondieki - Alternate Director to CS-National Treasury<br>Mr. Chrispin Lupe - Alternate Director to PS-State Department for Energy<br>Eng. Frank Konuche<br>Eng. Peter Njenga |





Sondu Miriu Hydro Power Station



01

BOARD LEADERSHIP  
& GOVERNANCE

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Executive Committee..... 10

Our Governance Framework..... 11

Board And Committees’ Activities ..... 12

Our Governance Structure ..... 14

Chief Executive Officer’s Statement ..... 15



## CHAIRMAN'S STATEMENT: GENERATING VALUE



**HON. ALFRED AGOI**  
Chairman of the Board



Our operating landscape over the reporting period was shaped by the preceding year's real GDP growth of 4.7%, underpinned by a rebound in agriculture, infrastructure investment, and expanding industrial activity.



**2,392<sub>MW</sub>**

from the previous year, reinforcing KenGen's pivotal role in ensuring reliable and sustainable electricity supply.



**4.7%**

GDP growth underpinned by a rebound in agriculture, infrastructure investment, and expanding industrial activity.

Dear Shareholders,

It is with great pleasure that I, on behalf of the Board, extend a warm welcome to you, our esteemed shareholders, as we share KenGen's performance journey for the financial year ended 30th June 2025. This report invites you to reflect on the significant milestones we have achieved and the challenges we have navigated, underscoring our unwavering commitment to accountability, sustainability, and long-term value creation for all our stakeholders.

This year marks my first address to you as Chairman of the Company, an honour and responsibility I embrace with deep humility. I take this opportunity to sincerely appreciate my predecessors, whose leadership laid a solid foundation on which we continue to build as we steer KenGen into the next phase of growth and transformation.

Our operating landscape over the reporting period was shaped by the preceding year's real GDP growth of 4.7%, underpinned by a rebound in agriculture, infrastructure investment, and expanding industrial activity. This economic momentum continues to fuel rising energy demand across the country. National peak demand has jumped by 9.9% to 2,392 MW from the previous year, reinforcing KenGen's pivotal role in ensuring reliable and sustainable electricity supply to power Kenya's economic transformation.

**01**

### Generating Growth

The Company is not only focused on developing our country but is also keen to play the role of the good neighbour, sharing our vast knowledge and experiences

in the hydro and geothermal spaces. Having contributed to placing Kenya on the geothermal global map, we are involved in collaborating with our neighbours to harness the sustainable resource that is an ingredient for regional growth. As a tested geothermal lead, and with the Great Rift Valley spanning almost 7,000km across ten neighbouring countries, we are primed to drive increase of the sustainable energy that is required to power the continent. Our footprint, previously in Rwanda, Comoros, South Sudan and Ethiopia, was extended to Djibouti, Tanzania and Eswatini in this reporting period, with geothermal studies and potential drilling services opening new frontiers to power the continent. I take this opportunity to laud our local and regional partners in geothermal development for putting their trust, and money, into the technical acumen that KenGen offers.

## 02 Generating Power

The Company's zeal for operational excellence is well known, with our power plants, driven by an equally energized management team, generating at optimal availability to ensure Kenya is powered adequately. To ensure this momentum is maintained, the Company took time to step back, align our current position with future aspirations, and crafted a strategic roadmap to guide our path to continued success. Our Good to Great 2034 Strategy, developed following local and international consultation, revolves around renewal – renewal of our operational fleet; renewal of our financing models; renewal of how, when and with whom we do our business.

## 03 Generating Environmental Stewardship

As a renewable energy leader and champion, KenGen remains deeply committed to environmental

stewardship as an integral part of our business, with 95% of electricity dispatched to the grid in the year 2024-2025 being from renewable geothermal, hydro and wind sources. Beyond that, we continue to play a significant role in protecting and restoring water catchment areas in the country. Our conservation efforts are designed to safeguard natural resources while delivering ecological and socio-economic benefits to the communities we serve.

In support of the national government's initiative to plant 15 billion trees over the next decade, KenGen planted a total of 887,220 tree seedlings during the year, surpassing our annual target of 830,000 by 7%. This achievement reaffirms our commitment to climate action and environmental restoration, and positions KenGen as a key contributor to Kenya's green future.

## 04 Generating Strategic Engagements

KenGen appreciates stakeholders as being core to the Company's growth, sustainability, and long-term success. We have enhanced collaboration and responsiveness with all our stakeholders and developed engagement strategies that reflect the unique roles and expectations of each stakeholder group.

Our engagement efforts are driven by transparency, accountability, and mutual value creation. By fostering open communication and strategic partnerships, we ensure that our stakeholders remain confident in our ability to deliver sustainable energy solutions that support Kenya's development goals. During the year, we hosted some shareholders in Olkaria, the home of geothermal in Africa. This visit gave our shareholders firsthand exposure to the scale and sophistication of the Company's geothermal operations.

Our cordial relationships with local communities remain vital to building trust, resilience, and our social license to operate, while playing a role in entrenching economic empowerment in the country. In the year to date, procurement opportunities worth KShs 10.087 billion were awarded to local-owned companies, with KShs 2.228 billion awarded to companies operated by Youth, Women and Persons with Disabilities. These opportunities, go a long way to promote local economy, both directly and indirectly. Our engagement with financial partners, regulators and

## Chairman's Statement

other strategic partners remains the bedrock of our current and future success.

### 05 Generating Return

The Company delivered a resilient performance for the year ended 30 June 2025, supported by a diversified generation mix, the recommissioning of the Muhoroni Power Plant in October 2024, and favourable hydrology. While lower geothermal output slowed growth in unit sales, higher thermal and hydro generation cushioned the impact. Strong cost control, disciplined capital management, and revenue diversification reinforced profitability and operational stability.

The Company maintained overall revenue levels, which saw total revenue decline slightly from KShs 56,297 million in the previous year to KShs 56,098 million in 2025. The Profit Before Tax rose from KShs 10,947 million in 2024 to KShs 15,473 million in 2025. Similarly, Profit After Tax grew by 54%, rising from KShs 6,797 million in 2024 to KShs 10,481 million in 2025.

### 06 Dividends

The Board of Directors is pleased to propose a final dividend of KShs 0.90 per share for the financial year ended 30th June 2025. This proposal underscores the Company's continued commitment to enhancing shareholder value while ensuring adequate resources are retained to support ongoing investments in generation capacity growth and operational efficiency improvements.

### 07 Generating Hope

As we stride into the future, I assure you of the Company's commitment to excellence. We are bound, by our promise to you as our shareholders to Jenga KenGen, Inua Mapato. Once again, I extend our hearty thanks to all the stakeholders who have stood by us in the past year. To all our suppliers, financiers, and communities living around our installations, as well as to our dedicated employees, my esteemed Board and you our shareholders, I celebrate your belief in the KenGen dream. Together, we shall indeed green our grid. Asante.



**Hon. Alfred Agoi**  
Chairman of the Board



**80<sub>MW</sub>**  
GEOTHERMAL



Olkaria 1 AU Geothermal power Plant



# UJUMBE KUTOKA KWA MWENYEKITI: GENERATING VALUE



**HON. ALFRED AGOI**  
Chairman of the Board



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## Ujumbe Kutoka Kwa Mwenyekiti

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**Hon. Alfred Agoi**

*Chairman of the Board*







# MESSAGE FROM THE MANAGING DIRECTOR & CEO: TURNING THE TURBINES



**ENG. PETER NJENGA**  
Managing Director & CEO



Following the launch of our KenGen G2G 2034 strategy, we have made great strides in delivery of our aspirations to increase our installed capacity by an additional 1,500 MW from renewable sources and 500 MWh of energy storage.



**8,482<sub>Gwh</sub>**

proficient operation of our power generating units, under 24-hour maintenance regimes, representing 59% of the power consumed by Kenyans



**9.9%**

growth of peak demand to 2,392MW (recorded on 21st August 2025) from 2,177MW (as of 1st July 2024)

Dear Shareholders,

At KenGen we measure success by the value we create for our shareholders and stakeholders. As we reflect on the year ended 30th June 2025, I am pleased to present our Company's performance.

The financial year witnessed key milestones in KenGen's journey. With the launch of our G2G 2034 strategy in October 2024, we streamlined our business portfolio and positioned the Company for sustainable growth amidst a dynamic energy landscape and evolving business environment.

**01**

## Our Strategy:

### The future is in motion

The 9.9% growth of peak demand to 2,392MW (recorded on 21st August 2025) from 2,177MW (as of 1st July 2024) is testament to the country's impact of growth on electrification and higher consumption, calling for increased investment by the sector to meet demand more consistently.

Following the launch of our KenGen G2G 2034 Strategy, we have made great strides in delivery of our aspirations to increase our installed capacity by an additional 1,500 MW from renewable sources and 500 MWh of energy storage, secure sustainable financing for our project pipeline, grow future revenue as well as strengthen stakeholder engagement.

During the year we progressed construction of Olkaria I rehabilitation and it is at 74% completion. We have secured

financing for our near-term project pipeline of 253 MW, a key milestone in progressing these projects to implementation.

Over the years, KenGen has built world-class expertise in geothermal exploration and drilling, capabilities that have not only propelled Kenya to the forefront of renewable energy development but have also earned global recognition. We extended our geothermal exploration services beyond our borders to Eswatini, where we conducted geothermal exploration studies. Gazettement of our Green Energy park in Olkaria as a Special Economic Zone (SEZ) was a great achievement in the year. This milestone moves us closer to our vision of turning Olkaria into a hub for sustainable industrial development.

## 02

### **Our People: The Power Behind Our Progress**

At KenGen, our people are the true stars that light our nation. Their skills, creativity, and innovative spirit have enabled the Company to thrive generation after generation, cementing our leadership in provision of renewable energy solutions. We recognize that talent development is the foundation of our success, and we continue to invest in nurturing and empowering our workforce.

We commend our team for the professionalism, excellence, and resilience they consistently demonstrate in their work. Their dedication continues to inspire confidence among our stakeholders, drive innovation in our operations, and reinforce KenGen's role as a trusted partner in powering sustainable growth.

## 03

### **Operational Excellence**

Proficient operation of our power generating units, under 24-hour maintenance regimes, contributed 8,482GWh representing 59% of the power consumed by Kenyans, notwithstanding various challenges in our operation. Our spread across the country ensures regional balance in exploitation of national resources while providing grid balance. By optimizing our hydro resources, we ensured that our hydropower plants operated efficiently and consistently throughout the year.

Leveraging on our geothermal expertise, we successfully drilled several makeup wells in the Olkaria geothermal field in 2025. We remain committed to the sustainable management of the reservoir while ensuring sufficient steam supply to support the continuous operation of our power plants.

In 2025, KenGen solidified its position as a leader in digital transformation within Kenya's energy sector by winning the prestigious "Best Public Sector Digital Innovation in Energy & ICT" award, recognizing its innovative use of IoT technology to optimize geothermal power operations and enhance sustainability. The Company also advanced its digital infrastructure with investments in high-speed connectivity and renewable energy-powered backup systems, ensuring operational resilience.

## 04

### **Financial Performance**

The Company's revenue remained broadly stable at KShs 56,098 million compared to KShs 56,297 million in the prior year. This performance was influenced by a 2.0% decline in electricity revenue and a 17.9% decrease in steam revenue, which were, however, offset by a 21.3% increase in fuel revenue from thermal operations. The growth in fuel revenue was attributable to higher dispatch from the Kipevu III Power Plant and the resumption of generation at the Muhoroni Power Plant in October 2024. Revenue from diversification sources also recorded a significant increase of 235.4%, primarily driven by the completion of consultancy assignments in Eswatini during the year under review. As a result, Profit Before Tax rose by 41.3% to KShs 15,473 million, while Profit After Tax increased by 54.0% to KShs 10,481 million.

# Message From The Managing Director & CEO



*KenGen Managing Director & CEO Eng. Peter Njenga and General Manager, Commercial Services during the launch of the Green Energy infomercial*

## 05 Sustainability; Towards 100% Renewables

KenGen has made remarkable strides in advancing Kenya's 100% renewable energy transition and sustainability agenda. During the year, our share of renewable electricity supplied to the national grid increased from 93% to 95%. This milestone highlights our contribution to the Government's strong commitment of achieving a future powered entirely by renewable energy. We are proud to be leading this transformative journey toward a sustainable energy future.

Beyond our operational achievements, KenGen continues to play a pivotal role in advancing Kenya's decarbonization agenda. We actively engage in strategic partnerships with both public and private sector stakeholders to promote policies that strengthen the country's climate resilience. Committed to environmental stewardship,

we drive innovation in conservation and collaborate closely with local communities to protect and restore forests and water towers.

## 06 Stakeholder Engagement

We have continued to work with our stakeholders, including government bodies, regulators, investors, development partners, and local communities. By building trust and fostering strong relationships, we are making sure our business initiatives are supported by a strong policy and regulatory environment, while also meeting stakeholder expectations.

## 07 Future Outlook

Looking ahead, we are well positioned to fast-track key renewable energy projects that will anchor the delivery of our G2G 2034 Strategy. Our near-term pipeline, totalling 253

MW, is progressing steadily. This includes the 63 MW Olkaria I Rehabilitation Project and the 42.5 MW Seven Forks Solar Project. In the western region, the Gogo Hydro Power Plant upgrade will boost capacity from 2 MW to 8.6 MW, enhancing grid stability and supporting local growth.

We remain dedicated to maintaining high plant availability and reliability to ensure Kenya's energy security and support the country's industrialization agenda. By optimizing operations, investing in world class maintenance strategies, and leveraging our technical expertise, we aim to provide reliable and competitively priced electricity. We are looking forward to partnering with Geothermal Development Company (GDC) on Geothermal expansion on Paka and Silali Geothermal fields. This focus not only strengthens the national grid but also underpins sustainable development, enabling businesses to thrive and contributing to the broader socio-economic growth of Kenya.

Diversification remains a key strategic focus for us. We have been establishing operations in Ngozi, Tanzania, to provide specialized geothermal drilling services. This expansion showcases our technical expertise and industry leadership in geothermal energy and also positions the Company to tap into new regional markets. We will continue to drive our transformation initiatives to realize the objectives of the KenGen G2G 2034 Strategy. By embedding these initiatives across our workforce, processes, and technology, we aim to enhance efficiency, reinforce our market leadership, and achieve sustainable growth. This steadfast commitment ensures that KenGen remains agile, future-ready, and well-positioned to deliver lasting value to our stakeholders while leading Kenya's energy transition.

Together, these initiatives will expand national capacity, diversify energy mix, and deliver sustainable value for our shareholders while accelerating the country's clean energy transition.

08

## Appreciation

Our outstanding performance in the year is a testament to the power of partnership. This achievement was made possible by the unwavering collaboration, respect, and engagement of every one of our stakeholders, underscoring our shared commitment to success.

I express my sincere gratitude to you, our shareholders, the Government of Kenya, development partners and other stakeholders for their support throughout the year that has been pivotal to our shared success. I extend my sincere gratitude to our Board of Directors for their insightful leadership and unwavering support. Their strategic guidance has been instrumental in steering the Company throughout the year.

To my colleagues, the KenGen family, your dedication to our corporate theme Jenga KenGen, Inua Mapato, has been truly inspiring. Our collective efforts have demonstrated that when we have a clear vision and mission, we deliver and for that I extend my heartfelt appreciation to each of you. Together we are shaping a brighter, sustainable future for KenGen, Kenya, Africa and the world.



**Eng. Peter Njenga**  
Managing Director & CEO



# UJUMBE WA MKURUGENZI MKUU NA AFISA MKUU MTENDAJI



*KenGen Managing Director & CEO Eng. Peter Njenga and General Manager, Commercial Services during the launch of the Green Energy infomercial*

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**Eng. Peter Njenga**  
Managing Director & CEO

# Ujumbe wa Mkurugenzi Mkuu na Afisa Mkuu Mtendaji



*KenGen Managing Director & CEO Eng. Peter Njenga and General Manager, Commercial Services during the launch of the Green Energy informercial*

**Dear Shareholders,**

**At KenGen we measure success by the value we create for our shareholders and stakeholders. As we reflect on the year ended 30th June 2025, I am pleased to present our Company's performance.**

The financial year witnessed key milestones in KenGen's journey. With the launch of our G2G 2034 strategy in October 2024, we streamlined our business portfolio and positioned the Company for sustainable growth amidst a dynamic energy landscape and evolving business environment.

05

## **Our Strategy:**

### **The future is in motion**

The 9.9% growth of peak demand to 2,392MW (recorded on 21st August 2025) from 2,177MW (as of 1st July 2024) is testament to the country's impact of growth on electrification and higher consumption, calling for increased investment by the sector to meet demand more consistently.

Following the launch of our KenGen G2G

2034 Strategy, we have made great strides in delivery of our aspirations to increase our installed capacity by an additional 1,500 MW from renewable sources and 500 MWh of energy storage, secure sustainable financing for our project pipeline, grow future revenue as well strengthen stakeholder engagement.

During the year we progressed construction of Olkaria I rehabilitation and it is at 74% complete. We have secured financing for our near-term project pipeline of 253 MW, a key milestone in progressing these projects to implementation.

Over the years, KenGen has built world-class expertise in geothermal exploration and drilling, capabilities that have not only propelled Kenya to the forefront of renewable energy development but have also earned global recognition. In 2025, we extended our geothermal exploration services beyond our borders to Eswatini, where we conducted geothermal exploration studies. Gazettement



**06** of our Green Energy park in Olkaria as a Special Economic Zone (SEZ) was a great achievement in the year. This milestone moves us closer to our vision of turning Olkaria into a hub for sustainable industrial development.

#### **Our People: The Power Behind Our Progress**

**07** At KenGen, our people are the true stars that light our nation. Their skills, creativity, and innovative spirit have enabled the Company to thrive generation after generation, cementing our leadership in provision of renewable energy solutions. We recognize that talent development is the foundation of our success, and we continue to invest in nurturing and empowering our workforce.

During the year, a total of 1,744 employees participated in a wide range of learning and development interventions, reflecting the Company's strong commitment to building skills and capabilities across its workforce. These initiatives collectively translated into 95,156 training hours, covering both technical and non-technical areas such as leadership development, supervisory skills and specialized professional certifications.

Additionally, over 300 employees improved their supervisory skills through specific training initiatives. This training focused on enhancing their abilities in team management, decision-making, and operational effectiveness. This year, we held a series of town hall meetings to directly communicate our strategy and collect feedback from our employees. These sessions helped the employees understand their role in the transformation process and provided a platform for open discussion. Employees shared their insights and contributed ideas to help improve our operational performance and increase overall effectiveness. We commend our team for the professionalism, excellence, and resilience they consistently demonstrate in their work. Their dedication continues to inspire confidence among our stakeholders, drive innovation in our operations, and reinforce KenGen's role as a trusted partner

in powering sustainable growth.

#### **Operational Excellence**

Proficient operation of our power generating units, under 24-hour maintenance regimes, contributed 8,482GWh representing 59% of the power consumed by Kenyans, notwithstanding various challenges in our operation. Our spread across the country ensures regional balance in exploitation of national resources while providing grid balance. By optimizing our hydro resources, we ensured that our hydropower plants operated efficiently and consistently throughout the year.

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In 2025, KenGen solidified its position as a leader in digital transformation within Kenya's energy sector by winning the prestigious "Best Public Sector Digital Innovation in Energy & ICT" award, recognizing its innovative use of IoT technology to optimize geothermal power operations and enhance sustainability. The Company also advanced its digital infrastructure with investments in high-speed connectivity and renewable energy-powered backup systems, ensuring operational resilience.

#### **Financial Performance**

The Company's revenue remained broadly stable at KShs 56,098 million compared to KShs 56,297 million in the prior year. This performance was influenced by a 2.0% decline in electricity revenue and a 17.9% decrease in steam revenue, which were, however, offset by a 21.3% increase in fuel revenue from thermal operations. The growth in fuel revenue was attributable to higher dispatch from the Kipevu III Power Plant and the resumption of generation at the Muhoroni Power Plant in October 2024.



## 02

## CORPORATE GOVERNANCE

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The KenGen Board comprises of eleven (11) members; one independent & Non-executive Chairman, one executive Managing Director & CEO, The Cabinet Secretary - The National Treasury, The Principal Secretary - State Department for Energy and seven Independent and Non-Executive Directors.

## Who Governs Us



Hon. Agoi is a seasoned and recognised leader, a self-driven professional with over 22 years of experience in business and strategic management and leadership. He was born in 1965, holds a Bachelor of Arts (Economics, Government) and master's in business administration (Strategic Management) both from the University of Nairobi. He is a member of the Institute of Directors (K).

He has previously worked as the Marketing Director at Ideal Office Products Limited and the Chief Executive Officer at Kingsway Business Systems Limited. He is the immediate Member of Parliament for Sabatia Constituency which he served for two terms from 2013 till 2022.

During his tenure in Parliament, Hon Agoi was a member of several Parliamentary Committees including the Budget Appropriations Committee, Health Committee, Regional Integration Committee and the Special Funds Accounts Committee. With his wealth of experience as a strategic leader and a public policy, governance administration practitioner, the Company will benefit greatly from his expertise.



**Hon. Alfred Agoi**  
*Chairman of the Board (Independent & Non-Executive Director)*

# Corporate Governance

## Who Governs Us



Eng. Peter Njenga born in 1967 is the Managing Director and CEO of Kenya Electricity Generating Company PLC (KenGen), East Africa's foremost electricity generation company, distinguished by its impressive 93% reliance on renewable and clean energy sources. With a tenure that formally commenced on August 17, 2023, Eng. Njenga boasts an illustrious over 32 years career in the energy sector, marked by exceptional leadership.

He holds a bachelor's degree in electrical engineering, complemented by an MBA in Strategic Management from the prestigious University of Nairobi. He is a member of the Institute of Directors (K). His status as a registered professional engineer adds to his credentials, standing as a paragon of expertise, augmented by a collection of certificates in senior leadership management, notably from Strathmore University and Harvard Business School, among other esteemed institutions. Throughout his journey, Eng. Njenga has consistently showcased unwavering dedication to professionalism, excellence in service delivery, strategic acumen, and ethical stewardship, leaving an indelible imprint on industry growth and innovation.

His remarkable ascent from Trainee Electrical Engineer to the esteemed position of General Manager of Infrastructure Development at Kenya Power & Lighting Company PLC (KPLC), to CEO of KenGen is a testament to his character, resilience, and visionary prowess. Notably, his influential role as Chair in pivotal committees at KPLC underscores his resolute commitment to catalysing transformative change, extending to the spheres of sustainability and climate action. Eng. Njenga seamlessly integrates his technical proficiencies with a results-oriented mindset, further reinforcing KenGen's ongoing triumph in delivering sustainable and dependable energy solutions, while also championing initiatives like tree planting to combat climate change.

Beyond his professional pursuits, Eng. Njenga is a passionate advocate for youth development and family values, reflecting his devotion to both his Christian faith and family life. In his leisure time, he finds enjoyment in cycling and swimming, showcasing a well-rounded persona both in and out of the boardroom.



**Eng. Peter Njenga**  
Managing Director & CEO (Executive Director)



# Corporate Governance

## Who Governs Us



CPA John Mbadi born in 1972 is the Cabinet Secretary (CS) for The National Treasury and Economic Planning. Before his appointment, Hon. Mbadi had an extensive career in public service, most recently serving as a nominated Member of Parliament (MP) and the Chairperson of the Public Accounts Committee in the National Assembly.

The CS has a rich history in legislative leadership, having served as the elected MP for Suba South Constituency, Suba Constituency, and Gwassu Constituency. His experience extends to roles such as Assistant Minister in the Office of the Prime Minister and Leader of Minority in the National Assembly. Throughout his parliamentary tenure, he was a member of numerous key committees, including the House Business Committee, Liaison Committee, Budget and Appropriations Committee, Selection Committee, Appointments Committee, Public Accounts Committee, Public Investments Committee, Constitutional Implementation Committee, the Ad Hoc Committee on the Cost of Living, and the Defence and Foreign Relations Committee. Notably, he was also a member of the Legislative Taskforce responsible for drafting the Public Finance Management Act of 2012.

In addition to his political and legislative accomplishments, the CS is a seasoned finance professional with 28 years of experience. He has held the position of Accountant at the University of Nairobi and served as the Chair of Medair East Africa. Hon. Mbadi holds a Bachelor of Commerce degree with a specialization in Accounting from the University of Nairobi and is a registered member of the Institute of Certified Public Accountants of Kenya (ICPAK). He is a member of the Institute of Directors (K).

Hon. Mbadi's contributions have been recognized with honours such as the Chief of the Order of the Burning Spear (CBS) and Elder of the Order of the Golden Heart of Kenya (EGH). His skills span planning, budgeting, financial analysis, accounting, economics, and community development, complemented by strong leadership, effective communication, and interpersonal skills. His areas of interest include politics, reading, and soccer.



**CPA. John Mbadi, EGH**  
*Cabinet Secretary, The National Treasury (Non-Executive Director)*



# Corporate Governance

## Who Governs Us



**Mr. Alex Wachira**  
Principal Secretary,  
State Department for Energy  
(Non-Executive Director)



Mr. Alex Wachira born in 1982, was appointed the Principal Secretary, State Department for Energy in December 2, 2022. He holds a Bachelor of Science degree from the University of Nairobi and is currently pursuing a Master of Arts degree in Leadership at Pan African Christian University. He is a member of the Institute of Directors (K).

He has a wealth of experience from the private sector where he worked as an investment banker. He previously worked with Faida Investment Bank where he traded and structured treasury bonds and corporate bonds at the Nairobi Securities Exchange. He has also worked with Dyer & Blair Investment Bank and Genghis Capital limited. Mr. Wachira was a founding member of the Bonds Market Association as well as a member of the Steering Committee of the Kenya Association of Stockbrokers and Investment Bankers. He has spearheaded community initiatives such as youth mentorship programme and sports tournaments among other similar projects.



**Ms. Josephine Koisaba**  
(Independent & Non-Executive Director)



Ms. Josephine Koisaba born in 1978 is a leadership and management expert with over 20 years of experience in Government policies, Gender, Human rights and Community Development.

She has worked in several Non-Governmental Organizations (NGOs) and taken a lead in Social Work, developing and managing Performance Contracts, Resource Mobilization, Food & Nutrition and Child Development Rights, among others.

Ms. Koisaba holds a degree in Leadership and Management from St. Paul's University, a Diploma of Education from Universiteit van Amsterdam (Quality Improvement in Education) and a Diploma in Community Development from Kenya Institute of Social Work and Community Development. She is a Member of the Institute of Directors (K).



# Corporate Governance

## Who Governs Us



Mr. William Rahedi born in 1961 is a seasoned Independent Business and Finance Consultant with many years of multi-disciplinary experiences and strengths in Business Investment Advisory, Banking, Finance, Treasury Management, Loan Negotiations and Agreements, Financial and Business Restructuring. It has been his privilege to serve with multinational and regional corporations over the years with TDB Bank (Eastern and Southern African Trade and Development Bank), African Reinsurance Corporation and World Vision International.

He is currently the Chairman of Spire Bank Kenya Limited and Director of Nairobi Hospice. Mr. Rahedi holds a Bachelor of Science in Business Administration (Accounting) from the United States International University (USIU) and a Master of Business Administration (Finance) from the University of Nairobi.

He is a Certified Public Accountant and a Member of Institute of Certified Public Accountants of Kenya (ICPAK), a Certified Trustee of the Retirement Benefits Authority (RBA), a member of The International Academy of Business and Financial Management (IABFM) and a Member of the Institute of Directors (K).



**Mr. William Rahedi**  
(Independent & Non-Executive Director)



Mr. Stephen Mutai born in 1965 is a transformational leader with unmatched experience in Health Care Management, Policy Formation, Implementation and Reporting, Community Mobilization and Budgeting.

Mr. Stephen Mutai holds a Bachelor's degree in Commerce, an MBA in Health Administration and has attended trainings on governance. He is member of the Institute of Internal Auditors and a Member of the Institute of Directors (K). He has previously served as a Director and Board member at Agricultural Finance Corporation (AFC) where he spearheaded the development of new financial systems. Mr. Mutai also headed the Finance and Procurement Committee of the Board at the National Hospital Insurance Fund (NHIF).



**Hon. Stephen Mutai**  
(Independent & Non-Executive Director)

# Corporate Governance

## Who Governs Us



**Mr. Umuro Wario**  
(Independent &  
Non-Executive Director)



Mr. Umuro Wario was born in 1974, holds MBA (Finance) and Bachelor of Commerce (Accounting) degrees from the University of Nairobi. He is a Certified Public Accountant and a practicing member of the Institute of Certified Public Accountants of Kenya. Mr. Wario is an Auditor and Public Finance Management Specialist with over 25 years' experience providing technical assistance focused on strengthening public sector service delivery systems and transformation, with focus on revenue maximization, VfM spend, timely budget execution, external Aid alignment and fiduciary risks mitigation.

He is a seasoned PFM specialist with deep practice knowledge and experience in basic education financing. He has worked as PFM Advisor on results based basic education systems strengthening and education outcomes programs in Kenya and Tanzania for many years. He believes resources must follow education outcomes. He has held senior PFM advisor roles at Mott MacDonald UK and Global Partnership for Education. He previously worked at PricewaterhouseCoopers in Kenya and served as the first Chief Executive Officer, Youth Enterprise Development Fund. He currently serves on the ICPAK Council's Public Sector sub-committee and a member of the Institute of Directors (K).



**CPA Bernard Ngugi**  
(Independent &  
Non-Executive Director)



CPA Bernard Ngugi born in 1963 holds a Master of Business Administration in Finance and Bachelor of Commerce in Accounting both from University of Nairobi. He is a Certified Public Accountant of Kenya and a member of the Institute of Certified Public Accountants of Kenya. He is also a Certified Secretary and a member of the Institute of Certified Secretaries of Kenya. Additionally, he holds a Graduate Diploma from the Chartered Institute of Purchasing and Supplies and is a member of the Kenya Institute of Supplies Management. He is a Member of the Institute of Directors (K).

Mr. Ngugi is a former Managing Director and Chief Executive Officer of Kenya Power. Prior to his appointment, he was the Kenya Power General Manager, Supply Chain. Mr. Ngugi has had over 32 years' experience at Kenya Power with expertise in financial and revenue accounting, internal audit and supply chain management.

He is proud to be the first student of the first ever 21 students to be admitted to Kabarak High School on 1st February 1979.





# Corporate Governance

## Who Governs Us



Hon. Rehema Hassan born in 1968 is a seasoned public policy expert and practitioner with a 30-year track record in implementing government policy and driving positive outcomes. She holds a Bachelor of Business Administration-Human Resources Management degree from Kenya Methodist University and a Diploma in Human Resource Management from Kenya Institute of Management.

She is the immediate former Women Representative for Tana River County which she actively served from 2017 till 2022. At the National Assembly, Ms. Hassan served as the Patron of the National Government Affirmative Action Fund for Tana River County, Member of the Environment & Natural Resources Select Committee for the Twelfth Parliament and Member of the Members Service & Facilities Committee for the Twelfth Parliament.

She has previously served as the Assistant Director Human Resources, Tana River County, Human Resource Manager – Malindi District Commissioner's Office and also served in various positions at the Tana River District Commissioner's Office.



**Hon. Rehema Hassan**  
(Independent &  
Non-Executive Director)



Mr. Kennedy Ondieki born in 1967 is an Alternate to the Cabinet Secretary-The National Treasury in the Board. He is the Director of Investments, in charge of Government Investments and Public Enterprises. He is responsible for developing strategic objectives and policies relating to the overall and fiscal/ financial oversight and management of state corporations.

Mr. Ondieki has long cherished career in the public service spanning over 25 years. He sits on the Finance and Investment Committee and the Audit, Risk and Compliance Committee of the Board.



**Mr. Kennedy Ondieki**  
Alternate to Cabinet Secretary -  
The National Treasury



# Corporate Governance

## Who Governs Us



**Mr. Chrispin Lupe**  
*Alternate Director to Principal Secretary,  
State Department for Energy*



Mr. Chrispin Lupe born 1966 is currently the Head of the Geo-exploration Directorate in the State Department for Energy, Ministry of Energy and Petroleum. He has worked in the Civil Service for thirty-two years garnering both technical and managerial experience in the Civil Service.

Over the years, he has risen to his current level of Chief Geologist. He has previously served as Alternate Director to Principal Secretary in the Board of Directors of several state corporations.

Mr. Lupe holds a Master of Science Degree in Geoinformatics from International Institute for Geo-Information Science and Earth Observation (ITC) Netherlands and a Bachelor of Science Degree in Geology from the University of Nairobi.

He is a Registered Geologist with the Geologists Registration Board of Kenya, a Professional Member of the Geological Society of Kenya and Member of the Institute of Directors (Kenya). He has also attended various other trainings programs for acquiring skills in technical, managerial and Board Directorship.



**Mr. Chrisologus Makokha**  
*Representative, Inspectorate of  
State Corporations*



Mr. Chrisologus Makokha born in 1969 is currently a Senior Deputy Inspector General of State Corporations in the Inspectorate of State Corporations, Office of the President. He represents the Inspector-General (State Corporations).

He is an experienced professional in advising Boards and Management of State Corporations on Corporate Governance and Compliance issues, Monitoring the Performance of State Corporations, Management Audits and undertaking surcharges for restitution of misappropriated Public Funds.

He has over 26 years of work experience in various Ministries and Government Institutions and extensive exposure and experience in Strategic Planning and Strategy Execution. He is an expert in the field of Statistics, encompassing Data Collection, Analysis and Dissemination, as well as Monitoring and Evaluation.

Mr. Chrisologus Makokha holds a Master of Business Administration from Jomo Kenyatta University of Agriculture and Technology. He is currently finalist at the same University, undertaking a PhD in Business Management.





Ngong Wind Farm



# Corporate Governance

## Who Leads Us



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He holds a bachelor's degree in electrical engineering, complemented by an MBA in Strategic Management from the prestigious University of Nairobi. He is a member of the Institute of Directors (K). His status as a registered professional engineer adds to his credentials, standing as a paragon of expertise, augmented by a collection of certificates in senior leadership management, notably from Strathmore University and Harvard Business School, among other esteemed institutions. Throughout his journey, Eng. Njenga has consistently showcased unwavering dedication to professionalism, excellence in service delivery, strategic acumen, and ethical stewardship, leaving an indelible imprint on industry growth and innovation.

His remarkable ascent from Trainee Electrical Engineer to the esteemed position of General Manager of Infrastructure Development at Kenya Power & Lighting Company PLC (KPLC), to CEO of KenGen is a testament to his character, resilience, and visionary prowess. Notably, his influential role as Chair in pivotal committees at KPLC underscores his resolute commitment to catalysing transformative change, extending to the spheres of sustainability and climate action. Eng. Njenga seamlessly integrates his technical proficiencies with a results-oriented mindset, further reinforcing KenGen's ongoing triumph in delivering sustainable and dependable energy solutions, while also championing initiatives like tree planting to combat climate change.

Beyond his professional pursuits, Eng. Njenga is a passionate advocate for youth development and family values, reflecting his devotion to both his Christian faith and family life. In his leisure time, he finds enjoyment in cycling and swimming, showcasing a well-rounded persona both in and out of the boardroom.



**Eng. Peter Njenga**  
Managing Director & CEO

# Corporate Governance

## Who Leads Us



FCS Austin A. O. Ouko holds a Bachelor of Laws (LL. B) and a Master of Laws (LL.M) in Public Finance & Financial Services Law from the University of Nairobi, as well as a Master of the Science of Law (J.S.M.) from Stanford University Law School, California, USA. He also possesses a Diploma in Law from the Kenya School of Law, a Practice Diploma in International Commercial Law from the College of Law of England & Wales, a Postgraduate Diploma in Domestic Arbitration from the Chartered Institute of Arbitrators, an Advanced Diploma in Business Administration, and a Diploma in Management of Information Systems. He is a member of the Institute of Directors (K).

Austin is an Advocate of the High Court of Kenya, a Commissioner for Oaths, a Notary Public, and a registered Certified Public Secretary. He is also a Fellow of the Institute of Certified Secretaries Kenya, a Fellow of the Chartered Institute of Arbitrators (UK & Kenya Branch), an Accredited Governance Auditor, and a member of the Law Society of Kenya, the International Bar Association, the Commonwealth Lawyers Association, and the Kenya Institute of Management.

With seventeen years of experience in both the public and private sectors, Austin joined KenGen after serving as the General Manager Corporate Affairs/Corporation Secretary in an acting capacity, as well as Legal Manager at the National Social Security Fund (NSSF) and a Senior Legal Officer at the Standard Group Limited. As the Company Secretary & General Manager, Legal Affairs Austin oversees all legal matters for KenGen.



**FCS. Austin Ouko**  
*Company Secretary & General Manager Legal Affairs JSM, LL.M, LL.B, FCI Arb, FCS*



CPA Mary Maalu is a Finance Expert with extensive experience in Audit, Financial Management and Corporate Finance. She holds Master of Business Administration (MBA) and Bachelor of Commerce (BCom) Degrees from the University of Nairobi. She is currently pursuing a PHD in Finance at the same University. She is a Certified Public Accountant and a member of the Institute of Certified Public Accountants of Kenya (ICPAK). She also holds a Certificate in Advanced Management Programme (AMP) from Strathmore University, a Certificate in Negotiation Skills from International Law Institute (ILI), a Certificate in Private Participation in Infrastructure Development & Project Finance from Georgetown University and a Certificate in Utility Regulation and Strategy from University of Florida.

Prior to joining KenGen, Mary held senior positions at Ernst & Young where she was an Auditor and Kenya Airways, where she held several managerial positions as Manager Credit Control, Manager Outstations Finance, and Manager Treasury. Mary has risen through the ranks at KenGen, having held several leadership roles as Corporate Finance Manager, General Manager of Corporate & Regulatory Services and Acting General Manager ICT.

Currently, she is the General Manager, Finance responsible for the management of the Company's finances, sourcing financing for the Company's capital projects, financial reporting, budget process management, tax management and managing relationships with key stakeholders in the financial markets and energy sector. She oversees KenGen's Financial Accounting & Reporting, Management Accounting and Corporate Finance.



**CPA. Mary Maalu**  
*General Manager, Finance*



# Corporate Governance

## Who Leads Us



**Mr. Peketsa Mangi**  
General Manager,  
Geothermal Development



Peketsa Mangi is an astute geothermal energy expert with vast experience spanning over 20 years both locally and regionally. He holds a Master of Science (Information Science) from Moi University and is currently pursuing a PhD in Information Science from the same university. He is a Certified Project Manager (IPMA Level C) and holds a variety of professional certifications, including Earth Sciences, reservoir management, drilling technology, master negotiation skills, public procurement, geothermal project management, and financing, among others. He is currently the Vice Chairman of the Geothermal Association of Kenya (GAK) and a member of the Geological Society of Kenya (GSK) and International Geothermal Association (IGA).

Mr. Mangi has risen through the ranks to the position of the General Manager Geothermal Development, having initially served as the Resource Development and Infrastructure Manager. As the General Manager of Geothermal Development, responsible for human resource management and administration in the geothermal region, power plant availability, steam availability, reservoir management, drilling operations and management, geothermal resource exploration, project planning and management, infrastructure development, budget management, and coordinating environmental and social impacts assessment frameworks. He oversees geothermal resource development, geothermal operations, drilling and logistics, reservoir management, and steam field management



**CPA. Elizabeth Njenga**  
General Manager,  
Business Development & Strategy



Elizabeth Njenga holds a Master's degree in Public Policy and Management from Strathmore University Business School, a Master's degree in Business Administration from the University of Nairobi, and a Bachelor of Arts in Accounting and Economics from Moi University. She also earned a Postgraduate Diploma in Financial Management from the Maastricht School of Management in the Netherlands and is a Certified Public Accountant of Kenya (CPA-K). With over 20 years of experience in finance, strategy, and power project planning and development in the energy sector, Elizabeth is a highly skilled expert in energy strategy, power project planning, appraisal, development, and financing, with a strong interest in public policy. She has built her career at KenGen through various positions: Capital Planning and Public-Private Partnerships Manager (2014 to 2021) and Capital Planning and Strategy Manager from 2009 to 2014.

As the General Manager of Business Development and Strategy at KenGen, she is responsible for developing the company's entire strategy. Oversees implementing the company's power generation capacity expansion strategy, which includes identifying and evaluating suitable power projects, conducting feasibility studies, sourcing power plant implementation consultants and contractors, managing power project construction, and commissioning. She drives innovation and business process improvement throughout the organization.



# Corporate Governance

## Who Leads Us



Eng. Julius Odumbe is a licensed Consulting Engineer with an illustrious career in Operation and Maintenance (O&M) of power generation equipment spanning over 30 years. He holds a Master of Business Administration (MBA) Degree from Jomo Kenyatta University of Agriculture and Technology (JKUAT); a Bachelor of Science Degree in Mechanical Engineering from the University of Nairobi and a Diploma in Project Management from Galilee College, (Israel). He holds professional leadership certificates which include:-Advanced Management Programme from Strathmore University Business School; Pan Africa AMP-The Global Module from IESE Business School, University of Navarra, Spain. Advanced Management Programme from Strathmore University Business School; Corporate Senior Leadership Management Program (SLMP) from Strathmore Business School & Nanyang Technological University – Singapore; Executive Leadership (Georgetown Engendering Executive Program) from George Town University; Self-Awareness and Effective Leader from Rice University and Balanced score card from Strathmore Business School among many others.

He is a professional engineer, a Fellow of the Institution of Engineers of Kenya (IEK), and a licensed consulting engineer registered with the Engineers Board of Kenya (EBK). Prior to his appointment as General Manager Operations, he served in the role of Regional Manager at various regions at KenGen PLC.

As the General Manager Operations, he oversees KenGen power plant operations, including plant rehabilitation and upgrades, maintenance planning, power distribution, energy evacuation, Power Purchase Agreements negotiation, coordination of bulk energy billing and coordination with key sector players to ensure national grid stability and safety. He also oversees management of ISO Integrated Management System comprising of the Quality Management System, Environment Management Systems and Occupational Health and Safety Management Systems. He drives operational excellence, ensuring efficiency in operations of KenGen power plants in Eastern, Western, Upper Tana, Geothermal, Central Office and Thermal Regions.



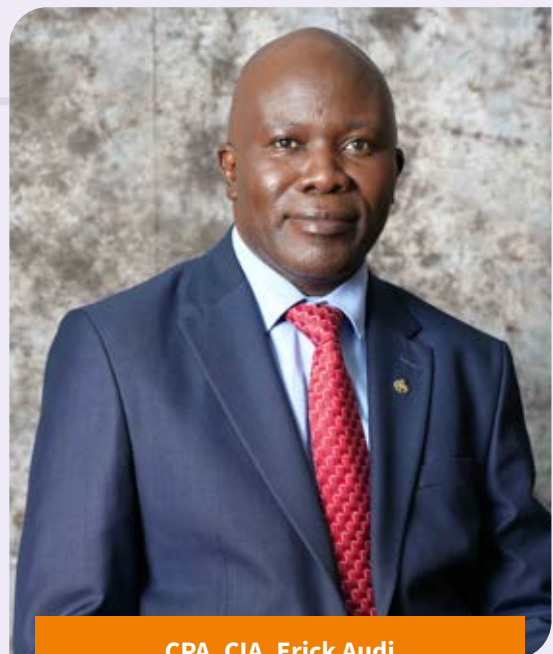
**Eng. Julius Odumbe**  
*General Manager,  
Operations*



CPA Audi is a meticulous professional with over 20 years of working experience, having worked in different organizations and honed his skills in accounting, financial, auditing, governance, risk management, and internal control processes. He holds an MBA (Finance) and a bachelor's degree in commerce (Accounting option), both from the University of Nairobi. He is a Certified Public Accountant (CPA), a Certified Internal Auditor (CIA), and a Certified Information Systems Auditor (CISA), as well as a member of the Institute of Internal Auditors (IIA) Kenya and the Institute of Certified Public Accountants of Kenya (ICPAK) in good standing.

Prior to joining KenGen in 2016, he held several leadership roles as head of internal auditor function at Kenya Revenue Authority (KRA), Kenya Rural Roads Authority (KeRRA), and Kenya Electricity Transmission Company (KETRACO). Mr. Audi has risen through the ranks in KenGen from the Internal Audit and Risk Manager to the current role of General Manager Internal Audit in an Acting Capacity.

As the General Manager Internal Audit, he is responsible for operating an efficient and effective internal audit function, liaising with the audit committee, senior management, and external auditors to ensure value addition through successful implementation of internal and external audit recommendations, providing advisory services to internal stakeholders, and rendering secretarial services to the KenGen's audit, risk, and compliance committee of the Boards



**CPA, CIA. Erick Audi**  
*General Manager,  
Internal Audit*

# Corporate Governance

## Who Leads Us



**Mr. Ahmed Haji Issack**  
General Manager, ICT



Ahmed Haji Issack holds a Bachelor of Science in Information Technology (BSc IT) from Jomo Kenyatta University of Agriculture and Technology (JKUAT), a Master of Science in Information Systems and Management (MSc ISM) from the University of Warwick. He also has an Executive Leadership Programme training from Saïd Business School, University of Oxford.

With over 19 years of experience, Issack has immense expertise in delivering complex and high-impact ICT projects across both the public and private sectors. As an astute ICT professional, he has experience in project management, risk management, quality control, systems integration, and Digital Transformation.

Issack joined KenGen PLC in November 2024 as the General Manager, ICT after working for Kenya Airports Authority (KAA) in different capacities as ICT Manager, Projects and ICT Business Analyst.

As the General Manager ICT at KenGen, he is responsible for advancing KenGen's Digital Transformation and in positioning the company to sustain success in an increasingly technology-driven world. He oversees the development, implementation, and management of the ICT strategy, ensuring it supports the company's operational and strategic goals while maintaining efficient and secure IT operations.



**Mr. Vincent Mamboleo**  
General Manager,  
Supply Chain Management



Vincent Mamboleo holds both a Bachelor's degree in business administration and a Master's degree in the same field. He also holds a Professional Diploma in Purchasing and Supplies (MCIPS) and a Diploma in Shipping. He is a professional member of the Chartered Institute of Purchasing and Supply (CIPS, UK) and Kenya Institute of Supplies Management (KISM, Kenya).

With over 24 years of experience in supply chain management, Vincent has a wide-spanning and rich career in the supply chain. Vincent joined KenGen in 2017 having previously worked for several multinational companies, including Kwale International Sugar Company Ltd., Lafarge East Africa (Bamburi Cement) Ltd., Nation Media Group Ltd., and Tata Chemicals (Magadi Soda Company Ltd.).

As the General Manager Supply Chain at KenGen, he is responsible for the company's entire procurement value chain. He oversees the overall management of procurement, compliance, and reporting, as well as logistics and inventory operations within the company. This is in addition to key stakeholder relationship management and supply chain compliance with the relevant laws and policies.





# Corporate Governance

## Who Leads Us



Mrs. Beatrice Kandie is a seasoned Human Resource Management professional with a wealth of knowledge and experience in all aspects of human capital management spanning over 24 years. Her areas of expertise and passion include, but are not limited to: Organizational Design, Employee Resourcing, Performance and Reward Management, Organizational Development, Employee Engagement, Learning & Development, Career Planning and Succession Management, and Change Management.

She is currently pursuing PhD studies at the University of Nairobi in Human Resources Management focused on Leadership and Organizational Design, and holds a Master's degree in Human Resource Management from Kenyatta University and a Bachelor's degree in Social Work from the University of Nairobi. She is also a Certified Human Resource Professional CHRP(K) and a Certified Change Manager from Prosci International. She also holds Post-graduate Diploma in Human Resources Management from the Kenya Institute of Management and has attended numerous local and international trainings in Human Resource Management.

Ms. Beatrice is a Full Member of the Institute of Human Resource Management with a valid practicing certificate and is a Member of the Kenya Institute of Management. She is currently the General Manager, Corporate Services, responsible for execution of Human Resource Strategy to optimize Human Capital contribution and provide work environment that continuously adds value to stakeholders in provision of electric energy and business sustainability.



**Mrs. Beatrice Kandie**  
*General Manager,  
Corporate Services*



Ronoh Kibet is a seasoned energy sector leader and strategist, serving as General Manager, Commercial Services at Kenya Electricity Generating Company PLC (KenGen). He is a member of the Executive Committee (ExCo), where he drives strategic initiatives that anchor KenGen's leadership in sustainable energy and green industrialization. He is a qualified Electrical Engineer from Jomo Kenyatta University of Agriculture and Technology (JKUAT), specializing in Telecommunication and Information Engineering. He holds a Master of Science in Project Management and is pursuing a PhD in the same field at JKUAT. His professional credentials include Project Management Professional (PMP), Certified Project System Consultant with SAP, and the Organizational Leadership program at Harvard Business School.

Ronoh is an active member of the Engineers Board of Kenya (EBK), the Institution of Engineers of Kenya (IEK), the Geothermal Association of Kenya (GAK), and an Associate Member of the Institute of Management Information Systems (IMIS).

At KenGen, his portfolio spans oversight of the Power Purchase Division, which manages electricity sales and the core revenue streams of the Company. He also leads the Investments and New Business & Partnerships Divisions, where he advances diversification and new revenue opportunities that extend KenGen's market position beyond traditional generation. In addition, he oversees Marketing and Corporate Communication, and the Sustainability Division, ensuring that brand stewardship and eco-consciousness remain central to the Company's vision. In 2022, Eng. Ronoh was conferred the Order of the Grand Warrior of Kenya (OGW) by the President of the Republic of Kenya in recognition of his distinguished service to the nation.

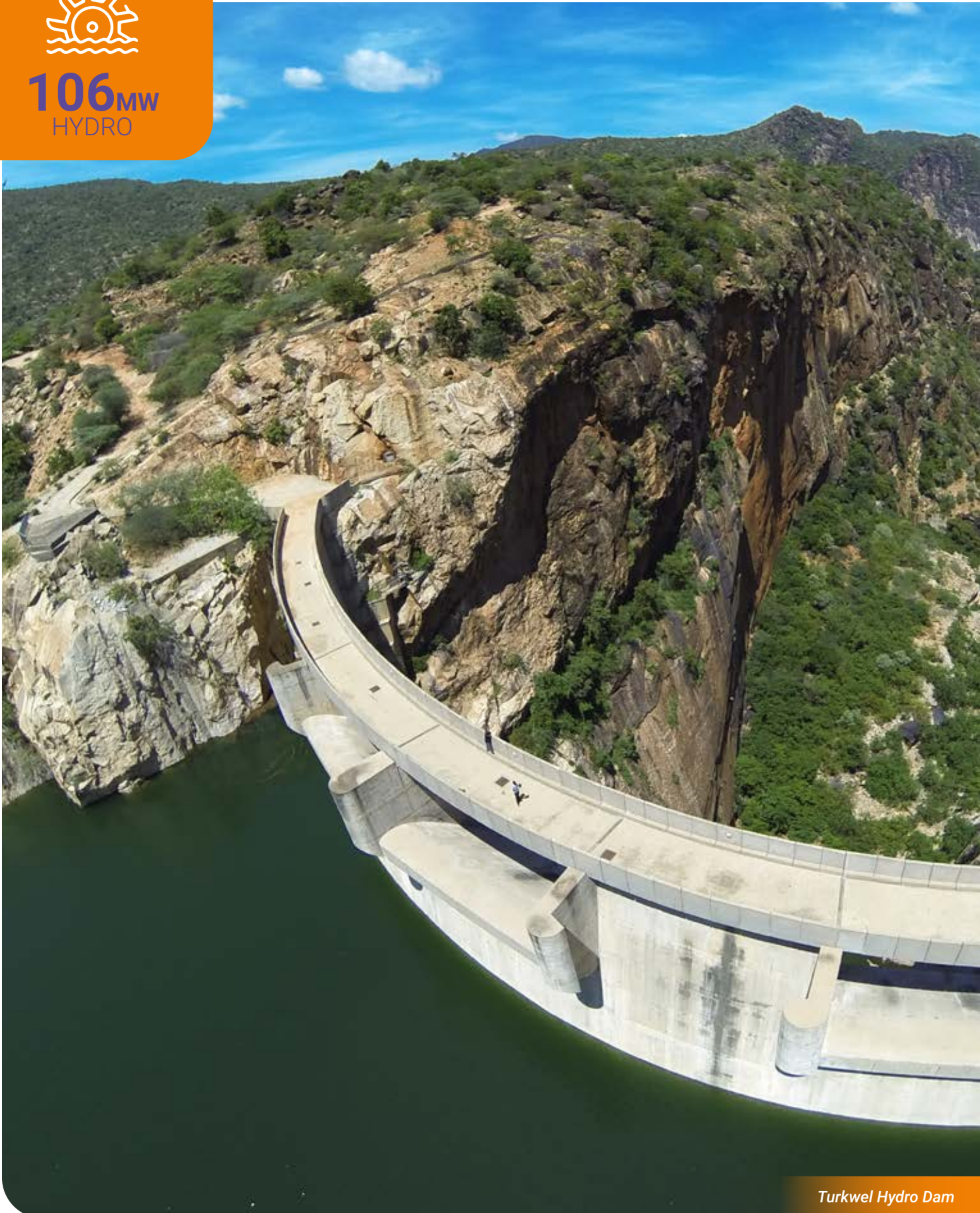


**Mr. Ronoh Kibet, OGW, PMP**  
*General Manager, Commercial Services*





**106<sub>MW</sub>**  
HYDRO



Turkwel Hydro Dam

# Corporate Governance

## Statement of Compliance

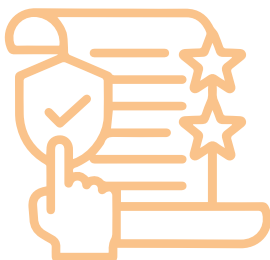


The Board of Directors is committed to mainstreaming and upholding the highest standards of corporate governance and ensuring compliance with applicable laws, regulations and best practice in every jurisdiction of operation. Fulfilling KenGen's vision and mission necessitates Board members who epitomize professionalism, accountability, responsibility, integrity, passion, commitment, innovation, visionary and strategic thinking.

Having dedicated themselves to KenGen's service, the Board members are driven to deliver on shareholder value through dividends and optimal investment returns. This is realized by providing reliable electric energy through operational excellence and sustainable business practices. The Board members uphold the tenets of good corporate governance, demonstrating accountability, efficiency, responsibility, and transparency while conducting their duties with utmost integrity and fairness.

KenGen fully ascribes to continuing obligations as a listed company, in compliance with the Capital Markets Authority's (CMA) Code of Governance for Issuers of Public Listed Securities, 2015. The Company also ascribes to the highest ethical standards prescribed in its Code of Conduct. The Board also subscribes to the principles of good corporate governance practices as well as provision of relevant statutes including but not limited to the Energy Act, 2019, Public Finance Management Act, 2012, Employment Act, 2007 and all other relevant laws, regulations, and guidelines.

KenGen in compliance with best global business practices implement International Standard Organization (ISO) standards including ISO 9001:2015 Quality Management System, ISO 14001:2015 Environmental Management System, ISO 450001:2018 Occupation Health and Safety in our business.



***The Company also ascribes to the highest ethical standards prescribed in its Code of Conduct.***



## Statement of Directors Responsibilities

**The Board serves as the focal point and custodian of corporate governance in the Company by providing strategic guidance and oversight. The Board shall establish clear roles and responsibilities in discharging its fiduciary and leadership functions. In exercising fiduciary duties, every member of the Board shall:**

- Review periodic financial and governance statements
- Approve Annual Report, Company Financial Results and all public announcements
- Put in place appropriate governance structures
- Review and approve the Company's Strategy, annual budget and procurement plan
- Monitor business performance
- Maintain effective framework of controls to mitigate risks
- Exercise oversight and administer assets in a manner that best promotes the purpose for which the company was established
- Enter into partnership with other bodies or organizations within or outside Kenya as it may deem appropriate
- Authorize the opening of bank accounts for the Company's funds
- Approve material transactions
- Review the effectiveness of risk management and internal control systems



# Corporate Governance



The Charter aligns with provisions of the Companies Act 2015, the Capital Markets Code of Public Offers and Listing Disclosures (POLD) regulations 2023.



KenGen upholds high standards of Corporate Governance by ensuring clear separation of roles of the Chairman and the Managing Director & CEO.

## Board Charter

KenGen Board Charter which is periodically reviewed and approved clearly outlines the roles, responsibilities of the Chairman, Directors and company secretary thereby reinforcing accountability and transparency within KenGen's governance framework.

The Charter offers a platform for Board members to evaluate the alignment of strategic and operational plans of the Company. The Charter aligns with provisions of the Companies Act 2015, the Capital Markets Code of Public Offers and Listing Disclosures (POLD) regulations 2023, Mwongozo Code of Conduct for State Corporations, the Memorandum and Articles of Association of the Company, amongst other rules and regulations.

## Separation of Roles of the Board Chairman and Managing Director and CEO

KenGen upholds high standards of Corporate Governance by ensuring clear separation of roles of the Chairman and the Managing Director & CEO. This promotes effective checks and balances, with the Chairman providing independent leadership of the Board while the CEO

oversees day-to-day management and operational execution. By defining these responsibilities, the Company strengthens oversight, enhances accountability, and fosters transparent decision-making that aligns with shareholder and stakeholder interests. A summary of the roles is as outlined below.

## The Chairman

- i. **Board Leadership and Governance:** Provides overall leadership to the board, guiding its collective efforts while remaining mindful of individual director responsibilities. Ensures effective governance that includes, setting the ethical tone, promoting transparency, and facilitating optimal decision-making.
- ii. **Stakeholder Engagement and Representation:** Ensures that the Board considers the interest of all stakeholders and shareholders while safeguarding the Company's reputation and interests.
- iii. **Collaboration and strategic Oversight:** Facilitates open communication between the members of the Board and the Managing Director & CEO on all significant matters affecting the company and making sure that all key decisions are implemented.

## The Managing Director & CEO

- i. **Strategic Leadership & Governance:** Provide overall leadership, link the Board and Management, execute Board strategies, and ensure effective succession planning and organizational sustainability.
- ii. **Operational & Financial Stewardship:** Oversee day-to-day operations, manage assets and finances, ensure compliance with laws and governance frameworks, and safeguard efficient, transparent use of resources.
- iii. **Communication, Innovation & Growth:** Act as chief spokesperson, maintain stakeholder engagement, ensure effective information



# Corporate Governance

flow, and drive new business opportunities for long-term growth.

## Independent Director

An Independent Director does not have a material or pecuniary relationship with the company or related persons, has not been employed by the Company in an executive capacity within the last three years, is compensated through Directors' fees and sitting allowances, does not own the shares of the company, and has not been in service as a board member for more than for six continuous years. A continuing Independent Director ceases to be one and assumes the position of Non-Executive Director if he/she fails to meet the above requirements.

## Company Secretary

The Company Secretary must be a member in good standing of the Institute of Certified Secretaries (ICS). Roles of the Company Secretary

### i. Governance & Board Support -

Advise the Board on governance, organize meetings, prepare agendas, record minutes, and tracking implementation of Board decisions and he is the custodian of the Company seal.

### ii. Compliance & Legal Oversight -

Ensure statutory and regulatory compliance, maintain company records and registers, and advise on legal requirements.

### iii. Communication & Administration

- Act as a link between the Board, management, shareholders, and regulators, safeguard company security documents, and support transparent communication.

## The Office of the Inspectorate of State Corporations

In accordance with Section 18 (2) (c) of the State Corporations Act, the representative of The Inspector General (Corporations) attends meetings of the KenGen Board and its committees.

## Board Diversity

KenGen Board members are equipped with an assorted mix of skills and backgrounds with varied experience and expertise aligned to the needs of the business.

- Geologist
- Auditor
- HR Consultant
- Accountants
- Economist Business & Finance Consultant
- Community Development

KenGen Board effectiveness is achieved through its commitment to the corporate strategy by offering oversight leadership, good corporate governance practices, adaptability, performance monitoring and application of the Kaizen principles.



KenGen Board members are equipped with an assorted mix of skills and backgrounds with varied experience and expertise aligned to the needs of the business.

## Gender Parity

KenGen Board comprises of 18% female and 82% male.





# Corporate Governance



the Company supports continuous professional development through ongoing training and education programmes.



## 89%

During the year, KenGen carried out a Corporate Governance audit and attained a score of 89%

## Board Induction and Development

The Directors are taken through a comprehensive tailored induction program covering the Company's business, operations and regulatory framework.

New Board members undergo a structured induction programme that equips them with knowledge of the Company's operations, governance framework, regulatory environment, and energy generation modes. This includes key governance documents, site visits, and compliance with the CMA's statutory training requirements.

In addition, the Company supports continuous professional development through ongoing training and education programmes, ensuring Directors remain updated on industry, market, and regulatory changes. This ongoing learning sharpens their skills, enabling them to effectively fulfil their roles and strengthen the Board's overall governance capacity.

## Board Evaluation

The Company, annually conducts Board Evaluation to measure their performance, effectiveness, and oversight role, including the fiduciary duties of individual members as set out in the Board Charter. The process involves a 360-degree evaluation conducted by the State Corporations Advisory Committee (SCAC).

## Board Remuneration

KenGen Non-Executive Directors fees and allowances for conducting official Company business are paid in accordance with the State Corporation Act, Salaries and remuneration commission and regular government

circulars. The remuneration for the financial year ended 30th June 2025 is disclosed on **Page 123 to 126** of this report.

## Conflict of Interest and Declaration of Interest

KenGen Board recognizes the importance of disclosure in any circumstance that may give rise to an actual or potential conflict of interest. To manage Conflict of Interest, the Board has a formal procedure in accordance with the Companies Act, KenGen Conflict of Interest Policy and other relevant laws that prescribes independent judgement and constructive engagement on all matters brought before the Board for deliberation.

The Directors always act in the best interest of the organization and its stakeholders. Declaration of conflict of interest is adhered to by all Directors at the beginning of each Board and Board Committee meetings. The Board also requires all Directors to disclose on appointment and annually any circumstances which may give rise to any actual or potential conflict of interest.

## Executive Committee (ExCo)

The Executive Committee (ExCo), comprising of the Managing Director & CEO and General Managers, focuses on strategic and operational decisions at the highest management level. ExCo is responsible for implementing the Company's strategic objectives, ensuring compliance with statutory and regulatory frameworks while upholding Company policies and procedures as well as driving the overall business performance.

# Corporate Governance

## Corporate Governance Audit

KenGen as a listed Company, conducts Corporate Governance Audits to measure the Company's adherence to the relevant legal and regulatory framework relating to its operations, including the Constitution of Kenya, 2010, the Energy Act 2019, the Companies Act, State Corporations Act, Employment Act, Procurement and Disposal Act, Capital Markets Act, Public Finance Management Act, Mwongozo Code of Conduct, tax-related laws, regulations, government circulars CMA Code, the Mwongozo as well as internal policies and procedures. During the year, KenGen carried out a Corporate Governance audit and attained a score of 89%. In addition, annually, KenGen undertakes the CMA governance assessment in accordance with the Capital Markets Code of Public Offers and Listing Disclosures (POLD) regulations 2023 where KenGen has consistently attained the coveted 'Leadership' score.

**KenGen undertakes the CMA governance assessment in accordance with the Capital Markets Code of Public Offers and Listing Disclosures (POLD) regulations 2023 where KenGen has consistently attained the coveted 'Leadership' score.**

## Legal and Compliance Audit

KenGen's risk management strategy seeks to mitigate the Company's exposure to potential risks. The Company carries out a Legal and Compliance Audit biennially to establish compliance with statutory, regulatory and policy requirements as required by the Code of Governance for State Corporations (Mwongozo) and the Capital Markets Code of Public Offers and Listing Disclosures (POLD) regulations 2023 (CMA Code).

The scope affirms how the Company and the Board observe and uphold good Corporate Governance practices in all its activities. KenGen carried out a legal and compliance audit and attained a score of 86% in 2024 in compliance with the legal and regulatory requirements.



Company carries out a Legal and Compliance Audit biennially to establish compliance with statutory, regulatory and policy requirements.



**86%**

KenGen carried out a legal and compliance audit and attained a score of 86% in 2024 in compliance with the legal and regulatory requirements.

## Individual Directors Shareholding

As at 30th June 2025, the following Directors held shares in the Company.

| No. | NAME               | NUMBER OF SHARES | % HOLDING |
|-----|--------------------|------------------|-----------|
| 1.  | Eng. Peter Njenga  | 1,748            | 0.00003   |
| 2.  | Hon. Stephen Mutai | 3,309            | 0.00005   |
| 3.  | Eng. Frank Konuche | 177,697          | 0.003     |

# Corporate Governance



## Board Meetings

The Board adopts an Annual Work-Plan and calendar to guide on its meetings and ensure that adequate notice, agenda and Board papers are circulated within the stipulated timelines. The Board meets quarterly or when necessary to consider matters relating to the overall oversight of the business.

The Board held 14 meetings attended as follows:

| NO. | NAME                  | ATTENDANCE |
|-----|-----------------------|------------|
| 1.  | Hon. Alfred Agoi      | 14         |
| 2.  | Eng. Peter Njenga     | 14         |
| 3.  | Ms. Josephine Koisaba | 14         |
| 4.  | Hon. Stephen Mutai    | 14         |
| 5.  | Mr. William Rahedi    | 14         |
| 6.  | Eng. Frank Konuche    | 14         |
| 7.  | CPA Bernard Ngugi     | 14         |
| 8.  | Mr. Umuro Wario       | 14         |
| 9.  | Hon. Rehema Hassan    | 7          |
| 10. | Mr. Kennedy Ondieki   | 13         |
| 11. | Mr. Chrispin Lupe     | 14         |



Hon. Rehema Hassan was elected at the AGM on 28<sup>th</sup> November 2024.  
Dr. Rosemarie Wanyoike retired at the AGM on 28<sup>th</sup> November 2024.



# Corporate Governance



## Board Committees

To effectively execute its oversight role and diverse responsibilities, the Board has established five (5) standing committees with specific delegated mandates to provide invaluable insights and enhance Board's capacity for informed decision making. The Board Committees are run with clearly articulated terms of reference as stipulated in the Board Charter.

| Audit, Risk and Compliance Committee                                     | Strategy Committee                                                          | Human Resource & Nomination Committee | Governance Advisory Committee | Finance & Investment Committee                                              |
|--------------------------------------------------------------------------|-----------------------------------------------------------------------------|---------------------------------------|-------------------------------|-----------------------------------------------------------------------------|
| CPA Bernard Ngugi (Chair)                                                | Eng. Frank Konuche (Chair)                                                  | Hon. Rehema Hassan (Chair)            | Hon. Stephen Mutai (Chair)    | Mr. William Rahedi (Chair)                                                  |
| Mr. Kennedy Ondieki (Alternate Director to the CS The National Treasury) | Mr. Chrispin O. Lupe (Alternate Director to PS-State Department for Energy) | Eng. Frank Konuche                    | Ms. Josephine Koisaba         | Mr. Kennedy Ondieki (Alternate Director to the CS The National Treasury)    |
| Hon. Stephen Mutai                                                       | Mr. Umuro Wario                                                             | Ms. Josephine Koisaba                 | CPA Bernard Ngugi             | Mr. Chrispin O. Lupe (Alternate Director to PS-State Department for Energy) |
| Ms. Josephine Koisaba                                                    | Mr. William Rahedi                                                          | CPA Bernard Ngugi                     | Hon. Rehema Hassan            | Eng. Frank Konuche                                                          |
| Mr. Umuro Wario                                                          | Eng. Peter Njenga                                                           | Eng. Peter Njenga                     | Eng. Peter Njenga             | Eng. Peter Njenga                                                           |

# Corporate Governance



**CPA Bernard Ngugi**  
(Chairperson)

## Audit, Risk and Compliance Committee

### Mandate

To assist the Board in areas of financial reporting and compliance with the applicable financial reporting standards, oversight of the Internal & External Audit function and the operating controls. Its functions include:

- Review of financial reports and compliance with applicable financial reporting standards
- Oversight of the company's internal audit function
- Review of financial and operational controls
- Liaising with the External Auditors' receiving and reviewing their reports and letters
- Monitoring compliance with legal and regulatory requirements
- Reviewing risk management issues within the company

### Membership

The committee is led by an Independent Director, while the membership comprises of three (3) Independent & Non-Executive Directors and one (1) Non-Executive Director.

### Attendance

| No. | NAME                                                                     | ATTENDANCE |
|-----|--------------------------------------------------------------------------|------------|
| 1.  | CPA Bernard Ngugi (Chair)                                                | 6          |
| 2.  | Mr. Kennedy Ondieki (Alternate Director to the CS The National Treasury) | 6          |
| 3.  | Hon. Stephen Mutai                                                       | 6          |
| 4.  | Ms. Josephine Koisaba                                                    | 6          |
| 5.  | Mr. Umuro Wario                                                          | 6          |

# Corporate Governance



## Strategy Committee

### Mandate

- The Committee reviews and recommends to the Board matters pertaining to business strategic plan, investment decisions, annual business and financial plans and budgets. The functions include: -
- Ensure that Strategy, Risk, Compliance, Performance and Sustainability considerations are effectively integrated, appropriately balanced by continually reviewing the Company's Strategy and make appropriate recommendations to the Board on issues of strategy adjustment.
- Champion the application of technology and innovation in evolving business strategy and plans of the Company.
- Ensure strategy alignment with organizational goals and stakeholder expectations.
- Align the company's strategy with long-term sustainability objectives.
- Review and focus on expanding the Company's electricity generation market share for business sustainability.
- Developing and reviewing the progress of the Company's strategy execution and diversification plans including the identification of government priority projects.
- Guarantee the inclusion of projects pipeline in Least Cost Power Development Plan (LCPDP).
- Monitor the implementation of the Energy Act 2019 towards sustainability of the Company.
- Monitoring the innovation and research & development agenda of the Company.
- Marketing, evaluating and approving business cases for all categories of investment projects and new ventures including strategic partnerships within its delegated authority.
- Monitoring, evaluating and overseeing the Company health including the review of financial and business plans and the overall Company GOK Performance Contracting.



**Eng. Frank Konuche  
(Chairperson)**

- Holding ad-hoc meetings (consultations) with strategic stakeholders, including, financiers, investors and other parties on matters within the Committee's jurisdiction.
- Consider and provide timely support and rescue plan to derisk the business and operations of the Company.

### Membership

The Committee comprises of three (3) Independent & Non-Executive Directors, one (1) Non-Executive Director and one (1) Executive Director.

### Attendance

| No. | NAME                                                                        | ATTENDANCE |
|-----|-----------------------------------------------------------------------------|------------|
| 1.  | Eng. Frank Konuche (Chair)                                                  | 6          |
| 2.  | Mr. Chrispin O. Lupe (Alternate Director to PS-State Department for Energy) | 6          |
| 3.  | Mr. Umuro Wario                                                             | 6          |
| 4.  | Mr. William Rahedi                                                          | 6          |
| 5.  | Eng. Peter Njenga                                                           | 6          |

# Corporate Governance



**Hon. Rehema Hassan**  
(Chairperson)

## Mandate

The Committee is responsible for appointment and reappointment to the Board and its committees, recruitment, and performance review of senior management. It also reviews human resources policies and company staff welfare and reward system.

## Human Resource & Nomination Committee

### Human Resources Function

The Committee continually reviews the organization structure, core functions and optimum establishment; policies and procedures on employee recruitment and selection, training and development policy for operational efficiency, of performance and reward system and capacity enhancement & review the terms and conditions of service in line with the organisation's strategy. Further it reviews the Company's Human Resource Policies and recommends any amendments to the Board for approval.

### Nominating Function

The Committee supports and advice the Board on the appropriate size and composition that will enable it to discharge its responsibilities,

transparent procedure for selecting new directors for appointment and reselection to the Board, evaluation of the performance of the Board, the various committees and individual Directors.

### Remuneration Function

The Committee reviews the Company's remuneration, recruitment, retention, incentive and termination policies and procedures for General Managers and Managers; their basic salary & the criteria for payment of bonuses to all staff and monitor its operation, consider any recommendations of the Chairman or Managing Director/ CEO of the Company regarding payment of bonuses or performance related remuneration.

## Membership

The Committee comprises of four (4) independent & non-executive Directors, and one (1) executive Director.

## Attendance

| No. | NAME                       | ATTENDANCE |
|-----|----------------------------|------------|
| 1.  | Hon. Rehema Hassan (Chair) | 2          |
| 2.  | Eng. Frank Konuche         | 4          |
| 3.  | Ms. Josephine Koisaba      | 4          |
| 4.  | CPA Bernard Ngugi          | 4          |
| 5.  | Eng. Peter Njenga          | 4          |



Hon. Rehema Hassan was elected at the AGM on 28<sup>th</sup> November 2024.  
Dr. Rosemarie Wanyoike retired at the AGM on 28<sup>th</sup> November 2024.



# Corporate Governance



## Governance Advisory Committee

### Mandate

- The Committee deals with the governance matters of the company. The functions include: -
- Develop corporate governance principles in support of effective organisational roles and responsibilities and make appropriate recommendations to the Board.
- Review the adherence to, and amendments of the Memorandum and Articles of Association of the Company, including rules and procedures.
- Review the procurement policies, systems, procedures, budget alignments and procurement structures to ensure due and timely compliance with the law and regulations governing public procurement and asset disposal in Kenya.
- Consider and oversee the operationalisation of the Annual Procurement Plan of the Company and the institutionalisation of the procurement cycle to ensure integrity in the procurement, processes and proper record keeping and contract management.
- Consider and oversee the operationalisation of the Assets Disposal Plan to ensure obsolete assets of the Company are disposed expeditiously, economically in an accountable and transparent manner in line with the provision of the procurement Laws.
- Ensure general coherence and consistency of the governance structures of the Company, including annual review of terms of reference of all Committees of the Board to ensure roles and responsibilities of committees remain appropriate and fit for purpose.
- Oversee the implementation of the recommendations of the Corporate Governance Audit of the Company.
- Oversee the implementation of the recommendations of the Legal and Compliance Audit of the Company.
- Ensure adherence to ethical leadership in compliance with provisions of the Constitution of Kenya, Leadership & Integrity Act, Public Officers Ethics Act, the Code of Conduct of the Company, and any other relevant laws and regulations.
- Monitor the development in the laws and regulations impacting on the governance and business of the Company.
- Periodically review the Company's organisational documents, and, if appropriate, recommend changes to the Board.
- Monitor and review evolving corporate governance trends and



**Hon. Stephen Mutai  
(Chairperson)**

- best practices, and as it determines appropriate, consider other matters of corporate governance and make recommendations to the Board.
- Ensure that KenGen identifies and manages potential conflicts of interest through written policies and procedures and periodically review and report to the Board.
  - Consider policies and processes designed to ensure high ethical standards and integrity for Board members and staff.

### Membership

The Governance Advisory Committee comprises of four (4) members of the Board with four (4) Independent & Non-Executive Directors and one Executive Director.

### Attendance

| No. | NAME                       | ATTENDANCE |
|-----|----------------------------|------------|
| 1.  | Hon. Stephen Mutai (Chair) | 5          |
| 2.  | Ms. Josephine Koisaba      | 5          |
| 3.  | CPA Bernard Ngugi          | 5          |
| 4.  | Hon. Rehema Hassan         | 2          |
| 5.  | Eng. Peter Njenga          | 5          |



Hon. Rehema Hassan was elected at the AGM on 28<sup>th</sup> November 2024.  
Dr. Rosemarie Wanyoike retired at the AGM on 28<sup>th</sup> November 2024.

# Corporate Governance



**Mr. William Rahedi**  
(Chairperson)

## Mandate

The Committee oversees corporate finance and capital market matters, capital raising & planning activities of the company and appraises expenses & investments of the company. The functions include: -

## Finance & Investment Committee

- Oversee the Corporate Finance Matters of the Company as follows:
- Sourcing financing for the Company's capital projects and other projects.
- Pursuing new innovative financing approaches such as equity partnerships in new projects, asset monetization of existing plants, or asset backed securities.
- Monitor the balance sheet and cash flow position.
- Oversee any balance sheet restructuring activities of the Company such as rights issues.
- Review Strategic Finance Matters.
- Review financial delegations and recommend amendments.
- The implementation of the overall investment plan for the Rights Issue funds, as per the Information Memorandum, Ministerial approvals and asset allocations for cash and cash equivalents with respect to fixed-income securities, and equities.
- Review Management's short-term investment recommendations, including permissible types of investments, with respect to uncommitted Rights Issue funds and advice as necessary.
- Review carbon-credit, valuation trading and utilization of funds derived from carbon trading.
- Monitor the Treasury Management strategies of the Company.
- Monitor Tax compliance, Planning Strategies of the Company and tax liabilities.

## Membership

The Finance & Investment Committee comprises of two (2) independent & non-executive Directors, two (2) Non-Executive Directors and one (1) Executive Director.

## Attendance

| No. | NAME                                                                     | ATTENDANCE |
|-----|--------------------------------------------------------------------------|------------|
| 1.  | Mr. William Rahedi (Chair)                                               | 11         |
| 2.  | Mr. Kennedy Ondieki - Alternate Director to CS-National Treasury         | 9          |
| 3.  | Mr. Chrispin Lupe - Alternate Director to PS-State Department for Energy | 11         |
| 4.  | Eng. Frank Konuche                                                       | 11         |
| 5.  | Eng. Peter Njenga                                                        | 11         |

# Corporate Governance

**Annual Audited Results are always published in the local daily newspapers and uploaded on the Company's website at least 21 days before the Annual General Meeting (AGM) to ensure that all the shareholders are well informed at the AGM.**

## Insider Trading

The CMA Act has provisions that prohibits the use of unpublished insider information of listed companies. Insider information is any information about the firm or its securities that has not been made public and, if made public, is likely to have an impact on the security's price. As a listed Company, KenGen implements an insider trading policy for transparency and accountability of Directors and employees who have access to material information and the capacity to use that information for their personal benefit. The policy prevents insiders from trading in the company's securities while in possession of material information.

## Whistle Blowing Policy

KenGen has a whistle blowing framework and mechanism for anonymously reporting misconduct, fraud, corruption malpractices and maleficence. The mechanism exists through a platform for anonymous reporting tool that is managed by an independent external party. This encourages employees and stakeholders to report any well-founded suspicion of proven fraud, corruption, misuse of funds and assets, or any irregularities.



## Shareholder and Investor Engagement

The Board is committed to provision of regular and timely information to the shareholders. As an agile company, KenGen has enhanced shareholder interaction through digital platform that has enabled the Company to hold Virtual AGM. This has resulted in high shareholder attendance from all parts of the globe. In addition, the Company engages the shareholders and the investment communities through public announcement, digital media releases, meetings, publication of financial results via the KenGen website and local newspapers.

All shareholders are entitled to receive the Annual Report and financial statements and any distribution from the Company as may be lawfully declared. Annual results are always published in the local daily newspapers and uploaded on the Company's website at least 21 days before the Annual General Meeting (AGM) to ensure that all the shareholders are well informed at the AGM. All shareholders are entitled to attend, speak and vote at the general meetings including appointment of proxies. On a poll, shareholders are entitled to vote for each share held.

During the year, the Board engaged shareholders and investors through the following activities:

- a) **Shareholders Tour of Olkaria**  
Shareholder engagement remained a priority, highlighted by the Shareholders Tour of Olkaria. The visit was designed to give shareholders firsthand exposure to the scale and sophistication of KenGen's geothermal operations, beyond what can be captured in annual reports and financial briefings.
- b) **Annual General Meeting (AGM)**  
The Annual General Meeting (AGM) remained a cornerstone of KenGen's shareholder relations, offering a structured platform to present the company's financial performance, strategic direction, and governance practices.
- c) **Financial Analysts Networking Breakfast**  
KenGen hosted the Financial Analysts Networking Breakfast, a high-level forum aimed at strengthening relationships, share performance insights and build investor confidence.

## Going Concern

Going concern is the assurance that the Company is a stable financial and operational position to continue its business in the long term. The Board confirms that the Company has adequate resources to sustain operations and does not foresee significant risks that could threaten its continuity in the foreseeable future.



KenGen has a whistle blowing framework and mechanism for anonymously reporting misconduct, fraud, corruption malpractices and maleficence. The mechanism exists through a platform for anonymous reporting tool that is managed by an independent external party. This encourages employees and stakeholders to report any well-founded suspicion of proven fraud, corruption, misuse of funds and assets, or any irregularities.

# Corporate Governance



## Shareholding

In line with continuing obligations for listed companies as prescribed by the Capital Markets Authority and Nairobi Securities Exchange, KenGen files monthly Investors' Returns.

### Top 10 Shareholders as at 30 June 2025

| No.                | NAME                                                   | NUMBER OF SHARES     | PERCENTAGE SHAREHOLDING |
|--------------------|--------------------------------------------------------|----------------------|-------------------------|
| 1.                 | Cabinet Secretary -The National Treasury               | 4,615,424,088        | 69.99%                  |
| 2.                 | Stanbic Nominees Limited A/C NR13931504                | 495,348,189          | 7.51%                   |
| 3.                 | Standard Chartered Nominees Ltd A/C KE002339           | 120,000,000          | 1.82%                   |
| 4.                 | Standard Chartered Nominees Resd A/C KE11450           | 64,702,437           | 0.98%                   |
| 5.                 | Stanbic Nominees Limited R6631578                      | 60,148,649           | 0.91%                   |
| 6.                 | Standard Chartered Nominees Resd A/C KE11443           | 35,163,194           | 0.53%                   |
| 7.                 | Mavji, Ramila Harji                                    | 30,000,000           | 0.45%                   |
| 8.                 | Njihia, Waithaka Ng'ang'a                              | 22,176,900           | 0.34%                   |
| 9.                 | Standard Chartered Nominees Resd A/C KE11436           | 16,650,190           | 0.25%                   |
| 10.                | Standard Chartered Kenya Nominees Ltd A/C 131550500013 | 15,250,000           | 0.23%                   |
| 11.                | Others-193647                                          | 1,119,658,692        | 16.98%                  |
| <b>Grand Total</b> |                                                        | <b>6,594,522,339</b> | <b>100.00%</b>          |



# Corporate Governance



## Shares Distribution Statistics

| No.                | RANGE                  | NUMBER OF RECORDS | NUMBER OF SHARES     | PERCENTAGE SHAREHOLDING |
|--------------------|------------------------|-------------------|----------------------|-------------------------|
| 1.                 | 1 to 500               | 84,604            | 20,085,559           | 0.30%                   |
| 2.                 | 501 to 1000            | 34,562            | 27,554,820           | 0.42%                   |
| 3.                 | 1001 to 5000           | 49,176            | 109,648,030          | 1.66%                   |
| 4.                 | 5001 to 10000          | 16,304            | 110,062,916          | 1.67%                   |
| 5.                 | 10001 to 50000         | 7,128             | 145,047,588          | 2.20%                   |
| 6.                 | 50001 to 100000        | 890               | 63,578,177           | 0.96%                   |
| 7.                 | 100001 to 500000       | 724               | 147,931,444          | 2.24%                   |
| 8.                 | 500001 to 1000000      | 129               | 92,594,316           | 1.40%                   |
| 9.                 | 1000001 to 20000000000 | 140               | 5,878,019,489        | 89.13%                  |
| <b>Grand Total</b> |                        | <b>193,657</b>    | <b>6,594,522,339</b> | <b>100.00%</b>          |

## Summary Returns

| INVESTOR POOL      | NUMBER OF RECORDS | NUMBER OF SHARES     | PERCENTAGE SHAREHOLDING |
|--------------------|-------------------|----------------------|-------------------------|
| Local Institutions | 7,736             | 5,004,267,982        | 75.885%                 |
| Local Individuals  | 185,008           | 899,895,903          | 13.646%                 |
| Foreign Investors  | 913               | 690,358,454          | 10.469%                 |
| <b>Grand Total</b> | <b>193,657</b>    | <b>6,594,522,339</b> | <b>100.00%</b>          |

## 03

## OUR STRATEGIC FOCUS & PERFORMANCE

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# Our Strategic Focus & Performance

## Our Strategic Imperatives: The G2G 2034 Strategy

**KenGen, East Africa's largest power producer, has been shaping the region's energy landscape since 1954. With the industry undergoing rapid change through new players, technologies, and shifting demands, KenGen is positioning itself to lead rather than follow.**

Our G2G 2034 Strategy was officially launched on 17th October 2024 by the Cabinet Secretary, Ministry of Energy and Petroleum, marking a significant milestone in KenGen's transformation journey. The launch underscored the Government's support for our strategic vision and reaffirmed KenGen's pivotal role in driving Kenya's energy transition.

The G2G 2034 Strategy is our bold blueprint for transformation, innovation, and sustainability—future-proofing the company, safeguarding market leadership, and empowering all teams to drive our shared vision.

Our strategic roadmap is designed to accelerate KenGen's transformation, bring our vision to life, and firmly position the Company as a leader in provision of renewable energy solutions, while delivering sustainable long-term value for our shareholders.

KenGen's long-term growth and transformation agenda is anchored on four strategic growth pillars:

- 1 Increase power capacity:** Targeting an additional 1,500 MW of renewable energy capacity and 500 MWh of energy storage, to address the country's growing demand and enhance grid flexibility.
- 2 Secure sustainable financing:** Access to concessional loans and innovative financing models, including SPVs, to optimize capital deployment and secure long-term value
- 3 Grow future revenues:** Ring-fencing core electricity generation revenues and diversifying revenue streams by leveraging our areas of proven expertise like geothermal exploration and drilling services
- 4 Strengthen stakeholder engagement:** Deepen collaboration with government, investors, communities, and development partners.

KenGen's strategic ambition is underpinned by five critical enablers that provide the foundation for successful execution and align with our mission to deliver competitively priced electricity to the region by leveraging our highly skilled talent, engaging closely with stakeholders, employing efficient processes, and utilizing modern technology.

These enablers ensure that our growth agenda is sustainable, resilient, and impactful for our stakeholders and the wider energy ecosystem:



**1,500<sub>MW</sub>**

Targeting an additional 1,500 MW of renewable energy capacity and 500 MWh of energy storage.



**63.3<sub>MW</sub>**

The 63.3 MW Olkaria I rehabilitation project is currently under construction and has reached 74% completion.

- 5 Talent development:** Empowering our people and organization through upskilling, reskilling and a strong performance-driven culture
- 6 Competitively priced electricity:** Optimising our operational costs and investments to provide affordable power to the citizenry.
- 7 Advance digital transformation:** Leveraging digital tools and technologies to enhance efficiency and agility across our operations.
- 8 Optimize internal processes:** Enhancing organizational productivity by streamlining workflows, increasing efficiency and embedding a culture of continuous improvement.
- 9 Drive strategy delivery:** Advancing transformative initiatives to accelerate KenGen's evolution into a future-ready energy leader.

# Our Strategic Focus & Performance

## Realising Our Strategy

- The 63.3 MW Olkaria I rehabilitation project is currently under construction and has reached 74% completion, a testament of our commitment in increasing installed power capacity to meet growing energy demand, while strengthening Kenya's energy security.
- A total of 253 MW of new renewable energy capacity (geothermal, hydro and solar) have advanced to the implementation phase. This milestone reflects our strong project pipeline and commitment to expanding Kenya's clean energy portfolio.
- A total of USD 650 million has been secured to finance these projects, underscoring our strong capital mobilization capacity and investor confidence in KenGen's strategic direction. This achievement has been made possible through the Government's support and the active participation of Development Finance Institutions (DFIs) and other lending partners. The funding will play a pivotal role in accelerating the implementation of our renewable energy projects, ensuring timely delivery, and reinforcing our commitment to sustainable growth and long-term value creation.
- Through our diversification efforts, we conducted geothermal exploration studies in Eswatini adding on the diversification revenue. We are progressing other diversification efforts in Ngozi, Tanzania, among others.
- Our Green Energy Park in Olkaria received a significant boost with its gazettment as a Special Economic Zone (SEZ). This recognition marks a major milestone in our journey to transform Olkaria into a hub for sustainable industrial development. Leveraging Olkaria's abundant geothermal resources, the Green Energy Park is poised to provide competitively priced, clean, and reliable energy to industries, fostering green manufacturing, innovation, and job creation.
- Strategy dissemination was carried out company-wide to strengthen alignment, deepen staff engagement, and build a shared understanding of our long-term transformation agenda. By embedding the strategy into daily operations, we are fostering a culture of ownership, accountability, and innovation,

ensuring every employee contributes to our vision and mission.

- Strategic risks that could impact the delivery of the G2G 2034 Strategy are under active monitoring, with concerted efforts directed towards implementing mitigation measures and aligning risk responses to our strategic initiatives.
- We continue to strengthen regulatory and stakeholder engagement by emphasizing on proactive dialogue, transparency, and collaboration with a broad spectrum of stakeholders, including government institutions, regulators, development partners, investors, and local communities. By fostering trust and cultivating mutually beneficial relationships, we are ensuring that our strategic initiatives are supported by a strong policy and regulatory environment, while also addressing the expectations of the stakeholders.



## Driving Sustainable Power Generation

Our worldclass pool of in-house engineering prowess and technical expertise continues to transform the nation's energy landscape through efficient running of the Company's electricity generation assets. With 96% of our generation coming from renewable sources, geothermal, hydro, wind, and thermal, we remain committed to powering sustainable growth, reducing carbon emissions, and ensuring reliable electricity for the country's socio-economic development.

## Fleet Maintenance

KenGen's business is aimed at operational excellence through systematic pursuit of continuous improvement across all aspects of a power plant's operations, with the goal of maximizing efficiency, reliability, safety, sustainability, and profitability.

Industrial control systems not limited to SCADA, IoT, DCS are deployed across our generation fleet to gather data on machine status to aid in predictive maintenance. To ensure availability and reliability of KenGen power plants, the Company scales up with the deployment of various global best plant maintenance strategies which include:



## Our Strategic Focus & Performance

- Preventive Maintenance
- Condition Based Maintenance (CBM)
- Reliability Centered Maintenance (RCM) while leveraging on state-of-the-art technology.

This ensures that the entire fleet is in good condition to provide the nation with reliable and affordable electric power.

To optimize the turnaround times of maintenance works, we strive to ensure availability of required resources including critical and strategic spare parts, tools and maintenance equipment.

KenGen is conscious of O&M costs and invests in human capital development by continuous technical trainings and knowledge transfer through employee active involvement in key refurbishment projects. Water reservoirs form a critical component of our hydro generation and hence the company is committed to efficient and responsible water resource conservation and utilization. Responsible operations involve prudent water management by monitoring weather patterns and energy demand balancing to ensure the nation benefits longer from the generation of cheaper hydro power even during dry seasons.



### Root Cause Analysis Strategy

The primary objective of Root Cause Analysis, (RCA) is to ensure long-term reliability, availability, and safety of plant operations. It enables continuous improvement by preventing failures, optimizing maintenance strategies, and supporting compliance with regulatory and industry standards.

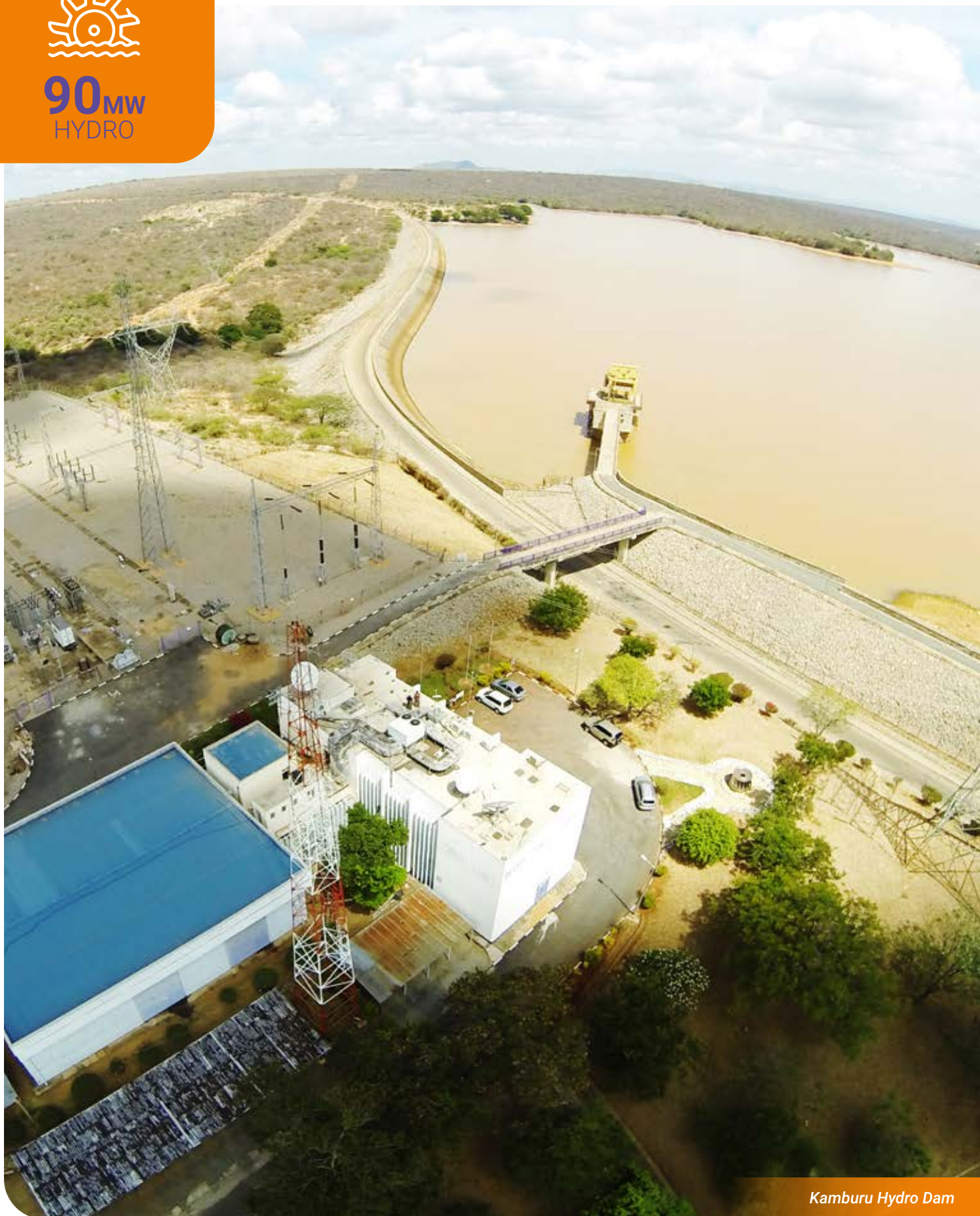
During the year we rolled out a robust training initiative on Root Cause Analysis (RCA) for our power plant operators. 16 employees drawn from all regions were trained in two cohorts on Root Cause Analysis (RCA) by Australia Africa Energy & Minerals Institute.



*KenGen staff members receive certificates of completion for the Root Cause Analysis (RCA) training from General Manager, Operations, Eng. Julius Odumbe, recognizing their achievement and commitment to operational excellence and continuous improvement.*



**90<sub>MW</sub>**  
HYDRO



Kamburu Hydro Dam



# Our Strategic Focus & Performance

## Occupational Health and Safety

**KenGen has continued to demonstrate good governance and holds itself to account through the implementation of quality management system and meeting the requirements of ISO9001:2015 Quality Management System (QMS) requirements throughout the year.**

The Company conducted two internal Audits and external surveillance Audits to measure the effectiveness of our Quality Management System (QMS).

Our commitment to sustainable development was demonstrated in our maintenance of international environmental standards based on ISO14001:2015 Environmental Management System (EMS) requirements. During the year we reviewed our process to prevent environmental pollution, enhance efficiency and material usage as well as promote conservation efforts.

To maintain our Integrated Management Systems (IMS) the Company conducted two internal Audits and external surveillance Audit to test the robustness of KenGen IMS.

In ensuring continuity of operations, we implemented several emergency preparedness and response activities including training of emergency responders, Fire Marshalls, First Aiders and Emergency Response Teams (ERT) who operate fire engines in our regions. To improve our emergency response time we carried out testing, simulations and drills to evaluate our readiness.

## Enhance Occupational health and safety of employees and stakeholders

Fire protection programs were implemented through the delivery of fire engines to the Geothermal region and installation of fire hydrant systems in Geothermal and Eastern regions.

## Occupational Health and Safety- Emergency Training

Safety of our employee is one of our corporate values. During the year we conducted benchmarking and training of our employee on operating fire engines, Basic Safety Training and Advance Rescue Training for 20 Ngong Wind Farm employees by Global Wind Organization as well as Work at height and basic rescue training for 20 Geothermal region staff by Viscar Industrial Capacity Limited.

KenGen safety champions participated in DOSH First aid, fire and workplace competitions which culminated in celebration of World Safety Day at Nanyuki where the company workstations earned multiple recognitions.

In line with our Disaster Risk Management and Business Continuity Program (DRM – BCP), KenGen has made significant efforts to improve fire protection systems and equipment, to ensure that our people and assets are adequately protected in the event of fire. During the year, company acquired two fully equipped fire engines for Eastern and Geothermal regions.



*KenGen staff participate in a firefighting training session, enhancing their safety preparedness, emergency response skills, and capacity to manage fire-related incidents effectively*

## Our Strategic Focus & Performance

### National Awards by DOSHS



KenGen participated in the National OSH Awards competitions held by the Directorate of Occupational Safety and Health Services in April 2025 and secured several top awards, including:

- I. Overall Winner in the Fire Safety Challenge – Thermal
- II. Best Fire Marshall – Geothermal
- III. 2nd Runners Up in the First Aid Challenge – Central Office
- IV. 2nd Runners Up in Workplace Safety – Energy Sector – Kamburu Power Plant
- V. 1st Runners Up in Workplace Safety – Energy Sector – Olkaria 1 AU



Olkaria IV Geothermal Power Plant



# Our Strategic Focus & Performance

## Strategic Partnerships



*His Excellency Dr. William Samoei Ruto, C.G.H., President of the Republic of Kenya and Commander-in-Chief of the Defence Forces, together with KenGen Managing Director and CEO, Eng. Peter Njenga, during the flag-off ceremony of the World Rally Championship.*



*KenGen Managing Director & CEO Eng. Peter Njenga with the German Vice Chancellor during his visit of Olkaria Geothermal Power Plants*

# Our Strategic Focus & Performance

## Strategic Partnerships

### World Rally Championship (WRC)

KenGen made history by partnering with the World Rally Championship (WRC) Safari Rally Kenya, introducing the KenGen Geothermal Stage at Hell's Gate National Park to showcase the integration of renewable energy into motorsport. The collaboration powered the rally's infrastructure with clean geothermal energy, elevated KenGen's visibility to over 100 million global viewers, and positioned the company as a leader in aligning sports with sustainability.



*One of the rally cars speeds past the KenGen Olkaria field during the World Rally Championship event held at Hell's Gate National Park*



*KenGen staff enjoy the World Rally Championship action at the KenGen Geothermal Stage, celebrating innovation, energy, and sporting excellence*



## International Partnerships

KenGen has established itself as a global hub for sustainable energy innovation, hosting a distinguished array of international guests that underscore its influence in the global energy sector. These engagements have reinforced Olkaria's reputation as a beacon of sustainable development, positioning it as a dynamic hub for transformative energy solutions with a lasting global impact. Through these collaborations, KenGen continues to influence the global energy landscape, driving progress in sustainable development while cultivating meaningful international partnerships.



# Our Strategic Focus & Performance

## International Partnerships



Germany's Vice Chancellor, accompanied by a German government delegation and the former Minister for ICT-Kenya



KenGen Managing Director and CEO Eng. Peter Njenga (right) hosts Edward Claessen, Head of the European Investment Bank (EIB) Regional Hub—East Africa, during a meeting at KenGen Headquarters, Stima Plaza, Nairobi



The democratic Republic of Algeria Government Delegation in Olkaria to discuss collaboration and partnership in geothermal development



### WRC SAFARI RALLY CIRCUIT

KenGen partnered with other stakeholders to sponsor the World Rally Championship (WRC) Safari Rally, held in March 2025, at the Olkaria geothermal area. This was more than a motorsport spectacle, a celebration of sustainability, innovation, and natural beauty. Against the dramatic backdrop of Hell's Gate National Park, competitors navigated rugged terrain, steam vents, and hot springs intertwined with the Olkaria Geothermal field, showcasing the unique harmony between high-octane adventure and clean energy.



One of the rally cars proudly displays KenGen branding, showcasing the company's support and partnership in motorsport and community engagement

# Our Strategic Focus & Performance

## Strategic Partnerships

### GOK PERFORMANCE



KenGen ascribes to Government of Kenya Performance Contracts (GoK PCs) framework to ensure delivery of core business, maximize stakeholder value and enforce professional service delivery to Kenyans, in line with the national Bottom-up Economic Transformation Agenda (BETA) aspirations, focusing on financial excellence and operational efficiency.



The Company GoK PC score for the financial year 2023/24 was 3.0497 ('Good'), as evaluated by Public Service Performance Monitoring Unit, based on an inverted scale of 1 – 5 with 1 being excellent and 5 being poor. For the period ended 30th June 2025, the Company conducted a self-evaluation and scored 2.9401 (Very Good). This improved performance underscores our commitment to powering the Nation through efficient maintenance of electricity generating power plants, advancement of feasibility studies for potential capacity expansion, sustained profitability, and continued leadership in driving productivity within Public Service.

### KenGen 2024/25 GoK Performance Contract highlights:

| PERFORMANCE CRITERIA                               | HIGHLIGHT                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Financial Stewardship and Fiscal Discipline</b> | <ul style="list-style-type: none"> <li>• <b>132.0%</b> absorption (Kshs. 47.52 Billions) of internally mobilized funds.</li> <li>• Externally generated funds of Kshs. 5.89 Billions (53.4%) absorbed.</li> <li>• Appropriations-in-aid of Kshs. 76.56 Millions from disposal of plant station scrap.</li> <li>• The company met its financial obligations, by settling all pending bills.</li> </ul>                                                                            |
| <b>Service Delivery</b>                            | <ul style="list-style-type: none"> <li>• Re-engineered and digitalized business processes and onboarded them on the e-citizen portal.</li> <li>• Initiatives for Citizens' Service Delivery Charter implemented as committed.</li> <li>• No major public complaint received.</li> </ul>                                                                                                                                                                                          |
| <b>Core Mandate</b>                                | <ul style="list-style-type: none"> <li>• All generation modes were above target due to better hydrology and dispatch.</li> <li>• Olkaria I Rehabilitation, 7-Forks Solar, Gogo Upgrade and Wellhead Leasing projects progressed well; Olkaria 280MW Upgrading and Olkaria II 140MW projects discontinued.</li> <li>• Surpassed Pre-tax profit and Return on Investment targets.</li> <li>• Progressed Geothermal Training Centre and Raising of Masinga dam projects.</li> </ul> |
| <b>Implementation of Presidential Directives</b>   | <ul style="list-style-type: none"> <li>• Government services on-boarded on eCitizen platform.</li> <li>• 886,901 seedlings planted, exceeding the National Tree Growing Restoration Campaign target of 830,000</li> </ul>                                                                                                                                                                                                                                                        |
| <b>Affirmative Action in Procurement</b>           | <ul style="list-style-type: none"> <li>• AGPO awards of Kshs. 2.23 Billions, 87% of a Kshs. 2.57 Billions target; Persons with Disability awarded Kshs. 0.27 Billions.</li> <li>• Local content tenders of Kshs. 10.01 Billions, 69% of the Kshs. 14.53 Billions target.</li> </ul>                                                                                                                                                                                              |
| <b>Cross-Cutting Initiatives</b>                   | <ul style="list-style-type: none"> <li>• Engaged 1,076 attaches (4 as PWD)</li> <li>• Asset management and Competence Development initiatives implemented.</li> <li>• 100% score received for implementation of National Values indicator</li> </ul>                                                                                                                                                                                                                             |



# Our Strategic Focus & Performance

## Strategic Partnerships

**Our commitment to Government Performance Contracting reinforces public trust in the effectiveness of state Corporations while delivering value to Kenyans and advancing the Nations journey towards achieving its development aspirations.**

### Contribution to Energy Security - Our Projects & Growth Pipeline

| No. | Project Name                                     | Capacity (MW)    | COD  |
|-----|--------------------------------------------------|------------------|------|
| 1.  | Olkaria I Rehabilitation                         | 63               | 2026 |
| 2.  | Olkaria IAU & IV Turbine Uprating/ Topping Plant | 40               | 2029 |
| 3.  | Seven Forks Solar                                | 42.5             | 2027 |
| 4.  | Gogo Redevelopment                               | 8.6              | 2028 |
| 5.  | Olkaria VII                                      | 80.3             | 2028 |
| 6.  | Olkaria VI                                       | 140              | 2028 |
| 7.  | Marsabit wind 100MW up to 1000MW                 | 100/200          | 2029 |
| 8.  | Wellhead Leasing 58.42MW                         | 58.42            | 2027 |
| 9.  | Battery Energy Storage System (BESS)             | 100MW/<br>200MWh | 2027 |

### Generating from the Earth

#### Driving Kenya's Sustainable Energy Future

Kenya is endowed with abundant and diverse energy resources, including 16 geothermal fields, hydropower, biomass, wind corridors, and vast solar potential. At KenGen, we are committed to advancing the nation's sustainable development by responsibly harnessing these resources to power economic growth, improve quality of life, and promote social equity. We recognise that the responsible management of natural resources is essential for long-term prosperity. As a leader in Kenya's energy sector, our goal is to meet the country's growing energy demand while preserving its natural heritage for future generations. Geothermal Energy is central to the delivery of KenGen's G2G 2034 Strategy with a contribution of an additional 840MW out of the targeted 1,500MW.

# 1,500<sub>MW</sub>



***"As a leader in Kenya's energy sector, our goal is to meet the country's growing energy demand while preserving its natural heritage for future generations. Geothermal Energy is central to the delivery of KenGen's G2G 2034 Strategy"***

During the year, our geoscientific teams conducted studies in Eburru to guide the siting of wells, aiming to achieve 25 MW of geothermal power from Eburru as part of our strategy.

# Our Strategic Focus & Performance

## Strategic Partnerships

### Generating from the Earth (cont'd)



Through sustained investment in Geothermal energy, KenGen has significantly expanded the country's baseload electricity generation capacity while stabilizing the grid from fluctuations caused by intermittent wind and solar sources. This contributes to reduction in greenhouse gas emissions by displacing electricity generation from fossil fuels. KenGen's geothermal plants are located in Olkaria, within the Naivasha sub-county, and Eburru, in Gilgil sub-county.

### Geothermal Power: Energising Kenya's Growth and a Greener Future

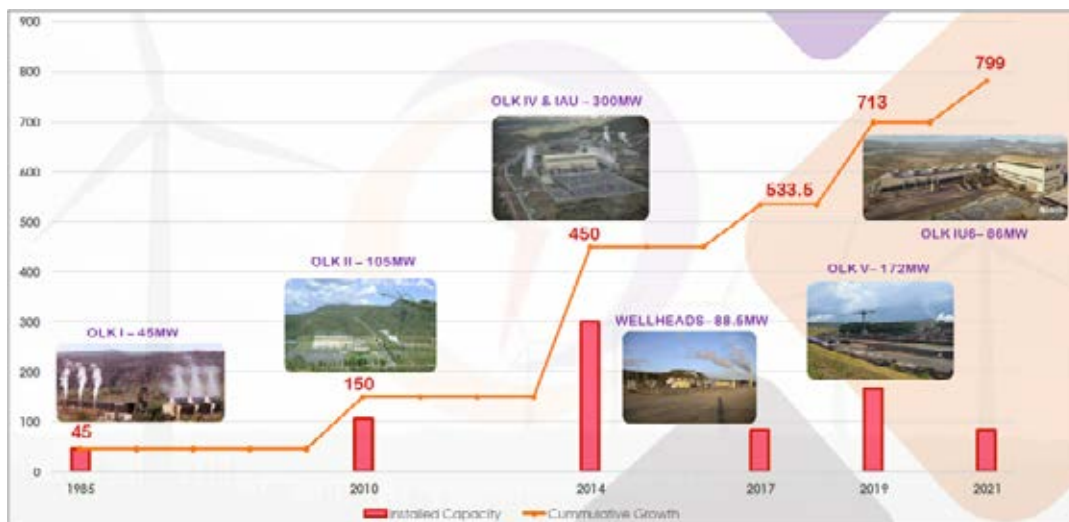


# Our Strategic Focus & Performance

## Strategic Partnerships

KenGen has long been at the forefront of harnessing the Earth's natural heat to power Kenya's sustainable development. Our geothermal journey began in 1952 with exploration at Olkaria, leading to the successful drilling of our first wells in 1956. Since then, we have drilled over 340 wells in Olkaria and Eburru, steadily building Kenya's position as Africa's leading geothermal power producer.

Through continuous innovation and investment in technology, we have enhanced well productivity from an average of 2 MW per well in the 1970s to 5 MW today.



Our geothermal journey

### Kenya's Geothermal Global Position

**KenGen's unwavering commitment to geothermal development has positioned Kenya as a global leader in renewable energy. Our contribution of 754 MW has been central to the nation's total installed geothermal capacity of 953 MW, placing Kenya among top 10 global geothermal power generators. This milestone underscores the impact of our strategic investments and technological expertise on both national energy security and the global clean energy landscape.**

### SUSTAINABLE RESOURCE MANAGEMENT: MAXIMIZING THE POWER OF NATURE

At KenGen, we believe in managing our geothermal resources responsibly to ensure they remain productive for generations to come. By reinjecting fluids back into the earth, we help sustain the geothermal reservoirs, preserve pressure and heat, and minimise environmental impact. These efforts reflect our commitment to balancing energy production with long-term sustainability, ensuring that the clean energy we harness today continues to power Kenya's future.

### Reinjection Strategy

We continuously conduct tracer tests to monitor the movement of fluids within the Olkaria reservoirs, which helps us understand the connectivity between wells and sustain long-term production. Alongside this, we drill reinjection wells to replenish the reservoirs and maintain stable pressure, ensuring geothermal energy remains a reliable resource for the future.

During the year, the Company conducted tracer tests in the Olkaria Domes, Northeast, and East segments of the Olkaria geothermal field. To sustain the steam production, we successfully drilled three geothermal reinjection wells.

### Sustainable Reservoir Management

Our approach to sustainable resource management is grounded in scientific knowledge. We utilise advanced reservoir modelling techniques to simulate and predict the behaviour of the geothermal reservoir over time. By developing detailed digital models, we can analyse various scenarios and assess the impact of different strategies, enabling us to make informed decisions regarding resource exploitation, reinjection and reservoir management that prioritise long-term sustainability.

# Our Strategic Focus & Performance

## Strategic Partnerships

### Sustainable Reservoir Management (cont'd)

**During the year we assessed our Olkaria resource and its response to the current level of extraction resulting from the plants developed since 2014. The consultant will work with Company's internal expertise. The findings of this work will inform the programs that should be implemented to ensure continued and sustainable power generation for existing and planned power plants.**

**Integrated Resource Management Systems (IRMS)**  
By integrating advanced technology with geothermal expertise, we move beyond basic data collection to make informed geothermal decisions. At Olkaria, our Integrated Resource Management System (IRMS) integrates diverse geoscientific data into a GIS-based platform, offering a comprehensive overview of the geothermal resource. This system empowers our scientists and experts to explore data layers, identify patterns, and gain insights that inform our management strategies.



#### Steam Availability

Through optimising steam availability, minimising downtime, and deploying advanced technologies, we maximise the energy harnessed from our geothermal resources, strengthening both the sustainability and reliability of our operations.

Our approach includes routine inspections, timely repairs, and comprehensive upgrades that ensure each steam field component functions optimally while extending the lifespan of our assets. To further enhance steam supply, we integrate make-up wells into existing systems. During the year, our internal teams successfully connected two Wells to provide makeup steam for electricity generation. Additionally, they drilled four wells in Olkaria fields to provide supplementary steam for upcoming power development projects.



#### Business Diversification

KenGen's Green Energy Park is not only key to the Company's diversification strategy, but also critical in supporting the country's industrialization

agenda by providing green reliable energy directly to industries at affordable tariffs.

During the year, the Energy Park was gazetted as a Special Economic Zone (SEZ), paving the way for enhanced investment and regulatory support. In continuing to spur industrialization in the region, one additional investor was onboard to set up operations in the park, while pursuing other investors.

Infrastructure development has commenced, including the installation of power systems, construction of a one-stop-shop facility, water reticulation, and a vital link-road connecting the park to the Suswa Inland Container Depot (ICD) Station.



#### Geothermal Drilling and Consultancy

KenGen continues to play a pivotal role in advancing geothermal development across Africa by leveraging its technical expertise in drilling and geoscientific studies. The company successfully conducted geoscientific studies consultancy in Eswatini and is currently executing a drilling contract in Ngozi, Tanzania.

The Company is pursuing further opportunities in the region and beyond, with potential contracts under consideration in Eswatini, Tanzania, Djibouti, Zambia, and Bhutan. These initiatives underscore KenGen's commitment to regional energy collaboration and its leadership in sustainable geothermal solutions.

KenGen is pursuing other revenue diversification through strategic investments in emerging energy technologies and complementary sectors. Key initiatives include exploring opportunities in electric mobility and solar panel manufacturing, aimed at expanding the company's footprint in sustainable energy solutions. Additionally, KenGen is advancing its hospitality portfolio with plans to expand the geothermal spa, enhancing its value proposition and leveraging its growing popularity.



# Our Strategic Focus & Performance

## Strategic Partnerships

### REVENUE DIVERSIFICATION

#### Commercial Drilling Services and Geoscientific Work

KenGen has established itself as a leading force in geothermal development across Africa. Given the continent's vast geothermal potential, this leadership presents opportunities for KenGen and has opened up possibilities for other African nations to harness the clean, sustainable geothermal energy resource to transform and change the lives of their citizenry.

We have successfully delivered commercial drilling services for our fellow African nations in Ethiopia and Djibouti, where our teams drilled wells at the Aluto project in Ethiopia and the Gala Le Koma field in Djibouti. These milestones showcase our unmatched technical expertise and efficiency in executing large-scale geothermal projects across the continent. Beyond drilling, we've extended our footprint with geoscientific services in Malawi, Rwanda, Sudan, and Comoros—cementing KenGen's position as Africa's trusted partner in sustainable renewable energy solutions.

We are proud to have recently Leverage our expertise with our neighbouring East African nation Tanzania, by securing a contract and a collaboration agreement with Tanzania Geothermal Development Company to initially drill three slim exploratory wells at Ngozi, Mbeya. Our inhouse geothermal expert team mobilised to Tanzania in July 2025 and has competently completed spudding of the first well and is now progressing to the next stage of deep drilling of the well to the targeted depth of 2,000 meters. This year, beyond Tanzania, we have expanded our footprint of geoscientific exploration in Eswatini and Zambia. Our inhouse geoscientists completed exploration studies in Eswatini between August and December 2024, while negotiations for the Zambian project are ongoing.



Our diversification strategy extends beyond international partnerships to fostering local collaborations within Kenya. We actively seek opportunities to collaborate with geothermal concession holders, supporting the local ecosystem, knowledge transfer, and the development of sustainable energy solutions. These efforts reinforce KenGen's goals of strengthening regional integration and advancing Kenya's transition to a sustainable energy future.

**2,000M**   
completed spudding first well at Mbeya Tanzania, now progressing to deep drilling to the targeted depth of 2,000 meters.

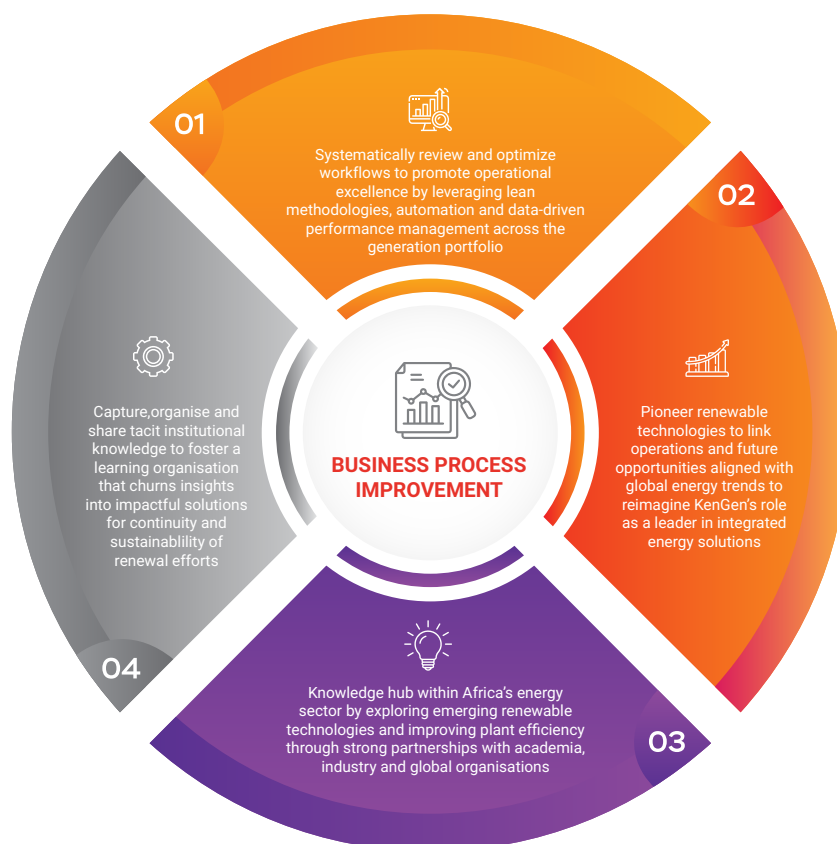
### Innovation, Research & Development

#### Redefining Energy Leadership Through Continuous Renewal

As Kenya's foremost power producer and a champion of renewable energy, KenGen plays a pivotal role in the country's renewable energy development agenda. With 90% of its installed capacity being from renewable sources, we are not only driving national electrification but also shaping the future of energy in the region. To remain resilient and relevant in an increasingly dynamic energy landscape, the Company has anchored its transformation on operational excellence and continuous re-invention. This is anchored on Business Process Improvement; Innovation; Research & Development; and Knowledge Management. These form an integrated renewal framework that supports KenGen's vision of becoming a diversified and modern energy solutions provider.

# Our Strategic Focus & Performance

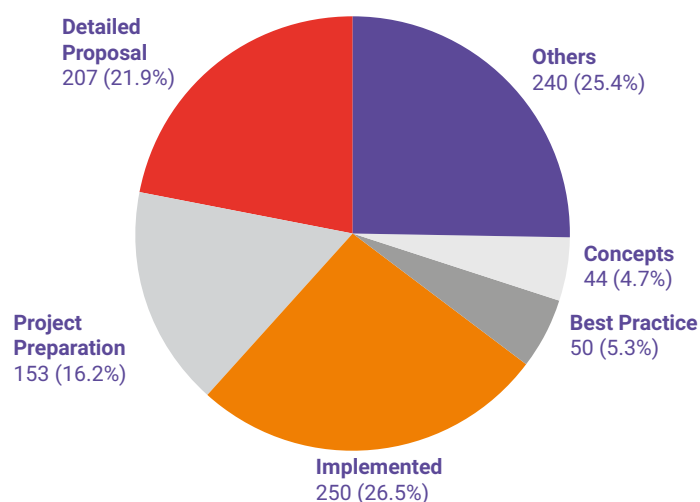
## Strategic Partnerships



Our renewal initiatives are guided by KenGen's Good to Great 2034 Strategy, which identifies innovation as a key driver of long-term success. Corporate programs such as the annual G2G Innovation Seminar, now in its 12th edition, and Communities of Practice & Innovation (COPI) have institutionalized a culture of ideation and peer-driven problem-solving. These initiatives have generated over 944 innovative ideas, with 250 implemented internally, directly contributing to cost optimization, efficiency, and new revenue opportunities.



**Idea Distribution - 2025 (Total: 944)**



# Our Strategic Focus & Performance

## Strategic Partnerships

### (IP and Innovation / R&D Initiatives)

- Intellectual Property: 3 patents, 3 utility models, 103 copyrights, and 31 trademarks registered, reflects commitment to robust IP management to safeguard innovations
- Research & Development Centre, Upper Tana: 93% construction, to be ready in December 2025
- Partnerships and collaborations: Registering R&D Centre as a WIPO-accredited Technology and Innovation Support Centre (TISC)
- Solar Carport, Solar-Powered Street Lighting, and Solarisation of Research Centre: generate 468,660 kWh annually, off a 256.8 kW grid-tied solar photovoltaic (PV) system
- Steam-driven Pumps: improve lubrication system from DC power (susceptible to outages and failures) to using steam, lowering operational risks and improving plant availability
- Robotic Sediment Removal in Geothermal Cooling Tower Basins: improve cooling systems' efficiency vide non-intrusive cleaning technology for sludge removal as plants operate

**Retrofitted Cooling Water System:** pilot modification project at Olkaria I AU 5 to achieve >10% boost in cooling efficiency, directly improving turbine performance and plant reliability.



KenGen Head Office staff with the Managing Director & CEO during the launch of phase V of the tree planting campaign at the Head Office, Nairobi

# Our Strategic Focus & Performance

## Strategic Partnerships



KenGen Research and Development (R&D) Building at Upper Tana, supporting innovation and sustainable energy solutions



**Through knowledge harvesting, policy development, and records management, KenGen is cementing its role as a learning organization.**

By utilizing data-driven decision-making and fostering a culture of continuous improvement, various processes have been reviewed to boost business performance, cut costs, and provide sustainable value to stakeholders. These include Geothermal Quality and Safety, Insurance, Hydros Machine Outage Resolution, Procurement Secretariat Checklist, Environmental & Social Impact Assessment (ESIA), Spare Parts Management Optimization and Structured Problem Solving through Root Cause Analysis.

Through knowledge harvesting, policy development, and records management, KenGen is cementing its role as a learning organization. Knowledge updates include KenGen History Book, Staff Documentaries, Communities of Practice (COP2) experts' directory, KenGen Museum project: (in conjunction with National Museums of Kenya) and automation of Information & Records Management.



**“We remain deliberate in advancing digital transformation initiatives, ensuring that our systems and processes are agile, resilient, and responsive to evolving market dynamics.”**

Through this dynamic synergy of the continuous renewal plan, KenGen is not only reinforcing its core capabilities to drive sustainable growth, but also positioning itself as a future-ready organization, at the forefront of Africa's renewable energy transformation. Leveraging Digital Transformation

At KenGen, our ICT infrastructure forms the backbone of our operations, enabling us to deliver on our purpose and strategic ambitions. By enhancing operational efficiency, driving data-driven decision-making, fostering innovation, and strengthening cybersecurity, ICT plays a central role in powering our business. We remain deliberate in advancing digital transformation initiatives, ensuring that our systems and processes are agile, resilient, and responsive to evolving market dynamics.

Our leadership in digital innovation was recently recognized at the Digital Transformation Public Sector (DTPS) Forum & Awards in February 2025, where KenGen received the prestigious “Best



# Our Strategic Focus & Performance

## Strategic Partnerships

Public Sector Digital Innovation in Energy & ICT” award. This accolade highlighted our strategic implementation of Internet of Things (IoT) technologies at the Olkaria Geothermal Power Stations, significantly enhancing operational resilience, optimizing energy management, and ensuring uninterrupted power generation nationwide. This transformation is integral to the successful implementation of our G2G 2034 Strategy, positioning KenGen to meet future energy demands and deliver long-term value to our customers, communities, and shareholders.



*KenGen technical staff working on a well at Olkaria Geothermal field*

### Cybersecurity and Data Protection

In response to the growing landscape of sophisticated cybersecurity threats, KenGen has prioritized building organizational resilience through strengthened governance, advanced technology deployment, and continuous capacity building. During the year, we enhanced threat detection and response capabilities with a Vulnerability Management Solution and delivered specialized training to technical staff and employees awareness programs.

### Digital Infrastructure

To improve our system resilience during power disruptions, we rolled out robust backup solutions that included solar power systems and 1kV battery storage for our servers. The continuous

maintenance and operational support for critical digital platforms have contributed to sustaining high operational performance and system uptime.

### Sustainable Digital Practices

KenGen continues to focus its operations and innovations on reducing environmental impact through energy-efficient systems, e-waste management, and integrating green power solutions, reinforcing our commitment to sustainability alongside technological advancement. KenGen undertook an enhancement project focused on automating and streamlining key business workflows to reduce manual paperwork and improve operational efficiency. This enhancement aligns with broader organizational goals to improve service delivery and operational excellence through the adoption of efficient, eco-friendly

# Our Strategic Focus & Performance

## Strategic Partnerships

digital solutions. As part of KenGen's G2G 2034 strategy for sustainable digital practices, Digital Transformation Liaison Officers (DTLOs) were onboarded as dedicated digital change champions across the Company.

### Digital Upskilling

In an ambitious effort to ensure infrastructure stability, strengthen cyber resilience, and accelerate automation and innovation, over the past year, KenGen's teams have undergone a variety of specialized training programs to develop both technical and soft skills. These include Designing Cisco Enterprise Wireless Networks, Cyber Disaster Response, Internet of Things (IoT), as well as on Data Protection and Privacy focused on Kenya's regulatory landscape.

### Enterprise Risk Management & Business Resilience

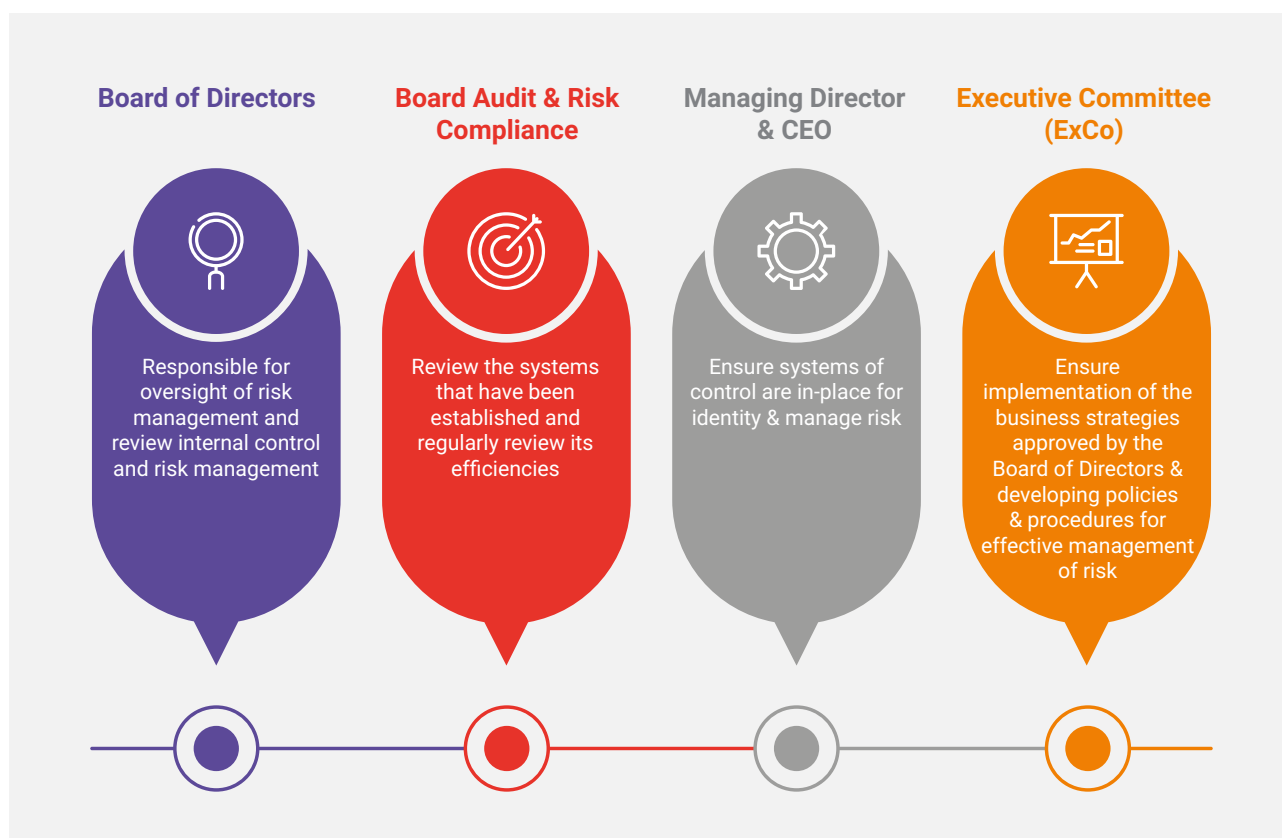
At KenGen, risk management is integral to our business operations and is embedded across both corporate and operational practices. We have

established a robust Enterprise Risk Management (ERM) policy and framework that includes clear policy commitments designed to foster a culture of risk awareness throughout the organization, ensuring compliance with applicable laws, regulations, and international best practices.

Aligned with international best practices, our risk management policy offers a consistent and structured approach to identifying, managing and reporting risks arising from our operations. The framework is integrated throughout the organization, enabling regular reporting to the Board for informed decision making, enhances oversight and reinforces our commitment to sustainable and responsible business practices.

### Risk Oversight and Governance

The Board provides oversight on the management of principal risks and internal control systems to ensure effective risk governance.



# Our Strategic Focus & Performance

## Our Risk Management Process

**Risk Identification:** KenGen identifies risks across its operations through process owners and risk champions using workshops, expert input and document reviews. This ensures continuous and comprehensive risk detection.

**Risk Assessment:** The identified risks are assessed based on their likelihood and impact across several criteria, such as health and safety, financial, and non-financial factors including reputation. This consistent evaluation framework enables effective comparison and prioritization of risks across the organization.

**Risk Treatment:** KenGen formulates risk treatment strategies based on assessment outcomes, existing controls, strategic priorities and compliance obligations. Treatment options – avoidance, mitigation, transfer (e.g., insurance) or acceptance – are tailored to each risk severity and endorsed at the appropriate level to ensure accountability and alignment with the company’s risk appetite.

**Risk Monitoring & Reporting:** KenGen regularly monitors the effectiveness of risk treatments and updates risk profiles to reflect changes in exposure, control performance and regulatory requirements. Key risks, assessments and mitigation measures are regularly reported to relevant stakeholders to support informed decision making, ensure transparency and reinforce a strong risk-aware culture.



### Our Risk Profile

KenGen operates in a dynamic environment where both internal and external factors continuously shape our risk landscape. Our operations expose us to emerging risks, which we proactively manage to safeguard our assets and ensure sustainable growth. These risks are regularly identified, assessed, and communicated to the Board through structured processes, including Enterprise Risk Management (ERM) reports, strategic reviews, technology updates, and formal Board briefings. This proactive approach ensures that the Board is fully informed and able to guide risk mitigation strategies. Below are the key risks we face and the measures we have implemented to mitigate them.

# Our Strategic Focus & Performance

## Our Risk Management Process



| No. | Risk Description                                                                                                                    | Mitigation Measures                                                                                                                                                                                                                           |
|-----|-------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.  | Operational Risk: Aging infrastructure and resource dependency may disrupt generation, affecting revenue and strategic targets.     | <ul style="list-style-type: none"> <li>Accelerated maintenance and restoration efforts</li> <li>Conducting of resource optimization studies</li> <li>Restoration of catchment areas</li> <li>Expedition of procurement and repairs</li> </ul> |
| 2.  | Project Execution Risk: Delays in land acquisition, approvals, and concessions threaten timely delivery of strategic projects.      | <ul style="list-style-type: none"> <li>Engagements with MoEP, GDC for access to renewable energy resources</li> <li>Enhanced community engagement</li> <li>Fast-tracking of statutory approvals</li> </ul>                                    |
| 3.  | Financial Risk: Funding constraints and overreliance on KPLC limit investment in diversification and innovation.                    | <ul style="list-style-type: none"> <li>Diversification of financing sources targeting DFIs, PPPs, and other innovative financing mechanisms</li> <li>Activation of new revenue streams</li> </ul>                                             |
| 4.  | Legal & Regulatory Risk: Delays in licensing, contracts, and policy changes impact project execution and investment decisions.      | <ul style="list-style-type: none"> <li>Fast-tracking of legal processes</li> <li>Advocating for policy reforms</li> <li>Strengthening engagement with regulators</li> </ul>                                                                   |
| 5.  | Human Capital Risk: Skills gaps and weak succession planning threaten execution of the transformation strategy.                     | <ul style="list-style-type: none"> <li>Roll out of succession planning</li> <li>Upskill and reskill workforce</li> <li>Align HR to strategic needs</li> </ul>                                                                                 |
| 6.  | Strategic Alignment Risk: Internal resistance, competition, and stakeholder misalignment may affect agility and strategic delivery. | <ul style="list-style-type: none"> <li>Promotion of innovation and alignment</li> <li>Strengthening change management</li> <li>Deepening stakeholder engagement</li> </ul>                                                                    |
| 7.  | Technology & Cyber Risk: Cyber threats and slow tech adoption may hinder operational efficiency and digital transformation.         | <ul style="list-style-type: none"> <li>Strengthening cybersecurity</li> <li>Improvement of data governance</li> <li>Building and enhancing digital capabilities</li> <li>Embedding ICT into the strategy</li> </ul>                           |





**216**<sup>MW</sup>  
HYDRO



Gitaru Hydro Dam



## 04

## SHAPING A SUSTAINABLE FUTURE

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# Shaping a Sustainable Future

## JOINT STATEMENT OF THE CHAIRMAN AND THE MANAGING DIRECTOR & CEO ON SUSTAINABILITY 2025

Sustainability is central to our purpose of providing reliable, affordable, and renewable energy. We acknowledge that our long-term success depends on integrating Environmental, Social, and Governance (ESG) principles into all aspects of our business while ensuring financial resilience and value creation.

Moving forward, we are developing a comprehensive Sustainability Strategy Framework to align our operations with current sustainability and financial strategies. This framework draws from international best practice, including the Global Reporting Initiative (GRI) Standards and the International Financial Reporting Standards (IFRS) Sustainability Disclosure Standards, ensuring that our performance is transparent, credible, and globally comparable.

Our commitment to sustainability is reflected in our responsible environmental management, biodiversity conservation, climate change mitigation and adaptation, inclusive community partnerships, and strong governance structures underpinned by integrity and accountability. Equally, our enterprise risk management and financial planning systems are designed to strengthen resilience, enabling us to seize opportunities while addressing emerging risks.

KenGen is committed to aligning with the United Nations Sustainable Development Goals (SDGs) and the Ten Principles of the UN Global Compact (UNGC). Through ongoing transparency and reporting, including our Communication on Progress (CoP), we showcase our accountability and reaffirm our crucial role in supporting Kenya's transition to renewable energy.

As we move forward, guided by our Sustainability Policy and the evolving strategic framework, we are dedicated to leading responsibly, innovating with intention, and ensuring that our growth safeguards the planet, empowers communities, and provides enduring prosperity for future generations.



**Hon. Alfred Agoi**  
Chairman of the Board



**Eng. Peter Njenga**  
Managing Director & CEO

# Shaping a Sustainable Future

## SDG3

We explore opportunities to power healthcare facilities

## SDG16

We explore ethical business practices

## SDG9

We explore opportunities to educational institutions

## SDG13

We explore environmental stewardship

## SDG12

We prioritize responsible resource management

## SDG17

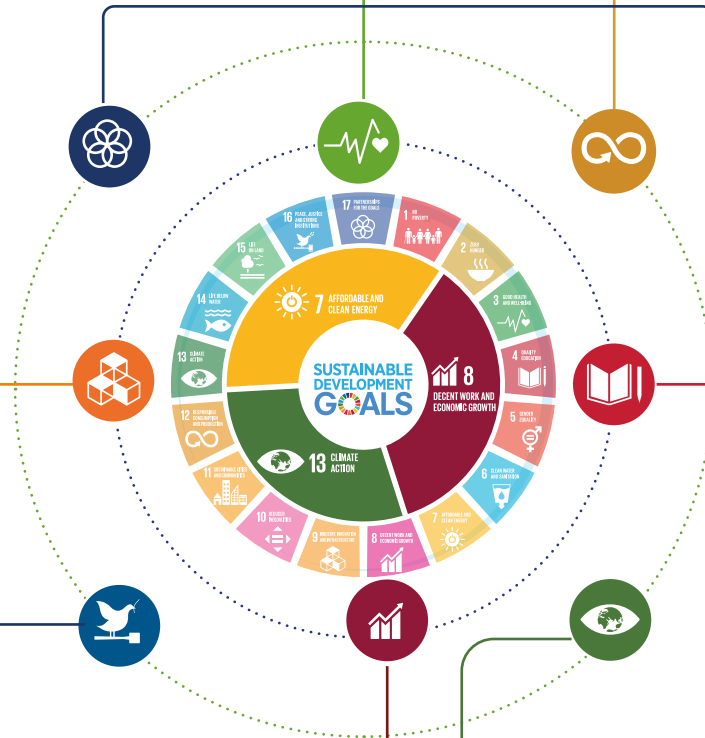
Leveraging our expertise and partnerships

## SDG4

We explore opportunities to educational institutions

## SDG8

Bridging the energy gap and promoting inclusive economic growth





# Shaping a Sustainable Future

## Carbon Credits



KenGen continued to benefit from its overall reduction of carbon emissions from the atmosphere through participation in the Clean Development Mechanism (CDM) under the Kyoto Protocol as well as venturing in clean energy generation. KenGen has six projects registered under the CDM with potential reduction emissions of 1.5 million tCO<sub>2</sub>e annually. Currently, a total of 6,384,398 Certified Emissions Reductions (CER's) are available for sale: -

**1.5M**  
**tCO<sub>2</sub>e**

KenGen has six projects registered under the CDM with potential reduction emissions of 1.5 million tCO<sub>2</sub>e annually. Currently

| No.                | Project Name                                                             | Issuance period (Vintage) | Available CERs (tCO <sub>2</sub> e) |
|--------------------|--------------------------------------------------------------------------|---------------------------|-------------------------------------|
| 1.                 | Olkaria II Geothermal Expansion Project<br>UN Project ID: 3773           | 01/10/2014 - 03/12/2017   | 292,616                             |
|                    |                                                                          | 04/12/2017 - 31/12/2020   | 111,904                             |
| 2.                 | Redevelopment of Tana Hydro Power Station Project<br>UN Project ID: 5023 | 01/01/2013 - 30/09/2018   | 56,309                              |
|                    |                                                                          | 01/10/2018 - 31/12/2020   | 23,673                              |
| 3.                 | Optimisation of Kiambere Hydro                                           | 01/11/2012 - 30/06/2013   | 36,110                              |
|                    |                                                                          | 01/07/2013 - 30/09/2018   | 120,697                             |
|                    |                                                                          | 01/10/2018 - 31/12/2020   | 27,775                              |
| 4.                 | Olkaria IV Geothermal Project<br>UN Project ID: 8646                     | 01/09/2014 - 31/12/2018   | 1,985,297                           |
|                    |                                                                          | 01/01/2019 - 31/12/2020   | 840,985                             |
| 5.                 | Olkaria I Units 4&5 Geothermal Project<br>UN Project ID: 8643            | 01/01/2015 - 31/12/2018   | 1,999,705                           |
|                    |                                                                          | 01/01/2019 - 31/12/2020   | 853,361                             |
| 6.                 | 5.1MW Ngong Wind<br>UN Project ID: 9960                                  | 01/07/2014 - 30/09/2018   | 23,391                              |
|                    |                                                                          | 01/10/2018 - 31/12/2020   | 12,575                              |
| Total CERs (tCO2e) |                                                                          |                           | 6,384,398                           |

## Shaping a Sustainable Future



*KenGen Managing Director and CEO, Eng. Peter Njenga, presents tree seedlings to a staff member as part of the company's environmental conservation initiative. The gesture underscores KenGen's commitment to sustainability and reforestation efforts aimed at promoting a greener future and combating the effects of climate change across the country*

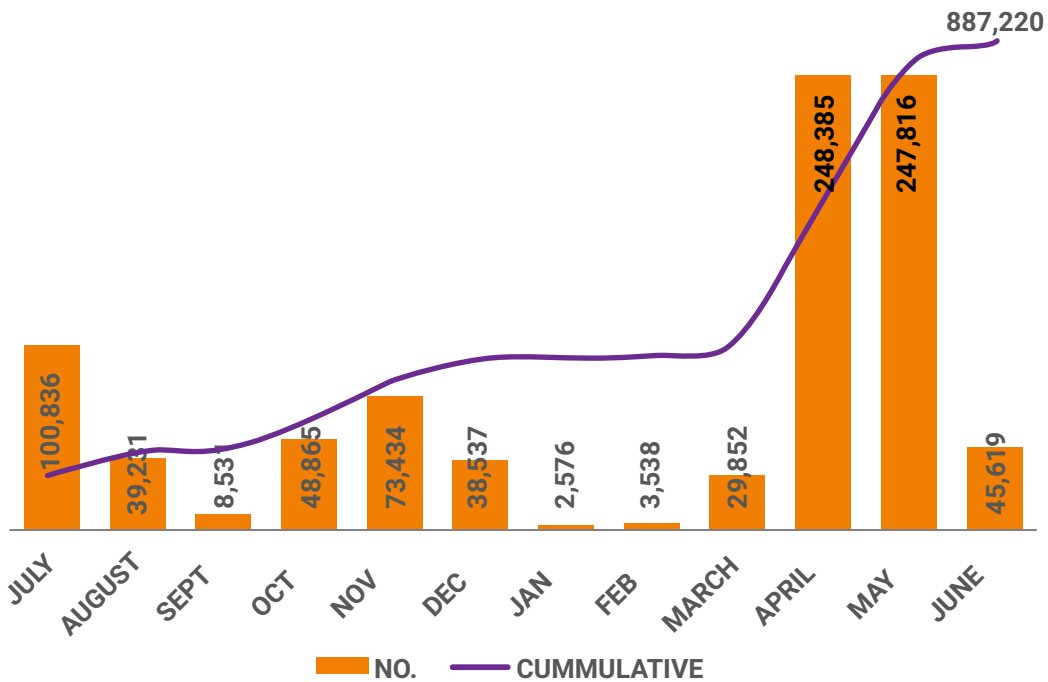
# 887,220

The Company planted a total of 887,220 tree seedlings against an annual target of 830,000 seedlings.

During the year, the Company planted a total of 887,220 tree seedlings against an annual target of 830,000 seedlings, reaffirming KenGen's commitment and contribution to the national climate action and environmental restoration Presidential Initiative of planting 15 billion trees in 10 years.

## Shaping a Sustainable Future

### 2024/25 Monthly Progress - Number of Trees Planted



### Other Notable Environmental Conservation Efforts Included: -

- a. **Kenya Energy Sector Environment and social Responsibility Program (KEEP)** - Identification of 20km riparian restoration sites in South Mathioya River and adoption and restoration of 250ha in Aberdare Ranges and 100ha in Londiani Forest.
- **Kereita Forest challenge** - an initiative spearheaded by East Africa Wildlife Society, Kijabe Environment Volunteers and the Kenya Forest Service for the restoration of critical water towers. KenGen supported the challenge through contribution of 10,000 indigenous seedlings.
- **Partnership with member sports clubs in climate Action** - We have encouraged our staff to embrace climate action at the various members clubs spread over the republic that have seen cumulatively 10,000 tree seedlings grown in the following sports clubs.
- **Commemoration of international environmental days:** - KenGen participated in the world environment, and world desertification and drought day through various tree growing activities across the country.

# Shaping a Sustainable Future

## Environmental Conservation



### Co-existing with the wildlife

The Olkaria geothermal resource is located within the Hells Gate National Park. The Olkaria geothermal development project has thus coexisted with the wildlife within Hells Gate National Park since the 1950s. Our geothermal operations in this protected area demonstrate the potential for progress without compromise. This coexistence of clean energy production and natural conservation provides a blueprint for sustainable development, offering hope and inspiration in our global quest for eco-friendly energy solutions.



### Rehabilitation of disturbed sites

KenGen recognises that geothermal development in sensitive ecosystems can disturb land surfaces and habitats. To restore and protect these areas, we operate an ecosystem restoration program that focuses on revegetation, landscaping, and invasive species control. In Eburru Forest, over 12,000 indigenous seedlings have been planted across more than 8 hectares, with ongoing maintenance to ensure survival. These initiatives enhance biodiversity, stabilise soils, improve air and water quality, and combat deforestation. We also engage schools by providing seedlings and guiding students in tree planting, fostering the next generation of environmental stewards.



*KenGen staff participate in a tree planting exercise as part of the company's ongoing environmental conservation initiatives. The activity reflects KenGen's dedication to sustainability, climate action, and ecosystem restoration, reinforcing its role in supporting Kenya's reforestation goals and contributing to a cleaner, greener, and more resilient environment.*



# Shaping a Sustainable Future



## KENGEN-KWS COOPERATION

KenGen has an MOU with KWS that establishes corroborative partnerships for regulated access to Geothermal resources within the Hell's Gate National Park. Implementation of the MoU entails undertaking joint park management activities such as: Baseline environmental assessment, Waterfowl counts, Mammals census, invasive species mapping and Ecosystem Management Plan Implementation & Review.



**Implementation of the MoU entails undertaking joint park management activities**

| No. | INDEX ACTIVITY                                   | STATUS                                                   |
|-----|--------------------------------------------------|----------------------------------------------------------|
| 1.  | Baseline environmental assessments               | All the sites requested have already been finalized      |
| 2.  | Joint cadastral survey for the new project sites | Finalized and handed over                                |
| 3.  | Participation in project CIT                     | The ongoing Olkaria I Rehab                              |
| 4.  | Celebration of World Wildlife Day                | Participated in and supported the park clean-up exercise |

## Social Impact & Community Engagement



The KenGen Foundation serves as the dedicated corporate social investment arm of KenGen, mandated to drive the Company's commitment to shared value creation and sustainable development beyond power generation. By integrating education, environmental stewardship, and community empowerment and livelihood, we are not only restoring ecosystems but also strengthening the social fabric and energy security of Kenya.



Guided by our purpose of transforming lives through clean energy, the Foundation channels resources and partnerships into initiatives that directly uplift communities, protect the environment, and align with Kenya's national priorities and the United Nations Sustainable Development Goals (SDGs).

During the year, the Foundation implemented high-impact programmes across three strategic pillars, delivering scholarships and mentorship opportunities for students, advancing conservation and catchment protection initiatives, and supporting skills development and livelihood enhancement projects that empowered communities and strengthened resilience.

# Shaping a Sustainable Future

## Environmental Conservation

### ENGAGING WITH OUR COMMUNITIES



**The Company recognizes that its success is deeply intertwined with the well-being of the communities surrounding its operations.**

**KenGen continues to demonstrate its unwavering commitment to inclusive and sustainable development through its community engagement strategy. To this end, the following gains were realized in the year under review.**

- To promote sports and cultural integration and strengthen community relations and youth engagement, KenGen organized friendly matches in Sondu, featuring football teams such as Gogo FC, Nyandolo FC, Basecamp FC, and Sango Youth FC, with Sango Youth FC

emerging as the winner.

- There was continuous engagement between the West Pokot and Turkana leaders, focusing on improving water access for local communities and fostering peaceful coexistence.
- Hosted leaders from Tana River County for a tour of Seven Forks cascade.
- The MD & CEO commissioned Olasiti School Administration block and Olosho Oibor School Library building in Ngong.
- Donation of wheelchairs to Disability Resources & Information Centre in Naivasha during International Disability Day.
- Consultative engagements with the community, clan leadership and local leaders for the upcoming Marsabit Wind Power Project (MWPP) to discuss progress and disseminate the preliminary ESIA findings.

### TRANSFORMING LIVES



Through our operations, local communities have benefited from improved infrastructure, increased employment opportunities, and potential for direct-use applications such as heating, agriculture, and tourism. By investing in our projects, we stimulate local economies, attract investments, and create a vibrant ecosystem of suppliers, contractors, and service providers.

#### Fuelling Knowledge



Our CSR initiatives are designed to create lasting impact by addressing critical needs in education, healthcare, and community development. We have built schools, supported hospitals, provided water and transport infrastructure, and facilitated the delivery of national exams. In year, KenGen awarded six full scholarships to university and college students while also supporting

literacy and skills development for local youth. Additionally, we have implemented capacity-building programs in environmental management and public health, fostering stronger, healthier, and more resilient communities.

#### Road Repairs and provision of water to local communities



KenGen supports local development by investing in road maintenance and water supply initiatives. By repairing and upgrading murram and earth roads, we improve access to markets, schools, and healthcare, enhancing mobility and safety for communities. Through our water projects, we enhance access to clean water by constructing pipelines to connect the underserved areas, in turn improving sanitation, reducing the incidences of waterborne diseases, and raising the communities' quality of life.

## Shaping a Sustainable Future



Geothermal Training Centre



*Geothermal Training Centre located at Olkaria, a premier regional institution established by KenGen to build capacity in geothermal energy development. The centre offers specialized training, research, and knowledge exchange, empowering professionals with technical expertise to advance sustainable energy solutions and support the growth of geothermal power across Africa.*

| FOCUS AREAS                                                                                                                                                                                                          | ACTIVITIES AND IMPACTS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Inclusive Education:</b><br/>Scholarships and mentorship to close education gaps and develop a future-ready workforce.</p>  | <p><b>Education Scholarship and Mentorship</b></p> <ul style="list-style-type: none"> <li>Awarded new scholarships to 24 high school and 15 university students increasing the total KenGen scholarship beneficiaries to 126 in high school and 111 university.</li> <li>Out of the cohort of 2021 high school scholarship beneficiaries, 79% successfully transitioned to university.</li> <li>Mentored 50 university students to enhance their leadership competencies and employability.</li> <li>79% of sponsored high school beneficiaries successfully transitioned to university, well above national averages.</li> <li>Disbursed over KShs. 17 million towards scholarships and stipends to students</li> </ul> |

# Shaping a Sustainable Future

## Environmental Conservation

| FOCUS AREAS                                                                                                                                                                                                                        | ACTIVITIES AND IMPACTS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Environment:</b><br>Ecosystem restoration, ecological monitoring, and carbon offset projects rooted in community participation.<br>            | <b>Schools' Green Initiative Challenge:</b> <ul style="list-style-type: none"> <li>Invested KShs. 13 million in Phase IX of the program planting 30,000 trees across 100 schools in Kitui, Machakos and Embu counties, restoring 20.3 hectares of land.</li> <li>Trained 200 teachers on environmental sustainability skills for knowledge transfer to their learners, raising the cumulative total to 1,400 teachers equipped with curriculum-integrated sustainability skills.</li> </ul><br><b>Enoosupukia Adopt-a-Forest Project</b> <ul style="list-style-type: none"> <li>Growing 12,855 trees across 10 hectares towards securing water catchment resources vital for sustainable energy production and community livelihoods.</li> </ul><br><b>Ndula Re-afforestation Project</b> <ul style="list-style-type: none"> <li>Successfully planted 1,800 trees covering 2.3 hectares and contributing to the regeneration of degraded land.</li> </ul> |
| <b>Community Empowerment &amp; Livelihoods:</b><br>Localized innovation that generate social and economic value that transform communities.<br> | <b>Community Benefits:</b> <ul style="list-style-type: none"> <li>Distributed of water tanks to 6 schools in Kitui, Machakos and Embu counties to boost access to the school and community</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |



Our interventions are designed not only to deliver measurable impact but also to foster systemic resilience across ecosystems and communities. By embedding sustainability into the core of our operational ethos, we continue to create shared value, advancing climate adaptation, socio-economic equity, and human capital development.



# Shaping a Sustainable Future

## SOCIAL SAFEGUARDS



KenGen's projects are socially responsible, inclusive, and sustainable; those projects are undertaken in strict compliance to social laws, regulations and standards. During the year, the Company undertook several activities to manage social risks, enhance stakeholder engagement, and strengthen KenGen's social license to operate:

| No. | ACTIVITIES                                                                                                                                           | ACHIEVEMENTS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-----|------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.  | <b>Social Risk and Impact Assessments and Management</b>           | <ul style="list-style-type: none"> <li>Integrated social risk management into project planning in compliance with NEMA and international safeguard standards for Olkaria I Rehabilitation, Marsabit Wind Power, Raising Masinga, and Nabuyole Falls projects.</li> <li>Conducted social baseline studies and stakeholder mappings for proposed for Marsabit Wind Power, and Raising Masinga Dam projects</li> </ul>                                                                                                                                                                                                                                                  |
| 2.  | <b>Land Acquisition, Resettlement and Livelihood Restoration</b>  | <ul style="list-style-type: none"> <li>Developed and implemented Resettlement Action Plans (RAP) for Gogo HPP Redevelopment and Power Evacuation Line.</li> <li>Developed a Resettlement Policy Framework (RPF) for Raising of Masinga Dam</li> <li>Developed a Resettlement and Compensation Policy Framework (RCPF) for the Company</li> <li>Sensitization of Project-Affected Persons (PAPs) on prudent use of compensation money conducted for the Gogo HPP redevelopment site</li> <li>Continued implementation of the Olkaria IV Resettlement Action Plan (RAP), which included construction of cattle dip and paying school fees for six students.</li> </ul> |
| 3.  | <b>Stakeholder Engagement and Community Participation</b>         | <ul style="list-style-type: none"> <li>Held stakeholder and community consultation forums with participation from men, women, youth and persons with disability for Marsabit Wind, Raising Masinga Dam and Gogo Hydro Power Projects</li> <li>Strengthened Free, Prior and Informed Consent (FPIC) processes for Indigenous Peoples for the proposed Marsabit Wind Power Project.</li> <li>Produced project information disclosure materials for Marsabit Wind Power Project</li> </ul>                                                                                                                                                                              |
| 4.  | <b>Grievance Redress Mechanism (GRM)</b>                          | <ul style="list-style-type: none"> <li>Coordinated the formation of a resettlement grievance redress committee for Gogo Hydro Power Project</li> <li>Worked with communities to address grievances across project construction sites for Olkaria I Rehabilitation, Gogo Hydro Power Plant, and Olkaria VII.</li> </ul>                                                                                                                                                                                                                                                                                                                                               |

# Shaping a Sustainable Future

## Environmental Conservation



### Sustainable Supply Chain Management

At KenGen, Supply Chain Management is a critical enabler of our sustainability agenda and essential to delivering clean, reliable, and affordable energy. Our procurement practices are anchored in fairness, transparency, and responsible sourcing, ensuring that all goods, works, and services contribute to long-term value creation while minimizing environmental and social impact. By aligning with regulatory requirements and our organizational values, we support timely project delivery, uninterrupted operations, and lasting stakeholder value.

Our supply chain strategy is focused on future growth through process optimization and revenue enhancement. We have implemented procurement frameworks based on parts criticality to streamline spare parts sourcing and reduce lead times, particularly with Original Equipment Manufacturers (OEMs). This ensures higher plant availability and improves operational efficiency, directly supporting revenue performance and energy reliability. To strengthen resilience and adaptability, we are building strong supplier partnerships, adopting digital procurement tools, and applying robust risk management frameworks. Key initiatives include optimizing fuel supply contracts, reviewing budgeting and rationalization methodologies, and developing structured processes for managing critical spares. Through targeted sourcing strategies and proactive supplier engagement, we aim to minimize disruptions and secure long-term operational reliability.

#### Sustainable Procurement Practices

**Value for Money:** to ensure every shilling spent generated maximum value for the organization and our stakeholders, we ensured competitive sourcing focusing on cost-effectiveness (life-cycle costing), quality, efficiency and sustainability.

**Compliance:** as a responsible corporate citizen we aligned our procurement processes with the existing laws and regulations, in addition to public sector best practice with documentation and traceability. **Fair Value for Goods & Services:** to source our goods, works and services that reflect true value

and worth, we engaged our suppliers on fair and open processes on pricing that reflected market conditions, delivering value for both our organization and business partners.

**Consumer protection:** to protect our users especially on safety related goods, works and services, our procurement decisions factored in safety, quality standards, and ethical considerations. This safeguarded our end users from substandard and unsafe products.

#### Supplier Development and Capacity Building

**Equity & fairness:** in line with Government Executive Order No.2 of 2018 on enhancing and promoting their participation, we provided equal opportunity to our suppliers through regular engagement rooted on fairness and inclusivity. During the year, opportunities were extended equitably, with deliberate efforts to eliminate bias, promote transparency, and ensure equal access for all qualified vendors:

- i. This was through standardized specifications, objective technical/financial criteria and debriefs for bidders.
- ii. Dedicated AGPO reservations and “local-local” outreach kept opportunities accessible to MSMEs across counties.

**Local Empowerment:** to encourage local participation, we sourced goods, works and services from local suppliers within our ecosystems and organized capacity building clinics for the AGPO groups and ‘local local’ supplier for firms to compete and grow within. During the year, capacity building was done for the AGPO groups in February 2025 to enhance their awareness and participation in available business opportunities.

**Economic Empowerment:** as a key economic driver by extending business opportunities to our suppliers, KenGen spurs economic empowerment resulting in ripple effect on Kenya’s economy. During the year, we engaged contractors and suppliers in different operational areas who have provided jobs and spurred entrepreneurship.

# Shaping a Sustainable Future

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The Company has in place a Disposal Policy that governs the management and disposal of assets that are obsolete, redundant, unserviceable, or no longer economically viable.



**KenGen is a participant member to United Nations Global Compact (UNGC) since May 2019, which is a platform to enhance the Company's sustainability efforts and up-scaling of its impacts across the globe.**

## PRODUCTIVITY

### Disposal Management

The Company has in place a Disposal Policy that governs the management and disposal of assets that are obsolete, redundant, unserviceable, or no longer economically viable. The disposal process is carried out in compliance with the requirements of the Public Procurement and Asset Disposal Act, 2015, and internal policies to ensure transparency, accountability, and value for money.

During the year, the Company identified certain assets that had reached the end of their useful economic lives or had become technologically obsolete. These assets were subjected to a formal disposal process, including technical evaluations and approvals, followed by disposal through public tender or other approved methods in line with regulatory guidelines.

### Championing Global Green Energy Conversations

**KenGen Membership to the UN Global Compact**  
KenGen is a participant member to United Nations

Global Compact (UNGC) since May 2019, which is a platform to enhance the Company's sustainability efforts and up-scaling of its impacts across the globe. By joining UNGC, the Company has committed to supporting the ten principles of UNGC on Human Rights, Labor, Environment and Anti-corruption and to further UN Sustainable Development Goals (SDGs). To ensure continued membership, KenGen has renewed its membership certificate with UNGC, and:

- i) Submits Communication on Progress (COP) report that discloses the Company's sustainability actions annually, with the latest report having been submitted in June 2025.
  - ii) Participation in UNGC Sustainability Working Groups /Activities, and awareness forums During the year the company participated in the following activities organized by the UNGC-K
- 1. 2025 Target Gender Equality Accelerator & Climate Ambition**

# Our Approach to Sustainability

## Environmental Conservation

2. Roundtable workshop on ESG challenges and opportunities for Kenyan businesses
3. Webinars on fighting corruption in the supply chain and managing value chains; workplace disability inclusion; promoting gender equality; and gender issues in the supply chain
4. Ring the Bell for Gender Equality, a session organized by the UNGC and other partners to mark International Women's Day (IWD) 2025

this end, KenGen continues to nurture constructive and cordial relations with the Kenya Electrical Trade & Allied Workers Union (KETAWU), ensuring mutual trust, industrial peace, and uninterrupted business operations. Demonstrating this commitment, the company successfully implemented the last negotiated Collective Bargaining Agreement (CBA) for the 2020–2024 period, covering all 742 unionisable employees.

KenGen also acknowledges that listening to employees and acting on their feedback fosters not only a sense of belonging but also improved performance and organizational culture. To strengthen this inclusive approach, the company has established structured platforms—**Pink Energy, Blue Energy, and Y-Gen**—each designed to address the unique needs and aspirations of different employee groups. These platforms provide safe spaces for dialogue, mentorship, personal development, and empowerment, thereby enriching the workforce experience and reinforcing KenGen's commitment to people-centered growth.

## People & Culture

### Employee engagement and Recognition

KenGen places its employees at the core of its operations, recognizing that their active participation is essential to shaping the company's growth and sustainability. By providing avenues for meaningful engagement, the company not only enhances the overall employee experience but also drives continuous improvement in business practices.

In line with this commitment, KenGen upholds and enforces employee rights as provided under the Employment Act, 2007, together with its subsequent amendments, which outline key provisions governing general employment practices. The company further prioritizes maintaining a strong and harmonious industrial relations framework. To

### Pink Energy

The Pink Energy Forum, established for female employees, is committed to advancing personal development, empowerment, and gender awareness while fostering a supportive and inclusive workplace culture.



*KenGen staff team proudly receiving the Best Women Empowerment Corporate Initiative Award for the KenGen Pink Energy Initiative — a program dedicated to empowering women, fostering inclusion, and driving positive change across the energy sector*



*KenGen staff members proudly took top honors at the AA Kenya Awards, showcasing our strong commitment to road safety excellence*



# Our Approach to Sustainability

## People & Culture



*KenGen Pink Energy leadership team during the annual International Women's Day celebration, championing gender equality and women's empowerment*

### Blue Energy

Blue Energy, a forum dedicated to male employees, focuses on personal development, empowerment, and fostering a supportive environment where men can openly share their challenges and achievements. The forum encourages meaningful conversations and deep exchanges among male staff.



*KenGen Blue Energy members attend an event in Nairobi, promoting teamwork, innovation, and sustainability within the organisation*

# Our Approach to Sustainability

## People & Culture



### Y-Gen

The Y-Gen Forum serves as a platform for young employees across all genders, focusing on both professional and personal development. The initiative seeks to empower young professionals from diverse fields within a sector that carries the global mandate of delivering a sustainable future. The Forum is anchored on two guiding objectives: fostering strategic alignment with both corporate and sectoral strategies and promoting partnerships that extend impact beyond KenGen.

| EVENTS                                                                                        |
|-----------------------------------------------------------------------------------------------|
| International Women's Day Celebration at Safari Park Hotel                                    |
| Pink Energy virtual session of Awareness on Gender Based Violence                             |
| Leadership Summit for 10 Pink Energy, 10 Y-Gen & 10 Blue Energy members at Movenpick Hotel    |
| Personal Branding Virtual Session                                                             |
| International Women's Day Conference 2025                                                     |
| Participation at the 2nd Conference for Women in Energy Network – Africa, in Lusaka           |
| Facilitated a virtual awareness session and training of 20 NurtureHER mentors at Semara Hotel |
| Facilitated Project Based Gender Sensitivity Awareness (virtual)                              |
| Blue Power Event on 'Modern Issues Men are Facing' at Tamarind Tree Hotel                     |

KenGen views its employees as the foundation of its success and invested in multiple engagements to build accountability, alignment, and morale. During the year, the Company: -

- Launched the "I Will Not Drop the Ball" campaign, a cultural transformation initiative that emphasizes accountability, teamwork, and dependability among employees. The campaign aligns with the corporate theme "Jenga KenGen, Inua Mapato".
- Held the annual State of KenGen Address by the Managing Director and CEO, where he provided employees with a comprehensive update on company's performance, strategic priorities, and market outlook.
- Held regional Managing Director and CEO townhalls across KenGen's operation areas where employees were accorded an opportunity to directly engage with leadership, raise concerns, and propose solutions.

# Our Approach to Sustainability

## People & Culture

### Talent Development & Succession Planning



KenGen's Talent Management Strategy positions the organization as a competitive employer in the energy sector, while fostering a culture of excellence, innovation, and sustainability. The Company has adopted a forward-looking Talent Management Strategy designed to attract, develop, retain, and engage a high-performing workforce aligned with its strategic objectives and sustainability goals. Workforce planning is driven by current and future business needs, especially in geothermal, hydro, wind, and solar energy projects. Talent acquisition at KenGen emphasizes merit-based recruitment, diversity, and inclusion. The Company continues to partner with universities and technical institutions to build a pipeline of young professionals, especially in STEM fields, and use of digital platforms and employer branding to attract top talent.



### Succession Planning

In KenGen, we believe succession planning is beyond replacement of exiting employees. As a tech-heavy and specialized engineering organization, we ensure there is no skills/competence vacuum for identified critical roles.

KenGen's succession management framework is designed to ensure leadership continuity and organizational resilience by proactively identifying and developing future leaders within the company. This is done to maintain seamless transitions in key roles and drive KenGen's clean energy and sustainability goals.

The key features of the succession management framework include:

- structured identification of critical roles
- identification and profiling of high-potential employees,
- targeted development of the candidates, including coaching and exposure to strategic projects
- regular evaluations to ensure readiness and track progress toward succession goals.



## Powering the Future Through People

### ***Advancing Future-Ready Skills through the KenGen HR Strategy – "Potential to Talent (P2T)"***

At KenGen, our employees are the engine of our success. We remain committed to preparing our people for the challenges and opportunities ahead, ensuring they are future-ready and aligned with the Company's strategic ambitions.

In 2024/25, our capacity-building agenda was guided by the Learning Needs Analysis (LNA), which identified the top 35 priority skills required to achieve KenGen's strategic goals. Among these, Root Cause Analysis (RCA), Lean Production Management, Data Analytics,

and Artificial Intelligence (AI) emerged as critical focus areas, underscoring the growing importance of operational excellence, process efficiency, and digital transformation in our operations.

During the year, 1,744 employees benefited from diverse learning interventions including continuous professional development and statutory trainings, amounting to 95,156 training hours. This translated into an average of 54.5 training hours per employee, reflecting our deliberate and sustained investment in building people capabilities to meet both current and future needs.

# Our Approach to Sustainability

## People & Culture

### Powering the Future Through People (cont'd)

To broaden access to world-class learning resources, we expanded the use of LinkedIn Learning for employees. The emphasis was on structured learning paths aligned to ten priority skills across professional domains, providing sequenced, career-relevant opportunities. This approach empowered employees to take greater ownership of their professional development while ensuring alignment with organizational priorities.

#### Leadership Development, Mentorship and Coaching

Leadership development, mentorship, and coaching remained central to our people agenda. We continued to partner with the Kenya School of Government, our focal institution for leadership development programs. During the year, 305 supervisors completed training in supervisory skills. Over the last three years, 29 managers undertook the Strategic Leadership Development Program (SLDP), while 110 assistant managers graduated from the Senior Management Course.

The e-Mentoring program, which transitioned from a pilot to a fully scaled initiative, was successfully

integrated into our succession planning framework, strengthening knowledge transfer through the Pass the Baton approach. Complementing this, the NurtureHer mentorship program focused on empowering young women employees, equipping them with the skills, confidence, and networks needed to excel in their current roles and prepare for future leadership opportunities.

Through these deliberate interventions, KenGen continues to invest in its people — equipping them with future-ready skills, fostering innovation, and building a strong leadership pipeline to drive the Company's growth and sustainability agenda well into the future.

#### Diversity, Equity & Inclusion

KenGen is committed to building a more inclusive and equitable work environment, through targeted programs and strategic partnerships that empower marginalized groups, promote gender equity, and align with national development goals. The Company supports Government requirement for employment of at least 30% gender representation and 5% for persons with disabilities. To realize this, women, persons with disabilities and those from marginalized communities are encouraged to apply for advertised vacancies.

Detailed Job descriptions are posted on our website.

Interested candidates should submit their online applications through our career portal on the KenGen website at <https://careers.kengen.co.ke/> by close of business on **12<sup>th</sup> November 2024**

Canvassing and falsifying or misinterpretation of qualifications will lead to automatic disqualification. Only shortlisted candidates will be contacted.

***KenGen is an equal opportunity Employer. Women, PWDs and people from marginalized areas are encouraged to apply.***





# Our Approach to Sustainability

## People & Culture

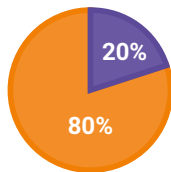


As part of the Gender and disability mainstreaming, the Company has established a GDMC to champion initiatives that improve the work environment to meet the unique needs of for all employees. The company has set up lactation rooms for nursing employees across the business, implemented structural designs to enhance accessibility for persons with disabilities, accessible website, sign language interpretation during corporate events, and embossed the service charter in braille.

### Employee demographics by the end of the year

#### AGE COMPOSITION

■ Youth ■ Others



#### Employees with Disability

As at 30th June 2025, the Company had 49 employees with disabilities, representing 2% of the total workforce. This demonstrates the Company's commitment to promoting diversity, equity, and inclusion within its human capital. The Company continues to foster an inclusive workplace environment that provides equal opportunities, supports accessibility, and encourages the professional growth and contribution of employees with disabilities.

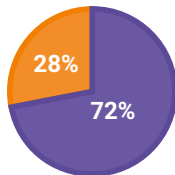
#### Employee Wellness

KenGen's employee wellness initiatives demonstrate a strong commitment to fostering a healthy, motivated, and resilient workforce, one that is well-equipped to drive Kenya's clean energy future. Throughout the year, the Company implemented several impactful wellness activities focused on physical, mental, and social well-being. Notable initiatives included:

- **Health Awareness and Prevention** - commemorated World AIDS Day and conducted an awareness on Employee Assistance Programs (EAP), covering HIV/AIDS, alcohol and drug abuse, and chronic and critical illness, including implementation of Maisha II Certification for standardisation of HIV/AIDS program standards.
- **Capacity Building and Training** - held peer educator meetings across all business areas to strengthen peer-led wellness and advocacy programs, including participation in Infection Prevention and Control Training.
- **Psychosocial Support and Rehabilitation** - offered counselling services and facilitated the rehabilitation of employees to support mental and emotional well-being.
- **Gender-Based Violence (GBV) Awareness** – undertook the 16 Days of Activism Against GBV campaign and held an awareness session on Gender-Based Violence Prevention and Response at the Workplace in December 2024.

#### GENDER COMPOSITION

■ Male ■ Female



#### Building a Performance & Innovation Culture (Productivity)

Productivity is a major determinant of competitiveness as it is capable of driving high and sustained economic growth, and the transformation envisaged in the Kenya Constitution 2010, Kenya Vision 2030 and The KenGen G2G 2034 Strategy. The main purpose is to enhance efficiency and effectiveness in utilization of all resources in order to deliver value for all stakeholders.

As guided by the main stakeholders of the process namely National Productivity and Competitiveness Centre and the Salaries and Remuneration Commission, we have developed productivity indicators and metrics to channel this journey and onboard productivity gain sharing.

05

## OUR FINANCIALS

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# Financial Review

For the year ended 30 June 2025



The Company delivered a resilient performance for the year ended 30 June 2025, supported by a diversified generation mix, the recommissioning of the Muhoroni Power Plant in October 2024, and favourable hydrology.



## 8,482MW

Overall, unit sales increased by 1% from 8,383 GWh in 2024 to 8,482 GWh for the period ended 30 June 2025.

The Company delivered a resilient performance for the year ended 30 June 2025, supported by a diversified generation mix, the recommissioning of the Muhoroni Power Plant in October 2024, and favourable hydrology. While lower geothermal output slowed growth in unit sales, higher thermal and hydro generation cushioned the impact. Strong cost control, disciplined capital management, and revenue diversification reinforced profitability and operational stability.

Overall, unit sales increased by 1% from 8,383 GWh in 2024 to 8,482 GWh for the period ended 30 June 2025. Through government intervention, KenGen received formal communication from the Energy and Petroleum Regulatory Authority (EPRA) supporting the immediate resumption of operations at Muhoroni as an interim measure for grid stability. This resulted in the parties negotiating and drafting a new Power Purchase Agreement (PPA) covering renewed operations at Muhoroni. The plant started operations on 30 October 2024 which impacted thermal generation positively. Further, favourable hydrology contributed positively to the increase of 3.4% in hydro generation. The generation mix per energy source is summarized below.

### Electricity Unit Sales (GWh)

| Source     | 2025  | 2024  | Change |
|------------|-------|-------|--------|
| Hydro      | 3,448 | 3,335 | 3%     |
| Geothermal | 4,509 | 4,633 | (3%)   |
| Thermal    | 476   | 365   | 30%    |
| Wind       | 49    | 50    | (2%)   |
| Total      | 8,482 | 8,383 | 1%     |

**Through government intervention, KenGen received formal communication from the Energy and Petroleum Regulatory Authority (EPRA) supporting the immediate resumption of operations at Muhoroni as an interim measure for grid stability.**

### Revenue

The Company demonstrated strong resilience by maintaining overall revenue levels, despite scheduled maintenance activities at the power plants, which lowered availability and saw total revenue decline slightly from Shs 56,297 million in the previous year to Shs 56,098 million in 2025. This was mainly due to decreases in electricity and steam revenues, which fell by 2.0% and 17.9% respectively.

# Financial Review

For the year ended 30 June 2025

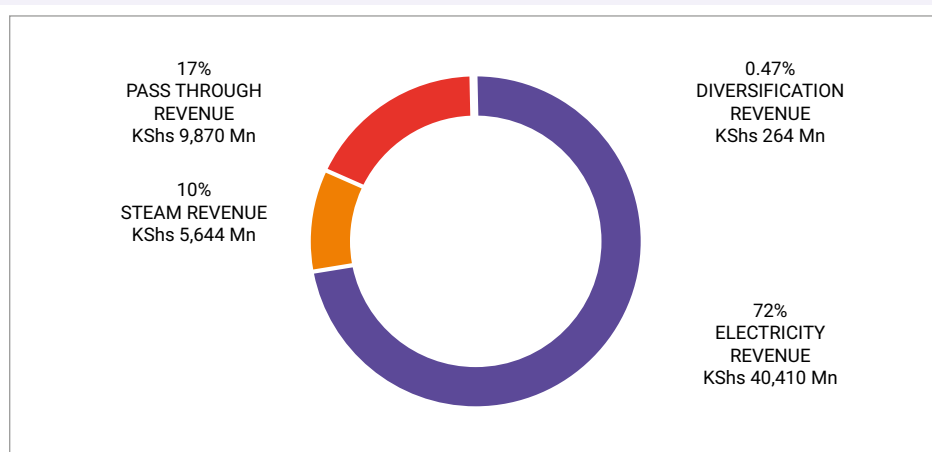


Revenue from diversification sources also grew significantly by 235.4%, mainly due to the completion of consultancy work in Eswatini during the year under review.

Shs  
**1,453M**

The Company reported a gain of Shs 1,453 million in the current year, compared to a loss of Shs 722 million in the previous period.

## Revenue (continued)



The drop in electricity revenue was largely a result of reduced geothermal generation caused by lower dispatch, which impacted overall performance. On the other hand, fuel revenue from thermal operations rose by 21.3%, driven by increased dispatch from Kipevu III Power Plant and the resumption of generation at the Muhoroni Power Plant in October 2024. Revenue from diversification sources also grew significantly by 235.4%, mainly due to the completion of consultancy work in Eswatini during the year under review.

## Other income and gains/(losses)

Other income decreased by 34.4%, falling from Shs 1,297 million in the previous year to Shs 851 million in the current year. This decline is mainly due to the one-off insurance compensation of Shs 739 million for Olkaria II Unit 3 received in the prior year.

Other gains/(losses) arose from foreign exchange revaluations and fair value adjustments of financial assets. The Company reported a gain of Shs 1,453 million in the current year, compared to a loss of Shs 722 million in the previous period. This was mainly attributable to favourable foreign exchange revaluations and fair value adjustments on financial assets and foreign denominated transactions.

## Reimbursable expenses

Reimbursable expenses, which relate to the cost of fuel and water used in electricity generation, increased by 20.5% from Shs 8,003 million to Shs 9,647 million. This rise is mainly due to higher dispatch from thermal power plants and improved hydrology compared to the previous period.

## Expenses

Depreciation and amortization expenses declined by 7.8%, dropping from Shs 15,708 million to Shs 14,485 million, primarily due to optimized depreciation charges through changes in depreciation policy which introduced 10% residual value for buildings, transmission line and plant & Equipment classes of assets.



# Financial Review

For the year ended 30 June 2025



**36.3%**

Plant operation and maintenance (O&M) expenses dropped by 36.3%, from Shs 3,668 million to Shs 2,337 million.



**41.3%**

The profit before tax rose by 41.3%, increasing from Shs 10,947 million in 2024 to Shs 15,473 million in 2025.

Employee expenses also fell by 11.2%, from Shs 10,376 million to Shs 9,210 million, largely as a result of cost optimization initiatives and a reduction in the financing of the actuarial valuation deficit during the period.

Steam costs, incurred for steam supplied from third-party geothermal wells for power generation, decreased by 20.4% from Shs 4,394 million to Shs 3,496 million. This was due to lower dispatch from wells for Olkaria I AU, Olkaria IV, and Wellhead plants.

Plant operation and maintenance (O&M) expenses dropped by 36.3%, from Shs 3,668 million to Shs 2,337 million, mainly reflecting operational efficiencies and cost optimization initiatives. Further, the prior year's costs included rig equipment demobilization expenses from Ethiopian contract.

Other expenses decreased by 15.5%, from Shs 5,740 million to Shs 4,847 million, largely due to lower costs for insurance, transport, office operations, and provisions for impairment of assets.

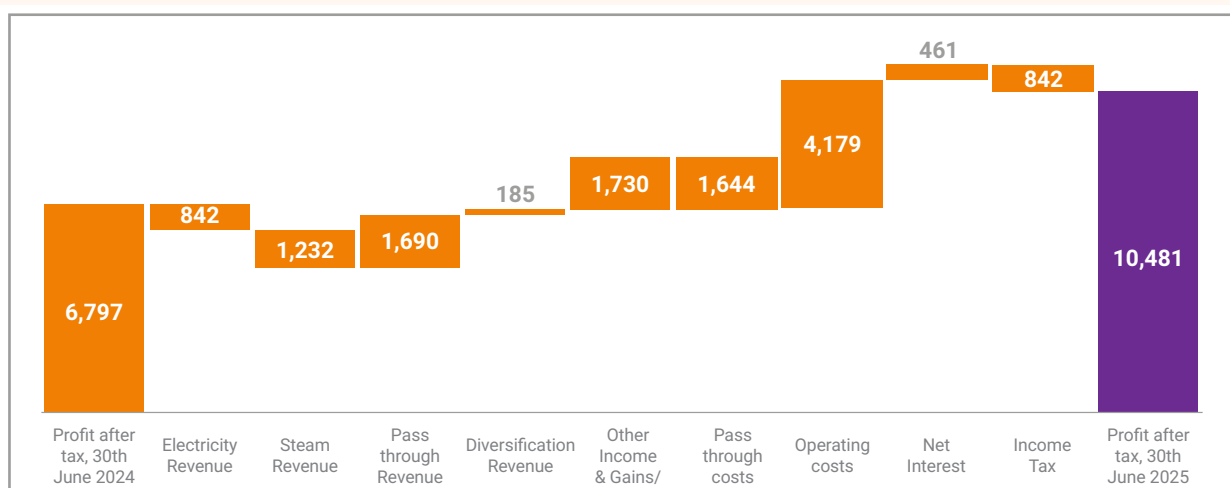
## Finance income/ expense

Finance income decreased by 2.2% from Shs 4,202 million in 2024 to Shs 4,110 million in 2025 mainly attributable to reduction of interest rates in the period under review.

Finance costs decreased by 19.7% from Shs 2,806 million in the previous year to Shs 2,253 million, mainly attributable to reduction in loan balances due to repayment.

## Results

The profit before tax rose by 41.3%, increasing from Shs 10,947 million in 2024 to Shs 15,473 million in 2025. Similarly, profit after tax grew by 54.2%, rising from Shs 6,797 million in 2024 to Shs 10,481 million in 2025. Further, other comprehensive income increased significantly from a loss of Shs 906 million in 2024 to a gain of Shs 247 million in 2025 attributable to a reduction in re-measurement loss of defined benefit during the period.



# Financial Review

For the year ended 30 June 2025



## 246M

Trade and other payables decreased by Shs 246 million from Shs 8,579 million at the end of 2024



The Company actively monitors its financial ratios to ensure compliance with lender requirements.

### Non-Current Assets

Non-current assets increased by Shs 8,980 million, from Shs 443,102 million as at 30 June, 2024 to Shs 452,082 million, as at 30 June, 2025 mainly due to net increase in property plant and equipment and increase in fair value measurements of financial assets through profit or loss and restricted cash.

### Trade Receivables

There was minimal change in trade receivables compared to previous period. The amount increased slightly by Shs 17 million from Shs 16,630 million in 2024 to Shs 16,647 million net of expected credit loss (ECL) in 2025 due to billings for Muhoroni Power Station following resumption of operations from October 2024.

### Cash and bank balances

Cash and cash equivalents increased by Shs 4,467 million, rising from Shs 24,850 million as at the end of financial year 2024 to Shs 29,317 million as at the end of financial year 2025. This growth is mainly driven by higher profits for the year, improved collections from The Kenya Power and Lighting Company Plc (KPLC) and prudent cash management. The Company strategically invested available cash balances in call and fixed deposit accounts, optimising returns while maintaining liquidity to support ongoing operations and future investments.

### Borrowings

Borrowings increased slightly by Shs 3,413 million, from Shs 117,784 million at end of 2024 to Shs 121,197 million at the end of 2025, mainly due new disbursements for Olkaria I Rehabilitation and revaluation of foreign currency denominated loans owing to depreciation of the Kenyan Shilling against major currencies (JPY and Euro).

### Trade and other payables

Trade and other payables decreased by Shs 246 million from Shs 8,579 million at the end of 2024 to Shs 8,333 million at the end of 2025 and relates to payments made to contractors as well as release of project retention monies held in respect of defects liability period.

### Effective Financial Structure

A sound and well-balanced capital structure is essential for accessing financing on competitive terms to support the Company's continued investment in renewable energy. The Company actively monitors its financial ratios to ensure compliance with lender requirements. Although specific covenant thresholds vary across the long-term debt portfolio, they generally converge on maintaining the total leverage ratio, debt service coverage ratio, current ratio, and self-financing ratio within acceptable ranges.

| Financial Covenants      | Threshold  | 30th June 2025 | Compliance |
|--------------------------|------------|----------------|------------|
| Leverage Ratio           | <2.3 (70%) | 42%            | ✓          |
| Current Ratio            | >1.2       | 2.62           | ✓          |
| Debt Service Cover Ratio | >1.2       | 4.16           | ✓          |
| Self-Financing Ratio     | >25%       | 77%            | ✓          |

# Report of Directors

For the year ended 30 June 2025

The Directors submit their report together with the audited financial statements of Kenya Electricity Generating Company Plc (the “Company” or “KenGen”) for the year ended 30 June 2025.

## Principal Activities

The principal activity of the Company is the generation and sale of electricity to The Kenya Power and Lighting Company Plc (KPLC), the authorised national distributor. The Company operates a diversified portfolio of power plants using geothermal, hydro, thermal, and wind resources strategically spread across the country, ensuring a stable and reliable supply of electricity to the national grid under long-term Power Purchase Agreements (PPAs).

Beyond generation, the Company continues to invest in expanding capacity to meet the country’s growing energy needs and supports regional projects through consultancy services and partnerships. These additional activities help diversify income streams while reinforcing the Company’s role in promoting sustainable energy and driving Kenya’s socio-economic development.

## Results

The results of the entity for the year ended 30 June 2025 are set out on **page 136 - 137**. Below is summary of the profit or loss and other comprehensive income made during the year.

|                                                   | 2025<br>Shs’000   | 2024<br>Shs’000   |
|---------------------------------------------------|-------------------|-------------------|
| <b>Profit before income tax</b>                   | <b>15,472,953</b> | <b>10,946,865</b> |
| Income tax charge                                 | (4,991,876)       | (4,149,853)       |
| <b>Profit for the year</b>                        | <b>10,481,077</b> | <b>6,797,012</b>  |
| Other comprehensive loss for the year, net of tax | 246,954           | (906,188)         |
| <b>Total comprehensive income for the year</b>    | <b>10,728,031</b> | <b>5,890,824</b>  |

## Recommended dividend

Subject to the approval of the shareholders, the Directors propose payment of a first and final dividend of Shs 0.90 (2024: Shs 0.65) per issued ordinary share.

## Directors

The Directors who held office during the year and to the date of this report are disclosed on **page 14**.

## Disclosures to the auditor

The Directors confirm that with respect to each director at the time of approval of this report:

- There was, as far as each director is aware, no relevant audit information of which the Company’s auditor is unaware;
- Each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the Company’s auditor is aware of that information.

## Terms of appointment of auditors

The Auditor-General is responsible for the statutory audit of the Company’s financial statements in accordance with Section 35 of the Public Audit Act, 2015. Section 23(1) of the Act empowers the Auditor-General to appoint other auditors to carry out the audit on his behalf. Accordingly, Deloitte & Touche LLP were appointed to carry out the audit for the year ended 30 June 2025.

The Directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

## By order of the Board



Company Secretary  
30 October 2025

# Statement of Directors' Responsibilities

For the year ended 30 June 2025

The Kenyan Companies Act, 2015, requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Company as at the end of the financial year and its profit or loss for that year. The Directors are responsible for ensuring that the Company keeps proper accounting records that are sufficient to show and explain the transactions of the Company and disclose with reasonable accuracy the financial position of the Company. They are also responsible for safeguarding the assets of the Company and for taking reasonable steps for the prevention and detection of fraud and error.

The Directors accept responsibility for the preparation and presentation of these financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i. Designing, implementing and maintaining internal controls as they determine necessary, to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- ii. Selecting suitable accounting policies and then apply them consistently; and
- iii. Making judgements and accounting estimates that are reasonable in the circumstances.

Having made an assessment of the company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the company's ability to continue as a going concern.

The Directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.



**Hon. Alfred Agoi Masadia**  
Chairman



**Bernard Ngugi**  
Director



**Peter Njenga**  
Managing Director & CEO

30 October 2025



# Information Not Subject to Audit

For the year ended 30 June 2025

## INFORMATION NOT SUBJECT TO AUDIT

### The Company's Directors Remuneration Policy and Strategy

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members.

These policies clearly stipulate remuneration elements such as Directors' fees, honorarium and attendance allowances that are competitive and in line with those of other agencies in the industry and with the State Corporations Act.

In accordance with the guidelines provided in the State Corporations Act and issued by the Salaries & Remuneration Commission as well as shareholder approval granted at the Annual General Meeting; The Directors are paid a taxable sitting allowance of Shs 20,000 for every meeting attended. The Chairman is paid a monthly honorarium of Shs 80,000. The Board members are paid an annual Directors fee of Shs 600,000 subject to approval by the shareholders. It is proposed that each non-executive Director receives a fee of Shs 600,000 excluding sitting allowances and honorarium for the financial year ended 30 June 2025 subject to approval by shareholders during the Annual General Meeting.

The total expenses incurred in the course of enabling the directors discharge their mandate are charged to the statement of profit or loss (Note 10(e)).

Kenya Electricity Generating Company Plc does not grant personal loans, guarantees, share options or incentives to its Directors.

### Contract of Service

In accordance with the Capital Markets Authority (CMA) regulations on non-executive Directors, a third of the Board is elected at every Annual General Meeting by the shareholders for a term of 3 years on rotation basis.

The Managing Director and CEO has a three (3) year renewable contract of service with Kenya Electricity Generating Company Plc. The Managing Director & CEO was appointed on 17th August 2023.

### Changes to Directors Remuneration

During the period, there were no changes in Directors Remuneration which is set as per the guidelines provided in the State Corporations Act and the Salaries & Remuneration Commission.

### Statement of Voting on the Directors Remuneration Report at the Previous Annual General Meeting

During the Annual General Meeting held on 28th November 2024, the shareholders approved the payments of Directors fees for the year ended 30 June 2024 through virtual voting.

Approval will be sought at the upcoming Annual General Meeting from shareholders to pay Directors fees for the financial year ended 30 June 2025.

# Information Subject to Audit (Cont'd)

For the year ended 30 June 2025

The following tables shows a single figure remuneration for the Managing Director and CEO and Non-Executive Directors in respect of qualifying services for the year ended 30 June 2024 together with the comparative figures for 30 June 2023. The aggregate Directors' emoluments are shown in note 36(f).

For the year ended 30 June 2025

## Non-Executive Directors

| Name                           | Category & Period of Service                                                                                       | Salary  | Directors' Fees | Sitting Allowances | Honorarium | Telephone | Total         |
|--------------------------------|--------------------------------------------------------------------------------------------------------------------|---------|-----------------|--------------------|------------|-----------|---------------|
|                                |                                                                                                                    | Shs'000 | Shs'000         | Shs'000            | Shs '000   | Shs '000  | Shs '000      |
| Hon. Alfred Agoi               | Chairman (Appointed Board Chairman on 5 December 2024)                                                             | -       | 500             | 1,500              | 560        | 49        | 2,609         |
| Julius Migos Ogamba            | Chairman (retired 8 August 2024)                                                                                   | -       | 100             | 100                | 160        | 14        | 374           |
| Hon. CPA John Mbadi            | Non-Executive (Cabinet Secretary: National Treasury)                                                               | -       | 600             | -                  | -          | -         | 600           |
| Alex Wachira                   | Non-Executive (Principal Secretary, Ministry of Energy)                                                            | -       | 600             | 120                | -          | -         | 720           |
| Josephine Koisaba              | Non-Executive                                                                                                      | -       | 600             | 1,800              | -          | -         | 2,400         |
| William Rahedi                 | Non-Executive                                                                                                      | -       | 600             | 1,160              | -          | -         | 1,760         |
| Hon. Mutai Stephen Kipkoech    | Non-Executive                                                                                                      | -       | 600             | 1,416              | -          | -         | 2,016         |
| Dr. Rosemarie Wairimu Wanyoike | Non-Executive (Served until 28 November 2024)                                                                      | -       | 250             | 800                | -          | -         | 1,050         |
| Frank Konuche                  | Non-Executive- (Appointed by the Board of Directors on 28 October as the Chairman of the Board until the 2024 AGM) | -       | 600             | 1,740              | 80         | 7         | 2,427         |
| Bernard Ngugi                  | Non-Executive                                                                                                      | -       | 600             | 1,740              | -          | -         | 2,340         |
| Umuro Wario                    | Non-Executive                                                                                                      | -       | 600             | 1,560              | -          | -         | 2,160         |
| Rehema Hassan                  | Non-Executive (Elected on the 28 November 2024)                                                                    | -       | 350             | 1,020              | -          | -         | 1,370         |
| Kennedy Ondieki                | Alternate to CS National Treasury & Planning                                                                       | -       | -               | 1,000              | -          | -         | 1,000         |
| Chrispin Lupe                  | Alternate to PS Ministry of Energy                                                                                 | -       | -               | 1,280              | -          | -         | 1,280         |
| Chrisologus Makokha            | Representative, Inspectorate of State Corporations                                                                 | -       | -               | 1,300              | -          | -         | 1,300         |
| <b>Total</b>                   |                                                                                                                    | -       | <b>6,000</b>    | <b>16,536</b>      | <b>800</b> | <b>70</b> | <b>23,406</b> |

# Information Subject to Audit (Cont'd)

For the year ended 30 June 2025

## Executive Directors

| Name         | Category & Period of Service | Salary        | Directors' Fees | Sitting Allowances | Honorarium | Telephone | Total         |
|--------------|------------------------------|---------------|-----------------|--------------------|------------|-----------|---------------|
|              |                              | Shs'000       | Shs'000         | Shs'000            | Shs '000   | Shs '000  | Shs '000      |
| Peter Njenga | Managing Director and CEO    | 14,694        | -               | -                  | -          | -         | 14,694        |
| <b>Total</b> |                              | <b>14,694</b> | <b>-</b>        | <b>-</b>           | <b>-</b>   | <b>-</b>  | <b>14,694</b> |

## Non-Executive Directors

| Name                           | Category & Period of Service                                                                                                                                           | Salary  | Directors' Fees | Sitting Allowances | Honorarium | Telephone | Total    |
|--------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|-----------------|--------------------|------------|-----------|----------|
|                                |                                                                                                                                                                        | Shs'000 | Shs'000         | Shs'000            | Shs '000   | Shs '000  | Shs '000 |
| Julius Migos Ogamba            | Chairman (retired 8 August 2024)                                                                                                                                       | -       | 600             | 1,860              | 960        | 84        | 3,504    |
| Prof. Njuguna Ndung'u          | Non-Executive (Cabinet Secretary: National Treasury)                                                                                                                   | -       | 600             | -                  | -          | -         | 600      |
| Alex Wachira                   | Non-Executive (Principal Secretary, Ministry of Energy)                                                                                                                | -       | 600             | 60                 | -          | -         | 660      |
| Josephine Koisaba              | Non-Executive                                                                                                                                                          | -       | 600             | 1,660              | -          | -         | 2,260    |
| William Rahedi                 | Non-Executive                                                                                                                                                          | -       | 600             | 1,620              | -          | -         | 2,220    |
| Hon. Mutai Stephen Kipkoech    | Non-Executive                                                                                                                                                          | -       | 600             | 1,710              | -          | -         | 2,310    |
| Dr. Rosemarie Wairimu Wanyoike | Non-Executive                                                                                                                                                          | -       | 600             | 1,600              | -          | -         | 2,200    |
| Frank Konuche                  | Non-Executive-Elected as a Director at the AGM on 30 November 2023 (Appointed by the Board of Directors on 28 October as the Chairman of the Board until the 2024 AGM) | -       | 350             | 960                | -          | -         | 1,310    |
| Umuro Wario                    | Non-Executive-(Appointed on 1 December 2023)                                                                                                                           | -       | 350             | 900                | -          | -         | 1,250    |
| Bernard Ngugi                  | Non-Executive-(Appointed on 1 December 2023)                                                                                                                           | -       | 350             | 1,020              | -          | -         | 1,370    |
| Chrisologus Makokha            | (Appointed on 26 January 2023)                                                                                                                                         | -       | -               | 1,140              | -          | -         | 1,140    |
| Kennedy Ondieki                | (Alternate to CS National Treasury & Planning: Appointed on 30 April 2024)                                                                                             | -       | -               | 120                | -          | -         | 120      |

# Information Subject to Audit (Cont'd)

For the year ended 30 June 2025

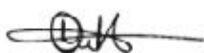
## Non-Executive Directors

| Name             | Category & Period of Service                                             | Salary  | Directors' Fees | Sitting Allowances | Honorarium | Telephone | Total         |
|------------------|--------------------------------------------------------------------------|---------|-----------------|--------------------|------------|-----------|---------------|
|                  |                                                                          | Shs'000 | Shs'000         | Shs'000            | Shs '000   | Shs '000  | Shs '000      |
| Chrispin O. Lupe | (Alternate to PS Ministry of Energy: Appointed on 6 May 2024)            | -       | -               | 140                | -          | -         | 140           |
| James Opindi     | Non-Executive (Retired on 30 November 2023)                              | -       | 250             | 840                | -          | -         | 1,090         |
| Samuel Kimani    | Non-Executive (Retired on 30 November 2023)                              | -       | 250             | 420                | -          | -         | 670           |
| Winnie Pertet    | Non-Executive (Retired on 30 November 2023)                              | -       | 250             | 720                | -          | -         | 970           |
| Bernard Ndungu   | (Alternate to CS National Treasury & Planning: Retired on 30 April 2024) | -       | -               | 80                 | -          | -         | 80            |
| Stephen Njue     | (Alternate to PS Ministry of Energy: Retired on 6 May 2024)              | -       | -               | 820                | -          | -         | 820           |
| <b>Total</b>     |                                                                          | -       | <b>6,000</b>    | <b>15,670</b>      | <b>960</b> | <b>84</b> | <b>22,714</b> |

## Executive Directors

| Name          | Category & Period of Service                                   | Salary        | Directors' Fees | Sitting Allowances | Honorarium | Telephone | Total         |
|---------------|----------------------------------------------------------------|---------------|-----------------|--------------------|------------|-----------|---------------|
|               |                                                                | Shs'000       | Shs'000         | Shs'000            | Shs '000   | Shs '000  | Shs '000      |
| Abraham Serem | Ag. Managing Director and CEO (Served until on 17 August 2023) | 2,621         | -               | -                  | -          | -         | 2,621         |
| Peter Njenga  | Managing Director and CEO (Appointed on 17 August 2023)        | 12,021        | -               | -                  | -          | -         | 12,021        |
| <b>Total</b>  |                                                                | <b>14,642</b> | -               | -                  | -          | -         | <b>14,642</b> |

On behalf of the Board



Company Secretary

30 October 2025



Telephone: +254-(20) 3214000  
 Email: info@oagkenya.go.ke  
 Website: www.oagkenya.go.ke



**HEADQUARTERS**  
 Anniversary Towers  
 Monrovia Street  
 P.O Box 30084-00100  
 NAIROBI

## **REPORT OF THE AUDITOR-GENERAL ON KENYA ELECTRICITY GENERATING COMPANY PLC FOR THE YEAR ENDED 30 JUNE, 2025**

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### **PREAMBLE**

I draw your attention to the contents of my report which is in three parts:

- A. Report on the Financial Statements that considers whether the financial statements are fairly presented in accordance with the applicable financial reporting framework, accounting standards and the relevant laws and regulations that have a direct effect on the financial statements.
- B. Report on Lawfulness and Effectiveness in Use of Public Resources which considers compliance with applicable laws, regulations, policies, gazette notices, circulars, guidelines and manuals and whether public resources are applied in a prudent, efficient, economic, transparent and accountable manner to ensure Government achieves value for money and that such funds are applied for the intended purpose.
- C. Report on Effectiveness of Internal Controls, Risk Management and Governance which considers how the entity has instituted checks and balances to guide internal operations. This responds to the effectiveness of the governance structure, the risk management environment and the internal controls, developed and implemented by those charged with governance for orderly, efficient and effective operations of the entity.

An Unmodified Opinion is issued when the Auditor-General concludes that the financial statements are fairly presented in accordance with the applicable financial reporting framework. The Report on Financial Statements should be read together with the Report on Lawfulness and Effectiveness in the Use of Public Resources, and the Report on Effectiveness of Internal Controls, Risk Management, and Governance.

The three parts of the report are aimed at addressing the statutory roles and responsibilities of the Auditor-General as provided by Article 229 of the Constitution, the Public Finance Management Act, 2012 and the Public Audit Act, 2015. The three parts of the report when read together constitute the report of the Auditor-General.

### **REPORT ON THE FINANCIAL STATEMENTS**

#### **Opinion**

The accompanying financial statements of Kenya Electricity Generating Company PLC set out on pages 136 to 234, which comprise of the statement of financial position as at



30 June, 2025, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows, and a summary of significant accounting policies and other explanatory information, have been audited on my behalf by Deloitte and Touché, auditors appointed under Section 23 of the Public Audit Act, 2015. The auditors have duly reported to me the results of their audit and on the basis of their report, I am satisfied that all the information and explanations which, to the best of my knowledge and belief, were necessary for the purpose of the audit were obtained.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Kenya Electricity Generating Company PLC as at 30 June, 2025, and of its financial performance and its cash flows for the year then ended, in accordance with International Financial Reporting Standards and comply with the Public Finance Management Act, 2012 and the Companies Act, 2015.

### **Basis for Opinion**

The audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAIs). I am independent of the Kenya Electricity Generating Company PLC Management in accordance with ISSAI 130 on Code of Ethics. I have fulfilled other ethical responsibilities in accordance with the ISSAI and in accordance with other ethical requirements applicable to performing audit of financial statements in Kenya. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

### **Emphasis of Matter**

#### **Change in Assets Depreciation and Net Book Value Estimation**

The statement of profit or loss and other comprehensive income reflects depreciation and amortization charge amounting to Kshs.14,484,645,000 against a prior year charge balance of Kshs.15,707,703,000. The decrease was despite an increase in assets cost at the beginning of the year to Kshs.472,659,536,000 compared to Kshs.463,057,086,000 in the prior year.

As disclosed in Note 15(a) to the financial statements, the Company applies an assets revaluation model to determine subsequent values of assets, except for furniture and motor vehicle assets classes where a cost model is applied. In addition, the Company uses a straight-line depreciation method for all its asset classes. During the year under review, Management changed the depreciation measurement approach by assigning a residual value equivalent to 10% of the cost to depreciable asset classes, a departure from prior years measurement where a residual value was only assigned to assets under cost valuation model.

The departure in the assets valuation resulted in a decrease of depreciation charge for the year, and significantly impacted on the net book value of the assets at the end of the year.

My opinion is not modified in respect of this matter.



## Key Audit Matters

Key audit matters are those matters that, in my professional judgment, are of most significance in the audit of the financial statements. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming my opinion thereon, and I do not provide a separate opinion on them. For the matter below, a description of how the audit addressed the matter is provided in that context.

| Key Audit Matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | How Audit Addressed the Key Audit Matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Impairment of Property, Plant and Equipment</b></p> <p>The carrying value of the Company's property, plant and equipment amounts to Kshs.429,556,183,000 (2024 - Kshs.426,723,308,000) as reported in the statement of financial position. The balance includes an amount of Kshs.350,547,360,000 (2024: Kshs.354,892,274,000) in respect of buildings, transmission lines, plant and machinery.</p> <p>As disclosed in Note 15 to the financial statements, these power generation assets are significant to the statement of financial position and are carried at revalued amounts less accumulated depreciation and accumulated impairment losses.</p> <p>Property, plant and equipment balance also includes capital work in progress amounting to Kshs.71,001,022,000 (2024 – Kshs.63,921,181,000) which is carried at cost less of impairment losses.</p> <p>During the year, an impairment assessment was carried out on the capital work in progress and a loss of Kshs.538,052,000 (2024 – Kshs.39,478,000) was charged to the statement of profit or loss as disclosed in Note 10(g) to the financial statements. In particular, Management identified impairment indicators in the capital work in progress projects that were determined not to be economically viable or environmentally sustainable.</p> <p>Significant judgments are required to be applied by the Management in the impairment assessment of these assets in line with the accounting policies and IAS 36 - Impairment of Assets. The Standard requires an entity to assess, at the end of each reporting period, whether</p> | <p>To address the key audit matter, Management's assessment of the indicators of impairment were obtained and the key assumptions made were reviewed with the objective of testing their reasonableness based on evidence provided.</p> <p>Additionally, significant judgments made and conclusions reached were reviewed and challenged.</p> <p>The audit procedures also focused on understanding the basis of the judgments made and considered audit evidence which were obtained during the audit and the understanding of the nature and use of these assets.</p> <p>An assessment was conducted on whether the approach and methodology used by Management was appropriate and consistent with requirements of IAS 36 - Impairment of Assets.</p> <p>Impairment workings and analyses prepared by</p> |

| Key Audit Matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | How Audit Addressed the Key Audit Matter                                                                                                                                                                                                                                                                                                                                               |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>there is any indication that an asset may be impaired. If any such indication exists, the entity shall estimate the recoverable amount of the asset. The objective of the Standard is to prescribe procedures that an entity applies to ensure that its assets are carried at no more than the recoverable amount.</p> <p>An asset is carried at more than its recoverable amount if the carrying amount exceeds the amount to be recovered through use or sale of the asset. If this is the case, the asset is described as impaired and the entity is required to recognise an impairment loss. The Standard also specifies when an entity should reverse an impairment loss and prescribes disclosures.</p> <p>My attention was directed at this area because of the significance of the carrying values of these assets and the risk that inappropriate judgments or key assumptions could lead to material misstatements in the financial statements. I therefore identified the impairment assessment of plant, machinery, buildings, transmission lines and capital work in progress as representing a key audit matter for purposes of my audit.</p> | <p>Management were obtained and the approach applied was tested for appropriateness.</p> <p>The data and inputs used in the impairment assessment was tested and calculations for accuracy and completeness reviewed.</p> <p>Additionally, the adequacy of impairment related disclosures in the financial statements, including the judgments and assumptions used were assessed.</p> |

I have fulfilled the responsibilities described in the Auditor-General's Responsibilities for the Audit section of the report, including in relation to these matters. Accordingly, the audit included the performance of procedures designed to respond to the assessment of the risk of material misstatement of the financial statements. The results of the audit procedures, including the procedures performed to address the matters below, provide the basis for my opinion on the accompanying financial statements.

### Other Matter

#### Delay in Compensation of Land Acquired for Roads Expansion

As previously reported, part of the Company's land located in Changamwe was acquired by the Kenya National Highways Authority (KeNHA) for dualling of the Mombasa-Mariakani Road. The construction of the road rendered the staff houses in Changamwe temporarily uninhabitable as they were disconnected from the sewer line, and a perimeter wall securing the property was also damaged. Management indicated that the two affected residential flats would realize a net rental income of Kshs.768,000 per year for the Company.



Review of records indicates that Management has made several correspondences to the National Land Commission (NLC) and KeNHA seeking compensation of Kshs.250,611,659 but no response has been received by the time of the audit. The State Department for Roads had also written to The National Treasury, on behalf of KeNHA, requesting for the allocation of funds to settle the long outstanding compensation of the Company's land.

### **Other Information**

The Directors are responsible for the Other Information set out on page 1 to 126 which comprise of Key Corporate Information, Board of Directors, Management Team, Shareholding, Business Overview, Report of the Directors, Statement of Directors Responsibilities and The Company's Directors Remuneration Policy and Strategy. The Other Information does not include the financial statements and my audit report thereon.

In connection with my audit on the Company's financial statements, my responsibility is to read the Other Information and in doing so, consider whether the Other Information is materially inconsistent with the financial statements or my knowledge obtained in the audit or otherwise appears to be materially misstated. If based on the work I have performed, I conclude that there is a material misstatement of this Other Information, I am required to report that fact. I have nothing to report in this regard.

My opinion on the financial statements does not cover the Other Information and accordingly, I do not express an audit opinion or any form of assurance conclusion thereon.

## **REPORT ON LAWFULNESS AND EFFECTIVENESS IN USE OF PUBLIC RESOURCES**

### **Conclusion**

As required by Article 229(6) of the Constitution, based on the audit procedures performed, except for effects of the matter described in the Basis for Conclusion on Lawfulness and Effectiveness in Use of Public Resources section of my report, I confirm that, nothing else has come to my attention to cause me to believe that public resources have not been applied lawfully and in an effective way.

### **Basis for Conclusion**

#### **Delay in Completion of an Office Block and Parking Yard at Olkaria Power Station**

On 4 May, 2021, Management contracted a local contractor to undertake construction works of an office block and a parking yard at Olkaria Geothermal Power Station in Naivasha at a cost of Kshs.11,534,357. According to procurement records, the works were to be undertaken in two phases where phase one encompassed construction of an office block while phase two involved construction of a parking yard. The expected

completion date was on 24 August, 2022. However, the date was extended to 3 November, 2022 due to non-completion of works within the initial contract period.

Despite the extension, the contractor failed to mobilize adequate resources and did not achieve satisfactory progress, leading the Management to institute termination proceedings. The contract was formally terminated in accordance with the provisions of the Public Procurement and disposal Act, 2015. At the time of termination, the contractor had been paid an amount of Kshs.7,176,945 for completed and certified works. Management had not yet initiated procurement process for completion of the works at the time of the audit.

In the circumstances, the value for money incurred on the project could not be confirmed.

The audit was conducted in accordance with ISSAI 3000 and ISSAI 4000. The standards require that I comply with ethical requirements and plan and perform the audit to obtain assurance about whether the activities, financial transactions and information reflected in the financial statements are in compliance, in all material respects, with the authorities that govern them. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

## REPORT ON EFFECTIVENESS OF INTERNAL CONTROLS, RISK MANAGEMENT AND GOVERNANCE

### Conclusion

As required by Section 7(1)(a) of the Public Audit Act, 2015, based on the audit procedures performed, except for effect of the matters described in the Basis for Effectiveness of Internal Controls, Risk Management and Governance section of my report, I confirm that, nothing else has come to my attention to cause me to believe that internal controls, risk management and overall governance were not effective.

### Basis for Conclusion

#### 1. Trade Receivables - Balance Due to from The Kenya Power and Lighting Company Plc

The statement of financial position reflects trade receivables balance of Kshs.16,646,382,000 (2024: Kshs.16,629,593,000) which, as disclosed in Note 21 to the financial statements is net allowance of impairment amounting to Kshs.830,990,000 (2024: Kshs.466,706,000) due from The Kenya Power and Lighting Company Limited. Review of records indicates that the two companies had executed a Purchase Power Agreements (PPAs) with an agreed credit period of 40 days. Although Management indicated that measures were in place to enhance collection of outstanding amounts which included agreeing on payments plans with KPLC on a monthly basis, the collection period remains high at an average of 113 days against the credit period of 40 days which had been agreed in the Purchase Power Agreements (PPAs).

In the circumstances, failure to collect receivables in optimal time and lack of an effective regular resolution of reconciliation items leading to delays in settling of the outstanding amounts negatively, impacts the company's working capital which could lead to future disputes and eventual risk of impairment.

## **2. Long Outstanding Receivables from Non-Commercial Clients**

The statement of financial position reflects other receivables and prepayments balance of Kshs.2,340,298,000 (2024: Kshs.3,027,582,000) which as disclosed in Note 22 to the financial statements includes Kshs.1,272,743,000 (2024: Kshs.982,420,000) in respect of non-commercial clients' receivables with a total provision of Kshs.545,000,000 (2024: Kshs.308,000,000). The balance has been outstanding above the average credit period of between 30 – 90 days. The most significant overdue amounts are owed two firms, one of which was foreign, with an outstanding total balance of Kshs.890,000,000 representing 70% of the total balance. The extended outstanding receivables are attributed to weak contractual terms with clients which do not sufficiently safeguard timely payment.

Delayed collection of receivables would negatively affect the Company's cashflows and working capital position while the prolonged outstanding balances increases the risk of bad debts, which may require additional provisions and results into financial losses. The situation could also impact on the company's ability to fund operations and meet its obligations when they fall due. Management indicated that the Government of Djibouti, through its Embassy in Kenya reaffirmed its commitment to honour all contractual obligations under the Galla-le-Koma Geothermal Project once donor disbursements are finalized.

In the circumstances, the existence of an effective enforcement mechanism of payment and debt recovery strategies could not be confirmed.

The audit was conducted in accordance with ISSAI 2315 and ISSAI 2330. The standards require that I plan and perform the audit to obtain assurance about whether effective processes and systems of internal control, risk management and overall governance were operating effectively, in all material respects. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

## **REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS**

### **Conclusion**

As required by the Companies Act, 2015, I report based on my audit, that:

- i. I have obtained all the information and explanations which to the best of my knowledge and belief, were necessary for the purpose of the audit;
- ii. Information given in the Directors' report on pages 121 is consistent with the financial statements; and
- iii. The auditable part of the directors' remuneration report on pages 123 to 126 has been properly prepared in accordance with the Companies Act, 2015.



## **Basis for Conclusion**

The Companies Act, 2015, requires that I report on the legal and regulatory requirements, or on performance information disclosed. These matters require expressing a separate opinion as to the Company's compliance with laws and regulations. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

## **Responsibilities of Management and Board of Directors**

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and for maintaining effective internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error and for its assessment of the effectiveness of internal control, risk management and overall governance.

In preparing the financial statements, Management is responsible for assessing the Company's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless the Management is aware of the intention to cease operations.

Management is also responsible for the submission of the financial statements to the Auditor-General in accordance with the provisions of Section 47 of the Public Audit Act, 2015.

In addition to the responsibility for the preparation and presentation of the financial statements described above, Management is also responsible for ensuring that the activities, financial transactions and information reflected in the financial statements are in compliance with the authorities which govern them, and that public resources are applied in an effective way.

The Board of Directors is responsible for overseeing the Company's financial reporting process, reviewing the effectiveness of how Management monitors compliance with relevant legislative and regulatory requirements, ensuring that effective processes and systems are in place to address key roles and responsibilities in relation to governance and risk management, and ensuring the adequacy and effectiveness of the control environment.

## **Auditor-General's Responsibilities for the Audit**

My responsibility is to conduct an audit of the financial statements in accordance with Article 229(4) of the Constitution, Section 35 of the Public Audit Act, 2015 and the International Standards of Supreme Audit Institutions (ISSAIs). The standards require that, in conducting the audit, I obtain reasonable assurance about whether the financial



statements as a whole are free from material misstatements, whether due to fraud or error and to issue an auditor's report that includes my opinion in accordance with Section 48 of the Public Audit Act, 2015. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

In conducting the audit, Article 229(6) of the Constitution also requires that I express a conclusion on whether or not in all material respects, the activities, financial transactions and information reflected in the financial statements are in compliance with the authorities that govern them and that public resources are applied in an effective way. In addition, I also I consider the entity's control environment in order to give an assurance on the effectiveness of internal controls, risk management and governance processes and systems in accordance with the provisions of Section 7 (1) (a) of the Public Audit Act, 2015.

Further, I am required to submit the audit report in accordance with Article 229(7) of the Constitution.

Detailed description of my responsibilities for the audit is located at the Office of the Auditor-General's website at: <https://www.oagkenya.go.ke/auditor-generals-responsibilities-for-audit/>. This description forms part of my auditor's report.

  
FCPA Nancy Gathungu, CBS  
**AUDITOR-GENERAL**

Nairobi

30 October, 2025

# Statement of Profit or Loss and other Comprehensive Income

For the year ended 30 June 2025

|                                                                                    | Notes  | 2025<br>Shs'000    | 2024<br>Shs'000    |
|------------------------------------------------------------------------------------|--------|--------------------|--------------------|
| <b>Revenues from contracts with customers</b>                                      |        |                    |                    |
| Electricity revenue                                                                | 6 (a)  | 40,410,264         | 41,252,372         |
| Steam revenue                                                                      | 6 (a)  | 5,644,330          | 6,875,964          |
| Fuel charge                                                                        | 6 (a)  | 9,607,542          | 7,923,700          |
| Water charge                                                                       | 6 (a)  | 172,275            | 166,593            |
| Revenue from diversification sources                                               | 6 (a)  | 263,626            | 78,593             |
| <b>Total revenue</b>                                                               |        | <b>56,098,037</b>  | <b>56,297,222</b>  |
| <b>Reimbursable expenses</b>                                                       |        |                    |                    |
| Fuel costs                                                                         | 7      | (9,474,812)        | (7,836,831)        |
| Water costs                                                                        | 7      | (172,275)          | (166,593)          |
| <b>Total reimbursable expenses</b>                                                 | 7      | <b>(9,647,087)</b> | <b>(8,003,424)</b> |
| <b>Revenue less reimbursable expenses</b>                                          |        | <b>46,450,950</b>  | <b>48,293,798</b>  |
| Other income                                                                       | 8      | 851,139            | 1,296,534          |
| Other gains/(losses) – net foreign exchange and fair valuation of financial assets | 9      | 1,452,929          | (722,117)          |
| <b>Operating income</b>                                                            |        | <b>48,755,018</b>  | <b>48,868,215</b>  |
| <b>Expenses</b>                                                                    |        |                    |                    |
| Depreciation and amortization                                                      | 10 (a) | (14,484,645)       | (15,707,703)       |
| Employee expenses                                                                  | 10 (b) | (9,210,137)        | (10,376,066)       |
| Steam costs                                                                        | 10 (c) | (3,496,434)        | (4,393,595)        |
| Plant operation and maintenance expenses                                           | 10 (d) | (2,337,451)        | (3,667,517)        |
| Other expenses                                                                     | 10 (e) | (4,847,405)        | (5,739,660)        |
| Allowance for expected credit losses -(charge)/credit                              | 10 (f) | (762,397)          | 567,366            |
| <b>Operating profit</b>                                                            |        | <b>13,616,549</b>  | <b>9,551,040</b>   |
| Finance income                                                                     | 11     | 4,109,861          | 4,201,745          |
| Finance costs                                                                      | 12     | (2,253,457)        | (2,805,920)        |
| <b>Profit before income tax</b>                                                    |        | <b>15,472,953</b>  | <b>10,946,865</b>  |
| Income tax charge                                                                  | 13(a)  | (4,991,876)        | (4,149,853)        |
| <b>Profit for the year</b>                                                         |        | <b>10,481,077</b>  | <b>6,797,012</b>   |
| <b>Earnings per share:</b>                                                         |        |                    |                    |
| Basic and diluted (Shs per share)                                                  | 14     | <b>1.59</b>        | <b>1.03</b>        |

# Statement of Profit or Loss and other Comprehensive Income (Cont'd)

For the year ended 30 June 2025

| Notes                                                                                                  | 2025<br>Shs'000   | 2024<br>Shs'000  |
|--------------------------------------------------------------------------------------------------------|-------------------|------------------|
| <b>Profit for the year</b>                                                                             | <b>10,481,077</b> | <b>6,797,012</b> |
| <b>Other comprehensive income/(loss), net of income tax:</b>                                           |                   |                  |
| <b>Items that will not be reclassified subsequently to profit or loss:</b>                             |                   |                  |
| Remeasurement loss of retirement benefit obligations 29a(ii)                                           | (121,142)         | (912,714)        |
| Deferred income tax credit on defined benefit obligations 26                                           | 36,343            | 273,814          |
| Net impairment of revalued assets-reversal/(charge) 26                                                 | 421,372           | (382,572)        |
| Deferred income tax (charge)/credit on impairment of assets 26                                         | (126,412)         | 114,772          |
|                                                                                                        | 210,161           | (906,700)        |
| <b>Items that may be reclassified subsequently to profit or loss when specific conditions are met:</b> |                   |                  |
| Net gain on revaluation on financial instruments measured at FVOCI 26                                  | 52,562            | 732              |
| Deferred income tax charge on valuation of financial instruments 26                                    | (15,769)          | (220)            |
|                                                                                                        | 36,793            | 512              |
| Other comprehensive income/(loss) for the year, net of tax                                             | 246,954           | (906,188)        |
| <b>Total comprehensive income for the year</b>                                                         | <b>10,728,031</b> | <b>5,890,824</b> |

# Statement of Financial Position

As at 30 June 2025

|                                                                       | Notes    | 2025<br>Shs'000    | 2024<br>Shs'000    |
|-----------------------------------------------------------------------|----------|--------------------|--------------------|
| <b>ASSETS</b>                                                         |          |                    |                    |
| <b>Non-current assets</b>                                             |          |                    |                    |
| Property, plant and equipment                                         | 15(a)    | 429,556,183        | 426,723,308        |
| Intangible assets                                                     | 16       | 2,226,724          | 2,118,932          |
| Right of Use assets                                                   | 17       | 6,948,159          | 6,665,185          |
| Financial assets held at amortized cost                               | 18       | 4,004,585          | 4,153,672          |
| Financial assets held at fair value through profit or loss            | 19       | 6,177,905          | 728,515            |
| Restricted cash balances                                              | 24(b)(i) | 3,169,124          | 2,712,749          |
|                                                                       |          | <b>452,082,680</b> | <b>443,102,361</b> |
| <b>Current assets</b>                                                 |          |                    |                    |
| Inventories                                                           | 20       | 2,923,924          | 2,136,284          |
| Trade receivables                                                     | 21       | 16,646,382         | 16,629,593         |
| Corporate tax recoverable                                             | 13(c)    | 448,697            | 195,667            |
| Financial assets held at amortized cost                               | 18       | 129,083            | 133,954            |
| Financial assets held at fair value through profit or loss            | 19       | 1,311,203          | 895,818            |
| Other receivables and prepayments                                     | 22       | 2,340,298          | 3,027,582          |
| Financial asset held at fair value through other comprehensive income | 23       | 373,716            | 321,154            |
| Cash and bank balances                                                | 24(a)    | 29,317,145         | 24,850,342         |
|                                                                       |          | <b>53,490,448</b>  | <b>48,190,394</b>  |
| <b>TOTAL ASSETS</b>                                                   |          | <b>505,573,128</b> | <b>491,292,755</b> |
| <b>EQUITY AND LIABILITIES</b>                                         |          |                    |                    |
| <b>Equity attributable to owners</b>                                  |          |                    |                    |
| Share capital                                                         | 25       | 16,486,305         | 16,487,710         |
| Share premium                                                         | 25       | 22,148,855         | 22,151,131         |
| Other reserves                                                        | 26       | 116,314,989        | 118,730,184        |
| Retained earnings                                                     | 27       | 129,593,680        | 120,736,895        |
|                                                                       |          | <b>284,543,829</b> | <b>278,105,920</b> |
| <b>Non- current liabilities</b>                                       |          |                    |                    |
| Borrowings                                                            | 28       | 109,271,273        | 107,748,716        |
| Deferred tax liability                                                | 30       | 88,649,269         | 84,531,405         |
| Lease liabilities                                                     | 31       | 768,324            | 891,499            |
| Grants                                                                | 32       | 1,948,090          | 1,228,401          |
|                                                                       |          | <b>200,636,956</b> | <b>194,400,021</b> |
| <b>Current liabilities</b>                                            |          |                    |                    |
| Borrowings                                                            | 28       | 11,926,138         | 10,035,376         |
| Trade and other payables                                              | 33       | 8,332,919          | 8,579,311          |
| Lease liabilities                                                     | 31       | 133,286            | 172,127            |
|                                                                       |          | <b>20,392,343</b>  | <b>18,786,814</b>  |
| <b>TOTAL EQUITY AND LIABILITIES</b>                                   |          | <b>505,573,128</b> | <b>491,292,755</b> |

The financial statements on pages 136 to 234 were approved and authorised for issue by the Board of Directors on 30 October 2025 and were signed on its behalf by:

Hon. Alfred Agoi Masadia  
Chairman

Bernard Ngugi  
Director

Peter Njenga  
Managing Director & CEO



# Statement of Changes in Equity

For the year ended 30 June 2025

|                                                         | Share capital<br>Shs'000 | Share premium<br>Shs'000 | Other Reserves<br>Shs'000 | Retained earnings<br>Shs'000 | Total<br>Shs'000   |
|---------------------------------------------------------|--------------------------|--------------------------|---------------------------|------------------------------|--------------------|
| <b>As at 1 July 2024</b>                                | <b>16,487,710</b>        | <b>22,151,131</b>        | <b>118,730,184</b>        | <b>120,736,895</b>           | <b>278,105,920</b> |
| Profit for the year                                     | -                        | -                        | -                         | 10,481,077                   | 10,481,077         |
| Other comprehensive income                              | -                        | -                        | 246,954                   | -                            | 246,954            |
| <b>Total comprehensive income for the year</b>          | <b>-</b>                 | <b>-</b>                 | <b>246,954</b>            | <b>10,481,077</b>            | <b>10,728,031</b>  |
| Unallotted shares refund                                | (1,405)                  | (2,276)                  | -                         | -                            | (3,681)            |
| Transfer of excess depreciation                         | -                        | -                        | (3,803,070)               | 3,803,070                    | -                  |
| Deferred tax on excess depreciation                     | -                        | -                        | 1,140,921                 | (1,140,921)                  | -                  |
| Dividends declared and paid to equity holders (Note 34) | -                        | -                        | -                         | (4,286,441)                  | (4,286,441)        |
| <b>As at 30 June 2025</b>                               | <b>16,486,305</b>        | <b>22,148,855</b>        | <b>116,314,989</b>        | <b>129,593,680</b>           | <b>284,543,829</b> |

|                                                | Share capital<br>Shs'000 | Share premium<br>Shs'000 | Other Reserves<br>Shs'000 | Retained earnings<br>Shs'000 | Total<br>Shs'000   |
|------------------------------------------------|--------------------------|--------------------------|---------------------------|------------------------------|--------------------|
| <b>Year ended 30 June 2024</b>                 |                          |                          |                           |                              |                    |
| <b>As at 1 July 2023</b>                       | <b>16,487,710</b>        | <b>22,151,131</b>        | <b>122,361,165</b>        | <b>113,193,447</b>           | <b>274,193,453</b> |
| Profit for the year                            | -                        | -                        | -                         | 6,797,012                    | 6,797,012          |
| Other comprehensive income                     | -                        | -                        | (906,188)                 | -                            | (906,188)          |
| <b>Total comprehensive income for the year</b> | <b>-</b>                 | <b>-</b>                 | <b>(906,188)</b>          | <b>6,797,012</b>             | <b>5,890,824</b>   |
| Transfer of excess depreciation                | -                        | -                        | 1,167,768                 | (1,167,768)                  | -                  |
| Deferred tax on excess depreciation            | -                        | -                        | 1,167,768                 | (1,167,768)                  | -                  |
| Dividends declared to equity holders (Note 34) | -                        | -                        | -                         | (1,978,357)                  | (1,978,357)        |
| <b>As at 30 June 2024</b>                      | <b>16,487,710</b>        | <b>22,151,131</b>        | <b>118,730,184</b>        | <b>120,736,895</b>           | <b>278,105,920</b> |
| Note                                           | 25                       | 25                       | 26                        | 27                           |                    |

# Statement of Cash Flows

For the year ended 30 June 2025

|                                                            | Notes     | 2025<br>Shs'000     | 2024<br>Shs'000     |
|------------------------------------------------------------|-----------|---------------------|---------------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                |           |                     |                     |
| Cash generated from operations                             | 35(a)     | 27,892,048          | 34,278,056          |
| Net income tax paid                                        | 13(c)     | (1,232,880)         | (614,022)           |
| Finance income received                                    | 35(b)     | 3,957,555           | 3,181,275           |
| <b>Net cash generated from operating activities</b>        |           | <b>30,616,723</b>   | <b>36,845,309</b>   |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                |           |                     |                     |
| Purchase of property, plant and equipment                  | 15(a)     | (13,592,324)        | (8,917,415)         |
| Staff costs incurred in capital projects                   | 15(a)     | (2,430,922)         | (2,318,808)         |
| Interest costs incurred in capital projects                | 15(a)     | (544,617)           | (754,632)           |
| Purchase of intangible assets                              | 16        | (361,338)           | (108,416)           |
| Purchase of leasehold land                                 | 17        | (616,130)           | -                   |
| Movement in restricted cash balances                       | 24(b)ii   | (464,177)           | (858,379)           |
| Grants received                                            | 32        | 721,330             | 396,828             |
| Proceeds on disposal of assets                             | 35(d)     | 311,796             | 8,988               |
| <b>Net cash used in investing activities</b>               |           | <b>(16,976,382)</b> | <b>(12,551,834)</b> |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES</b>                |           |                     |                     |
| Proceeds from borrowings                                   | 28(d)     | 5,922,033           | 1,620,282           |
| Principal loan repayments                                  | 28(d)     | (8,320,538)         | (9,701,910)         |
| Finance costs paid                                         | 35(c)     | (2,173,309)         | (2,878,118)         |
| Dividends paid                                             | 34        | (4,286,441)         | (2,901,443)         |
| Payment of lease liabilities - principal                   | 31        | (167,623)           | (120,091)           |
| Payment of lease liabilities - interest                    | 31        | (100,800)           | (155,794)           |
| <b>Net cash used in financing activities</b>               |           | <b>(9,126,678)</b>  | <b>(14,137,074)</b> |
| <b>Net increase in cash and cash equivalents</b>           |           | <b>4,513,663</b>    | <b>10,156,401</b>   |
| Cash and cash equivalents at beginning of the year         |           | 25,618,247          | 15,474,003          |
| Effects of exchange rate changes on cash and bank balances | 35(f)     | (7,724)             | (12,157)            |
| <b>CASH AND CASH EQUIVALENTS AT END OF YEAR</b>            | <b>24</b> | <b>30,124,186</b>   | <b>25,618,247</b>   |

# Notes to the Financial Statements

For the year ended 30 June 2025

## 1. General information

Kenya Electricity Generating Company PLC (KenGen) is a company limited by shares incorporated and registered in Kenya under the Kenyan Companies Act, 2015. The Company was incorporated in 1954 as Kenya Power Company Limited (KPC) and was under management of The Kenya Power & Lighting Company Plc (Kenya Power). In 1997, following reforms in the energy sector, the management was separated from Kenya Power and Lighting Company, and the Company was renamed Kenya Electricity Generating Company Plc (KenGen). The principal activity is to develop, manage and operate power generation plants to supply electric power to the Kenyan market. The equity shares of the Company are listed on the Nairobi Securities Exchange.

These financial statements are presented in Kenya Shillings and are rounded to the nearest thousand (Shs'000).

## 2. Statement of Compliance and Basis of Preparation

### (a) Basis of preparation

The financial statements are prepared on a going concern basis and is in compliance with the IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015. The directors have made an assessment of the company's ability to continue as a going concern and are satisfied that the company has adequate resources to continue in operational existence for the foreseeable future. In making this assessment, management has considered the company's financial position, cash flow forecasts, and current commitments, alongside available borrowing facilities and access to capital markets. The assessment also included consideration of potential risks such as market volatility, operational disruptions, and regulatory changes. Accordingly, the financial statements have been prepared on a going concern basis, in accordance with IAS 1 Presentation of Financial Statements.

The financial statements are presented in Kenya Shillings, which is also the functional currency, rounded to the nearest thousand (Shs'000).

The financial statements comprise of the statement of profit or loss and other comprehensive income, statement of financial position, statement of changes in equity, statement of cash flows, and notes to the financial statements. Income and expenses, excluding the components of other comprehensive income, are recognized in profit or loss. Other comprehensive income is recognized in the statement of comprehensive income and comprises items of income and expense (including reclassification adjustments) that are not recognized in profit or loss as required or permitted by IFRS Accounting Standards as issued by the International Accounting Standards Board. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognized in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognized in the statement of changes in equity.

Financial statements have been prepared using accrual basis of accounting.

For the Kenyan Companies Act reporting purposes, in these financial statements, the balance sheet is equivalent to the statement of financial position and the profit and loss account is presented as the statement of profit or loss and other comprehensive income.

### (i) Basis of Measurement

Under the historical cost basis, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or, in some cases, at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 2. Statement of Compliance and Basis of Preparation (continued)

### (a) Basis of preparation (continued)

#### (i) Basis of Measurement (continued)

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Company using valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are Categorized into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).
- Transfers between levels of the fair value hierarchy are recognized by the Company at the end of the reporting period during which the change occurred.

#### (ii) Use of Estimates

The preparation of financial statements in conformity with IFRS Accounting Standards as issued by the International Accounting Standards Board allows the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note

## 3. Application of New and Revised IFRS Accounting Standards as issued by the International Accounting Standards Board.

### i) New and Amended IFRS Accounting Standards and Interpretations Effective during the Year

The Company has already applied the following new and amended standards and interpretations for the annual reporting period commencing 1 July 2024. The adoption of these standards and amendments did not have a material impact on the financial statements of the Company unless otherwise indicated.

| Standard / Amendment                                                          | Effective Date |
|-------------------------------------------------------------------------------|----------------|
| IAS 1: Classification of Liabilities as Current or Non-current with Covenants | 1 January 2024 |
| IFRS 16: Lease Liability in a Sale and Leaseback                              | 1 January 2024 |
| IAS 7 / IFRS 7: Supplier Finance Arrangements                                 | 1 January 2024 |
| IFRS 1 / IAS 21: Lack of Exchangeability                                      | 1 January 2025 |



# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 3. Application of New and Revised IFRS Accounting Standards as issued by the International Accounting Standards Board (continued)

### (i) New and Amended IFRS Accounting Standards and Interpretations Effective during the Year (continued)

#### i. IAS 1 – Classification of Liabilities as Current or Non-current

The amendments clarify that liability is classified as non-current only if the entity has a substantive right to defer settlement for at least twelve months after the reporting period. The right must exist at the end of the reporting period and must not depend on the likelihood of the entity exercising it. Covenants that must be met on or before the reporting date affect the assessment of the right.

**Impact:** These amendments did not have a material impact on the Company's financial position or classification of liabilities.

#### ii. IFRS 16 – Lease Liability in a Sale and Leaseback

The amendments clarify the measurement requirements for lease liabilities and right-of-use assets arising from sale and leaseback transactions. The seller-lessee is required to measure the leaseback liability based on the expected lease payments, including those not defined as lease payments under IFRS 16.

**Impact:** These amendments did not have a material impact on the Company's financial statements.

#### iii. IAS 7 / IFRS 7 – Supplier Finance Arrangements

The amendments require disclosures that allow users to assess the effects of supplier finance arrangements on an entity's liabilities and cash flows, and the entity's exposure to liquidity risk.

**Impact:** The Company has assessed its supplier finance arrangements and determined that the amendments do not have a material effect on its disclosures.

#### iv. IFRS 1 / IAS 21 – Lack of Exchangeability

The amendments clarify the determination of exchange rates where exchangeability is lacking. The entity must disclose the nature and financial impact of the lack of exchangeability.

**Impact:** These amendments did not have a material impact on the Company's financial statements.

### ii) New Standards and Interpretations Not Yet Adopted

The following new standards and amendments have been issued but are not yet effective and have not been early adopted by the Company. Management intends to adopt the standards when they become effective, subject to endorsement where applicable. The expected impacts of these standards are being assessed.

| Standard / Amendment                                                                                    | Effective Date |
|---------------------------------------------------------------------------------------------------------|----------------|
| IFRS 10 / IAS 28: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture | 1 January 2026 |
| IFRS 9 / IFRS 7: Contracts Referencing Nature-dependent Electricity                                     | 1 January 2026 |
| IFRS 9 / IFRS 7: Classification and Measurement of Financial Instruments                                | 1 January 2026 |
| IFRS 18 / IAS 1: Presentation and Disclosure in Financial Statements                                    | 1 January 2027 |
| IFRS 19: Subsidiaries without Public Accountability – Disclosures                                       | 1 January 2027 |
| IFRS S1: General Requirements for Sustainability-related Financial Disclosures                          | 1 January 2027 |
| IFRS S2: Climate-related Disclosures                                                                    | 1 January 2027 |

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 3. Application of New and Revised IFRS Accounting Standards as issued by the International Accounting Standards Board (continued)

### ii) New Standards and Interpretations Not Yet Adopted (continued)

#### i. IFRS 10 / IAS 28 – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

These amendments address the inconsistency between IFRS 10 and IAS 28 regarding the sale or contribution of assets between an investor and its associate or joint venture. The recognition of full or partial gains depends on whether the transferred assets constitute a business.

**Management assessment:** Ongoing. Relevant to diversification initiatives.

#### ii. IFRS 9 / IFRS 7 – Contracts Referencing Nature-dependent Electricity

Applicable to contracts linked to electricity generation dependent on uncontrollable natural conditions. Entities must disclose variability, risk exposure, commitments, and financial effects.

**Management assessment:** Ongoing. Relevance to power purchase agreements and variability risk is under review.

#### iii. IFRS 9 / IFRS 7 – Classification and Measurement of Financial Instruments

The amendments clarify: - Derecognition timing for financial liabilities settled via electronic transfers; - Contractual cash flow characteristics of financial assets with contingent features; - Disclosure requirements for equity instruments and contingent features.

**Management assessment:** Ongoing.

#### iv. IFRS 18 / IAS 1 – Presentation and Disclosure in Financial Statements

This standard aims to improve the consistency and transparency of presentation and disclosures. It requires clearly identifiable financial statements, consistent classification, and enhanced disclosure of entity-specific information including comparative and narrative details.

**Impact:** Not expected to have a material impact on the Company.

#### v. IFRS 19 – Subsidiaries without Public Accountability: Disclosures

Permits eligible subsidiaries to apply full IFRS recognition and measurement requirements with reduced disclosures.

**Applicability:** Not applicable to the Company's operations.

#### vi. IFRS S1 – General Sustainability-related Financial Disclosure Requirements

Requires disclosure of all material sustainability-related risks and opportunities relevant to investor decision-making. It links sustainability information with financial statements and refers to industry-specific standards.

**Management assessment:** Ongoing.

#### vii. IFRS S2 – Climate-related Disclosures

Mandates disclosures on climate-related strategy, governance, risk management, metrics, and targets. Includes scenario analysis and emissions reporting across Scopes 1, 2, and 3.

**Management assessment:** Ongoing.

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information

### (a) Foreign currency translation

#### *Functional and presentation currency*

Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Kenya Shillings in thousands (Shs '000) which is the Company's functional currency.

#### *Transactions and balances*

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuations where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the income statement, except for differences arising on translation of non-monetary financial assets carried at fair value through other comprehensive income, which are recognized in other comprehensive income.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in profit or loss within 'finance income or cost'. All other foreign exchange gains and losses are presented in profit or loss within 'gains/ losses-net'.

### (b) Revenue Recognition

The Company recognizes revenue as and when it satisfies performance obligation by transferring control of services to Kenya Power and other customers. The amount of revenue recognized is the amount the Company expects to receive in accordance with the terms of the contract, and excludes amounts collected on behalf of third parties such as Value Added Tax and withholding taxes. Other income and finance income are recognized as and when earned.

Revenue recognition is in accordance with IFRS 15 which provides a single control-based revenue recognition model and clarifies the principles for recognising revenue from contracts with customers. The core principle is that an entity should recognize revenue to depict the transfer of promised goods or services to customers at an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Revenue is recognized when a customer obtains control of a good or service. Customers obtain control when they can direct the use of and obtain the benefits from the good or service.

The principal activity of the Company is to generate and sell electricity to the authorised distributor, Kenya Power and Lighting Company. The performance obligation is the supply of electricity, and the terms of the contracts can be regarded as electricity service contracts.

**Electricity revenue** is recognized based on available capacity and energy sold to the authorised distributor's transmission systems. The Power Purchase Agreements (PPAs) with the Kenya Power and Lighting Company (Kenya Power)) provide for the following categories of revenue:

- **Capacity revenue** – This relates to the amounts earned from Kenya Power in respect of the contracted capacity as provided for in the PPAs. The charge rates comprise of the investment component and a fixed charge. Contracted capacity is expressed in Megawatts (MW).
- **Energy revenue** – This relates to the amounts earned from Kenya Power in respect of the Net Electrical Output (NEO) as provided for in the PPAs. NEO refers to the electrical energy delivered to Kenya Power from the plant measured in Kilowatt hours (kWh).

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (b) Revenue Recognition

#### *Steam Revenue*

KenGen acts as a principal with regards to steam revenue. Steam revenue is recognized based on the geothermal power sold to the authorised distributor's transmission system as provided for in the PPAs. Steam revenue is divided into the following categories;

- Third party steam revenue – This relates to steam revenue earned from Kenya Power relating to steam purchased from a third party, Geothermal Development Company (GDC). The GDC wells from which this steam is obtained are managed by KenGen. Out of the total revenue generated, 69.5% is billed by GDC and is recognized as a cost, under steam costs.
- KenGen steam revenue- This relates to steam revenue earned from Kenya Power for the use of steam obtained from KenGen's own wells.

#### *Fuel charge*

Fuel charge is recognized based on amounts billed to Kenya Power for fuel used in the generation of electricity. The fuel revenue is billed based on a predetermined formula embedded in the Power Purchase Agreements (PPAs). The corresponding cost incurred by the Company for the fuel used in the power generation is recognized as a cost, under reimbursable expenses.

#### *Water charge*

Water charge is recognized based on amounts billed to Kenya Power for water used in the generation of electricity. The corresponding cost incurred by the Company for the water used in the power generation is recognized as a cost, under reimbursable expenses.

#### *Revenue from diversification sources*

Revenue from diversification sources is recognized in accordance with IFRS 15 upon satisfaction of contractual performance obligations, which typically occurs when consultancy, drilling, or construction services are rendered to customers. These revenues arise from consultancy and geoscientific advisory engagements as well as drilling and related services performed under contracts in various regional markets, including Ethiopia, Djibouti, and Eswatini.

#### *Revenue from other sources*

#### *Other income*

Other income comprises mainly of rental income, club revenues, insurance compensation and consultancy fees. Rental income arises from operating leases and is recognized on a straight-line basis over the period of the lease. Club revenues, insurance compensation and consultancy fees are recognized when earned. Rental income is recognized in the income statement as it accrues using the effective rent or rates in lease agreements.



# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### Finance income

Interest income is recognized on a time proportion basis using the effective interest method. Interest is earned through investment of surplus funds on call or fixed deposits. For financial assets that have subsequently become credit-impaired, interest income is recognised by applying the effective interest rate to the amortised cost of the financial asset. Interest income from Kenya Power arises from delayed payments of electricity sales as per the Power Purchase Agreements (PPAs).

The company recognizes revenue from electricity sales in line with IFRS 15 when performance obligations are satisfied by transferring control to customers, primarily Kenya Power and Lighting Company PLC. KenGen also regularly reviews its contracts to ensure that revenue recognition aligns with IFRS 15 principles.

Key judgements in revenue recognition include:

#### Timing of Satisfaction of Performance Obligations:

Revenue is recognized when electricity or steam is delivered to the customer, reflecting contracted capacity (MW) and energy output (kWh) under Power Purchase Agreements (PPAs). Both electricity and steam revenue is therefore earned at a point in time. Steam revenue is recognized based on whether the steam comes from KenGen's wells or third-party wells.

#### Transaction Price and Allocation:

The transaction price, determined by PPAs, includes fixed and variable charges for capacity and energy. Fuel and water charges are calculated using predetermined formulas and considering related costs.

Revenue from diversification sources, including consultancy services, is recognized upon fulfilling performance obligations.

### (c) Grants

Government grants are not recognized until there is reasonable assurance that the Company will comply with the conditions attaching to them and that the grants will be received. Grants from National Government are recognized in the year in which the Company actually receives such grants. Recurrent grants are recognized in the statement of comprehensive income.

Development/capital grants are recognized in the statement of financial position and realised in the statement of comprehensive income over the useful life of the assets that has been acquired using such funds.

### (d) Taxation

Income tax expense is the aggregate amount charged/(credited) in respect of current tax and deferred tax in determining the profit or loss for the year. Tax is recognized in the profit and loss account except when it relates to items recognized in other comprehensive income, in which case it is also recognized in other comprehensive income, or to items recognized directly in equity, in which case it is also recognized directly in equity.

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (d) *Taxation (continued)*

#### (i) **Current tax**

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date. The Directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

#### (ii) **Deferred tax**

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the financial statements and their respective tax bases. Measurement is based on tax rates and laws enacted or substantively enacted at the reporting date and reflects the manner in which the Company expects to recover assets or settle liabilities.

Deferred tax liabilities are recorded for taxable temporary differences, such as accelerated tax depreciation or fair value gains, except where they arise on the initial recognition of an asset or liability in a transaction that is not a business combination and affects neither accounting profit nor taxable profit at the time of the transaction.

Deferred tax assets are recognized for deductible temporary differences and the carryforward of unused tax losses or credits, but only to the extent that it is probable that future taxable profits will be available to utilize them. The recoverability of deferred tax assets is reassessed at each reporting date.

For investment property measured at fair value, deferred tax is generally recognized on the presumption that the carrying amount will be recovered through sale.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax balances and they relate to income taxes levied by the same taxation authority on the same entity, or on different entities intending to settle on a net basis.

### (e) *Employment Benefits*

#### (i) **Retirement benefit obligation**

##### **Defined contribution**

The Company operates a defined contribution retirement benefits plan for its employees, the assets of which are held in a separate trustee administered scheme managed by an insurance Company. A defined contribution plan is a plan under which the Company pays fixed contributions into a separate fund and has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current or prior periods. The Company's contributions are charged to the profit and loss account in the year to which they relate.

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (e) *Employment Benefits (continued)*

#### (i) Retirement benefit obligation (continued)

##### **Defined benefit**

The Company also operated a defined benefit scheme until 2011 when the scheme was closed to new entrants. Further details on the scheme are provided in note 29.

The liability/asset recognized in the balance sheet in respect of the defined benefit scheme is the present value of the defined benefit obligations at the balance sheet date less the fair value of the plan assets. The defined obligation is calculated annually by independent actuaries using the projected unit credit method.

The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reduction in future contributions to the plan. The net defined benefit asset is the surplus adjusted for any effect of limiting it to the asset ceiling. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates of high-quality corporate bonds that are denominated in the functional currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

The following components of defined benefit cost are included in profit or loss:

- The service cost of the defined benefit plan (comprising current service costs, past service costs and any gain or loss on settlement)
- The net interest on the net defined benefit liability/asset.

Remeasurements of the net defined benefit liability/asset are recognized in other comprehensive income, with no reclassification to profit or loss in a subsequent period. Remeasurements comprise actuarial gains/losses and the return on plan assets, excluding amounts included in net interest on the net defined benefit liability/asset.

#### **Contributions to National Social Security Fund (NSSF)**

The Company and its employees also contribute to the National Social Security Fund (NSSF), a national defined contribution scheme. Contributions are determined by local statute and the Company's contributions are charged to the profit and loss account in the year to which they relate.

#### (iii) Termination benefits

Company employees who retire at retirement age or whose services are terminated for reasons other than gross misconduct are entitled to gratuity payments in accordance with the prevailing unionisable staff Collective Bargaining Agreement. Service gratuity is provided in the financial statements as it accrues to each employee. Employees engaged in contract terms are entitled to service gratuity after the expiry of the contract. Liabilities recognised in respect of contract employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related service.

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (iv) Leave Entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the balance sheet date is recognized as an employment cost accrual.

### (v) Other benefits

A liability is recognised for benefits accruing to employees in respect of wages and salaries, service gratuity, and annual leave in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service.

### (f) *Property, plant and equipment*

All categories of property, plant and equipment are initially recognized at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Land and buildings, transmission lines and plant and equipment and fittings are subsequently carried at a revalued amount, based on valuations by external independent valuers, less accumulated depreciation and accumulated impairment losses. Computer software, including the operating system, that is an integral part of the related hardware is capitalized as part of the computer equipment under intangible assets. All other items of property, plant and equipment are subsequently carried at cost less accumulated depreciation and accumulated impairment losses.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that it will increase the future economic benefits associated with the item that will flow to the Company over those originally assessed and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the profit or loss in the year in which they are incurred.

Depreciation is calculated using the straight-line method to write down the cost or the revalued amount of an asset over its useful life.

Increases in the carrying amount arising on revaluation are recognized in other comprehensive income and accumulated in equity under the heading 'property revaluation reserve'. Decreases that offset previous increases of the same asset are recognized in other comprehensive income. All other decreases are charged to profit or loss. Annually, the difference between the depreciation charge based on the revalued carrying amount of the asset charged to profit or loss and depreciation based on the asset's original cost (excess depreciation) is transferred from the revaluation surplus reserve to retained earnings.



# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

Below are Classes of Assets and the Rate of Depreciation (%)

| Class of Asset                                | Rate of Depreciation (%) |
|-----------------------------------------------|--------------------------|
| <b>Freehold Land</b>                          | <b>Not Applicable</b>    |
| <b>Leasehold Land</b>                         | <b>Lease period</b>      |
| <b>Buildings</b>                              |                          |
| - Permanent                                   | 2.85                     |
| - Semi-Permanent                              | 10                       |
| - Air strip                                   | 20                       |
| - Street Lighting                             | 10                       |
| <b>Internal Roads</b>                         |                          |
| - Bitumen Roads                               | 10                       |
| - Earth Roads                                 | 50                       |
| - Concrete Bridge                             | 10                       |
| <b>Transmission Lines and Transformers</b>    | 2.5                      |
| <b>Plant and Machinery:</b>                   |                          |
| <b>Hydro Plants:</b>                          |                          |
| - Intakes and Tunnels                         | 1                        |
| - Dams/Reservoir                              | 1                        |
| - Hydro Plants                                | 2                        |
| Geothermal Plants                             | 4                        |
| Geothermal Wells                              | 4                        |
| Geothermal Wellheads                          | 4                        |
| Thermal Plants                                | 5                        |
| Wind Plants                                   | 5                        |
| Rigs                                          | 6.67                     |
| <b>Motor Vehicles:</b>                        |                          |
| - Heavy Earth Moving Equipment                | 25                       |
| - Heavy Commercial Vehicles                   | 25                       |
| - Motor Cars                                  | 25                       |
| - Electric Cars                               | 25                       |
| - Motor cycles                                | 25                       |
| - Boat                                        | 25                       |
| <b>Furniture, Fixtures &amp; Fittings</b>     | 6.67                     |
| <b>Tools, Implements and Equipment,</b>       | 20                       |
| <b>Office Machines:</b>                       |                          |
| - Computers, Laptops and Printers             | 25                       |
| - Office application Servers, and ICT gadgets | 30                       |
| - Electronics General                         | 30                       |
| <b>Intangible Assets:</b>                     |                          |
| Plant Monitoring Software                     | 5                        |
| Licenses and Software                         | License period           |
| Intellectual Property                         | License period           |

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (f) Property, plant and equipment (continued)

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item, is depreciated separately. The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each financial reporting date.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are considered in determining operating profit. On disposal of revalued assets, amounts in the revaluation surplus reserve relating to that asset are transferred to retained earnings.

All productive wells are capitalized in property, plant and equipment when connected and are depreciated over their useful lives. The useful life is currently estimated to be twenty-five years from the date of commencement of commercial operation. The unproductive wells are utilized for reinjection in the steam fields for reservoir sustainability.

#### Capitalisation of employee costs

The employee costs directly attributable to projects associated with development of power generating resources are capitalized. Capitalisation rates are based on estimated time and effort spent on the related project activities.

#### Capitalisation of depreciation and Amortization

The depreciation and amortization costs directly attributable to projects associated with development of power generating resources are capitalized. Capitalisation rates are based on estimated depreciation rates and time of use by the project.

### (g) Intangible assets

Intangible assets comprise of computer software, Licences and SCADA acquired for business process and operations. Those acquired separately are measured on initial recognition at cost less subsequent amortization and any accumulated impairment losses. The SCADA is part of the operation of the power plants and is assessed for impairment during revaluation of assets. The useful life of the assets depends on the duration of the licences. Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at the reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the Amortization period or method, as appropriate, and are treated as changes in accounting estimates.

The amortization expense on intangible assets with finite lives is recognized in the profit or loss in the expense category consistent with the function of the intangible asset. An intangible asset is derecognized on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in profit or loss when the asset is derecognized.

### (h) Impairment of tangible and intangible assets

At each reporting date the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they

# Notes to the Financial Statements (Cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (h) Impairment of tangible and intangible assets (continued)

are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognized immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash-generating unit) in prior years adjusted for subsequent depreciation. A reversal of an impairment loss is recognized immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

### (i) Right of Use Asset

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day, less any lease incentives received and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses. However, leasehold land is initially recognized at cost and is subsequently carried at a revalued amount, based on valuations by external independent valuers, less accumulated depreciation, and accumulated impairment losses.

Whenever the entity incurs an obligation for costs to dismantle and remove a leased asset, restore the site on which it is located or restore the underlying asset to the condition required by the terms and conditions of the lease, a provision is recognized and measured under IAS 37. To the extent that the costs relate to a right-of-use asset, the costs are included in the related right-of-use asset, unless those costs are incurred to produce inventories. Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. If a lease transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the entity expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset. The depreciation starts at the commencement date of the lease. The right-of-use assets are presented as a separate line in the consolidated statement of financial position.

Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

- i. Land 2 to 99 years
- ii. Buildings 2 to 35 years
- iii. Plant and machinery 2 to 20 years
- iv. Motor vehicles and other equipment 2 to 5 years

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (i) Right of Use Asset (continued)

The Company applies IAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Property, plant and equipment' policy.

### (j) Borrowings

KenGen's borrowings and debt management play a crucial role in its financial health and ability to fund ongoing and future projects. KenGen's borrowing involves securing funds through various financial instruments, including:

- **Loans from Financial Institutions:** KenGen secures both local and international loans to finance its projects, particularly those related to expanding and upgrading its power generation capacity.
- **Corporate Bonds:** The company has issued corporate bonds in the past to raise capital from the public and institutional investors.
- **Government Support:** As a state-owned enterprise, KenGen sometimes receives financial support or guarantees from the Kenyan government, which can facilitate access to favourable loan terms.
- KenGen's debt structure typically includes both short-term and long-term borrowings. Key Considerations include:
  - **Interest Rates:** The cost of borrowing is influenced by prevailing interest rates, which can impact the company's profitability and cash flow.
  - **Currency Risk:** Given that most of the loans are in foreign currencies, the company is exposed to currency risk, which can affect the cost of servicing its debt.
  - **Debt Servicing Capacity:** The Company's ability to generate sufficient cash flow to meet its debt obligations is a key measure of its financial health.
  - **Debt to Equity Ratio:** This ratio indicates the proportion of debt used in the company's capital structure and is an important indicator of financial leverage.

Borrowings are classified as non-current liabilities unless the settlement of the liability is least 12 months after year end or a event has occurred to have it paid in advance.

Borrowings for the financial year ended 30 June 2025 is found in note 28.

### Commitment expenses

Commitments fee paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is expensed to the project as occurred.

### Capitalization of borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation. Capitalized costs include interest charges on borrowings for projects under construction. All other borrowing costs are recognized in profit or loss in the period in which they are incurred.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (k) Inventories

Inventories are valued at the lower of cost or net realisable value. Cost is determined on a moving average basis and comprises expenditure incurred in the normal course of business, including direct material costs. Net realisable value is the price at which the inventory can be realized in the normal course of business after allowing for the costs of realisation. Obsolete and defective inventories are fully provided for write off.

Engineering spares which are used for more than one period are categorized as plant and equipment. All other spares used on normal operations are categorized as consumables and classified under inventory.

### (l) Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. At initial recognition, the Company measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability.

#### Financial assets

##### Classification and measurement

The Company recognizes financial assets when it first becomes a party to the contractual rights and obligations in the contract. The company's financial assets comprise of trade and other receivables, treasury bonds, cash and cash equivalents and financial assets at fair value through profit or loss. The classification requirements for debt instruments are described below:

Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the company assesses whether the financial instruments' cash flows represent solely payments of principal and interest (the 'SPPI test'). In making this assessment, the entity considers whether the contractual cash flows are consistent with a basic lending arrangement, i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

Debt instruments held by the Company are now classified under these categories; Amortized Cost, Fair Value Through Other Comprehensive Income (FVOCI) or Fair Value Through Profit or Loss (FVPL).

##### Subsequent measurement

Based on the business model and the cash flow characteristics, the Company classifies its debt instruments into amortized cost or fair value categories for financial instruments. Movements in fair value are presented in either profit or loss or other comprehensive income (OCI), subject to certain criteria being met.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (I) Financial instruments (continued)

#### Financial assets (continued)

##### Amortized cost

Financial assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest, and that are not designated at FVPL, are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is de-recognized or impaired. Interest income from these financial assets is included in finance income using the effective interest rate method.

##### Fair value through other comprehensive income (FVOCI)

Financial assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognized in profit and loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss and recognized in other gains/ (losses). Interest income from these financial assets is included in finance income using the effective interest rate method.

##### Fair value through profit or loss (FVPL)

Financial assets that do not meet the criteria for amortized cost or FVOCI are measured at fair value through profit or loss. A business model where KenGen manages financial assets with the objective of realizing cash flows through solely the sale of the assets would result in an FVPL business model.

##### Impairment

The Company assesses, on a forward-looking basis, the expected credit loss ('ECL') associated with its debt instrument assets carried at amortized cost and FVOCI. The Company recognizes a loss allowance for such losses at each reporting date. Critical estimates and significant judgments made by management in determining the expected credit loss (ECL) are set out in Note 5.

##### De-recognition

Financial instruments or a portion thereof, are derecognized when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either the Company transfers substantially all the risks and rewards of ownership, or neither transfers nor retains substantially all the risks and rewards of ownership and the Company has not retained control.

##### Fixed interest investments (bonds)

Fixed interest investments refer to investment funds placed under Central Bank of Kenya (CBK) long-term infrastructure bonds and other corporate bonds with the intention of earning interest income upon the bond's disposal or maturity. Fixed interest investments are freely traded at the Nairobi Securities Exchange. The bonds are measured at fair value through profit or loss.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (l) Financial instruments (continued)

#### Financial assets (continued)

##### Trade and other receivables

Trade and other receivables are recognized at fair values less allowances for any uncollectible amounts. The Company has a credit period of 40 days with Kenya Power and 30 days for other customers, after which they are considered as overdue. These are assessed for impairment on a continuing basis after 90 days. An estimate is made of doubtful receivables based on a review of all outstanding amounts at the year end.

The company provisions trade and other receivables in accordance with the company's policy on financial instruments. Bad debts are written off after all efforts at recovery have been exhausted.

##### Financial liabilities

Financial liabilities are classified as subsequently measured at amortized cost, except for financial liabilities at fair value through profit or loss.

##### De-recognition

Financial liabilities are derecognized when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

### (m) Lease Liabilities

The Company assesses whether a contract is or contains a lease at inception of the contract. The Company recognises a right of use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee, except for short term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. For these leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which the economic benefits from the leased assets are consumed.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the Company uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprises of fixed lease payments (including the substance fixed payments), less any lease incentives.

The lease liability is presented as a separate line in the statement of financial position. The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method and by reducing the carrying amount to reflect the lease payments made.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (m) Lease Liabilities (continued)

The Company re-measures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

- the lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.
- the lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which cases the lease liability is remeasured by discounting the revised lease payments using the initial discount rate (unless the lease payments change is due to a change in floating interest rate, in which case a revised discount rate is used).
- a lease contract is modified, and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

The Company did not make any such adjustments during the periods presented.

Variable rents that do not depend on an index or rate are not included in the measurement of the lease liability and the right-of-use asset. The related payments are recognised as an expense in the period in which the event or condition that triggers those payments occurs and are included in the line 'Other expenses' in the statement of the profit or loss.

### (n) Share capital

Ordinary shares are classified as share capital in equity. Any premium received over and above the par value (Shs 2.50) of the shares is classified as share premium in equity. Ordinary shares represent the residual economic value of a Company. They carry rights to distribution of profits through dividend, to the surplus assets of a Company on a winding up and to votes at general meetings of the Company. There are no differences in the voting rights of the ordinary shares held by the shareholders of the Company.

### Dividends on ordinary shares

Dividends on ordinary shares are recognized as a liability and deducted from retained earnings when approved by the Company's shareholders. Interim dividends are deducted from retained earnings when they are declared and no longer at the discretion of the Company.

### Basic earnings per share

Basic earnings per share is calculated by dividing:

- the profit attributable to owners of the company, excluding any costs of servicing equity other than ordinary shares
- by the weighted average number of ordinary shares outstanding during the financial year, adjusted for bonus elements in ordinary shares issued during the year.

### (o) Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) resulting from a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. This includes provisions for employee leave pay and other similar obligations.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 4. Summary of Material Accounting Policy Information (continued)

### (p) Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash at bank, short-term deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. Bank account balances include amounts held at various commercial banks at the end of the reporting period. For the purposes of these financial statements, cash and cash equivalents also include short term cash imprests and petty cash accounted for at the end of the financial year.

### (q) Restricted Cash

Restricted Cash represents cash and cash equivalents that are set aside for specific purposes and not available for general use by the Company. These funds are segregated from the Company's operational cash and are held for purposes such as compliance with contractual obligations, collateral for borrowings, or other restrictions imposed by legal or regulatory requirements.

Classification and Measurement: Restricted cash is classified as either current or non-current on the statement of financial position based on the nature of the restriction and the expected timing of its release. Current restricted cash is expected to be used within the next 12 months, while non-current restricted cash pertains to funds that will be used beyond this period.

Presentation: The restricted cash is presented separately from unrestricted cash to provide a clear distinction between funds that are readily available for operational purposes and those that are restricted

Restricted cash comprise deposits held with Stima DT Sacco Limited and KCB Limited. The cash is used as a backup for the staff car and mortgage loans and its withdrawal is restricted, up to the point when the mortgage has been repaid (See note 24 (b)).

### (r) Payables and Accruals

Payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers and are classified as current liabilities if payment is due within 12 months or otherwise, they are presented as non-current liabilities. Payables and accrued expenses are derecognised when the obligation under the liability is discharged or cancelled or expires without claim. Long outstanding payables are assessed for remission to the Unclaimed Financial assets Authority (UFAA). The standard payment terms of the Company are Net 30 or Net 60 depending on negotiations. This includes the time frame within which the company commits to paying its suppliers.

## 5. Material Accounting Judgments and Estimates

### Critical judgements and key sources of estimating uncertainty in applying accounting policies

The preparation of the Company's financial statements in conformity with IFRS Accounting Standards requires management and directors to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

The preparation of financial statements requires the use of accounting estimates which, by definition, will seldom equal the actual results. The Directors also need to exercise judgment in applying the Company's accounting policies.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 5. Material Accounting Judgments and Estimates (continued)

This note provides an overview of the areas that involve a higher degree of judgment or complexity, and major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial years. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

### 5.1 Critical Judgements in Applying the Company's Accounting Policies

In preparing these financial statements, management has made a number of judgements, apart from those involving estimations, that have the most significant effect on the amounts recognised. These judgements involve complex assessments of facts and circumstances, interpretation of contractual terms, and application of the Company's accounting policies in accordance with IFRS Accounting Standards. The following are the critical judgements applied:

#### (a) Classification of leases

Management determines whether a contract contains a lease by evaluating whether the arrangement conveys the right to control the use of an identified asset for a specified period in exchange for consideration. This assessment requires judgement in determining:

- Whether the asset is specifically identified in the agreement.
- Whether the Company obtains substantially all of the economic benefits from use of the asset.
- Whether the Company has the right to direct how and for what purpose the asset is used.

This determination affects whether lease liabilities and right-of-use assets are recognised on the statement of financial position in accordance with IFRS 16.

#### (b) Determination of functional currency

The functional currency is the currency of the primary economic environment in which the Company operates. Determining the functional currency involves considering several factors, including:

- The currency that mainly influences sales prices of electricity.
- The currency of the country whose competitive forces and regulations mainly determine sales prices.
- The currency that mainly influences labour, material, and other costs of providing electricity.

In the Company's case, the Kenya Shilling (KES) has been determined to be the functional currency after evaluating these indicators under IAS 21.

#### (c) Timing of revenue recognition under Power Purchase Agreements (PPAs)

Electricity sales are governed by long-term PPAs with the offtaker. Judgement is required in determining whether revenue is recognised over time or at a point in time. Management assesses:

- Whether the offtaker simultaneously receives and consumes the electricity as it is generated.
- Whether any performance obligations exist beyond delivery of electricity (e.g., capacity charges).
- How adjustments such as deemed energy, capacity penalties, and foreign currency indexation are treated under IFRS 15.

#### (d) Assessment of control, joint control, or significant influence

Where the Company has interests in other entities, management applies IFRS 10, IFRS 11, and IAS 28 to assess the nature of its involvement. This requires judgement in determining whether the Company has:

- Power over the investee's relevant activities.
- Exposure to variable returns from its involvement.
- The ability to use its power to affect those returns.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 5. Material Accounting Judgments and Estimates (continued)

### 5.1 Critical Judgements in Applying the Company's Accounting Policies (continued)

#### (d) Assessment of control, joint control, or significant influence (continued)

KenGen Foundation was established by KenGen PLC as a public charitable trust by Declaration of trust deed dated 2009 and is domiciled in Kenya. The Foundation serves as the philanthropic arm of KenGen and is mandated to: Turn short term one-off CSR (Corporate Social Responsibility) Projects into CSI (Corporate Social Investments); Upscale CSI activities for greater impact and increase and diversify resources available for CSI projects.

The Foundation is wholly controlled by the Company. However, it has not been consolidated as the Foundation is considered immaterial to these financial statements.

#### (e) Classification of financial assets and liabilities

Judgement is exercised in classifying financial instruments under IFRS 9 as measured at:

- Amortised cost.
- Fair value through other comprehensive income (FVOCI).
- Fair value through profit or loss (FVTPL).

This classification impacts how changes in value are recognised in the financial statements.

#### (f) Determining whether arrangements contain embedded derivatives

Certain contracts, such as PPAs and loan agreements, may include terms that meet the definition of embedded derivatives under IFRS 9. Management evaluates whether these derivatives are closely related to the host contract and therefore do not require separate accounting, or whether they must be measured at fair value with changes recognised in profit or loss.

#### (g) Evaluation of provisions and contingent liabilities

The Company considers whether a present obligation exists as a result of a past event and whether settlement is probable. This involves judgement in interpreting contractual obligations, legal requirements, and the likelihood of future events.

#### (h) Capitalisation of borrowing costs

IAS 23 requires borrowing costs to be capitalised on qualifying assets. Management exercises judgement in:

- Determining which projects qualify.
- Establishing the commencement and cessation dates for capitalisation.
- Assessing whether delays or interruptions are substantial enough to suspend capitalisation.

#### (i) Componentisation of property, plant, and equipment

Significant generation assets are composed of major parts that have differing useful lives. Judgement is applied in identifying components that require separate depreciation schedules to ensure an accurate reflection of the asset's consumption pattern in line with IAS 16.

#### (j) Recognition of deferred tax assets

IAS 12 requires that deferred tax assets are recognised only when it is probable that future taxable profits will be available to utilise deductible temporary differences. This involves judgement in assessing:

- Forecasted profitability.
- Reversal patterns of temporary differences.
- Impact of tax laws and potential changes in legislation.

### 5.2 Key Sources of Estimation Uncertainty

In addition to the above judgements, the preparation of financial statements requires management to make estimates and assumptions that affect the amounts reported for assets, liabilities, income, and expenses. Actual results may differ from these estimates. The key areas involving estimation uncertainty are as follows:

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 5. Material Accounting Judgments and Estimates (continued)

### 5.2 Key Sources of Estimation Uncertainty (continued)

#### (a) Useful lives of property, plant, and equipment

Determining the useful lives and residual values of significant assets requires estimation based on historical experience, expected usage patterns, technical evaluations, and industry practices. Changes in technology, market demand, or regulatory requirements may necessitate adjustments.

#### (b) Fair value measurements

For assets and liabilities measured at fair value, such as certain financial instruments, management uses valuation techniques involving observable and unobservable inputs. The choice of methodology and assumptions (e.g., discount rates, market prices, expected cash flows) can significantly affect the reported amounts.

#### (c) Impairment of non-financial assets

When indicators of impairment exist, management estimates the recoverable amount of the asset or cash-generating unit by discounting estimated future cash flows. This involves significant estimation of:

- Future revenue and operating costs.
- Long-term discount rates.
- Residual values.

#### (d) Provision for asset retirement and environmental restoration

The Company estimates the future cost of dismantling and removing generating assets and restoring the site. These estimates are based on:

- i) Current legal requirements
- ii) Expected technological changes
- iii) Estimated timing of settlement

#### (e) Expected credit losses (ECL) on receivables

The Company applies the simplified approach under IFRS 9 to measure ECLs for trade receivables. This requires the use of historical default rates, adjusted for forward-looking information such as macroeconomic conditions, inflation, and the creditworthiness of the offtaker. The parameters and assumptions applied in the calculation of Expected Credit Losses (ECL) during the current period are consistent with those used in the previous reporting period. No changes have been made to the methodologies, inputs, or forward-looking assumptions applied in determining ECL.

#### (f) Provisions for legal and other claims

Where litigation or disputes are in progress, the Company estimates the likely outcome based on legal advice, past experience, and current evidence. The outcome is inherently uncertain and actual results may differ from the estimates made.

#### (g) Inventory valuation

Spare parts and consumables are carried at the lower of cost and net realisable value. Estimation is required to determine whether inventory is obsolete or slow-moving and whether provisions are required.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 6. Revenue

### a) Disaggregation of revenue from contracts with customers

The Company derives revenue from the transfer of goods and services in the following revenue types.

|                                       | Geothermal<br>Shs 000 | Hydro<br>Shs 000 | Thermal<br>Shs 000 | Wind<br>Shs 000 | Diversified<br>source<br>Shs 000 | Total<br>Shs 000  |
|---------------------------------------|-----------------------|------------------|--------------------|-----------------|----------------------------------|-------------------|
| <b>30 June 2025</b>                   |                       |                  |                    |                 |                                  |                   |
| Electricity revenue                   |                       |                  |                    |                 |                                  |                   |
| • Capacity                            | 20,963,717            | 7,783,901        | 2,649,076          | -               | -                                | 31,396,694        |
| • Energy                              | 6,485,067             | 1,632,419        | 497,868            | 398,216         | -                                | 9,013,570         |
|                                       | 27,448,784            | 9,416,320        | 3,146,944          | 398,216         | -                                | 40,410,264        |
| Steam revenue (note 6(c))             |                       |                  |                    |                 |                                  |                   |
| Fuel charge                           | 5,644,330             | -                | -                  | -               | -                                | 5,644,330         |
| Water charge                          | -                     | -                | 9,607,542          | -               | -                                | 9,607,542         |
| Revenue from diversification sources* | -                     | 172,275          | -                  | -               | -                                | 172,275           |
|                                       | -                     | -                | -                  | -               | 263,626                          | 263,626           |
| <b>Total revenue</b>                  | <b>33,093,114</b>     | <b>9,588,595</b> | <b>12,754,486</b>  | <b>398,216</b>  | <b>263,626</b>                   | <b>56,098,037</b> |
| <b>30 June 2024</b>                   |                       |                  |                    |                 |                                  |                   |
| Electricity revenue                   |                       |                  |                    |                 |                                  |                   |
| • Capacity                            | 21,710,393            | 7,887,730        | 2,341,426          | -               | -                                | 31,939,549        |
| • Energy                              | 6,813,130             | 1,696,049        | 375,528            | 428,116         | -                                | 9,312,823         |
|                                       | 28,523,523            | 9,583,779        | 2,716,954          | 428,116         | -                                | 41,252,372        |
| Steam revenue (note 6(c))             |                       |                  |                    |                 |                                  |                   |
| Fuel charge                           | 6,875,964             | -                | -                  | -               | -                                | 6,875,964         |
| Water charge                          | -                     | -                | 7,923,700          | -               | -                                | 7,923,700         |
| Revenue from diversification sources* | -                     | 166,593          | -                  | -               | -                                | 166,593           |
|                                       | -                     | -                | -                  | -               | 78,593                           | 78,593            |
| <b>Total revenue</b>                  | <b>35,399,487</b>     | <b>9,750,372</b> | <b>10,640,654</b>  | <b>428,116</b>  | <b>78,593</b>                    | <b>56,297,222</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 6. Revenue (continued)

### a) Disaggregation of revenue from contracts with customers (continued)

\*This relates to revenue earned through drilling and consultancy services. The projects span across the region in Ethiopia, Djibouti, and Eswatini, covering drilling, rig management, and technical support. The Company also earns revenue from supporting Kenya Petroleum Refineries Limited (KPRL) in restoring a 9.2 MW power plant in Changamwe, billed based on costs incurred. These revenues reflect the Company's growing regional presence and expertise in geothermal development.

### b) Deferred income - Contract assets and liabilities

During the year, the Company entered into various drilling and consultancy service contracts in Tanzania. In line with the contractual terms, the Company received advance payments of Shs. 47,675,000 as at 30 June 2025 (2024: Shs. nil). These amounts have been recognised as contract liabilities (deferred income) and will be released to revenue as the related services are rendered. The balances are disclosed under sundry creditors and accruals in Note 33.

Contract liabilities arise in the following circumstances:

- Advance payments – Amounts received in advance are recognised as contract liabilities until control of services is transferred to the customer at which point revenue is recognised.
- Maintenance services – Reimbursements relating to maintenance of the Garissa Solar Plant are recognised as revenue over time, even though customers make full payment upfront.

### c) Steam revenue

|                                        | 2025<br>Shs'000  | 2024<br>Shs'000  |
|----------------------------------------|------------------|------------------|
| Third party revenue*                   | 4,808,531        | 6,072,378        |
| KenGen steam revenue**                 | 835,799          | 803,586          |
| <b>Total steam revenue (Note 6(a))</b> | <b>5,644,330</b> | <b>6,875,964</b> |

\*This relates to steam income from wells vested to Geothermal Development Company.

\*\*This relates to income from KenGen's own wells.

## 7. Reimbursable expenses

|                          | 2025<br>Shs'000  | 2024<br>Shs'000  |
|--------------------------|------------------|------------------|
| Fuel costs <sup>1</sup>  | 9,474,812        | 7,836,831        |
| Water costs <sup>2</sup> | 172,275          | 166,593          |
|                          | <b>9,647,087</b> | <b>8,003,424</b> |

<sup>1</sup> In line with the provisions of the Power Purchase Agreements, the Company is reimbursed by the Kenya Power and Lighting Company Plc for fuel costs incurred in the production of thermal electricity based on pre-agreed plant fuel usage.

<sup>2</sup>The Water Resource Management Rules 2007 (Water Regulations) was Gazetted by the Government through Legal Notice No. 171 of September 2007. The regulation provided for water use charge at the rate of 0.05 Shs/kWh for power plants with capacity of over 1MW. With approval from the Energy Regulatory Commission (Now Energy and Petroleum Regulatory Authority), the Company is reimbursed by the Kenya Power and Lighting Company Plc for the cost of water charges.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 8. Other income

|                                                              | 2025<br>Shs'000 | 2024<br>Shs'000  |
|--------------------------------------------------------------|-----------------|------------------|
| Insurance compensation*                                      | 316,170         | 782,082          |
| Club income**                                                | 104,197         | 166,813          |
| Miscellaneous income***                                      | 140,735         | 175,270          |
| Rent receivable                                              | 59,161          | 60,257           |
| Geothermal spa                                               | 32,384          | 25,118           |
| Contract asset reimbursement****                             | -               | 83,148           |
| Gain on disposal of property, plant and equipment Note 35(d) | 198,492         | 3,846            |
|                                                              | <b>851,139</b>  | <b>1,296,534</b> |

\* The insurance compensation received mainly relates to fire claim for Well Head that occurred in the year 2021 and fire claim for Olkaria II-unit 3 for current and prior year.

\*\* Club income relates to income earned from the staff welfare clubs in the various operational areas.

\*\*\* Miscellaneous income relates to income earned from disposal of obsolete materials, sludge, sale of tenders, sale of water, supply of steam for heating purposes, and training facilitation.

\*\*\*\* Contract asset reimbursement from financial asset relates to reimbursable of interest paid on behalf of KETRACO.

## 9. Other gains /(losses)– net foreign exchange and fair valuation of financial assets

|                                                                                                                         | 2025<br>Shs'000  | 2024<br>Shs'000  |
|-------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
| Realized foreign exchange gain recovered through billing- others transactions (Note 36(a) (i))                          | 1,465,830        | 1,512,403        |
| Realized foreign exchange loss not billed- borrowings (Note 19)                                                         | (6,317)          | (98,933)         |
| Foreign exchange loss from other monetary items                                                                         | (210,961)        | (1,288,984)      |
| Bond premium expense (Note 18(c))                                                                                       | (13,557)         | (12,355)         |
| Unrealized exchange movement on revaluation of the financial assets held at fair value through profit or loss (Note 19) | 6,955,156        | (16,455,406)     |
| Realized exchange difference on EIB Loan on settlement of KETRACO contract asset (Note 19)                              | -                | (949,982)        |
| Unrealized foreign exchange gain on financial assets not recoverable through KPLC billings (Note 19)                    | 217,934          | 115,734          |
| Unrealized foreign exchange (loss)/gain on borrowings (Note 28(d))                                                      | (6,955,156)      | 16,455,406       |
|                                                                                                                         | <b>1,452,929</b> | <b>(722,117)</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 10. Expenses

### (a) Depreciation and Amortization

|                                                           | 2025<br>Shs'000   | 2024<br>Shs'000   |
|-----------------------------------------------------------|-------------------|-------------------|
| Depreciation (Note (15(a)))                               | 14,360,774        | 15,603,783        |
| Less: Amount capitalized (Note 15(a))                     | (372,551)         | (388,259)         |
|                                                           | 13,988,223        | 15,215,524        |
| Intangible assets- software (Note 16)                     | 253,546           | 245,599           |
| Amortization - Prepaid leases on leasehold land (Note 17) | 81,494            | 80,448            |
| Other Right of Use Assets (Note 17)                       | 161,382           | 166,132           |
|                                                           | 242,876           | 246,580           |
| Total depreciation and amortization charge for the year   | <b>14,484,645</b> | <b>15,707,703</b> |

### (b) Employee expenses

|                                                           | 2025<br>Shs'000  | 2024<br>Shs'000   |
|-----------------------------------------------------------|------------------|-------------------|
| Salaries, wages and other staff costs                     | 9,797,239        | 10,694,684        |
| Welfare and benefits                                      | 894,689          | 786,718           |
| Training expenses                                         | 212,128          | 245,495           |
| Retirement benefit cost:                                  |                  |                   |
| - Defined contribution scheme                             | 718,475          | 735,793           |
| - Defined benefit scheme (credit)/charge (Note 29 (a)(i)) | (49,995)         | 195,607           |
| - National Social Security Fund                           | 68,523           | 36,577            |
|                                                           | 11,641,059       | 12,694,874        |
| Less: Capitalized costs* (Note 15(a))                     | (2,430,922)      | (2,318,808)       |
|                                                           | <b>9,210,137</b> | <b>10,376,066</b> |

\*The employee expenses incurred and attributable to implementation of capital projects are capitalized in line with the application of the Company's accounting policy as disclosed under Note 4.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 10. Expenses (continued)

### Number of employees

|                                                                    | 2025<br>Numbers | 2024<br>Numbers |
|--------------------------------------------------------------------|-----------------|-----------------|
| The number of persons employed by the Company at the year-end was; |                 |                 |
| - Operational employees                                            | 1,809           | 1,880           |
| - Geothermal Development and Business Development departments      | 616             | 635             |
|                                                                    | 2,425           | 2,515           |
| Management staff                                                   | 1,677           | 1,715           |
| Union Staff                                                        | 748             | 800             |
| Total                                                              | 2,425           | 2,515           |
| Permanent employees – management                                   | 1,665           | 1703            |
| Permanent employees – unionizable                                  | 728             | 782             |
| Contract employees-management and Union                            | 32              | 30              |
| Total                                                              | 2,425           | 2,515           |

### (c) Steam costs

|                                 | 2025<br>Shs'000 | 2024<br>Shs'000 |
|---------------------------------|-----------------|-----------------|
| Steam expenses (Note 36(b)(ii)) | 3,496,434       | 4,393,595       |

Steam costs represent amounts payable for steam from Geothermal Development Company wells utilized in generation of power from Olkaria I AU 4 & 5, Olkaria IV and some Wellhead plants. The related income is disclosed under Note 6(c).

### (d) Plant operation and maintenance expenses

|                                  | 2025<br>Shs'000 | 2024<br>Shs'000 |
|----------------------------------|-----------------|-----------------|
| Operation and maintenance costs# | 1,057,410       | 1,983,180       |
| Machinery spares and consumables | 1,280,041       | 1,684,337       |
|                                  | 2,337,451       | 3,667,517       |

#The cost associated with consultancy services as part of revenue diversification amounting to Shs. 146 million (2024: Shs 503 million) have been included in these expenses.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 10. Expenses (continued)

### (e) Other expenses

|                                                  | 2025<br>Shs'000  | 2024<br>Shs'000  |
|--------------------------------------------------|------------------|------------------|
| Insurance                                        | 1,548,986        | 1,645,189        |
| Transport and travelling costs                   | 1,523,464        | 1,291,752        |
| Office                                           | 104,954          | 204,572          |
| Catchment preservation and dam maintenance       | 107,000          | 107,000          |
| Consultants' fees                                | 307,286          | 215,572          |
| Legal and statutory                              | 255,036          | 197,371          |
| Corporate Social Responsibility                  | 79,411           | 115,803          |
| Director's fees and allowances (Note 36(f))      | 23,406           | 22,714           |
| Director's logistical expenses                   | 43,684           | 26,127           |
| Advertising                                      | 68,923           | 83,304           |
| Audit fees                                       | 11,213           | 10,925           |
| Club expenses                                    | 137,451          | 199,598          |
| Provisions and impairment of assets (Note 10(g)) | 376,994          | 1,288,006        |
| Tax expense for foreign operations               | 96,939           | -                |
| Other costs*                                     | 162,658          | 331,727          |
|                                                  | <b>4,847,405</b> | <b>5,739,660</b> |

### (f) Allowance for expected credit losses charge/(credit)

|                                                            | 2025<br>Shs'000 | 2024<br>Shs'000  |
|------------------------------------------------------------|-----------------|------------------|
| Ketraco-Sondu Miriu line (Note 18(a))                      | (1,712)         | (7,463)          |
| KPLC- Olkaria V transmission lines (Note 18(b))            | 108,975         | (49,089)         |
| Treasury bonds (Note 18 (c))                               | (768)           | 678              |
| Ketraco- Olkaria I AU & IV transmission lines (Note 18(d)) | -               | (215,931)        |
| Trade receivables - KPLC debt (Note 21)                    | 364,284         | (399,387)        |
| Other receivables (Note 22)                                | 244,680         | (195,494)        |
| Cash and cash equivalents (Note 24 (a))                    | 39,136          | 292,333          |
| Restricted cash (Note 24 (b))                              | 7,802           | 6,987            |
|                                                            | <b>762,397</b>  | <b>(567,366)</b> |

### (g) Impairment and provisions for assets

|                                         | 2025<br>Shs'000 | 2024<br>Shs'000  |
|-----------------------------------------|-----------------|------------------|
| Provision for inventory obsolescence    | 40,640          | 335,698          |
| Impairment of CWIP costs (Note 15(a))** | 538,052         | 39,478           |
| Impairment of assets ***                | (201,698)       | 912,830          |
|                                         | <b>376,994</b>  | <b>1,288,006</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 10. Expenses (continued)

### (g) Impairment and provisions for assets (Continued)

\*Other costs mainly comprise of subscriptions, environmental management costs, innovation, research and development, disaster management cost among others.

\*\* The current year impairment relates to feasibility studies undertaken for prospective generation projects which, upon review, were determined not to be economically viable or were discontinued at preliminary stages. In line with IAS 36 – Impairment of Assets, the carrying amounts of these feasibility study costs, previously capitalized under capital work in progress, were written down to their recoverable amounts (nil), as no future economic benefits are expected to flow from the studies. This treatment ensures that only costs associated with viable projects continue to be carried forward as assets in the financial statements.

\*\*\* Relates to reversal of Impairment for Muhoroni power plant after resumption of operations. Prior year relates to impairment of assets.

## 11. Finance income

|                                                                             | 2025<br>Shs'000  | 2024<br>Shs'000  |
|-----------------------------------------------------------------------------|------------------|------------------|
| Interest income from Kenya Power and Lighting Company Plc (Note 36(a)(i)) * | 303,717          | 710,165          |
| Interest income from treasury bonds                                         | 282,022          | 282,795          |
| Interest income from banks and other financial institutions                 | 3,466,463        | 3,147,569        |
| Interest on Olkaria V financial asset (Note 18(b))                          | 51,848           | 53,686           |
| Interest income from staff advances                                         | 5,811            | 7,530            |
|                                                                             | <b>4,109,861</b> | <b>4,201,745</b> |

\*This relates to interest penalties charged to Kenya Power on account of delayed settlement of invoices. Interest on late payments accrues upon the expiry of 40 days from the billing date and acknowledgment of the invoice by Kenya Power, or upon lapse of the agreed credit period, whichever comes earlier.

The Company earned Shs 3,748,485,363 in 2025 (2024: 3,430,364,328) in interest income from cash and investments, achieving an effective annual rate of 11.1% in 2025 (2024:12.1%). This reflects returns consistent with prevailing market rates on short- and long-term placements.

## 12. Finance costs

|                                             | 2025<br>Shs'000  | 2024<br>Shs'000  |
|---------------------------------------------|------------------|------------------|
| Interest on borrowings                      | 2,694,828        | 3,404,758        |
| Interest on leases as per IFRS 16 (Note 31) | 103,246          | 155,794          |
| Less: capitalized interest* (Note 15(a))    | (544,617)        | (754,632)        |
| Interest expensed                           | <b>2,253,457</b> | <b>2,805,920</b> |

\*Borrowing costs directly attributable to the acquisition, construction, or production of qualifying assets are capitalized as part of the cost of those assets as per IAS 23:26(b), in accordance with the Company's accounting policy disclosed under Note 4. The capitalization rate applied was 20% in 2025 (2024: 22%).

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 13. Income tax charge

### (a) Taxation charge

|                                                            | 2025<br>Shs'000  | 2024<br>Shs'000  |
|------------------------------------------------------------|------------------|------------------|
| Current income tax*                                        | 979,850          | 860,068          |
| Deferred tax charge (Note 30)                              | 4,012,092        | 3,277,671        |
| Prior year (over)/under provision – deferred tax (Note 30) | (66)             | 12,114           |
|                                                            | <b>4,991,876</b> | <b>4,149,853</b> |

\*Current income tax is computed on taxable income from the Company's separate sources of income. These include rental income, and investment income. The tax charge for the year represents the aggregate of tax liabilities arising from each source, adjusted for prior year under/over-provisions and applicable tax credits.

### (b) Reconciliation of expected tax based on profit before income tax-to- income tax charge

|                                                        | 2025<br>Shs'000  | 2024<br>Shs'000  |
|--------------------------------------------------------|------------------|------------------|
| Profit before income tax                               | 15,472,953       | 10,946,865       |
| Tax applicable rate of 30%                             | 4,641,886        | 3,284,059        |
| Tax effect of expenses not deductible for tax purposes | 350,056          | 853,680          |
| Prior year (over)/under provision – deferred tax       | (66)             | 12,114           |
| Total income tax charge                                | <b>4,991,876</b> | <b>4,149,853</b> |

The effective tax rate of 32% (2024: 38%) is above the 30% corporate tax rate. This is as a result of several factors, such as non-deductible expenses, differences between accounting profits and taxable income, and deferred tax adjustments. The increase in the tax charge is due to higher profit before tax from Shs 10.9 billion in prior year to Shs 15.5 billion in current year.

### (a) Corporate tax recoverable

|                                         | 2025<br>Shs'000  | 2024<br>Shs'000  |
|-----------------------------------------|------------------|------------------|
| As at start of the year                 | (195,667)        | (441,713)        |
| Current income tax payable (Note 13(a)) | 979,850          | 860,068          |
| Tax paid during the year                | (1,232,880)      | (614,022)        |
| As at end of the year                   | <b>(448,697)</b> | <b>(195,667)</b> |



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 14. Earnings per share

Basic earnings per share have been calculated by dividing the net profit for the year by the weighted average number of ordinary shares in issue during the year. There were no potentially dilutive shares as at 30 June 2025 and 30 June 2024.

|                                                                         | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-------------------------------------------------------------------------|-----------------|-----------------|
| Profits attributable to ordinary shareholders (in Shs'000)              | 10,481,077      | 6,797,012       |
| Number of ordinary shares in issue at end of year (in '000 ') (Note 25) | 6,594,522       | 6,594,522       |
| Basic and diluted earnings per share (Shs)                              | 1.59            | 1.03            |

## Notes to the financial statements (cont'd)

For the year ended 30 June 2025

### 15. (a) Property, plant and equipment

|                                                    | Freehold<br>land<br>Shs'000 | Buildings<br>Shs'000 | Transmission<br>Lines<br>Shs'000 | Plant and<br>machinery<br>Shs'000 | Motor<br>vehicles<br>Shs'000 | Furniture,<br>equipment<br>and<br>fittings<br>Shs'000 | Work- in-<br>progress<br>Shs'000 | Total<br>Shs'000   |
|----------------------------------------------------|-----------------------------|----------------------|----------------------------------|-----------------------------------|------------------------------|-------------------------------------------------------|----------------------------------|--------------------|
| <b>Year ended 30 June 2025</b>                     |                             |                      |                                  |                                   |                              |                                                       |                                  |                    |
| <b>Cost or Valuation</b>                           |                             |                      |                                  |                                   |                              |                                                       |                                  |                    |
| At 1 July 2024                                     | 4,972,513                   | 69,175,464           | 5,160,819                        | 317,766,568                       | 3,216,719                    | 8,446,272                                             | 63,921,181                       | 472,659,536        |
| Additions                                          | -                           | -                    | -                                | -                                 | -                            | -                                                     | 13,592,324                       | 13,592,324         |
| Foreign exchange capitalized (Note 19)             | -                           | -                    | -                                | -                                 | -                            | -                                                     | 188,080                          | 188,080            |
| Staff cost capitalized (Note 10(b))                | -                           | -                    | -                                | -                                 | -                            | -                                                     | 2,430,922                        | 2,430,922          |
| Interest cost capitalized (Note 12)                | -                           | -                    | -                                | -                                 | -                            | -                                                     | 544,617                          | 544,617            |
| Depreciation capitalized (Note 10 (a))             | -                           | -                    | -                                | -                                 | -                            | -                                                     | 372,551                          | 372,551            |
| Impairment of CWIP costs*(Note 10(g))              | -                           | -                    | -                                | -                                 | -                            | -                                                     | (538,052)                        | (538,052)          |
| Transfers from WIP                                 | -                           | 797,094              | -                                | 7,662,051                         | 172,267                      | 879,189                                               | (9,510,601)                      | -                  |
| Reversal of impairment for assets re-instated**    | -                           | 32,370               | 7,633                            | 616,879                           | -                            | -                                                     | -                                | 656,882            |
| Disposals of assets                                | -                           | (29,370)             | -                                | -                                 | (92,824)                     | (12,008)                                              | -                                | (134,202)          |
| <b>At 30 June 2025</b>                             | <b>4,972,513</b>            | <b>69,975,558</b>    | <b>5,168,452</b>                 | <b>326,045,498</b>                | <b>3,296,162</b>             | <b>9,313,453</b>                                      | <b>71,001,022</b>                | <b>489,772,658</b> |
| <b>Accumulated depreciation</b>                    |                             |                      |                                  |                                   |                              |                                                       |                                  |                    |
| At 1 July 2024                                     | -                           | 5,722,174            | 1,393,683                        | 30,094,720                        | 2,281,780                    | 6,443,871                                             | -                                | 45,936,228         |
| Charge for year                                    | -                           | 1,529,890            | 234,391                          | 11,669,516                        | 236,544                      | 690,433                                               | -                                | 14,360,774         |
| Depreciation reversal                              | -                           | (2,227)              | -                                | -                                 | (70,056)                     | (8,244)                                               | -                                | (80,527)           |
| <b>At 30 June 2025</b>                             | <b>-</b>                    | <b>7,249,837</b>     | <b>1,628,074</b>                 | <b>41,764,236</b>                 | <b>2,448,267</b>             | <b>7,126,060</b>                                      | <b>-</b>                         | <b>60,216,475</b>  |
| <b>Net book value at 30 June 2025</b>              | <b>4,972,513</b>            | <b>62,725,721</b>    | <b>3,540,378</b>                 | <b>284,281,261</b>                | <b>847,895</b>               | <b>2,187,393</b>                                      | <b>71,001,022</b>                | <b>429,556,183</b> |
| <b>Net book value at 30 June 2025 (cost basis)</b> | <b>619,613</b>              | <b>37,512,467</b>    | <b>294,287</b>                   | <b>180,177,983</b>                | <b>847,895</b>               | <b>2,187,393</b>                                      | <b>71,001,022</b>                | <b>292,640,660</b> |

\* An assessment for impairment was carried out in respect to capital work in progress (CWIP) and feasibility studies costs were impaired.

\*\* Muhoroni power station which had been impaired was reinstated to the books following start of operations.

\*\*\* Capital works in progress includes unconnected wells, feasibility studies conducted before commencement of a project and ongoing projects that are being undertaken.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 15. (a) Property, plant and equipment (continued)

|                                                    | Freehold<br>land<br>Shs'000 | Buildings<br>Shs'000 | Transmission<br>Lines<br>Shs'000 | Plant and<br>machinery<br>Shs'000 | Motor<br>vehicles<br>Shs'000 | Furniture,<br>equipment<br>and<br>fittings<br>Shs'000 | Work- in-<br>progress<br>Shs'000 | Total<br>Shs'000   |
|----------------------------------------------------|-----------------------------|----------------------|----------------------------------|-----------------------------------|------------------------------|-------------------------------------------------------|----------------------------------|--------------------|
| <b>Year ended 30 June 2025</b>                     |                             |                      |                                  |                                   |                              |                                                       |                                  |                    |
| <b>Cost or Valuation</b>                           |                             |                      |                                  |                                   |                              |                                                       |                                  |                    |
| At 1 July 2023                                     | 4,972,513                   | 68,025,456           | 5,154,190                        | 317,101,695                       | 2,848,395                    | 7,846,562                                             | 57,108,275                       | 463,057,086        |
| Additions                                          | -                           | -                    | -                                | -                                 | -                            | -                                                     | 8,917,415                        | 8,917,415          |
| Foreign exchange capitalized (Note 19)             | -                           | -                    | -                                | -                                 | -                            | -                                                     | (1,195,318)                      | (1,195,318)        |
| Staff cost capitalized (Note 10(b))                | -                           | -                    | -                                | -                                 | -                            | -                                                     | 2,318,808                        | 2,318,808          |
| Interest cost capitalized (Note 12)                | -                           | -                    | -                                | -                                 | -                            | -                                                     | 754,632                          | 754,632            |
| Depreciation capitalized (Note 10 (a))             | -                           | -                    | -                                | -                                 | -                            | -                                                     | 388,259                          | 388,259            |
| Impairment of CWIP costs*(Note 10(g))              | -                           | -                    | -                                | -                                 | -                            | -                                                     | (39,478)                         | (39,478)           |
| Transfers from WIP                                 | -                           | 1,150,008            | 6,629                            | 2,151,881                         | 423,184                      | 599,710                                               | (4,331,412)                      | -                  |
| Impairment of assets**                             | -                           | -                    | -                                | (1,487,008)                       | -                            | -                                                     | -                                | (1,487,008)        |
| Disposals of Assets                                | -                           | -                    | -                                | -                                 | (54,860)                     | -                                                     | -                                | (54,860)           |
| <b>At 30 June 2024</b>                             | <b>4,972,513</b>            | <b>69,175,464</b>    | <b>5,160,819</b>                 | <b>317,766,568</b>                | <b>3,216,719</b>             | <b>8,446,272</b>                                      | <b>63,921,181</b>                | <b>472,659,536</b> |
| <b>Accumulated depreciation</b>                    |                             |                      |                                  |                                   |                              |                                                       |                                  |                    |
| At 1 July 2023                                     | -                           | 4,010,645            | 1,152,227                        | 17,357,932                        | 2,190,609                    | 5,862,357                                             | -                                | 30,573,770         |
| Charge for year                                    | -                           | 1,711,529            | 241,456                          | 12,928,395                        | 140,889                      | 581,514                                               | -                                | 15,603,783         |
| Depreciation reversal on impairment                | -                           | -                    | -                                | (191,607)                         | -                            | -                                                     | -                                | (191,607)          |
| Depreciation reversal on disposal of assets        | -                           | -                    | -                                | -                                 | (49,718)                     | -                                                     | -                                | (49,718)           |
| <b>At 30 June 2024</b>                             | <b>-</b>                    | <b>5,722,174</b>     | <b>1,393,683</b>                 | <b>30,094,720</b>                 | <b>2,281,780</b>             | <b>6,443,871</b>                                      | <b>-</b>                         | <b>45,936,228</b>  |
| <b>Net book value at 30 June 2024</b>              | <b>4,972,513</b>            | <b>63,453,290</b>    | <b>3,767,136</b>                 | <b>287,671,848</b>                | <b>934,939</b>               | <b>2,002,401</b>                                      | <b>63,921,181</b>                | <b>426,723,308</b> |
| <b>Net book value at 30 June 2024 (cost basis)</b> | <b>619,613</b>              | <b>38,147,741</b>    | <b>528,677</b>                   | <b>180,422,400</b>                | <b>934,939</b>               | <b>2,002,401</b>                                      | <b>63,921,181</b>                | <b>286,576,952</b> |

\*An assessment for impairment was carried out in respect to capital work in progress (CWIP) and feasibility studies costs were impaired. This is after review of economic viability and carrying amounts of the costs in line with IAS 36.

\*\*An assessment for impairment was carried out in respect to PPE. It was determined that some Geothermal wells under plant and machinery could no longer be utilised and therefore they were impaired.

\*\*\* Capital works in progress includes unconnected wells, feasibility studies conducted before commencement of a project and ongoing projects that are being undertaken.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 15. (b) Revaluation of property plant and equipment

Plant, machinery and transmission lines were last professionally valued on 30 June 2022 by Aon Risk Services Australia Limited registered professional valuers, on a depreciated replacement cost basis which represents the plant, machinery and transmission lines' highest and best use value.

The freehold land and buildings were last revalued, and the report adopted on 30 June 2022 based on prevailing market values by Ebony limited, Zenith Limited and Syagga Associates registered professional valuers.

The values were incorporated in the financial statements for the year ended 30 June 2022. Valuation is carried out after every 5 years in accordance with the company policy.

## 15. (c) Property plant and equipment – other disclosures

The Company's freehold and leasehold land is located in the following locations:

- Olkaria
- Gitaru
- Kiambere
- Kamburu
- Kindaruma
- Masinga
- Sangoro
- Turkwel
- Sosiani
- Gogo
- Wanjii
- Tana
- Sagana
- Ndula
- Mesco
- Garissa
- Lamu
- Kipevu
- Sondu Miriu

If the freehold land, buildings, plant and machinery and transmission lines were stated on the historical cost basis, the amounts would be as follows:

|                          | Freehold<br>land<br>Shs 000 | Buildings<br>Shs 000 | Transmission<br>lines<br>Shs 000 | Plant and<br>machinery<br>Shs 000 | Total<br>Shs 000 |
|--------------------------|-----------------------------|----------------------|----------------------------------|-----------------------------------|------------------|
| At 30 June 2025          |                             |                      |                                  |                                   |                  |
| At cost                  | 619,613                     | 60,736,255           | 3,753,065                        | 270,115,628                       | 335,224,561      |
| Accumulated depreciation | -                           | (23,223,787)         | (3,458,778)                      | (89,937,645)                      | (116,620,210)    |
|                          | 619,613                     | 37,512,467           | 294,287                          | 180,177,983                       | 218,604,351      |
| At 30 June 2024          |                             |                      |                                  |                                   |                  |
| At cost                  | 619,613                     | 59,939,161           | 3,753,065                        | 262,453,577                       | 326,765,416      |
| Accumulated depreciation | -                           | (21,791,420)         | (3,224,388)                      | (82,031,177)                      | (107,046,985)    |
|                          | 619,613                     | 38,147,741           | 528,677                          | 180,422,400                       | 219,718,431      |

### Impairment

At each reporting date, the directors review the conditions of property, plant and equipment to determine whether there are any indicators of impairment. If any such indication exists, an impairment assessment is performed.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 16. Intangible assets

| Year ended 30 June 2025               | Computer software and licences<br>Shs 000 | Plant monitoring software<br>Shs 000 | Work-in-progress<br>Shs 000 | Total Amount<br>Shs 000 |
|---------------------------------------|-------------------------------------------|--------------------------------------|-----------------------------|-------------------------|
| <b>Cost or Valuation</b>              |                                           |                                      |                             |                         |
| At 1 July 2024                        | 2,156,587                                 | 885,311                              | 185,619                     | 3,227,517               |
| Additions                             | -                                         | -                                    | 361,338                     | 361,338                 |
| Transfers                             | 229,538                                   | -                                    | (229,538)                   | -                       |
| <b>At 30 June 2025</b>                | <b>2,386,125</b>                          | <b>885,311</b>                       | <b>317,419</b>              | <b>3,588,855</b>        |
| <b>Accumulated amortization</b>       |                                           |                                      |                             |                         |
| At 1 July 2024                        | 753,013                                   | 355,572                              | -                           | 1,108,585               |
| Charge for the year                   | 185,619                                   | 67,927                               | -                           | 253,546                 |
| <b>At 30 June 2025</b>                | <b>938,632</b>                            | <b>423,499</b>                       | <b>-</b>                    | <b>1,362,131</b>        |
| <b>Net book value At 30 June 2025</b> | <b>1,447,493</b>                          | <b>461,812</b>                       | <b>317,419</b>              | <b>2,226,724</b>        |
| <b>Net book value At 30 June 2024</b> | <b>1,403,574</b>                          | <b>529,739</b>                       | <b>185,619</b>              | <b>2,118,932</b>        |

Intangible assets comprise Supervisory Control and Data Acquisition (SCADA) software, computer software and licences that are acquired for business process and operations and have a useful life of over one year. They were acquired separately and measured on initial recognition at cost less subsequent amortization and any accumulated impairment losses. The SCADA is part of the operation of the power plants and was last professionally revalued as at 30 June 2022 on a depreciated replacement cost basis which represents the intangible asset's highest and best use value by Aon Risk Services Australia Limited.

Work in progress under intangible assets represents costs incurred on projects that are still under development as at the reporting date. These primarily relate to software development and system upgrades that are expected to result in identifiable intangible assets upon completion.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 16. Intangible assets (continued)

| Year ended 30 June 2024               | Computer software and licences<br>Shs 000 | Plant monitoring software<br>Shs 000 | Work-in-progress<br>Shs 000 | Total Amount<br>Shs 000 |
|---------------------------------------|-------------------------------------------|--------------------------------------|-----------------------------|-------------------------|
| <b>Cost or Valuation</b>              |                                           |                                      |                             |                         |
| At 1 July 2023                        | 2,122,075                                 | 853,721                              | 143,305                     | 3,119,101               |
| Additions                             | -                                         | -                                    | 108,416                     | 108,416                 |
| Transfers                             | 34,512                                    | 31,590                               | (66,102)                    | -                       |
| <b>At 30 June 2024</b>                | <b>2,156,587</b>                          | <b>885,311</b>                       | <b>185,619</b>              | <b>3,227,517</b>        |
| Accumulated amortization              |                                           |                                      |                             |                         |
| At 1 July 2023                        | 577,852                                   | 285,134                              | -                           | 862,986                 |
| Charge for the year                   | 175,161                                   | 70,438                               | -                           | 245,599                 |
| <b>At 30 June 2024</b>                | <b>753,013</b>                            | <b>355,572</b>                       | <b>-</b>                    | <b>1,108,585</b>        |
| <b>Net book value At 30 June 2024</b> | <b>1,403,574</b>                          | <b>529,739</b>                       | <b>185,619</b>              | <b>2,118,932</b>        |
| <b>Net book value At 30 June 2023</b> | <b>1,544,223</b>                          | <b>568,586</b>                       | <b>143,305</b>              | <b>2,256,114</b>        |

If the Intangible Assets were stated on the historical cost basis, the amounts would be as follows:

|                          | Computer software and licences<br>Shs 000 | Plant monitoring software<br>Shs 000 | Work-in-progress<br>Shs 000 | Total Amount<br>Shs 000 |
|--------------------------|-------------------------------------------|--------------------------------------|-----------------------------|-------------------------|
| <b>At 30 June 2025</b>   |                                           |                                      |                             |                         |
| At cost                  | 2,156,587                                 | 880,625                              | 185,619                     | 3,222,831               |
| Additions                | 229,538                                   | -                                    | 131,800                     | 361,338                 |
| Accumulated depreciation | (938,632)                                 | (514,202)                            | -                           | (1,452,834)             |
|                          | <b>1,447,493</b>                          | <b>366,423</b>                       | <b>317,419</b>              | <b>2,131,335</b>        |
| <b>At 30 June 2024</b>   |                                           |                                      |                             |                         |
| At cost                  | 2,122,075                                 | 849,035                              | 143,305                     | 3,114,415               |
| Additions                | 34,512                                    | 31,590                               | 42,314                      | 108,416                 |
| Accumulated depreciation | (753,013)                                 | (446,275)                            | -                           | (1,199,288)             |
|                          | <b>1,403,574</b>                          | <b>434,350</b>                       | <b>185,619</b>              | <b>2,023,543</b>        |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 17. Right of use assets

Year ended 30 June 2025

|                                           | IFRS 16                   |                           |                      |                  |
|-------------------------------------------|---------------------------|---------------------------|----------------------|------------------|
|                                           | Leasehold Land<br>Shs 000 | Leasehold Land<br>Shs 000 | Buildings<br>Shs 000 | Total<br>Shs 000 |
| <b>Cost or Valuation</b>                  |                           |                           |                      |                  |
| At 1 July 2024                            | 5,900,864                 | 644,722                   | 944,936              | 7,490,522        |
| Additions (Note 31)                       | 616,130                   | 3,161                     | -                    | 619,291          |
| Disposals                                 | (97,260)                  | -                         | -                    | (97,260)         |
| At 30 June 2025                           | <b>6,419,734</b>          | <b>647,883</b>            | <b>944,936</b>       | <b>8,012,553</b> |
| <b>Accumulated depreciation</b>           |                           |                           |                      |                  |
| At 1 July 2024                            | 133,625                   | 50,125                    | 641,587              | 825,337          |
| Charge for the year (Note 10(a))          | 81,494                    | 11,695                    | 149,687              | 242,876          |
| Depreciation reversal on disposal         | (3,819)                   | -                         | -                    | (3,819)          |
| At 30 June 2025                           | 211,300                   | 61,820                    | 791,274              | 1,064,394        |
| <b>Net carrying value At 30 June 2025</b> | <b>6,208,434</b>          | <b>586,063</b>            | <b>153,662</b>       | <b>6,948,159</b> |

The Leasehold land was last revalued on 30 June 2022 based on prevailing market values and amortised to reflect carrying amounts by Ebony Limited, Zenith Limited and Syagga Associates Registered Professional Valuers.

The values were incorporated in the financial statements for the year ended 30 June 2022

|                                           | IFRS 16                   |                           |                      |                  |
|-------------------------------------------|---------------------------|---------------------------|----------------------|------------------|
| Year ended 30 June 2025                   | Leasehold Land<br>Shs 000 | Leasehold Land<br>Shs 000 | Buildings<br>Shs 000 | Total<br>Shs 000 |
| <b>Cost or Valuation</b>                  |                           |                           |                      |                  |
| At 1 July 2023                            | 5,900,864                 | 312,707                   | 944,936              | 7,158,507        |
| Adjustments* (Note 31)                    | -                         | 332,015                   | -                    | 332,015          |
| At 30 June 2024                           | <b>5,900,864</b>          | <b>644,722</b>            | <b>944,936</b>       | <b>7,490,522</b> |
| <b>Accumulated depreciation</b>           |                           |                           |                      |                  |
| At 1 July 2023                            | 53,177                    | 35,078                    | 490,502              | 578,757          |
| Charge for the year (Note 10(a))          | 80,448                    | 15,047                    | 151,085              | 246,580          |
| At 30 June 2024                           | <b>133,625</b>            | <b>50,125</b>             | <b>641,587</b>       | <b>825,337</b>   |
| <b>Net carrying value At 30 June 2024</b> | <b>5,767,239</b>          | <b>594,597</b>            | <b>303,349</b>       | <b>6,665,185</b> |

\*During the previous year, an adjustment to correct the lease liability with respect to service charge was made to align the lease obligations under IFRS 16.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 17. Right of use assets (continued)

### Presentation of Right of Use assets at cost

| Year ended 30 June 2025  | Leasehold Land<br>Shs 000 | Buildings<br>Shs 000 | Total<br>Shs 000 |
|--------------------------|---------------------------|----------------------|------------------|
| Cost                     |                           |                      |                  |
| At 1 July 2024           | 2,451,346                 | 944,936              | 3,396,282        |
| Additions                | 619,291                   | -                    | 619,291          |
| Accumulated depreciation | (625,067)                 | (900,492)            | (1,525,559)      |
| <b>At 30 June 2025</b>   | <b>2,445,570</b>          | <b>44,444</b>        | <b>2,490,014</b> |
| Cost                     |                           |                      |                  |
| At 1 July 2023           | 2,119,331                 | 944,936              | 3,064,267        |
| Additions                | 332,015                   | -                    | 332,015          |
| Accumulated depreciation | (511,583)                 | (641,587)            | (1,153,170)      |
| <b>At 30 June 2024</b>   | <b>1,939,763</b>          | <b>303,349</b>       | <b>2,243,112</b> |

## 18. Financial assets held at amortized cost

|                                                                           | 2025<br>Shs'000  | 2024<br>Shs'000  |
|---------------------------------------------------------------------------|------------------|------------------|
| Deferred debt due from KETRACO-Sondu Miriu transmission line (Note 18(a)) | 706,539          | 666,385          |
| Financial asset due from KPLC-Olkaria V transmission line (Note 18(b))    | 1,116,875        | 1,298,199        |
| Treasury bonds held at amortised cost (Note 18 (c))                       | 2,310,254        | 2,323,042        |
|                                                                           | <b>4,133,668</b> | <b>4,287,626</b> |
| Presentation analysis:                                                    |                  |                  |
| Non-current                                                               | 4,004,585        | 4,153,672        |
| Current                                                                   | 129,083          | 133,954          |
|                                                                           | <b>4,133,668</b> | <b>4,287,626</b> |

### (a) Deferred debt due from Kenya Electricity Transmission Company Limited (KETRACO)

Deferred debt relates to the amounts recoverable from Kenya Electricity Transmission Company Limited (KETRACO) in respect of a loan taken out by the Company for the construction of the Sondu Miriu transmission and sub-station project implemented by the Company on behalf of KETRACO under a management agreement. Japan Bank for International Corporation funded the foreign component of the Sondu Miriu project under the loan agreement between the Japan Bank for International Corporation and the Company. The debt is payable over a period of 30 years commencing 15 August 2014.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 18. Financial assets held at amortized cost (continued)

### a) Deferred debt due from Kenya Electricity Transmission Company Limited (KETRACO) (continued)

The effective interest rate in Japanese Yen on the deferred debt during the year was 0.75% (2024: 0.75%).

The deferred debt and corresponding loan from Japan Bank for International Corporation are both denominated in Japanese Yen (JPY). The amount outstanding as at year end was JPY 814,008,182 (2024: JPY 858,008,628).

Deferred debt due from KETRACO (Sondur Miriu Transmission Line)

|                                                                         | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-------------------------------------------------------------------------|-----------------|-----------------|
| At start of year                                                        | 692,885         | 875,055         |
| Interest charge                                                         | 6,761           | 7,936           |
| Repayment during the year                                               | (42,643)        | (50,678)        |
| Foreign exchange gain/(loss)                                            | 74,323          | (139,428)       |
|                                                                         | 731,327         | 692,885         |
| Allowance for impairment                                                | (24,788)        | (26,500)        |
| At end of year                                                          | 706,539         | 666,385         |
| Maturity analysis of deferred debt is as follows:                       |                 |                 |
| Within one year                                                         | 38,190          | 34,174          |
| After one year                                                          | 668,349         | 632,211         |
|                                                                         | 706,539         | 666,385         |
| The movement in the allowance for impairment in the year is as follows: |                 |                 |
| At start of year                                                        | (26,500)        | (33,963)        |
| Credit to profit or loss (Note 10(f))                                   | 1,712           | 7,463           |
| Allowance for impairment                                                | (24,788)        | (26,500)        |

### b) Financial asset due from KPLC-Olkaria V transmission line

KenGen implemented Substation and Transmission lines component for Olkaria V Geothermal Power Plant on behalf of The Kenya Power and Lighting Company Plc (KPLC). The cost of the Substation and Transmission line will be recovered through the PPA. During implementation of the project the costs were booked in WIP and later transferred to financial asset account as per IFRIC 12 "Service Concession Arrangements". On full recovery of the costs through PPA, the transmission assets will be transferred to KPLC.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 18. Financial assets held at amortized cost (continued)

### b) Financial asset due from KPLC-Olkaria V transmission line (Continued)

|                                                                         | 2025<br>Shs'000  | 2024<br>Shs'000  |
|-------------------------------------------------------------------------|------------------|------------------|
| At start of year                                                        | 1,302,371        | 1,372,280        |
| Interest amortization (Note 11)                                         | 51,848           | 53,686           |
| Recoveries through billing                                              | (124,198)        | (123,595)        |
|                                                                         | 1,230,022        | 1,302,371        |
| Allowance for impairment                                                | (113,147)        | (4,172)          |
| At end of year                                                          | <b>1,116,875</b> | <b>1,298,199</b> |
| Maturity analysis of deferred debt is as follows:                       |                  |                  |
| Within one year                                                         | 90,893           | 99,780           |
| After one year                                                          | 1,025,982        | 1,198,419        |
| Net book amount                                                         | <b>1,116,875</b> | <b>1,298,199</b> |
| The movement in the allowance for impairment in the year is as follows; |                  |                  |
| At start of year                                                        | (4,172)          | (53,261)         |
| (Charge)/credit to profit or loss (Note 10(f))                          | (108,975)        | 49,089           |
| Allowance for expected credit loss                                      | <b>(113,147)</b> | <b>(4,172)</b>   |

### c) Treasury Bonds (T. BOND FD1 2010/25)

|                                                                                   | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-----------------------------------------------------------------------------------|-----------------|-----------------|
| At start of year                                                                  | 2,347,528       | 2,359,883       |
| Bond premium amortization (Note 9)                                                | (13,557)        | (12,355)        |
|                                                                                   | 2,333,971       | 2,347,528       |
| Allowance for expected credit loss                                                | (23,717)        | (24,486)        |
| At end of year                                                                    | 2,310,254       | 2,323,042       |
| The movement in the provision of expected credit losses in the year is as follows |                 |                 |
| At start of year                                                                  | (24,486)        | (23,808)        |
| Credit/(charge) to profit or loss (Note 10(f))                                    | 768             | (678)           |
| Allowance for impairment                                                          | <b>(23,717)</b> | <b>(24,486)</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 18. Financial assets held at amortized cost (continued)

### d) Contract asset - KETRACO - Olkaria 280MW transmission line

On or around the year 2010 the Government of the Republic of Kenya received financing for the Kenya Electricity Expansion Project (KEEP) from various financiers for the construction of 280MW Olkaria of Olkaria IV & I AU Geothermal Project. KenGen was the Implementing Agency for the construction of Olkaria IV & I AU power plants, High Voltage Substations and Transmission Lines (the Project). These High Voltage Substations and Transmission Lines (Lot C) were implemented by KenGen on behalf of KETRACO.

The Project was financed by European Investment Bank (EIB) (through an on-lent loan) and Kreditanstalt Für Wiederaufbank (KfW) through a Government-guaranteed loan. On September 8th, 2010, KenGen and KETRACO signed an Implementation Agreement Framework to collaborate on certain services related to the transmission of electricity as part of the Kenya Electricity Expansion Project (KEEP) Project. According to the agreement, KenGen was responsible for constructing high voltage transmission lines and substations to transfer power from the Olkaria Geothermal hub, and upon completion, transfer the asset and associated liability to KETRACO. KETRACO had the obligation to reimburse KenGen for the costs incurred in the implementation, and upon project completion, take over the entire loan and its repayments.

Upon completion of the Project in 2015 and in accordance with the Implementation Agreement, KenGen was to sign a novation agreement that would govern the transfer of assets and fulfilment of obligations thereof. This is in line with KETRACO's mandate as outlined in the Sessional Paper No.4, 2004, on Energy and Energy Act No. 12, 2006. KenGen incurred costs in the implementation of the project and had been servicing the loan principal and interest since June, 2015 to June, 2024. The total cost incurred and due to KenGen by KETRACO amounts to (EURO 36,897,460 equivalent to Shs 5,123,798,954). In June 2024, the Government signed an amendment to the subsidiary loan agreement with KenGen to offset an equivalent amount from on-lent loan as consideration for the transfer of the asset to KETRACO. A novation agreement was subsequently signed on with KETRACO for the transfer.

|                                                                         | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-------------------------------------------------------------------------|-----------------|-----------------|
| At start of year                                                        | -               | 5,563,491       |
| Movement during the year*                                               | -               | (439,692)       |
| Settlement**(Note 28d)                                                  | -               | (5,123,799)     |
|                                                                         | -               | -               |
| Allowance for impairment                                                | -               | -               |
| At end of year                                                          | -               | -               |
| Maturity analysis of deferred debt is as follows:                       |                 |                 |
| Within one year                                                         | -               | -               |
| After one year                                                          | -               | -               |
| Net book amount                                                         | -               | -               |
| The movement in the allowance for impairment in the year is as follows; |                 |                 |
| At start of year                                                        | -               | (215,931)       |
| Credit to profit or loss (Note 10(f))                                   | -               | 215,931         |
| Allowance for expected credit loss                                      | -               | -               |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 18. Financial assets held at amortized cost (continued)

### d) Contract asset - KETRACO - Olkaria 280MW transmission line (continued)

\*The movement in the financial year ended 30th June, 2024 related to additional interest paid on the European Investment Bank (EIB) and Kreditanstalt Für Wiederaufbau (KfW) loan facilities and foreign exchange (gains)/losses on the valuation of the Contract Asset.

\*\*The settlement was effected in the financial year ended 30th June, 2024 by offsetting the KETRACO Contract Asset with existing European Investment Bank (EIB) on-lent loan facility as approved by The National Treasury. This resulted in the Contract Asset and a similar amount of EIB on-lent loan in the borrowings being extinguished.

## 19. Financial assets held at fair value through profit or loss

The financial assets at fair value through profit or loss relates to unrealized exchange differences on foreign denominated borrowings recoverable from The Kenya Power & Lighting Company Plc under the respective Power Purchase Agreements ("PPAs") with Kenya Power. The derivative financial instrument is entered into to manage foreign exchange borrowings exposures. The PPA provides that the amounts should be billed to Kenya Power as the related borrowings are repaid. This allows the Company to bill and recover all realized foreign currency fluctuations relative to the base rates allowed by the PPA. The amount in the statement of financial position relates to fair value of this financial asset.

The movement in the financial asset during the year is as follows:

|                                                                                                                        | 2025<br>Shs'000 | 2024<br>Shs'000 |
|------------------------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| At start of year                                                                                                       | 1,624,333       | 20,053,353      |
| Realized foreign exchange loss recovered through billing                                                               | (1,117,110)     | (2,229,463)     |
| Realized foreign exchange gain/(loss) capitalized                                                                      | 3,192           | (6,288)         |
| Realized foreign exchange loss not billed – borrowings (Note 9)                                                        | (6,317)         | (98,933)        |
| Unrealized exchange movement on revaluation of the financial assets held at fair value through profit or loss (Note 9) | 6,955,156       | (16,455,406)    |
| Realized exchange difference on EIB Loan on settlement of KETRACO contract asset (Note 9)*                             | -               | (949,982)       |
| Unrecoverable foreign exchange differences (Note 9)                                                                    | 217,934         | 115,734         |
| Unrealized foreign exchange (gain)/loss capitalised (Note 15)                                                          | (188,080)       | 1,195,318       |
| At end of year                                                                                                         | 7,489,108       | 1,624,333       |
| Less: current portion                                                                                                  | (1,311,203)     | (895,818)       |
| At end of year (long term portion)                                                                                     | 6,177,905       | 728,515         |

\*The foreign exchange loss amount related to EIB loan was reversed as the PPAs do not permit recovery when the loans are repaid through the offset described in (Note 18)(d)).



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 20. Inventories

|                                         | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-----------------------------------------|-----------------|-----------------|
| Machinery and consumable spares         | 3,494,250       | 2,753,564       |
| Fuel and lubricants                     | 145,012         | 178,141         |
| General stores                          | 738,604         | 617,881         |
|                                         | 4,377,866       | 3,549,586       |
| Allowance for impairment and provisions | (1,453,942)     | (1,413,302)     |
|                                         | 2,923,924       | 2,136,284       |

\*The cost of inventories purchased and recognized in operating expense and fuel consumed amounted to Shs 1,280,041,000 (2024: Shs 1,684,337,000) and Shs 9,474,812,000 (2024: Shs 7,836,831,000) respectively. Impairment allowance for inventory is recognized on items that are slow moving and/or obsolete.

## 21. Trade receivables

The following amounts due from the Kenya Power and Lighting Company Plc (KPLC) relate to outstanding balances at year end arising from billings as per the respective PPAs.

|                                                                                                           | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-----------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| Due from KPLC                                                                                             | 17,477,372      | 17,096,299      |
| Allowance for impairment                                                                                  | (830,990)       | (466,706)       |
| Balance at end of the year                                                                                | 16,646,382      | 16,629,593      |
| The amounts include Shs 2,981,507,000 (2024: Shs 2,525,202,000) which is denominated in foreign currency. |                 |                 |
| The movement in the allowance for expected credit losses in the year is as follows:                       |                 |                 |
| At start of year                                                                                          | (466,706)       | (866,093)       |
| (Charge)/credit to profit or loss (Note 10(f))                                                            | (364,284)       | 399,387         |
| Allowance for expected credit loss                                                                        | (830,990)       | (466,706)       |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 22. Other receivables and prepayments

|                                          | 2025<br>Shs'000  | 2024<br>Shs'000  |
|------------------------------------------|------------------|------------------|
| Receivables from diversification sources | 84,187           | 57,426           |
| Prepayments*                             | 867,454          | 1,725,637        |
| Sundry debtors**                         | 314,485          | 472,987          |
| Due from KPLC*** (Note 33)               | 251,336          | -                |
| Staff receivables                        | 116,683          | 111,022          |
| Other commercial receivables****         | 1,272,743        | 982,420          |
|                                          | 2,906,888        | 3,349,492        |
| Allowance for expected credit loss*****  | (566,590)        | (321,910)        |
|                                          | <b>2,340,298</b> | <b>3,027,582</b> |

\*Included in prepayments is an amount of Shs 501,324,000 (2024: Shs 1,464,278,000) relating to advances to Contractors for ongoing projects.

\*\*Sundry debtors comprise amounts receivable that do not fall under the main trade receivables category. The balance mainly includes advances to suppliers and other accrued income arising from normal business operations.

\*\*\* Towards the end of the year the Company received a credit note of Shs 625 million from KPLC in respect of its electricity consumption which resulted into this supply account being in a receivable position.

\*\*\*\*Other receivables represent other commercial customers that the company transacts with.

\*\*\*\*\* Expected credit loss on other receivables includes provisions on non-commercial receivables that have been assessed as qualifying as financial assets.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 22. Other receivables and prepayments (continued)

The movement in the allowance for impairment in the year is as follows:

|                                                | 2025<br>Shs'000  | 2024<br>Shs'000  |
|------------------------------------------------|------------------|------------------|
| At start of year                               | (321,910)        | (517,404)        |
| (Charge)/credit to profit or loss (Note 10(f)) | (244,680)        | 195,494          |
| <b>Allowance for impairment</b>                | <b>(566,590)</b> | <b>(321,910)</b> |

## 23. Financial asset at fair value through other comprehensive income

|                                                    |                |                |
|----------------------------------------------------|----------------|----------------|
| At start of year                                   | 321,154        | 320,422        |
| Fair value gain through other comprehensive income | 52,562         | 732            |
| <b>At end of year</b>                              | <b>373,716</b> | <b>321,154</b> |

The FVOCI asset represents a 25-year Treasury Bond, **FXD1/2010/25**, with a coupon rate of **11.25%**. The bond is classified as current and held for sale, reflecting management's intention to dispose of it when the need arises.

## 24. (a) Cash and bank balances

|                                                                         | 2025<br>Shs'000   | 2024<br>Shs'000   |
|-------------------------------------------------------------------------|-------------------|-------------------|
| Cash at bank                                                            | 30,124,186        | 25,618,247        |
| Allowance for expected credit loss                                      | (807,041)         | (767,905)         |
|                                                                         | <b>29,317,145</b> | <b>24,850,342</b> |
| The movement in the allowance for impairment in the year is as follows; |                   |                   |
| At start of year                                                        | (767,905)         | (475,572)         |
| Charge to profit or loss (Note 10(f))                                   | (39,136)          | (292,333)         |
| <b>Allowance for expected credit loss</b>                               | <b>(807,041)</b>  | <b>(767,905)</b>  |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 24. (a) Cash and bank balances (continued)

For purposes of the statement of cash flows, the cash and cash equivalents are presented as;

|                      | 2025<br>Shs'000   | 2024<br>Shs'000   |
|----------------------|-------------------|-------------------|
| <b>Cash at bank*</b> | <b>30,124,186</b> | <b>25,618,247</b> |

\*Included in the cash at bank balances is local currency amount of Shs 26,588,367,000 (2024: Shs 21,831,636,000) and foreign currency amount of Shs 3,535,819,000 (2024: Shs 3,786,611,000).

## 24. (b) Restricted cash balances

### i) Restricted cash balances

The restricted cash balances relate to funds deposited with institutions to enable those institutions to facilitate lending of car and mortgage facilities to the Company employees at affordable interest rates. The funds earn a nominal interest and are not available for use since they are locked. It can only be accessed if management decides to stop the staff loan schemes.

|                                                       | 2025<br>Shs'000  | 2024<br>Shs'000  |
|-------------------------------------------------------|------------------|------------------|
| Restricted cash                                       | 3,197,762        | 2,733,585        |
| Allowance for expected credit loss                    | (28,638)         | (20,836)         |
|                                                       | <b>3,169,124</b> | <b>2,712,749</b> |
| <b>ii) Restricted cash movement in the cash flows</b> |                  |                  |
| At start of year                                      | 2,733,585        | 1,875,206        |
| Movement during the year                              | 464,177          | 858,379          |
| <b>At the end of the year</b>                         | <b>3,197,762</b> | <b>2,733,585</b> |
| <b>iii) Restricted cash detailed movement</b>         |                  |                  |
| At start of year                                      | 2,712,749        | 1,861,357        |
| Un-utilized funds as year end                         | 20,836           | 13,849           |
| Staff mortgage funding                                | 400,000          | 800,000          |
| Interest earned                                       | 64,177           | 58,379           |
| Allowance for expected credit loss                    | (28,638)         | (20,836)         |
| <b>Net deferred restricted cash</b>                   | <b>3,169,124</b> | <b>2,712,749</b> |



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 24. (b) Restricted cash balances (continued)

### iv) Expected credit loss on restricted cash balances

|                                       | 2025<br>Shs'000 | 2024<br>Shs'000 |
|---------------------------------------|-----------------|-----------------|
| At start of the year                  | (20,836)        | (13,849)        |
| Charge to profit or loss (Note 10(f)) | (7,802)         | (6,987)         |
| Allowance for expected credit loss    | (28,638)        | (20,836)        |

## (c) Detailed analysis of the cash and balances held with financial institutions

| Description                            |                | 2025<br>Shs'000   | 2024<br>Shs'000   |
|----------------------------------------|----------------|-------------------|-------------------|
| Financial institution                  | Account number |                   |                   |
| <b>a. Current Account</b>              |                |                   |                   |
| Various commercial banks               | Various        | 7,281,031         | 3,497,547         |
| <b>Sub- Total</b>                      |                | <b>7,281,031</b>  | <b>3,497,547</b>  |
| <b>b. On - Call Deposits</b>           |                |                   |                   |
| Various commercial banks               | Various        | 2,292,343         | 5,084,484         |
| <b>Sub- Total</b>                      |                | <b>2,292,343</b>  | <b>5,084,484</b>  |
| <b>c. Fixed Deposits Account</b>       |                |                   |                   |
| Various commercial banks               | Various        | 20,550,812        | 17,036,216        |
| <b>Sub- Total</b>                      |                | <b>20,550,812</b> | <b>17,036,216</b> |
| <b>d. Others (Specify)</b>             |                |                   |                   |
| Restricted cash-KCB and<br>Stima SACCO |                | 3,197,762         | 2,733,585         |
| <b>Sub- Total</b>                      |                | <b>3,197,762</b>  | <b>2,733,585</b>  |
| <b>Grand Total</b>                     |                | <b>33,321,948</b> | <b>28,351,832</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 25. Ordinary share capital and share premium

| Ordinary share capital and share premium | Number of shares<br>(Thousands) | Ordinary shares<br>Shs'000 | Share premium<br>Shs'000 |
|------------------------------------------|---------------------------------|----------------------------|--------------------------|
| <b>Authorised</b>                        |                                 |                            |                          |
| At 30 June 2025 and 30 June 2024         | 10,000,000                      | 25,000,000                 | -                        |
| <b>Issued and fully paid</b>             |                                 |                            |                          |
| <b>At 30 June 2024</b>                   | <b>6,594,522</b>                | <b>16,487,710</b>          | <b>22,151,131</b>        |
| <b>At 30 June 2025</b>                   | <b>6,594,522</b>                | <b>16,486,305</b>          | <b>22,148,855</b>        |

The total authorised number of ordinary shares is 10,000,000,000 with a par value of Shs 2.50 per share. All issued shares are fully paid.

### Movement in Ordinary Share Capital and Share Premium

|                              | Ordinary shares<br>Shs'000 | Share premium<br>Shs'000 |
|------------------------------|----------------------------|--------------------------|
| <b>Issued and fully paid</b> |                            |                          |
| <b>At 30 June 2024</b>       | <b>16,487,710</b>          | <b>22,151,131</b>        |
| Adjustment*                  | (1,405)                    | (2,276)                  |
| <b>At 30 June 2025</b>       | <b>16,486,305</b>          | <b>22,148,855</b>        |

\*The decrease relates to unallotted shares that was to be remitted to the Unclaimed Financial Assets Authority (UFAA).

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 26. Other reserves

Year ended 30 June 2025

|                                                                                        | Capital<br>reserve<br>Shs'000 | Investment<br>revaluation<br>reserve<br>Shs'000 | Property<br>revaluation<br>reserve<br>Shs'000 | Actuarial<br>gains/<br>(losses)<br>Shs'000 | Total<br>Shs'000   |
|----------------------------------------------------------------------------------------|-------------------------------|-------------------------------------------------|-----------------------------------------------|--------------------------------------------|--------------------|
| <b>At 1 July 2024</b>                                                                  | <b>8,579,722</b>              | <b>(93,710)</b>                                 | <b>112,522,952</b>                            | <b>(2,278,780)</b>                         | <b>118,730,184</b> |
| Other comprehensive loss for the year;                                                 |                               |                                                 |                                               |                                            |                    |
| - Net gain on revaluation on investments in financial instruments measured at FVOCI    | -                             | 52,562                                          | -                                             | -                                          | 52,562             |
| - Remeasurement loss of retirement benefit obligations                                 | -                             | -                                               | -                                             | (121,142)                                  | (121,142)          |
| - Net movement of revalued assets*                                                     | -                             | -                                               | 421,372                                       | -                                          | 421,372            |
| - Deferred income tax charge on revaluation of financial instruments measured at FVOCI | -                             | (15,769)                                        | -                                             | -                                          | (15,769)           |
| - Deferred income tax credit on remeasurement of retirement benefit                    | -                             | -                                               | -                                             | 36,343                                     | 36,343             |
| - Deferred income tax charge on revalued assets                                        | -                             | -                                               | (126,412)                                     | -                                          | (126,412)          |
| <b>Total other comprehensive gain(loss) for the year</b>                               | <b>-</b>                      | <b>36,793</b>                                   | <b>294,960</b>                                | <b>(84,799)</b>                            | <b>246,954</b>     |
| Transfer of excess depreciation                                                        | -                             | -                                               | (3,803,070)                                   | -                                          | (3,803,070)        |
| Deferred tax on excess depreciation                                                    | -                             | -                                               | 1,140,921                                     | -                                          | 1,140,921          |
| <b>At 30 June 2025</b>                                                                 | <b>8,579,722</b>              | <b>(56,917)</b>                                 | <b>110,155,763</b>                            | <b>(2,363,579)</b>                         | <b>116,314,989</b> |

\*Net movement in revalued assets relates to re-statement of Muhoroni Power Station Shs 455,184,000 and reversal of revaluation surplus of Shs 33,812,000 on disposal of Changamwe land giving a net of Shs 421,372,000.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 26. Other reserves (continued)

### Year ended 30 June 2024

|                                                                                     | Capital<br>reserve<br>Shs'000 | Investment<br>revaluation<br>reserve<br>Shs'000 | Property<br>revaluation<br>reserve<br>Shs'000 | Actuarial<br>gains/ (loss-<br>es)<br>Shs'000 | Total<br>Shs'000   |
|-------------------------------------------------------------------------------------|-------------------------------|-------------------------------------------------|-----------------------------------------------|----------------------------------------------|--------------------|
| At 1 July 2023                                                                      | 8,579,722                     | (94,222)                                        | 115,515,545                                   | (1,639,880)                                  | 122,361,165        |
| Other comprehensive loss for the year;                                              |                               |                                                 |                                               |                                              |                    |
| - Net gain on revaluation on investments in financial instruments measured at FVOCI | -                             | 732                                             | -                                             | -                                            | 732                |
| - Remeasurement loss of retirement benefit obligations                              | -                             | -                                               | -                                             | (912,714)                                    | (912,714)          |
| - Net impairment of revalued assets-(charge)                                        | -                             | -                                               | (382,572)                                     | -                                            | (382,572)          |
| - Deferred income tax on revaluation of financial instruments                       | -                             | (220)                                           | -                                             | -                                            | (220)              |
| - Deferred income tax credit on defined benefit obligations                         | -                             | -                                               | -                                             | 273,814                                      | 273,814            |
| - Deferred income tax credit on impairment of assets                                | -                             | -                                               | 114,772                                       | -                                            | 114,772            |
| <b>Total other comprehensive gain(loss) for the year</b>                            | <b>-</b>                      | <b>512</b>                                      | <b>(267,800)</b>                              | <b>(638,900)</b>                             | <b>(906,188)</b>   |
| Transfer of excess depreciation                                                     | -                             | -                                               | (3,892,561)                                   | -                                            | (3,892,561)        |
| Deferred tax on excess depreciation                                                 | -                             | -                                               | 1,167,768                                     | -                                            | 1,167,768          |
| <b>At 30 June 2024</b>                                                              | <b>8,579,722</b>              | <b>(93,710)</b>                                 | <b>112,522,952</b>                            | <b>(2,278,780)</b>                           | <b>118,730,184</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 26. Other reserves (Continued)

- (a) The capital reserve relates to development surcharge received from Kenya Power and Lighting Company Plc (KPLC) for financing the development of certain power projects for the period on or before 1998. The reserve is not distributable to shareholders.
- (b) The investments revaluation reserve represents the cumulative gains and losses arising on the revaluation of financial assets that have been recognized in other comprehensive income, net of amounts reclassified to profit or loss when those assets have been disposed of. The reserve is not distributable to shareholders.
- (c) The property revaluation reserve arises on the revaluation of property, plant & machinery and intangible assets as well as leasehold land which is part of Right of Use Assets. When revalued property, plant and equipment are disposed, the portion of the plant and machinery revaluation reserve that relates to that asset is transferred directly to retained earnings. The reserve is not distributable to shareholders.
- (d) Actuarial reserves represent the accumulated remeasurements arising from the Retirement Benefit Scheme recognized through other comprehensive income as disclosed under Note 29. The reserve is not distributable to shareholders.

## 27. Retained earnings

The retained earnings represent amounts available for distribution to the Company's shareholders. Undistributed retained earnings are retained to finance the Company's business activities.

## 28. Borrowings

The movement in borrowings is as follows:

|                                                                                          | 2025<br>Shs'000 | 2024<br>Shs'000 |
|------------------------------------------------------------------------------------------|-----------------|-----------------|
| At start of year                                                                         | 116,870,508     | 148,866,024     |
| External borrowings received in the year (inclusive of net foreign exchange movements)   | 5,922,033       | 1,620,282       |
| External borrowings repayments in the year (inclusive of net foreign exchange movements) | (9,440,772)     | (12,036,593)    |
| Borrowing offset of KETRACO contract asset (Note 18d)                                    | -               | (5,123,799)     |
| Unrealised exchange loss/(gain) on revaluation of borrowings (Note 9)                    | 6,955,156       | (16,455,406)    |
| At end of year                                                                           | 120,306,925     | 116,870,508     |
| Add: Accrued interest                                                                    | 890,486         | 913,584         |
| At end of year                                                                           | 121,197,411     | 117,784,092     |
| Less: Amounts due within one year (Current portion)                                      | (11,926,138)    | (10,035,376)    |
| Amounts due after one year (Non-current portion)                                         | 109,271,273     | 107,748,716     |



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 28. Borrowings (Continued)

(a) Analysis of interest-bearing borrowings:

|                                                                                                  | Maturity<br>Year | 2025<br>Shs'000   | 2024<br>Shs'000   |
|--------------------------------------------------------------------------------------------------|------------------|-------------------|-------------------|
| <b>Government of Kenya Guaranteed loans</b>                                                      |                  |                   |                   |
| 2.6% Japan Bank for International Cooperation (JICA)<br>KE P20-Kipevu 1 (JPY nil)                | 2025             | -                 | 343,464           |
| 2.3% Japan Bank for International Cooperation (JICA)<br>KE P21 –Sondur Miriu (JPY 676,388,000)   | 2027             | 607,685           | 819,326           |
| 0.75% Japan Bank for International Cooperation<br>(JICA) KE P23-Sondur Miriu (JPY 6,574,570,001) | 2044             | 5,906,770         | 5,588,730         |
| 0.75% Japan Bank for International Cooperation<br>(JICA) KE P24-Sangoro (JPY 3,114,584,000)      | 2047             | 2,798,226         | 2,629,509         |
| 0.20% Japan International Cooperation Agency<br>(JICA) KE P26-Olkaria I & IV JPY 17,928,494,882) | 2040             | 16,107,444        | 15,527,646        |
| 2.2% Kreditanstalt Fur Wiederaufbau (KfW)-Olkaria I<br>& IV (EURO 5,218,000.00)                  | 2026             | 791,309           | 1,449,204         |
| 0.98% DSSI I (JICA KP20, KP21, KP23, KP24 & KP26)<br>(JPY 585,560,000)                           | 2027             | 526,083           | 709,303           |
| 0.68% DSSI II (JICA KP20, KP21, KP23, KP24 & KP26)<br>(JPY 728,675,000)                          | 2027             | 654,661           | 823,818           |
| Accrued interest                                                                                 |                  | 38,719            | 41,739            |
|                                                                                                  |                  | <b>27,430,897</b> | <b>27,932,739</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 28. Borrowings (Continued)

(a) Analysis of interest-bearing borrowings: (continued)

|                                                                                                               | Maturity<br>Year | 2025<br>Shs'000    | 2024<br>Shs'000    |
|---------------------------------------------------------------------------------------------------------------|------------------|--------------------|--------------------|
| <b>Government of Kenya onlent loans</b>                                                                       |                  |                    |                    |
| 3.5% International Development Association IDA<br>4743 KE-Olkaria I & IV (USD 18,580,565.26)                  | 2035             | 2,401,247          | 2,647,353          |
| 2.003% Agence Francaise de Development (AFD)<br>- Olkaria I & IV (EURO 37,688,445.08)                         | 2031             | 5,715,453          | 6,038,815          |
| 2.50% Export-Import Bank of China (EXIM) – 89<br>wells (USD 220,673,076.92)                                   | 2033             | 28,518,531         | 32,394,205         |
| 1.50% Kingdom of Spain-Ngong Phase II -<br>13.6MW (EURO 9,163,741.10)                                         | 2030             | 1,389,681          | 1,503,900          |
| 0.50% National Bank of Belgium (NBB) Ngong 1<br>Phase 11 - 6.8 MW (EURO 5,470,200.00)                         | 2043             | 829,556            | 801,826            |
| 3.5% International Development Association IDA<br>5844-KE Olkaria I& IV (USD 46,847,868.64)                   | 2041             | 6,054,352          | 6,447,318          |
| 0.20% Japan International Cooperation Agency<br>(JICA) (KE-P31) Olkaria V (JPY 29,978,516,823)                | 2046             | 26,933,509         | 24,160,814         |
| 3.5% European Investment Bank (EIB) Olkaria 1<br>Unit 6 (Euro 42,372,565.86)                                  | 2042             | 6,425,800          | 4,487,692          |
| 1.0% Japan International Cooperation Agency<br>(JICA) KE-P33 -Olkaria I Rehabilitation (JPY<br>4,794,907,372) | 2048             | 4,307,874          | 135,425            |
| Accrued interest                                                                                              |                  | 402,213            | 405,610            |
|                                                                                                               |                  | <b>82,978,217</b>  | <b>79,022,958</b>  |
| <b>Direct borrowings</b>                                                                                      |                  |                    |                    |
| 6 months SOFR + 4.6% Absa Bank Loan (USD<br>80,000,000)                                                       | 2035             | 10,338,744         | 10,362,160         |
| Accrued interest                                                                                              |                  | 449,553            | 466,235            |
|                                                                                                               |                  | <b>10,788,297</b>  | <b>10,828,395</b>  |
|                                                                                                               |                  | <b>121,197,411</b> | <b>117,784,092</b> |
| <b>(b) Borrowings maturity analysis:</b>                                                                      |                  |                    |                    |
| i) Discounted (does not include interest to maturity)                                                         |                  |                    |                    |
| Due within 1 year                                                                                             |                  | 11,926,138         | 10,035,376         |
| Due between 1 and 2 years                                                                                     |                  | 10,901,257         | 10,403,831         |
| Due between 2 and 5 years                                                                                     |                  | 30,779,246         | 29,436,789         |
| Due after 5 years                                                                                             |                  | 67,590,770         | 67,908,096         |
|                                                                                                               |                  | <b>121,197,411</b> | <b>117,784,092</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 28. Borrowings (continued)

### (b) Borrowings maturity analysis: (continued)

|                                                         | 2025<br>Shs'000    | 2024<br>Shs'000    |
|---------------------------------------------------------|--------------------|--------------------|
| <b>ii) Undiscounted (includes interest to maturity)</b> |                    |                    |
| Due within 1 year                                       | 14,901,335         | 12,730,203         |
| Due between 1 and 2 years                               | 13,187,607         | 13,379,029         |
| Due between 2 and 5 years                               | 36,027,697         | 31,723,138         |
| Due after 5 years                                       | 72,528,295         | 78,094,073         |
|                                                         | <b>136,644,934</b> | <b>135,926,443</b> |
| <b>(c) Analysis of loans by currency:</b>               |                    |                    |
| Borrowing in US\$                                       | 47,312,872         | 51,851,036         |
| Borrowings in JPY                                       | 57,842,254         | 50,738,035         |
| Borrowings in EUR                                       | 15,151,799         | 14,281,437         |
| Borrowings in foreign currencies                        | 120,306,925        | 116,870,508        |
| Accrued interest                                        | 890,486            | 913,584            |
| <b>Total</b>                                            | <b>121,197,411</b> | <b>117,784,092</b> |

On-lent loan facilities are entered into by the Government of Kenya with Development Finance Institutions (DFIs) and subsequently on-lend to the Company through subsidiary loan agreements.

Securities:

The Government of Kenya has issued guarantees to the lenders in relation to the guaranteed borrowings.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 28. Borrowings (continued)

(d) The movement in borrowings is as follows:

|                                                                               | 2025<br>Shs'000    | 2024<br>Shs'000    |
|-------------------------------------------------------------------------------|--------------------|--------------------|
| At start of year                                                              | 116,870,508        | 148,866,024        |
| Received in the year                                                          | 5,922,033          | 1,620,282          |
| Repayments in the year                                                        | (8,320,538)        | (9,701,910)        |
| Realized exchange gain on repayment of borrowings<br>billed to KPLC (Note 19) | (1,117,110)        | (2,229,463)        |
| Realized foreign exchange gain/(loss) capitalized                             | 3,193              | (6,287)            |
| Realized exchange gain on repayment of borrowings<br>not billed to KPLC       | (6,317)            | (98,933)           |
| Borrowing offset from KETRACO contract asset<br>(Note 18d)                    | -                  | (5,123,799)        |
| Unrealized exchange loss/(gain) on revaluation<br>of borrowings (Note 19)     | 6,955,156          | (16,455,406)       |
| At end of year                                                                | 120,306,925        | 116,870,508        |
| Add: Accrued interest                                                         | 890,486            | 913,584            |
| At end of year                                                                | 121,197,411        | 117,784,092        |
| Less: Amounts due within one year (current portion)                           | (11,926,138)       | (10,035,376)       |
| <b>Amounts due after one year (non-current portion)</b>                       | <b>109,271,273</b> | <b>107,748,716</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 29. Retirement benefits asset

The Company operated a joint defined benefit scheme with Kenya Power, which was funded by contributions from both the Company and employees up to 31 December 1999.

The Company registered its own defined benefits scheme in 2000 and commenced making contributions to the scheme, alongside employees' contributions, with effect from 1 January 2000. The scheme is administered internally by a Secretariat while Sanlam Asset Managers and GenAfrica Investment Services act as investment managers for the scheme. NCBA bank Kenya plc are the custodians of the Scheme.

Under the plan, the employees are entitled to retirement benefits of 3% of final pensionable emoluments for pensionable service up to 1 January 2000 and 2% of final pensionable emoluments for pensionable service after 1 January 2000 on attainment of a retirement age of 60 years. No other post-retirement benefits are provided to these employees.

The KenGen Staff Retirement Benefits Scheme (DB Scheme) is established under trust and was closed to new entrants and to future accrual of benefits with effect from 31 December 2011 in respect of members aged below 45 years. A new Defined Contribution Scheme, the KenGen Defined Contribution (DC Scheme) 2012 was established effective 1 January 2012, for all new eligible employees. All active in-service members aged 45 years and over as at 31 December 2011 had an option to either remain in the DB scheme for future benefit accrual or join the new DC scheme. Some members opted to join the new DC scheme for future benefit accrual while others opted to remain in the DB scheme. The DC scheme is administered internally by a Secretariat while ICEA Lion Investment Asset Management Limited and Old Mutual Investment Group Limited act as Investment Managers for the Scheme. The Company therefore only makes contributions to the DB scheme in respect of those members who opted to remain in the DB scheme. DB scheme member contributions are a fixed percentage of their basic pay with the Company responsible for the balance of the contributions.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 29. Retirement benefits asset (continued)

An actuarial valuation to fulfill the financial reporting and disclosure requirements of IAS 19 was carried out as at 30 June 2025 by Kenbright Actuarial & Financial Services Limited. On this basis, the present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method. The principal assumptions used for the purposes of the actuarial valuations were as follows:

|                                    | 2025                                          | 2024                                          |
|------------------------------------|-----------------------------------------------|-----------------------------------------------|
| Discount rate(s) <sup>1</sup>      | 12.45%                                        | 15.26%                                        |
| Future salary increases            | 8%                                            | 8%                                            |
| Future pension increases per annum |                                               |                                               |
| - Pre KPLC-Service Pension         | 3%                                            | 3%                                            |
| - Post KPLC Service Pension        | 0%                                            | 0%                                            |
| Mortality (pre-retirement)         | A(52) males/Female Ultimate                   | A(55) males/Female Ultimate                   |
| Mortality (post-retirement)        | N/A                                           | N/A                                           |
| Withdrawals                        | At rates consistent with similar arrangements | At rates consistent with similar arrangements |
| Ill health                         | At rates consistent with similar arrangements | At rates consistent with similar arrangements |
| <b>Retirement age</b>              | <b>60 years</b>                               | <b>60 years</b>                               |

IAS 19 requires the discount rate to be determined by reference to market yields on high quality corporate bonds, or where there no deep market in such bonds, the market yield on government bonds. The discount rate assumption has been determined with reference to Nairobi Stock Exchange (NSE) bond yields based on the weighted average duration of the defined benefit obligation as at the valuation date.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 29. Retirement benefits asset (continued)

### Recognition

The amount recognized in the statement of profit or loss and other comprehensive income and statement of financial position in respect of the defined benefit plan are as shown below:

(a) Amounts recognized in the statement of profit or loss and other comprehensive Income

The amount recognized in the statement of profit or loss and other comprehensive income in respect of the defined benefit plan are as follows:

|                                                                                         | 2025<br>Shs'000  | 2024<br>Shs'000  |
|-----------------------------------------------------------------------------------------|------------------|------------------|
| <b>(i) Statement of profit or loss</b>                                                  |                  |                  |
| <b>Service cost:</b>                                                                    |                  |                  |
| Current service cost (employer)                                                         | (118,328)        | (307,990)        |
|                                                                                         | <b>(118,328)</b> | <b>(307,990)</b> |
| <b>Interest costs</b>                                                                   |                  |                  |
| Interest cost on defined benefit obligation                                             | (1,142,158)      | (996,314)        |
| Interest income on plan assets                                                          | 1,416,260        | 1,272,863        |
| Interest income on the effect of the asset ceiling                                      | (105,779)        | (164,166)        |
|                                                                                         | <b>168,323</b>   | <b>112,383</b>   |
| <b>Net (credit)/charge included in profit or loss in respect of scheme (Note 10(b))</b> | <b>49,995</b>    | <b>(195,607)</b> |
| <b>(ii) Other comprehensive income (OCI)</b>                                            |                  |                  |
| Actuarial loss due to change in financial assumptions                                   | (1,121,921)      | (1,056,087)      |
| Gain/(loss) on plan assets                                                              | 407,227          | (403,516)        |
| Change in effect of asset ceiling (excluding amount in interest cost)                   | 593,552          | 546,889          |
| <b>Amount recognized in OCI (Note 26)</b>                                               | <b>(121,142)</b> | <b>(912,714)</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 29. Retirement benefits asset (Continued)

### Recognition (Continued)

#### (a) Amounts recognized in the statement of profit or loss and other comprehensive Income (continued)

|                                                                                                                                                        | 2025<br>Shs'000  | 2024<br>Shs'000  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
| <b>(iii) Movement in retirement benefit asset</b>                                                                                                      |                  |                  |
| Net asset at start of the year                                                                                                                         | -                | -                |
| Net (credit)/charge included in profit or loss in respect of scheme                                                                                    | 49,995           | (195,607)        |
| Employer contributions                                                                                                                                 | 71,147           | 1,108,321        |
| Amount recognized in OCI (Note 26)                                                                                                                     | (121,142)        | (912,714)        |
| <b>Net asset at end of the year</b>                                                                                                                    | <b>-</b>         | <b>-</b>         |
| <b>(b) Amounts recognized in the statement of financial position</b>                                                                                   |                  |                  |
| The amount included in the statement of financial position arising from the entity's obligation in respect of its defined benefit plans is as follows: |                  |                  |
| Present value of funded defined benefit obligation                                                                                                     | (9,755,512)      | (8,590,166)      |
| Fair value of plan assets                                                                                                                              | 9,961,116        | 9,283,544        |
|                                                                                                                                                        | 205,604          | 693,377          |
| Effect of asset ceiling                                                                                                                                | (205,604)        | (693,377)        |
|                                                                                                                                                        | -                | -                |
| <b>Reconciliation of the effect of asset ceiling is as follows:</b>                                                                                    |                  |                  |
| Effect of asset ceiling                                                                                                                                | (693,377)        | (1,076,100)      |
| Interest effect of the asset ceiling                                                                                                                   | (105,779)        | (164,166)        |
| Change in the effect of the asset ceiling excluding interest                                                                                           | 593,552          | 546,889          |
| <b>Effect of asset ceiling at end of the period</b>                                                                                                    | <b>(205,604)</b> | <b>(693,377)</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 29. Retirement benefits asset (Continued)

### Recognition (continued)

#### (b) Amounts recognized in the statement of financial position (continued)

The reconciliation of the amount included in the statement of financial position is as follows:

Movements in the present value of the defined benefit obligation in the current year were as follows:

|                                                                                               | 2025<br>Shs'000    | 2024<br>Shs'000    |
|-----------------------------------------------------------------------------------------------|--------------------|--------------------|
| Opening benefit obligation                                                                    | (8,590,166)        | (7,267,478)        |
| Current service cost                                                                          | (118,328)          | (307,990)          |
| Interest cost                                                                                 | (1,142,158)        | (996,314)          |
| Employee contributions                                                                        | (4,624)            | (6,960)            |
| Actuarial loss due to change in financial assumptions                                         | (1,121,921)        | (1,056,087)        |
| Benefits paid                                                                                 | 1,221,685          | 1,044,663          |
| <b>Closing defined benefit obligation</b>                                                     | <b>(9,755,512)</b> | <b>(8,590,166)</b> |
| <b>Movements in the present value of the plan assets in the current year were as follows:</b> |                    |                    |
| Opening market value of assets                                                                | 9,283,544          | 8,343,578          |
| Interest income on plan assets                                                                | 1,416,260          | 1,272,863          |
| Employer contributions                                                                        | 71,147             | 1,108,321          |
| Employee contributions                                                                        | 4,624              | 6,960              |
| Gain/(loss) on plan assets                                                                    | 407,227            | (403,516)          |
| Benefits paid                                                                                 | (1,221,685)        | (1,044,663)        |
| <b>Closing fair value of plan assets</b>                                                      | <b>9,961,116</b>   | <b>9,283,544</b>   |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 29. Retirement benefits asset (Continued)

### Recognition (continued)

#### (b) Amounts recognized in the statement of financial position (continued)

The fair values of the plan assets at the end of the reporting period for each category are as follows:

|                                       | 2025<br>Shs'000  | 2024<br>Shs'000  |
|---------------------------------------|------------------|------------------|
| <b>Asset Class</b>                    |                  |                  |
| *Government Securities                | 5,072,599        | 4,098,516        |
| Quoted Equities                       | 724,268          | 528,798          |
| Immovable Property in Kenya           | 4,045,766        | 4,124,827        |
| Listed Corporate Bonds                | 36,431           | 34,366           |
| Fixed Deposits                        | 162,533          | 168,620          |
| Offshore Investments                  | 181,244          | 161,030          |
| Cash & Demand Deposits                | 52,953           | 182,110          |
| ** Any Other Asset                    | 328,801          | 80,375           |
| Creditors & Payables                  | (643,479)        | (95,098)         |
| <b>Closing Market Value of Assets</b> | <b>9,961,116</b> | <b>9,283,544</b> |

\* Government Securities include Treasury Bills and Treasury Bonds

\*\* Other Current Assets

#### (c) Sensitivity analysis

When there is an unfavorable change in the principal assumptions, they negatively affect the Company's obligation. The sensitivity of the defined benefit obligation to changes in the principal assumptions is as follows:

| Parameter      | Sensitivity | 2025  | Change in assumption | Impact on defined benefit obligation                           |
|----------------|-------------|-------|----------------------|----------------------------------------------------------------|
| Discount rate  | 11.95       | 12.45 | Decrease by 0.5%     | Increase in the present value of obligation by Shs 356,188,000 |
| Discount rate  | 12.95       | 12.45 | Increase by 0.5%     | Decrease in the present value of obligation by Shs 502,255,000 |
| Salary         | 7%          | 8%    | Decrease by 1%       | Increase in the present value of obligation by Shs 101,241,000 |
| Salary         | 9%          | 8%    | Increase by 1%       | Decrease in the present value of obligation by Shs 95,226,000  |
| Retirement age | 55          | 60    | Decrease by 5yrs     | Increase in the present value of obligation by Shs 475,397,000 |



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 29. Retirement benefits asset (Continued)

### Recognition (continued)

#### (c) Sensitivity analysis (continued)

The above sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions, the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit asset recognized in the balance sheet.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the prior period.

## 30. Deferred Taxation

Deferred taxes are calculated on all temporary differences under the liability method using the applicable rate, currently at 30%. The makeup of the deferred tax liabilities in the year and the movement on the deferred tax account during the year are presented below:

|                                                            | 2025<br>Shs'000   | 2024<br>Shs'000   |
|------------------------------------------------------------|-------------------|-------------------|
| <b>Movement on the deferred tax account is as follows:</b> |                   |                   |
| At the start of year                                       | 84,531,405        | 81,629,986        |
| Income statement charge (Note 13(a))                       | 4,012,092         | 3,277,671         |
| Prior year (over)/under provision (Note 13(a))             | (66)              | 12,114            |
| Credit to other comprehensive income (Note 26)             | 105,838           | (388,366)         |
| <b>At the end of the year</b>                              | <b>88,649,269</b> | <b>84,531,405</b> |

The increase in deferred tax liability arises from reinstatement of revalued assets and profit for the year.

The Company has recognized deferred tax assets mainly relate to tax losses carried forward, capital allowances and other temporary differences. Utilization of these assets depends on the availability of sufficient future taxable profits.

Management has assessed the recoverability of the deferred tax assets based on approved business plans and forecasts of future taxable income. It is considered probable that sufficient taxable profits will be available to utilize the deferred tax assets within the foreseeable future.

The assumptions underlying this assessment will be reviewed at each reporting date to ensure the recognition of deferred tax assets remains appropriate.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 30. Deferred Taxation (continued)

|                                            | At start of<br>year<br>Shs'000 | Charged /<br>(Credited)<br>to P/L<br>Shs'000 | Charged /<br>(Credited)<br>to OCI<br>Shs'000 | At end of<br>year<br>Shs'000 |
|--------------------------------------------|--------------------------------|----------------------------------------------|----------------------------------------------|------------------------------|
| <b>Year ended 30 June 2025</b>             |                                |                                              |                                              |                              |
| <b>Deferred tax assets:</b>                |                                |                                              |                                              |                              |
| Tax losses                                 | (4,917,323)                    | 3,164,935                                    | -                                            | (1,752,388)                  |
| Provisions and other temporary differences | (2,173,053)                    | (526,199)                                    | (20,574)                                     | (2,719,826)                  |
| Overprovision in the prior year            | 12,114                         | (12,180)                                     | -                                            | (66)                         |
| Unrealized exchange (loss)/gains           | (319,285)                      | 261,299                                      | -                                            | (57,987)                     |
|                                            | <b>(7,397,547)</b>             | <b>2,887,855</b>                             | <b>(20,574)</b>                              | <b>(4,530,267)</b>           |
| <b>Deferred tax liabilities:</b>           |                                |                                              |                                              |                              |
| Revaluation surplus - capital gains        | 511,194                        | -                                            | -                                            | 511,194                      |
| Revaluation surplus                        | 42,700,051                     | (1,140,921)                                  | 126,412                                      | 41,685,542                   |
| Accelerated capital allowances             | 48,717,707                     | 2,265,092                                    | -                                            | 50,982,800                   |
|                                            | <b>91,928,952</b>              | <b>1,124,171</b>                             | <b>126,412</b>                               | <b>93,179,536</b>            |
| <b>Net deferred tax liability</b>          | <b>84,531,405</b>              | <b>4,012,026</b>                             | <b>105,838</b>                               | <b>88,649,269</b>            |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 30. Deferred Taxation (continued)

|                                            | At start of year<br>Shs'000 | Charged /<br>(Credited) to<br>P/L<br>Shs'000 | Charged /<br>(Credited)<br>to OCI<br>Shs'000 | At end of<br>year<br>Shs'000 |
|--------------------------------------------|-----------------------------|----------------------------------------------|----------------------------------------------|------------------------------|
| <b>Year ended 30 June 2024</b>             |                             |                                              |                                              |                              |
| <b>Deferred tax assets:</b>                |                             |                                              |                                              |                              |
| Tax losses                                 | (7,997,326)                 | 3,080,003                                    | -                                            | (4,917,323)                  |
| Provisions and other temporary differences | (1,646,599)                 | (252,860)                                    | (273,594)                                    | (2,173,053)                  |
| Overprovision in the prior year            | -                           | 12,114                                       | -                                            | 12,114                       |
| Unrealized exchange (loss)/gains           | 560,734                     | (880,019)                                    | -                                            | (319,285)                    |
|                                            | <b>(9,083,191)</b>          | <b>1,959,238</b>                             | <b>(273,594)</b>                             | <b>(7,397,547)</b>           |
| <b>Deferred tax liabilities:</b>           |                             |                                              |                                              |                              |
| Revaluation surplus - capital gains        | 511,194                     | -                                            | -                                            | 511,194                      |
| Revaluation surplus                        | 43,982,591                  | (1,167,768)                                  | (114,772)                                    | 42,700,051                   |
| Accelerated capital allowances             | 46,219,392                  | 2,498,315                                    | -                                            | 48,717,707                   |
|                                            | <b>90,713,177</b>           | <b>1,330,547</b>                             | <b>(114,772)</b>                             | <b>91,928,952</b>            |
| <b>Net deferred tax liability</b>          | <b>81,629,986</b>           | <b>3,289,785</b>                             | <b>(388,366)</b>                             | <b>84,531,405</b>            |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 31. Lease Liabilities

|                                                     | 2025<br>Shs'000  | 2024<br>Shs'000  |
|-----------------------------------------------------|------------------|------------------|
| At the start of year                                | 1,063,626        | 851,702          |
| Additional leases (Note 17)                         | 3,161            | 332,015          |
| Interest on lease liability (Note 12)               | 103,246          | 155,794          |
| Paid during the year (Principal and interest)       | (268,423)        | (275,885)        |
| <b>At the end of year</b>                           | <b>901,610</b>   | <b>1,063,626</b> |
| <b>Comprising:</b>                                  |                  |                  |
| Current Portion                                     | 133,286          | 172,127          |
| Non- current portion                                | 768,324          | 891,499          |
|                                                     | <b>901,610</b>   | <b>1,063,626</b> |
| <b>Maturity Analysis of undiscounted cash flows</b> |                  |                  |
| Year 1                                              | 224,342          | 275,227          |
| Year 2                                              | 130,077          | 223,041          |
| Year 3                                              | 65,915           | 130,077          |
| Year 4                                              | 65,609           | 115,064          |
| Year 5 and beyond                                   | 2,695,969        | 2,658,098        |
|                                                     | <b>3,181,912</b> | <b>3,401,507</b> |
| <b>32. Grants</b>                                   |                  |                  |
| At the start of year                                | 1,228,401        | 833,351          |
| Received during the year                            | 721,330          | 396,828          |
| Amortization credit to profit or loss               | (1,641)          | (1,778)          |
| <b>*At the end of year</b>                          | <b>1,948,090</b> | <b>1,228,401</b> |

\* This relates to funds received from the World Bank as a grant towards the construction of the East Africa Skills for Transformation and Regional Integration Projects (EASTRIP) and Subsidy for Olkaria I Unit 6 for exploration and development of geothermal resources in Kenya. The EASTRIP Project is expected to be completed in the financial year 2026/27.

Other grants which the Company has benefited through funding from Donors where funds were disbursed directly to the consultants include Marsabit Wind Feasibility Study (**Euros 642,898.00**) from AFD, Floating Solar Pre-feasibility Study (**Euros 148,898.40**) from KfW, Raising Masinga Dam Feasibility Study update (**Euros 818,260.30**) from AFD, and Redevelopment of Gogo Hydro Power Development Feasibility Study (**Euros 590,446.00**) from European Union (EU).

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 33. Trade and other payables

|                                       | 2025<br>Shs'000  | 2024<br>Shs'000  |
|---------------------------------------|------------------|------------------|
| Contractors and retention money*      | 955,039          | 322,187          |
| Trade payables                        | 5,370,877        | 5,934,937        |
| Due to KPLC (note 36(a)(ii)) **       | -                | 156,223          |
| Sundry creditors accruals***          | 1,670,539        | 1,844,558        |
| Gratuity accrual                      | 165,309          | 121,798          |
| Leave accrual                         | 171,155          | 199,608          |
| <b>Total trade and other payables</b> | <b>8,332,919</b> | <b>8,579,311</b> |

\* The increase in retention is in relation to Olkaria I Rehabilitation which is ongoing.

\*\* Towards the end of the year the company received a credit note of Shs 625 million from KPLC in respect of its electricity consumption which resulted into this supply account being net receivable (Note 22).

\*\*\* Sundry creditors represent amounts payable to third parties other than trade suppliers and are classified as current liabilities. These mainly include accruals, statutory deductions, and amounts due to staff and service providers. The amounts also include deferred income of Shs 47,675,000 with respect to drilling activities in Tanzania. Other amounts are short term, unsecured, non-interest bearing and are normally settled within the Company's normal operating cycle.

## 34. Dividends payable

Proposed dividends are accounted for as part of equity until they have been ratified and declared at the relevant Annual General Meeting (AGM). At the AGM, a final dividend in respect of the year ended 30 June 2025 of Shs. 0.90 (2024: Shs. 0.65) for every ordinary share of par value of Shs.2.50 is to be proposed. No interim dividend was declared during the year. The dividend account is as follows:

|                             | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-----------------------------|-----------------|-----------------|
| At start of year            | -               | 923,086         |
| Approved dividends          | 4,286,441       | 1,978,357       |
| Amount paid during the year | (4,286,441)     | (2,901,443)     |
| <b>At end of year</b>       | <b>-</b>        | <b>-</b>        |



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 35. Notes to the statement of cash flows

(a) Reconciliation of profit before income tax to cash generated from operations.

|                                                                | 2025<br>Shs'000   | 2024<br>Shs'000   |
|----------------------------------------------------------------|-------------------|-------------------|
| Profit before income tax                                       | 15,472,953        | 10,946,865        |
| Adjustments for:                                               |                   |                   |
| Depreciation (Note 10(a))                                      | 13,988,223        | 15,215,524        |
| Amortization of intangible assets (Note 10(a))                 | 253,546           | 245,599           |
| Depreciation of Right of use assets (Note 10(a))               | 242,876           | 246,580           |
| Finance income (Note 11)                                       | (4,109,861)       | (4,201,745)       |
| Finance cost (Note 12)                                         | 2,253,457         | 2,805,920         |
| Net decrease in contract asset (Note 18(d))                    | -                 | 439,692           |
| Gain on disposal of property, plant and equipment (Note 8)     | (198,492)         | (3,846)           |
| Amortization of treasury bonds (Note 18(c))                    | 13,557            | (12,355)          |
| Impairment of deferred debt (Note 18(a))                       | (1,712)           | (7,463)           |
| Impairment of held-to-maturity treasury bonds (Note 18(c))     | (768)             | 678               |
| Impairment of capital work in progress (Note 10(g))            | 538,052           | 39,478            |
| Impairment of property, plant and equipment (Note 10(g))       | (201,698)         | 912,830           |
| Impairment of financial asset due from KPLC (Note 18(b and d)) | 108,975           | (265,020)         |
| Decrease in financial asset through profit or loss             | (324,660)         | 1,560,692         |
| Tax expense for foreign operations                             | 96,939            | -                 |
| Financial asset recoveries (Note 18(b))                        | 124,198           | 123,595           |
| <b>Operating profit before working capital changes</b>         | <b>28,255,585</b> | <b>28,047,024</b> |
| <b>Changes in working capital:</b>                             |                   |                   |
| Increase in inventories (Note 20)                              | (787,640)         | (287,838)         |
| (Increase)/decrease in trade receivables (Note 21)             | (16,789)          | 4,819,285         |
| Decrease in other receivables (Note 22)                        | 687,284           | 1,414,116         |
| (Decrease)/increase in trade and other payables (Note 33)      | (246,392)         | 285,469           |
| <b>Cash generated from operations</b>                          | <b>27,892,048</b> | <b>34,278,056</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 35. Notes to the statement of cash flows (continued)

|                                                        | 2025<br>Shs'000 | 2024<br>Shs'000 |
|--------------------------------------------------------|-----------------|-----------------|
| <b>(b) Movement in finance income</b>                  |                 |                 |
| At start of year                                       | 425,874         | 115,569         |
| Interest income (Note 11)                              | 4,109,861       | 4,201,745       |
| Finance income received                                | (3,957,555)     | (3,181,275)     |
| Accrued interest from Kenya Power (Note 11)            | (303,717)       | (710,165)       |
| <b>At end of year</b>                                  | <b>274,463</b>  | <b>425,874</b>  |
| <b>(c) Movement in interest payables on borrowings</b> |                 |                 |
| At start of year                                       | 913,584         | 985,782         |
| Interest expense (Note 12)                             | 2,150,211       | 2,805,920       |
| Interest paid on borrowings                            | (2,173,309)     | (2,878,118)     |
| <b>At end of year (Note 28)</b>                        | <b>890,486</b>  | <b>913,584</b>  |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 35. Notes to the statement of cash flows (continued)

### (d) Analysis of proceeds from disposal of Assets

|                                                              |                | 2025                              |                | 2024                              |
|--------------------------------------------------------------|----------------|-----------------------------------|----------------|-----------------------------------|
|                                                              | Land           | Property,<br>plant &<br>equipment | Total          | Property,<br>plant &<br>equipment |
|                                                              | Shs'000        | Shs'000                           | Shs'000        | Shs'000                           |
| Proceeds from disposal of assets                             | 250,612        | 61,184                            | 311,796        | 8,988                             |
| Less: Disposed assets net book value                         | (93,441)       | (53,675)                          | (147,116)      | (5,142)                           |
| Add: Reversal of revaluation surplus                         | 33,812         | -                                 | 33,812         | -                                 |
| <b>Net gain on disposal of property, plant and equipment</b> | <b>190,983</b> | <b>7,509</b>                      | <b>198,492</b> | <b>3,846</b>                      |

### (e) Net debt reconciliation

This section sets out an analysis of net debt and the movements in net debt for each of the periods presented.

|                                                | 2025                | 2024                |
|------------------------------------------------|---------------------|---------------------|
|                                                | Shs'000             | Shs'000             |
| Cash and bank balances (Note 24)               | 29,317,145          | 24,850,342          |
| Borrowings repayable within one year (Note 28) | (11,926,138)        | (10,035,376)        |
| Borrowings repayable after one year (Note 28)  | (109,271,273)       | (107,748,716)       |
| <b>Net debt</b>                                | <b>(91,880,266)</b> | <b>(92,933,750)</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 35. Notes to the statement of cash flows (continued)

### (e) Net debt reconciliation (continued)

|                                                    | Shs'000<br>Cash and<br>bank<br>balances | Shs'000<br>Borrowings | Shs'000<br>Net Debt |
|----------------------------------------------------|-----------------------------------------|-----------------------|---------------------|
| Net debt as 1 July 2024                            | 25,618,247                              | (116,870,508)         | (91,252,261)        |
| Net increase in cash and cash equivalents          | 4,513,663                               | -                     | 4,513,663           |
| Received in the year                               | -                                       | (5,922,033)           | (5,922,033)         |
| Repaid in the year                                 | -                                       | 8,320,538             | 8,320,538           |
| Realised exchange gain on repayments of borrowings | -                                       | 1,120,234             | 1,120,234           |
| Unrealised exchange loss in the year               | -                                       | (6,955,156)           | (6,955,156)         |
| Accrued interest                                   | -                                       | (890,486)             | (890,486)           |
| Expected credit loss on cash and bank balances     | (807,041)                               | -                     | (807,041)           |
| Effects of foreign exchange rate changes           | (7,724)                                 | -                     | (7,724)             |
| <b>Net debt as at 30 June 2025</b>                 | <b>29,317,145</b>                       | <b>(121,197,411)</b>  | <b>(91,880,266)</b> |
| Net debt as 1 July 2023                            | 15,474,003                              | (148,866,024)         | (133,392,021)       |
| Net increase in cash and cash equivalents          | 10,156,401                              | -                     | 10,156,401          |
| Received in the year                               | -                                       | (1,620,282)           | (1,620,282)         |
| Repaid in the year                                 | -                                       | 9,701,910             | 9,701,910           |
| Realized exchange loss on repayment of borrowings  | -                                       | 2,334,683             | 2,334,683           |
| Borrowing offset from KETRACO contract asset       | -                                       | 5,123,799             | 5,123,799           |
| Unrealised exchange gain in the year               | -                                       | 16,455,406            | 16,455,406          |
| Accrued interest                                   | -                                       | (913,584)             | (913,584)           |
| Expected credit loss on cash and bank balances     | (767,905)                               | -                     | (767,905)           |
| Effects of foreign exchange rates changes          | (12,157)                                | -                     | (12,157)            |
| <b>Net debt as at 30 June 2024</b>                 | <b>24,850,342</b>                       | <b>(117,784,092)</b>  | <b>(92,933,750)</b> |

\* The opening balance of net debt does not reconcile exactly with the prior year's closing balance primarily due to adjustments arising from accrued interest on borrowings and expected credit loss on cash balances. These adjustments are recognized directly in the statement of financial position and not through the cash flow statement. As a result, the opening net debt reflects the restated carrying values of borrowings and cash balances as at the beginning of the year, which differ from the previously reported closing balances.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 36. Related party transactions

The Company is 70% owned by the Government of Kenya. The remaining 30% of the shares are widely held by the public. In line with the exemptions in IAS 24, and by virtue that the government is the major shareholder of the company, we do not consider as related parties: providers of finance, trade unions, public utilities and any agencies, departments of the government of Kenya, any state corporations or other state or county entities that do not control, jointly control or significantly influence the reporting entity. The Government of Kenya has provided some guarantees to long-term external lenders of the entity and on-lent loans to the Company (Note 28).

The company's main related parties include Government of Kenya - Ministry of Energy, The National Treasury, The Kenya Power and Lighting Company Plc (Kenya Power), Geothermal Development Company Limited (GDC), Rural Electrification & Renewable Energy Corporation, Water Resource Authority (WRA), Board of Directors and Key Management.

### (a) Kenya Power and Lighting Company Plc (KPLC)

Kenya Power is the authorised electricity distributor in Kenya with its majority shareholder being the Government of Kenya.

(i) During the year the following transactions were carried out with KPLC;

|                                                  | 2025<br>Shs'000   | 2024<br>Shs'000   |
|--------------------------------------------------|-------------------|-------------------|
| Electricity sales (Note 6(a))                    | 40,410,264        | 41,252,372        |
| Steam revenue (Note 6 (a))                       | 5,644,330         | 6,875,964         |
| Fuel charges billed (Note 6(a))                  | 9,607,542         | 7,923,700         |
| Water charges billed (Note 6(a))                 | 172,275           | 166,593           |
| Interest income on amounts due (Note 11)         | 303,717           | 710,165           |
| Realized foreign exchange loss billed to KPLC    |                   |                   |
| - borrowings (Note 28(d))                        | 1,117,110,        | 2,229,463         |
| Realized foreign exchange loss billed to KPLC-   |                   |                   |
| other transactions (Note 9)                      | 1,465,830         | 1,512,403         |
| Recovery of the Olkaria V transmission line cost | 124,198           | 123,595           |
|                                                  | <b>58,845,266</b> | <b>60,794,255</b> |
| <b>Electricity purchases from KPLC</b>           | <b>384,730</b>    | <b>648,563</b>    |

(ii) The following amounts due from/to KPLC relate to outstanding balances at year end for purchase of electricity.

|                                                    | 2025<br>Shs'000 | 2024<br>Shs'000 |
|----------------------------------------------------|-----------------|-----------------|
| Trade payables (Note 33)                           | -               | 156,223         |
| <b>Other receivables and prepayments (Note 22)</b> | <b>251,336</b>  | <b>-</b>        |

The sales to Kenya Power are made in accordance with the signed Power Purchase Agreements whereas the purchases from Kenya Power are made at normal market prices.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 36. Related party transactions (continued)

### (a) Kenya Power and Lighting Company Plc (KPLC) (continued)

#### (iii) Amounts due from KPLC

|                                                                        | 2025<br>Shs'000   | 2024<br>Shs'000   |
|------------------------------------------------------------------------|-------------------|-------------------|
| Amount due for electricity sales (Note 21)                             | 17,477,372        | 17,096,299        |
| Emergency power receivable (Note 37)                                   | 230,700           | 231,085           |
|                                                                        | <b>17,708,072</b> | <b>17,327,384</b> |
| Financial asset due from KPLC-Olkaria V transmission line (Note 18(b)) | 1,230,022         | 1,302,371         |
|                                                                        | <b>18,938,094</b> | <b>18,629,755</b> |
| (iv) Recoverable foreign exchange differences (Note 19)                | 7,489,108         | 1,624,333         |

### (b) Geothermal Development Company Limited (GDC)

Geothermal Development Company Limited is wholly owned by the Government of Kenya and its principal activities are the development of geothermal resources in Kenya through surface exploration and drilling for steam, and to avail steam power to developers for electricity generation.

|                                                    | 2025<br>Shs'000  | 2024<br>Shs'000  |
|----------------------------------------------------|------------------|------------------|
| (i) Amount due to GDC (included in trade payables) | 1,393,188        | 1,097,353        |
| (ii) Steam purchases (Note 10(c))                  | <b>3,496,434</b> | <b>4,393,595</b> |

### (c) Rural Electrification and Renewable Energy Corporation (REREC)

|                                                                         |               |               |
|-------------------------------------------------------------------------|---------------|---------------|
| At the start of year                                                    | 44,298        | 111,894       |
| Receipts during the year                                                | 113,000       | -             |
| Payments during the year                                                | (78,051)      | (67,596)      |
| <b>Amounts due to REREC at end of year (included in other payables)</b> | <b>79,247</b> | <b>44,298</b> |

The balance represents funds received in advance from REREC for the operation and maintenance of the 50MW Garissa Solar Plant, which KenGen manages on behalf of REREC.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 36. Related party transactions (continued)

### (d) Water Resource Authority (WRA)

WRA charges for water use at the rate of 0.05 Shs/kWh for power plants with capacity of over 1MW with approval from the Energy Regulatory and Petroleum Regulation.

|                                                | 2025<br>Shs'000 | 2024<br>Shs'000 |
|------------------------------------------------|-----------------|-----------------|
| Amount due to WRA (included in trade payables) | 112,806         | 179,482         |
| <b>Water charge</b>                            | <b>172,275</b>  | <b>166,593</b>  |

The Water Resource Regulations 2021 introduced an increase of water use charges from Shs 0.05 cents/kWh to KShs. 2/kWh for hydro power generation above 1MW and additional 5% conservation levy. The same has not been validated since there is court Order that suspended the implementation of the said Regulations. Additionally, the increase has not been gazetted by Energy & Petroleum Regulatory Authority (EPPRA) as a pass-through cost of energy. Following the commencement of the Regulations, WRA billed the Company Shs. 493,685,414 for the water use charges in February and March 2023. The court allowed a temporary injunction setting aside the implementation of the Regulations as proposed by WRA and as at the reporting period the matter was still pending before the High Court.

### (e) Kenya Electricity Transmission Company Limited (KETRACO) – Balances due from:

|                                            | 2025<br>Shs'000 | 2024<br>Shs'000 |
|--------------------------------------------|-----------------|-----------------|
| Sondu Miriu Transmission Line (Note 18(a)) | 731,327         | 692,885         |
| Amounts due from KETRACO                   | 731,327         | 692,885         |

### (f) Directors' remuneration, other expenses and key management compensation

|                                                          | 2025<br>Shs'000 | 2024<br>Shs'000 |
|----------------------------------------------------------|-----------------|-----------------|
| <b>Directors' remuneration and other expenses</b>        |                 |                 |
| Fees for services as a director                          | 6,000           | 6,000           |
| Sitting and other allowances                             | 17,406          | 16,714          |
|                                                          | <b>23,406</b>   | <b>22,714</b>   |
| <b>Key management compensation</b>                       |                 |                 |
| <b>Salaries and other short-term employment benefits</b> |                 |                 |
| Key management (Departmental Heads)                      | 88,850          | 95,686          |
| Managing Director and CEO                                | 14,694          | 14,642          |
| Leave accrual – Managing Director and CEO                | 503             | 403             |
|                                                          | 104,047         | 110,731         |
| <b>Total fees, salaries and other emoluments</b>         | <b>127,453</b>  | <b>133,445</b>  |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 36. Related party transactions (continued)

### (f) Directors' remuneration and key management compensation (continued)

Key management are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including director (whether executive or otherwise) of the entity.

### (g) Loans to/from directors of the Company

There were no loans to/from directors outstanding at 30 June 2025 (2024: Nil).

### (h) Loans from Shareholders

Government of Kenya on-lent loans amounted to Shs 82.5 billion (2024:78.6 billion).

### (i) Donations to KenGen Foundation

Donations made during the year amounted to Shs 61.6 million (2024: Shs 92 million).

### (j) Kerio Valley Development Authority (KVDA)

Payments made during the year amounted to Shs 45 million (2024: Shs 45 million) for dam and environmental management. There is no outstanding amount.

### (k) Tana and Athi River Development Authority (TARDA)

Payments made during the year amounted to Shs 62 million (2024: Shs 62 million) for dam and environmental management. There is no outstanding amount.

### (l) Kenya National Highways Authority (KeNHA)

in other receivables is an amount of Shs. 250.6 million due from the Kenya National Highways Authority (KeNHA) as at 30 June 2025. The balance relates to compensation receivable for land and improvements.

### (m) Subsidiary

The following relationships exists within KenGen PLC:

| Related parties   | Held by | Percentage of interest held as at 30 June |      |
|-------------------|---------|-------------------------------------------|------|
|                   |         | 2025                                      | 2024 |
| KenGen Foundation | KenGen  | 100%                                      | 100% |

KenGen Foundation was established by KenGen PLC as a public charitable trust by Declaration of trust deed dated 2009 and is domiciled in Kenya. The Foundation serves as the philanthropic arm of KenGen and is mandated to: Turn short term one-off CSR Projects into CSI-Corporate Social Investments; Upscale CSI activities for greater impact and increase and diversify resources available for CSI projects. The Foundation is wholly controlled by KenGen Plc but its financial statements have not been consolidated as it is considered immaterial by the directors.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 37. Emergency Power Project

The Company managed an Emergency Power Supply project known as Aggreko International Projects as an implementing commissioning agent on behalf of the Ministry of Energy. These funds are held in an Escrow bank account at the NCBA Bank Kenya Plc. Movements in the Escrow account which are not included in the Company's cash and cash equivalents, are summarized below;

|                                           | 2025<br>Shs'000 | 2024<br>Shs'000 |
|-------------------------------------------|-----------------|-----------------|
| At start of year                          | 559,440         | 598,475         |
| Interest income                           | 7,544           | 7,550           |
| Loss on foreign exchange during the year* | (1,279)         | (46,585)        |
| <b>At end of year</b>                     | <b>565,705</b>  | <b>559,440</b>  |

\* The amount relates to foreign exchange fluctuations.

An amount of Shs 231 million (2024: Shs 231 million) for Emergency Power Project is due from Kenya Power and Lighting Company Plc.

## 38. Contingent liabilities and assets

### (i) Letters of credit

Letters of credit signify commitment by the Company to make payments to third parties for contracts entered into, generally relating to foreign payments. Outstanding letters of credit as at 30 June 2025 amounted to Shs 640,168,522 (30 June 2024 Shs: 1,235,169,162).

### (ii) Compensating Tax and Withholding Tax Assessment

Kenya Revenue Authority (KRA) issued an assessment of KShs. 2,945,067,645 on Compensating Tax and Withholding tax on dividends for the period 2019 to 2023. KenGen appealed against KRA's decision to the Tax Appeals Tribunal as provided by the Tax Appeals Tribunal Act. The matter is currently at the Tax Appeals Tribunal pending hearing and determination.

### (iii) Customs Duty

Kenya Revenue Authority (KRA) conducted a post clearance audit for the period 2019 to 2022. KRA raised an estimated assessment of KShs 342,780,004 relating to tariff classification, valuation for custom duties, proof of exports and temporary importation of equipment. Through a Government-to-Government engagement, KenGen and KRA resolved to drop assessment amounting to KShs 124,312,190, while KShs 164,355,339 was deemed payable and an amount of KShs 54,112,475 is still under engagement under the Government to Government initiative.

KenGen and KRA entered an eight (8) month payment plan for the amount of KShs 164,355,339. KenGen settled the entire amount of KShs 164,355,339 by December 2024. During the Government – Government engagement, there was an outstanding assessment raised by KRA of KShs 54,112,475 relating to valuation of imported equipment. KenGen is currently engaging KRA to amicably resolve the issue.

### (iv) Bank guarantee

Bank guarantees in the form of Performance Guarantees were issued to third parties on account of contracts signed with them. This amounted to Shs 77.9 million as at 30 June 2025. (2024: Shs 219.3 million).

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 38. Contingent liabilities and assets (continued)

### (v) Legal cases

The entity is currently named as a defendant in several legal proceedings. After seeking appropriate legal advice, the Board is satisfied that the matters in question are unlikely to result in any material financial liability. The nature of the claims, the status of the proceedings and the strength of the entity's legal position collectively support the conclusion that the probability of significant adverse financial impact is remote.

## 39. Capital commitments

The capital commitments relate to the ongoing capital projects and new projects which have been approved and are at various stages of implementation. They are financed by Development Financial Institutions (DFIs), local banks and internal resources. The projects include rehabilitation of Olkaria I Rehabilitation, Olkaria I & IV uprating, Seven Forks Solar, Gogo Hydro Project, Olkaria VII and Olkaria II Extension among other projects.

**Capital commitments at the year-end for which no provision has been made in these financial statements are:**

|                                            | 2025<br>Shs'000   | 2024<br>Shs'000    |
|--------------------------------------------|-------------------|--------------------|
| Authorised but not contracted for*         | 75,007,127        | 119,693,830        |
| Authorised and contracted for**            | 94,577,502        | 75,535,388         |
| Less: Amounts included in Work in progress | (71,001,022)      | (63,921,181)       |
|                                            | <b>98,583,607</b> | <b>131,308,037</b> |

\* Authorised but not contracted for commitments represent projects that have been approved by the Board but for which contracts had not been finalized as at the reporting date.

\*\* Authorised and contracted for commitments represent amounts relating to contracts already signed with suppliers and contractors for ongoing projects.

## 40. Operating segments

The Company's Key Management, which consists of the Managing Director & Chief Executive Officer and Departmental General Managers is the Company's Chief Operating Decision Maker (CODM).

In accordance with IFRS 8 - Operating segments, information reported to the CODM for the purposes of resource allocation and assessment of segment performance is focused on the principal activities and the products offered by the Company.

The Company's primary reportable segment is electricity generation. In line with its revenue diversification strategy, KenGen has also undertaken drilling and consultancy services in Ethiopia, Djibouti and Eswatini. Drilling operations in Ethiopia and Djibouti have since concluded.

In determining reportable segments, the CODM considers the following factors:

### a) Reported revenue/ Products and Services

All the primary activities of the Company resulted in the generation of revenue from electricity which is the sole product and revenue stream.

### b) Geographical areas

All the plants are based in Kenya and operate effectively within one geographical location (Kenya).



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 40. Operating segments(continued)

### c) Major customers

The company operates in a regulated industry. Most of its revenue as outlined is derived from one single external customer, Kenya Power and Lighting Company Plc.

### d) Assets and liabilities

All the assets and liabilities of the company are managed and operated as per company's policies, procedures laws and regulations.

## 41. Financial risk management

### Introduction and overview

The Company's activities expose it to a variety of financial risks and those activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the Company's business and the operational risks are an inevitable consequence of being in business. The Company's aim is therefore to achieve an appropriate balance between risk and return and minimise potential adverse effects on its financial performance. The key types of risks include:

- Market risk – includes currency, interest rate and other price risk
- Credit risk
- Liquidity risk

The Company's overall risk management programme focuses on the unpredictability of changes in the business environment and seeks to minimise potential adverse effects of such risks on its financial performance within the options available by setting acceptable levels of risks.

### Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Company's Finance department identifies, evaluates and hedges financial risks in close cooperation with operating units. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as credit risk, liquidity risk, foreign exchange risk, interest rate risk and price risk. The Company does not enter into or trade in financial instruments, including derivative financial instruments, for speculative purposes.

### (a) Market risks

The Board has assigned the Internal Audit, Risk & Compliance function to assist in monitoring the risks faced by the Company on an ongoing basis, evaluate and test the design and effectiveness of its internal accounting and operational controls.

Market risk is the risk arising from changes in market prices, such as interest rate, equity prices and foreign exchange rates which will affect the Company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return. Overall responsibility for managing market risk rests with the Audit, Risk & Compliance Committee.

The Company's Internal Audit, Risk and Compliance Department is responsible for the development of detailed risk management policies (subject to review and approval by Audit, Risk & Compliance Management Committee) and for the day-to-day implementation of those policies.

There has been no change to the Company's exposure to market risks or the manner in which it manages and measures the risk

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### Risk management framework (continued)

#### (a) Market risks(continued)

#### Foreign currency risk

Foreign currency exposures on borrowings and also through purchases of goods and services that are done in currencies other than the local currency. The Company has loans from multilateral donors, which are denominated in currencies other than the functional local currency. Loan payments are made by using the prevailing exchange rate as there is no forward currency contracts to eliminate the currency exposures. Invoices denominated in foreign currencies are paid after 30 days from the date of the invoice and conversion at the time of payment is done using the prevailing exchange rate.

Exposure to foreign currency risk is mitigated by the terms of the Power Purchase Agreement that allow the Company to recover certain foreign currency losses/gains from Kenya Power.

The carrying amount of the Company's foreign currency denominated monetary assets and monetary liabilities is;

|                                                | 2025<br>Shs '000     | 2024<br>Shs '000     |
|------------------------------------------------|----------------------|----------------------|
| <b>Financial assets</b>                        |                      |                      |
| Financial asset at amortised cost (Note 18(a)) | 731,327              | 692,885              |
| Trade receivables (Note 21)                    | 2,981,507            | 2,525,202            |
| Cash and cash equivalents (Note 24(a))         | 3,535,819            | 3,786,611            |
|                                                | <b>7,248,653</b>     | <b>7,004,698</b>     |
| <b>Liabilities</b>                             |                      |                      |
| Trade and other payables                       | (3,088,267)          | (2,518,639)          |
| Borrowings (Note 28(c))                        | (121,197,411)        | (117,784,092)        |
|                                                | (124,285,678)        | (120,302,731)        |
| <b>Net currency liability</b>                  | <b>(117,037,025)</b> | <b>(113,298,033)</b> |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### Introduction and overview (continued)

#### (a) Market risks (continued)

Foreign currency sensitivity analysis

The following table demonstrates the effect on the Company's profit or loss on applying the sensitivity for a reasonable possible change in the exchange rate of the three main transaction currencies, with all other variables held constant. The reverse is also true.

Foreign currency sensitivity analysis

|                              | Change in<br>currency rate | Effect on Profit<br>before tax<br>Shs' 000 | Effect on<br>Equity<br>Shs' 000 |
|------------------------------|----------------------------|--------------------------------------------|---------------------------------|
| <b>2025</b>                  |                            |                                            |                                 |
| United States Dollars (US\$) | -0.23%                     | (97,462)                                   | (29,238)                        |
| Japanese Yen (Yen)           | 11.3%                      | 6,487,657                                  | 1,946,297                       |
| Euro (Euro)                  | 9.2%                       | 1,394,827                                  | 418,448                         |
| <b>Total</b>                 |                            | <b>7,785,022</b>                           | <b>2,335,507</b>                |
| <b>2024</b>                  |                            |                                            |                                 |
| United States Dollars (US\$) | -7.8%                      | (1,115,904)                                | (2,603,775)                     |
| Japanese Yen (Yen)           | -16.8%                     | (2,544,425)                                | (5,936,991)                     |
| Euro (Euro)                  | -9.2%                      | (391,886)                                  | (914,401)                       |
| <b>Total</b>                 |                            | <b>(4,052,215)</b>                         | <b>(9,455,167)</b>              |

Interest rate risk

The Company is exposed to interest rate risk primarily through fluctuations in market lending rates, which may impact the cost of its borrowings and the return on its interest-earning assets.

The Company's non-current borrowings are largely contracted at fixed interest rates, thereby significantly reducing exposure to interest rate volatility over the long term. Exposure to floating interest rates mainly arises from short-term facilities such as bank overdrafts. However, the potential impact of changes in overdraft rates on the Company's financial performance is assessed to be insignificant.

On the asset side, the Company holds interest-earning financial instruments such as investments in government securities and short-term deposits. These instruments carry predetermined and fixed rates of return, further limiting the Company's exposure to variability in market interest rates.

Overall, the Company's risk management approach ensures that exposure to interest rate risk remains minimal and does not pose a material impact on its financial results.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### Introduction and overview (continued)

#### (a) Market risks (continued)

##### Other price risk

The Company is exposed to other price risk primarily through potential fluctuations in electricity tariffs and the risk of non-renewal of expiring Power Purchase Agreements (PPAs). A reduction in the tariff rate or non-renewal of PPAs could directly impact the Company's future energy revenues.

This exposure is, however, mitigated by the regulatory framework governing the electricity sector in Kenya. Tariffs are determined through negotiations between the Company and Kenya Power, with oversight and approval by the Energy and Petroleum Regulatory Authority (EPRA), ensuring that tariff adjustments are conducted in a structured and transparent manner. Agreed tariffs are documented in the PPAs and run for the entire period of the PPAs thus mitigating the risk.

For thermal generation, where fuel constitutes a significant portion of the production cost, the Company is safeguarded by a fuel cost recovery mechanism under the PPA. This arrangement allows the Company to pass through fuel costs directly to Kenya Power, thereby reducing the impact of fuel price volatility on its financial performance. Overall, while the Company is exposed to tariff and PPA renewal risks, the regulatory environment and contractual arrangements provide a strong framework for mitigating such risks and ensuring revenue stability.

#### (b) Credit Risk

Credit risk is the risk of financial loss if a counterparty fails to meet its contractual obligations. The Company manages credit risk on a company-wide basis and deals only with creditworthy counterparties.

The Company's main customer is Kenya Power, with whom it has a contractual agreement that allows a 40-day credit period. This significantly minimizes credit risk exposure on trade receivables. Staff receivables are recovered directly from salary payments, further reducing default risk.

Credit risk relating to banks and financial institutions is managed by the Finance Department in line with Company policy. Surplus funds are invested only with approved institutions within established credit limits. These limits are reviewed annually by the Management and may be revised during the year with approval from the Board.

Although the Company is highly dependent on Kenya Power as its main customer, measures are in place to manage concentration risk. Credit risk assessments consider whether the probability of default has increased significantly since initial recognition, with payments overdue by more than 40 days deemed to indicate an increase in risk. A default is considered to have occurred where a counterparty breaches contractual terms or where available information suggests that it is unlikely to meet its obligations.

Where individual assessment is not possible, expected credit losses (ECLs) are measured collectively by grouping financial assets with similar credit risk characteristics such as type of instrument, industry, or collateral.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (b) Credit risk (continued)

The carrying amount of financial assets represents the maximum exposure to credit risk:

|                                                  | 2025<br>Shs '000  | 2024<br>Shs '000  |
|--------------------------------------------------|-------------------|-------------------|
| Trade receivables-Kenya Power                    | 16,646,382        | 16,629,593        |
| Treasury bonds at amortized cost                 | 2,310,254         | 2,323,042         |
| Treasury bonds at FVOCI                          | 373,716           | 321,154           |
| Financial assets at amortised cost-Deferred debt | 706,539           | 666,385           |
| Financial assets at amortised cost-IFRIC 12      | 1,116,875         | 1,298,199         |
| Other receivables (excluding prepayments)        | 1,472,844         | 1,301,945         |
| Cash and cash equivalents held at bank           | 29,317,145        | 24,850,342        |
| Restricted cash                                  | 3,169,124         | 2,712,749         |
| <b>Exposure to credit risk</b>                   | <b>55,112,879</b> | <b>50,103,409</b> |

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit impaired includes observable data about the following events:

- significant financial difficulty of the debtor
- a breach of contract
- it is probable that the debtor will enter bankruptcy
- the disappearance of an active market for the financial asset because of financial difficulties.

In order to minimise credit risk, the Company has to develop and maintained the Company's credit risk grading to categorise exposures according to their degree of risk of default. The credit rating information is supplied by independent rating agencies where available and, if not available, the Company uses other publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company's exposure and the credit ratings of its counterparties are continuously monitored, and the aggregate value of transactions concluded is spread amongst approved counterparties.



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (b) Credit risk (continued)

The Company's current credit risk grading framework comprises the following categories:

| Category   | Description                                                                                                                                                                                                                                                                                                      | Basis for recognizing expected credit losses |
|------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| Performing | The counterparty has a low risk of default and does not have any past-due amounts.                                                                                                                                                                                                                               | 12 months Expected Credit Loss (ECL)         |
| Doubtful   | Amount is past due or there has been a significant increase in credit risk since initial recognition.                                                                                                                                                                                                            | Lifetime ECL – not credit impaired           |
| In default | Amount is >360 days past due or there is evidence indicating the asset is credit impaired. This is based on historical experience that indicates financial assets that are outstanding more than 360 days are generally not recoverable.                                                                         | Lifetime ECL – credit impaired               |
| Write off  | There is evidence indicating that the debtor is in severe financial difficulty and the Company has no realistic prospect of recovery and the company has also exhausted all the mechanism to recover the debt e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings. | Amount is written off                        |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (b) Credit risk (continued)

The gross carrying amount of financial assets with exposure to credit risk at the balance sheet date was as follows:

| Basis for measurement of loss allowance   | Note   | External credit rating | Internal credit rating | 12 month or Life time ECL | Gross carrying value | Credit loss allowance | Net carrying amount |
|-------------------------------------------|--------|------------------------|------------------------|---------------------------|----------------------|-----------------------|---------------------|
|                                           |        |                        |                        |                           | Shs '000             | Shs '000              | Shs '000            |
| <b>30 June 2025</b>                       |        |                        |                        |                           |                      |                       |                     |
| Trade receivables-Kenya Power             | 21     | N/A                    | Performing             | Lifetime ECL              | 17,477,372           | (830,990)             | 16,646,382          |
| Treasury bonds at amortized cost          | 18(c)  | N/A                    | Performing             | Lifetime ECL              | 2,333,971            | (23,717)              | 2,310,254           |
| Treasury bonds at FVOCI                   | 23     | N/A                    | Performing             | Lifetime ECL              | 373,716              | -                     | 373,716             |
| Deferred debt receivable                  | 18(a)  | N/A                    | Performing             | Lifetime ECL              | 731,327              | (24,788)              | 706,539             |
| Financial asset-IFRIC 12                  | 18(b)  | N/A                    | Performing             | Lifetime ECL              | 1,230,022            | (113,147)             | 1,116,875           |
| Other receivables (excluding prepayments) | 22     | N/A                    | Performing             | Lifetime ECL              | 2,039,434            | (566,590)             | 1,472,844           |
| Cash and cash equivalents held at bank    | 24 (a) | A, BBB, B+, B-         | Performing             | 12 Month ECL              | 30,124,186           | (807,041)             | 29,317,145          |
| Restricted cash                           | 24 (b) | A, BBB, B+, B-         | Performing             | 12 Month ECL              | 3,197,762            | (28,638)              | 3,169,124           |
| <b>Exposure to credit risk</b>            |        |                        |                        |                           | <b>57,507,790</b>    | <b>(2,394,911)</b>    | <b>55,112,879</b>   |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (b) Credit risk (continued)

#### Basis for measurement of loss allowance

|                                           | Note   | External<br>credit rating | Internal<br>credit rating | 12 month or Life<br>time ECL | Gross<br>carrying value | Credit loss<br>allowance | Net carrying<br>amount |
|-------------------------------------------|--------|---------------------------|---------------------------|------------------------------|-------------------------|--------------------------|------------------------|
|                                           |        |                           |                           |                              | Shs '000                | Shs '000                 | Shs '000               |
| <b>30 June 2024</b>                       |        |                           |                           |                              |                         |                          |                        |
| Trade receivables-Kenya Power             | 21     | N/A                       | Performing                | Lifetime ECL                 | 17,096,299              | (466,706)                | 16,629,593             |
| Treasury bonds at amortized cost          | 18(c)  | N/A                       | Performing                | Lifetime ECL                 | 2,347,528               | (24,486)                 | 2,323,042              |
| Treasury bonds at FVOCI                   | 23     | N/A                       | Performing                | Lifetime ECL                 | 321,154                 | -                        | 321,154                |
| Deferred debt receivable                  | 18(a)  | N/A                       | Performing                | Lifetime ECL                 | 692,885                 | (26,500)                 | 666,385                |
| Financial asset-IFRIC 12                  | 18(b)  | N/A                       | Performing                | Lifetime ECL                 | 1,302,371               | (4,172)                  | 1,298,199              |
| Other receivables (excluding prepayments) | 22     | N/A                       | Performing                | Lifetime ECL                 | 1,623,855               | (321,910)                | 1,301,945              |
| Cash and cash equivalents held at bank    | 24 (a) | A, BBB, B+,<br>B-         | Performing                | 12 Month ECL                 | 25,618,247              | (767,905)                | 24,850,342             |
| Restricted cash                           | 24 (b) | A, BBB, B+,<br>B-         | Performing                | 12 Month ECL                 | 2,733,585               | (20,836)                 | 2,712,749              |
| <b>Exposure to credit risk</b>            |        |                           |                           |                              | <b>51,735,924</b>       | <b>(1,632,515)</b>       | <b>50,103,409</b>      |

(i) For financial contracts, the gross carrying amount represents the maximum amount the Company is guaranteed under the respective contracts, and the net carrying amount is after deducting the loss allowance recognised for the contracts.

(ii) For trade receivables, financial assets and contract assets, the Company has applied the simplified approach in IFRS 9 to measure the loss allowance at lifetime ECL. The Company determines the expected credit losses on these items by using a provision matrix, estimated based on the past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions. Accordingly, the credit risk profile of these assets is presented based on customer rating status in terms of the provision matrix.

The loss allowance on corporate bonds measured at FVTOCI is recognised against other comprehensive income and accumulated in the investment revaluation reserve.

The carrying amount of the Company's financial assets at FVTPL best represents their respective maximum exposure to credit risk. The Company holds no collateral over any of these balances.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (b) Credit risk (continued)

| Basis for measurement of loss allowance     | Gross carrying value | Stage 1            | Stage 2          | Stage 3          | Net amount        |
|---------------------------------------------|----------------------|--------------------|------------------|------------------|-------------------|
|                                             |                      | 12 month -ECL      | Lifetime ECL     | Lifetime ECL     |                   |
|                                             | Shs '000             | Shs '000           | Shs '000         | Shs '000         | Shs '000          |
| <b>30 June 2025</b>                         |                      |                    |                  |                  |                   |
| Trade receivables                           |                      |                    |                  |                  |                   |
| -Kenya Power                                | 17,477,372           | (456,582)          | (374,408)        | -                | 16,646,382        |
| Treasury bonds at amortized cost            | 2,333,971            | (23,717)           | -                | -                | 2,310,254         |
| Treasury bonds at FVOCI                     | 373,716              | -                  | -                | -                | 373,716           |
| Deferred debt receivable                    | 731,327              | (24,788)           | -                | -                | 706,539           |
| Financial asset-IFRIC 12                    | 1,230,022            | (113,147)          | -                | -                | 1,116,875         |
| Other receivables (excluding prepayments) * | 2,039,434            | (22,030)           | (17,280)         | (527,280)        | 1,472,844         |
| Cash and cash equivalents held at bank      | 30,124,186           | (807,041)          | -                | -                | 29,317,145        |
| Restricted cash                             | 3,197,762            | (28,638)           | -                | -                | 3,169,124         |
| <b>Exposure to credit risk</b>              | <b>57,507,790</b>    | <b>(1,475,943)</b> | <b>(391,688)</b> | <b>(527,280)</b> | <b>55,112,879</b> |

### Basis for measurement of loss allowance

|                                        |                   |                    |                 |                |                   |
|----------------------------------------|-------------------|--------------------|-----------------|----------------|-------------------|
| <b>30 June 2024</b>                    |                   |                    |                 |                |                   |
| Trade receivables                      |                   |                    |                 |                |                   |
| -Kenya Power                           | 17,096,299        | (420,067)          | (46,639)        | -              | 16,629,593        |
| Treasury bonds at amortized cost       | 2,347,528         | (24,486)           | -               | -              | 2,323,042         |
| Treasury bonds at FVOCI                | 321,154           | -                  | -               | -              | 321,154           |
| Deferred debt receivable               | 692,885           | (26,500)           | -               | -              | 666,385           |
| Financial asset-IFRIC 12               | 1,302,371         | (4,172)            | -               | -              | 1,298,199         |
| Other receivables                      | 1,623,855         | (629,938)          | 15,186          | 292,842        | 1,301,945         |
| Cash and cash equivalents held at bank | 25,618,247        | (767,905)          | -               | -              | 24,850,342        |
| Restricted cash                        | 2,733,585         | (20,836)           | -               | -              | 2,712,749         |
| <b>Exposure to credit risk</b>         | <b>51,735,924</b> | <b>(1,893,904)</b> | <b>(31,453)</b> | <b>292,842</b> | <b>50,103,409</b> |

\* The Amount in stage 3 mainly relates to AKIRA for the drilling of exploration wells

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (b) Credit risk (continued)

Financial assets for which the loss allowances have been measured at an amount equal to lifetime expected credit losses have been analysed based on their credit risk as follows:

- (a) Financial assets for which credit risk has increased significantly since initial recognition but that are not credit impaired
- (b) Financial assets that are credit impaired at the balance sheet date
- (c) Trade receivables for which loss allowance is always measured at an equal amount to lifetime expected credit losses.

|                                                  | Neither past<br>Due nor<br>impaired<br>Shs '000 | Lifetime ECL not Credit impaired<br>over 60 days<br>Shs '000 | over 365 days<br>Shs '000 | Expected<br>credit loss<br>Shs '000 | Total<br>Shs '000 |
|--------------------------------------------------|-------------------------------------------------|--------------------------------------------------------------|---------------------------|-------------------------------------|-------------------|
| <b>At 30 June 2025</b>                           |                                                 |                                                              |                           |                                     |                   |
| Trade receivables-Kenya Power                    | 14,324,919                                      | 504,763                                                      | 1,816,700                 | 830,990                             | 17,477,372        |
| Financial asset at amortized cost-Treasury bonds | 2,310,254                                       | -                                                            | -                         | 23,717                              | 2,333,971         |
| Financial asset at FVOCI-Treasury bonds          | 373,716                                         | -                                                            | -                         | -                                   | 373,716           |
| Financial asset at amortized cost-Deferred debt  | 706,539                                         | -                                                            | -                         | 24,788                              | 731,327           |
| Financial asset-IFRIC 12                         | 1,116,875                                       | -                                                            | -                         | 113,147                             | 1,230,022         |
| Other receivables (excluding prepayments)        | 1,472,844                                       | -                                                            | -                         | 566,590                             | 2,039,434         |
| Cash and cash equivalents                        | 29,317,145                                      | -                                                            | -                         | 807,041                             | 30,124,186        |
| Restricted cash                                  | 3,169,124                                       | -                                                            | -                         | 28,638                              | 3,197,762         |
| <b>At 30 June 2025</b>                           | <b>52,791,416</b>                               | <b>504,763</b>                                               | <b>1,816,700</b>          | <b>2,394,911</b>                    | <b>57,507,790</b> |
| <b>At 30 June 2024</b>                           |                                                 |                                                              |                           |                                     |                   |
| Trade receivables-Kenya Power                    | 14,077,809                                      | 848,545                                                      | 1,703,239                 | 466,706                             | 17,096,299        |
| Financial asset at amortized cost-Treasury bonds | 2,323,042                                       | -                                                            | -                         | 24,486                              | 2,347,528         |
| Financial asset at FVOCI-Treasury bonds          | 321,154                                         | -                                                            | -                         | -                                   | 321,154           |
| Financial asset at amortized cost-Deferred debt  | 666,385                                         | -                                                            | -                         | 26,500                              | 692,885           |
| Financial asset-IFRIC 12                         | 1,298,199                                       | -                                                            | -                         | 4,172                               | 1,302,371         |
| Other receivables (excluding prepayments)        | 1,301,945                                       | -                                                            | -                         | 321,910                             | 1,623,855         |
| Cash and cash equivalents                        | 24,850,342                                      | -                                                            | -                         | 767,905                             | 25,618,247        |
| Restricted cash                                  | 2,712,749                                       | -                                                            | -                         | 20,836                              | 2,733,585         |
| <b>At 30 June 2024</b>                           | <b>47,551,625</b>                               | <b>848,545</b>                                               | <b>1,703,239</b>          | <b>1,632,515</b>                    | <b>51,735,924</b> |



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (b) Credit risk (continued)

The changes in the loss allowance during the year were as follows

| Basis for measurement of loss allowance | 12-month<br>expected<br>credit losses | Lifetime<br>expected<br>credit losses | Total              |
|-----------------------------------------|---------------------------------------|---------------------------------------|--------------------|
|                                         | Shs '000                              | Shs '000                              | Shs '000           |
| <b>Year ended 30 June 2025</b>          |                                       |                                       |                    |
| At start of year                        | (1,893,904)                           | 261,388                               | (1,632,516)        |
| ECL movement in the year                | 417,960                               | (1,180,357)                           | (762,397)          |
| <b>At end of year</b>                   | <b>(1,475,944)</b>                    | <b>(918,969)</b>                      | <b>(2,394,913)</b> |
| <b>Year ended 30 June 2024</b>          |                                       |                                       |                    |
| At start of year                        | (824,845)                             | (1,375,037)                           | (2,199,882)        |
| ECL movement in the year                | (1,069,059)                           | 1,636,425                             | 567,366            |
| At end of year                          | (1,893,904)                           | 261,388                               | (1,632,516)        |

### (c) Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation. Typically, the Company ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 30 days, including the servicing of financial obligations. This excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters and political violence.

The Company monitors its risk to shortage of funds using a recurring liquidity planning tool. This tool considers the account receivables from Kenya Power and maturity of financial instruments, together with projected cash flows from operations. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts and other borrowings.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (c) Liquidity risk (continued)

The table below analyses the undiscounted maturity profiles of the financial liabilities of the Company based on the remaining period using 30 June 2024 as a base period to the contractual maturity date. These amounts have not been discounted.

|                                 | Weighted<br>average<br>effective<br>interest rate<br>% | Less than<br>1 Months<br>Shs '000 | 1-3 Months<br>Shs '000 | 3 Months<br>to 1 year<br>Shs '000 | 1 to 2<br>years<br>Shs '000 | 3 to 4<br>years<br>Shs '000 | 5 and above<br>years<br>Shs '000 | Total<br>Shs '000  | Carrying<br>Amount<br>Shs '000 |
|---------------------------------|--------------------------------------------------------|-----------------------------------|------------------------|-----------------------------------|-----------------------------|-----------------------------|----------------------------------|--------------------|--------------------------------|
| <b>At 30 June 2025</b>          |                                                        |                                   |                        |                                   |                             |                             |                                  |                    |                                |
| Trade and contractors' payables | -                                                      | -                                 | 6,325,916              | -                                 | -                           | -                           | -                                | 6,325,916          | 6,325,916                      |
| Lease liabilities               | 11                                                     | -                                 | -                      | 224,342                           | 130,077                     | 131,524                     | 2,695,969                        | 3,181,912          | 3,181,912                      |
| Borrowings                      | 4                                                      | -                                 | -                      | 14,901,335                        | 13,187,607                  | 36,027,697                  | 72,528,295                       | 136,644,934        | 136,644,934                    |
| Off balance sheet items         | -                                                      | -                                 | -                      | -                                 | -                           | -                           | -                                | -                  | -                              |
| Letters of credit               | -                                                      | -                                 | -                      | 640,169                           | -                           | -                           | -                                | 640,169            | 640,169                        |
| Capital commitments             | -                                                      | -                                 | -                      | -                                 | 98,583,607                  | -                           | -                                | 98,583,607         | 98,583,607                     |
|                                 | -                                                      | -                                 | <b>6,325,916</b>       | <b>15,765,846</b>                 | <b>111,901,291</b>          | <b>36,159,221</b>           | <b>75,224,264</b>                | <b>245,376,538</b> | <b>245,376,538</b>             |
| <b>At 30 June 2024</b>          |                                                        |                                   |                        |                                   |                             |                             |                                  |                    |                                |
| Trade and contractors' payables | -                                                      | -                                 | 6,257,124              | -                                 | -                           | -                           | -                                | 6,257,124          | 6,257,124                      |
| Amount due to Kenya Power       | -                                                      | 156,223                           | -                      | -                                 | -                           | -                           | -                                | 156,223            | 156,223                        |
| Lease liabilities               | 11                                                     | -                                 | -                      | 275,227                           | 223,041                     | 245,141                     | 2,658,098                        | 3,401,507          | 3,401,507                      |
| Borrowings                      | 4                                                      | -                                 | -                      | 12,730,203                        | 13,379,029                  | 31,723,138                  | 78,094,073                       | 135,926,443        | 135,926,443                    |
| Off balance sheet items         | -                                                      | -                                 | -                      | -                                 | -                           | -                           | -                                | -                  | -                              |
| Letters of credit               | -                                                      | -                                 | -                      | 1,235,169                         | -                           | -                           | -                                | 1,235,169          | 1,235,169                      |
| Capital commitments             | -                                                      | -                                 | -                      | -                                 | 131,308,037                 | -                           | -                                | 131,308,037        | 131,308,037                    |
|                                 | -                                                      | <b>156,223</b>                    | <b>6,257,124</b>       | <b>14,240,599</b>                 | <b>144,910,107</b>          | <b>31,968,279</b>           | <b>80,752,171</b>                | <b>278,284,503</b> | <b>278,284,503</b>             |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (d) Fair value measurement

#### Financial instruments

##### *Fair Value hierarchy*

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

- (i) Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active trading markets for identical assets or liabilities. This level includes corporate bonds traded on the Nairobi Securities Exchange ("NSE").
- (ii) Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices).
- (ii) Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs).

| Assets                                             | Level 1<br>Shs'000 | Level 2<br>Shs'000 | Level 3<br>Shs'000 | Total<br>Shs'000 |
|----------------------------------------------------|--------------------|--------------------|--------------------|------------------|
| <b>Year ended 30 June 2025</b>                     |                    |                    |                    |                  |
| Financial asset at fair value OCI (Note 23)        | -                  | 373,716            | -                  | 373,716          |
| Financial asset at fair value through P&L (Note19) | -                  | 7,489,108          | -                  | 7,489,108        |
| <b>Total assets</b>                                | <b>-</b>           | <b>7,862,824</b>   | <b>-</b>           | <b>7,862,824</b> |

|                                                    |          |                  |          |                  |
|----------------------------------------------------|----------|------------------|----------|------------------|
| <b>Assets</b>                                      |          |                  |          |                  |
| <b>Year ended 30 June 2024</b>                     |          |                  |          |                  |
| Financial asset at fair value OCI (Note 23)        | -        | 321,154          | -        | 321,154          |
| Financial asset at fair value through P&L (Note19) | -        | 1,624,333        | -        | 1,624,333        |
| <b>Total assets</b>                                | <b>-</b> | <b>1,945,487</b> | <b>-</b> | <b>1,945,487</b> |

There are no financial liabilities measured at fair value for the year ended 30 June 2025 (2024: Nil).

There were no transfers between levels 1, 2 and 3 for the year ended 30 June 2025 (2024: Nil).

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (d) Fair value measurement (continued)

#### Valuation techniques used to determine fair values

Specific valuation techniques used to value financial instruments include:

- (i) the use of quoted market prices – This was used to value the treasury bonds

#### Sensitivity of fair value of level 2 financial instruments

The fair value of level 2 financial instruments is determined using valuation techniques which incorporate assumptions that are indirectly supported by prices from observable current market transactions in the same instruments and are based on available observable market data. Such assumptions include risk premiums, liquidity discount rates, credit risk, volatilities and correlations. Changes in these assumptions could affect the reported fair values of these financial instruments.

#### Financial instruments not measured at fair value.

The fair value hierarchy for financial assets not measured at fair value but for which fair value is disclosed as shown in the table below:

These amounts have not been discounted.

|                                       | Level 1<br>KShs'000 | Level 2<br>KShs'000 | Level 3<br>KShs'000 | Fair value<br>KShs'000 | Carrying<br>value<br>KShs'000 |
|---------------------------------------|---------------------|---------------------|---------------------|------------------------|-------------------------------|
| <b>At 30 June 2025</b>                |                     |                     |                     |                        |                               |
| <b>Assets</b>                         |                     |                     |                     |                        |                               |
| Cash and balances                     |                     |                     |                     |                        |                               |
| with banks                            | 29,317,145          | -                   | -                   | 29,317,145             | 29,317,145                    |
| Restricted cash                       | 3,169,124           | -                   | -                   | 3,169,124              | 3,169,124                     |
| Financial assets at<br>amortized cost | -                   | -                   | 1,823,414           | 1,823,414              | 1,823,414                     |
| Trade receivables                     | -                   | -                   | 16,646,382          | 16,646,382             | 16,646,382                    |
| Financial assets at<br>amortized cost |                     |                     |                     |                        |                               |
| -Treasury bond                        | -                   | 2,310,254           | -                   | 2,310,254              | 2,310,254                     |
| Other receivables                     | -                   | -                   | 2,340,298           | 2,340,298              | 2,340,298                     |
| <b>Total</b>                          | <b>32,486,269</b>   | <b>2,310,254</b>    | <b>20,810,094</b>   | <b>55,606,617</b>      | <b>55,606,617</b>             |
| <b>Liabilities</b>                    |                     |                     |                     |                        |                               |
| Trade and other<br>payables           | -                   | -                   | 6,325,916           | 6,325,916              | 6,325,916                     |
| Borrowings                            | -                   | -                   | 121,197,411         | 121,197,411            | 121,197,411                   |
| <b>Total</b>                          | <b>-</b>            | <b>-</b>            | <b>127,523,327</b>  | <b>127,523,327</b>     | <b>127,523,327</b>            |

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (d) Fair value measurement (continued)

#### Financial instruments measured at fair value (continued)

|                                                  | Level 1<br>KShs'000 | Level 2<br>KShs'000 | Level 3<br>KShs'000 | Fair value<br>KShs'000 | Carrying value<br>KShs'000 |
|--------------------------------------------------|---------------------|---------------------|---------------------|------------------------|----------------------------|
| <b>At 30 June 2024</b>                           |                     |                     |                     |                        |                            |
| <b>Assets</b>                                    |                     |                     |                     |                        |                            |
| Cash and balances with banks                     | 24,850,342          | -                   | -                   | 24,850,342             | 24,850,342                 |
| Restricted cash                                  | 2,712,749           | -                   | -                   | 2,712,749              | 2,712,749                  |
| Financial assets at amortized cost               | -                   | -                   | 1,964,584           | 1,964,584              | 1,964,584                  |
| Trade receivables                                | -                   | -                   | 16,629,593          | 16,629,593             | 16,629,593                 |
| Financial assets at amortized cost-Treasury bond | -                   | 2,323,042           | -                   | 2,323,042              | 2,323,042                  |
| Other receivables                                | -                   | -                   | 3,027,582           | 3,027,582              | 3,027,582                  |
| <b>Total</b>                                     | <b>27,563,091</b>   | <b>2,323,042</b>    | <b>21,621,759</b>   | <b>51,507,892</b>      | <b>51,507,892</b>          |
| <b>Liabilities</b>                               |                     |                     |                     |                        |                            |
| Trade and other payables                         | -                   | -                   | 6,413,347           | 6,413,347              | 6,413,347                  |
| Borrowings                                       | -                   | -                   | 117,784,092         | 117,784,092            | 117,784,092                |
| <b>Total</b>                                     | <b>-</b>            | <b>-</b>            | <b>124,197,439</b>  | <b>124,197,439</b>     | <b>124,197,439</b>         |

The valuation techniques used in determining the fair value of financial assets and liabilities classified within level 2 and level 3.

The table below indicates the valuation techniques and main assumptions used in the determination of the fair value of the level 2 and level 3 assets and liabilities not measured at fair value but for which fair value is disclosed:

|                             | Valuation basis/technique  | Main assumptions         |
|-----------------------------|----------------------------|--------------------------|
| Deferred Debt – Kenya Power | Discounted cash flow model | Discount rate            |
| Trade receivables           | Discounted cash flow model | Discount rate            |
| Financial assets            | Discounted cash flow model | Market yield of the bond |
| Other receivables           | Discounted cash flow model | Discount rate            |
| Trade and other payables    | Discounted cash flow model | Discount rate            |
| Borrowings                  | Discounted cash flow model | Discount rate            |



# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (d) Fair value measurement (continued)

#### Non- financial instruments measured at fair value

This note explains the judgements and estimates made in determining the fair values of non-financial assets recognized and measured at fair value in the financial statements. To provide transparency regarding the reliability of the inputs used in determining fair value, the company has classified its non-financial assets into three levels as prescribed under IFRS 13.

#### Sensitivity Analysis for Level 3 Fair Value Measurements

For Level 3 fair value measurements, which rely on significant unobservable inputs, the following sensitivities to changes in key assumptions are considered:

##### Discount rate

A 1% increase in the discount rate used for the deferred debt, trade receivables, and borrowings would result in a decrease in fair value of approximately 5%. Conversely, a 1% decrease in the discount rate would result in an increase in fair value of approximately 6%.

##### Market yield of bonds

The fair value of financial assets is sensitive to changes in the market yield of bonds. A 0.5% increase in market yield would result in a 3% decrease in fair value, while a 0.5% decrease in market yield would lead to a 3.5% increase in fair value.

##### Interrelationships between inputs

In certain instances, there are interrelationships between unobservable inputs used in the fair value measurements of non-financial assets, which may magnify or mitigate the overall effect on fair value:

|                                | Level 1  | Level 2  | Level 3            | Total              |
|--------------------------------|----------|----------|--------------------|--------------------|
| Assets                         | Shs'000  | Shs'000  | Shs'000            | Shs'000            |
| <b>Year ended 30 June 2025</b> |          |          |                    |                    |
| Property plant and equipment   |          |          | 355,519,873        | 355,519,873        |
| Intangible assets              | -        | -        | 1,909,305          | 1,909,305          |
| Leasehold land                 | -        | -        | 6,208,434          | 6,208,434          |
| <b>Total assets</b>            | <b>-</b> | <b>-</b> | <b>363,637,612</b> | <b>363,637,612</b> |

#### Assets

##### Year ended 30 June 2024

|                              |          |          |                    |                    |
|------------------------------|----------|----------|--------------------|--------------------|
| Property plant and equipment | -        | -        | 359,864,787        | 359,864,787        |
| Intangible assets            |          |          | 1,933,313          | 1,933,313          |
| Leasehold land               |          |          | 5,767,239          | 5,767,239          |
| <b>Total assets</b>          | <b>-</b> | <b>-</b> | <b>367,565,339</b> | <b>367,565,339</b> |

There were no transfers between levels 1, 2 and 3 in the period (2024: Nil).

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 41. Financial risk management (continued)

### (d) Fair value measurement (continued)

#### Non-financial assets held at fair value (Continued)

##### Valuation techniques used to determine level 3 fair values

The Company obtains independent valuations for its property plant and equipment at least every five years. The valuation method used is the depreciated replacement cost approach. The property plant and equipment classes subject to fair valuation are land and buildings, transmission lines and plant and equipment.

##### Fair value measurements using significant unobservable inputs (level 3)

We have disclosed under Note 15, the changes in level 3 items for the periods ended 30 June 2025 and 30 June 2024 for recurring fair value measurements

The following table summarizes the quantitative information about the significant unobservable inputs used in recurring level 3 fair value measurements. See above for the valuation techniques adopted.

| Description                  | Fair value as at 30 June 2025 | Fair value as at 30 June 2024 | Unobservable inputs   | Relationship of unobservable inputs to fair value               |
|------------------------------|-------------------------------|-------------------------------|-----------------------|-----------------------------------------------------------------|
|                              | Shs'000                       | Shs'000                       |                       |                                                                 |
| Property plant and equipment | 355,519,873                   | 359,864,787                   | Estimated useful life | The higher the estimated useful life, the higher the fair value |
| Intangible assets            | 1,813,916                     | 1,837,927                     |                       |                                                                 |
| Leasehold land               | 6,208,434                     | 5,767,239                     |                       |                                                                 |
|                              | <b>363,542,223</b>            | <b>367,469,953</b>            |                       |                                                                 |

The Company's land, buildings, transmission lines, intangible assets and plant and machinery are stated at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation and subsequent accumulated impairment losses. The fair value measurements as at 30 June 2022 were performed by AON valuation services of Australia, Zenith Associates, Syagga and associates and Ebony Limited, independent valuers not related to the Company. These firms have appropriate qualifications in fair value measurement. The valuation conforms to International Valuation Standards.

## 42. Capital risk management

The primary objective of the Company's capital management is to ensure that it maintains some strong and healthy capital ratios to support its business and maximize shareholder value. The Capital Management policy as approved by the Board of Directors (the Board) is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain future development of the business. The Board monitors the return on capital, which the Company defines as net operating income divided by total shareholders' equity. The Board also monitors the level of dividends to ordinary shareholders.

The Company manages its capital structure and adjusts it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares as circumstances would dictate. There were no changes in the Company's approach to capital management as regards the objectives, policies or processes during the year. The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. The Company's target is to keep the gearing ratios below 70%.

# Notes to the financial statements (cont'd)

For the year ended 30 June 2025

## 42. Capital risk management (continued)

|                                            | 2025<br>Shs'000 | 2024<br>Shs'000 |
|--------------------------------------------|-----------------|-----------------|
| Ordinary shares and distributable reserves | 168,209,754     | 159,375,736     |
| Borrowings                                 | 121,197,411     | 117,784,092     |
| Less: Cash and bank balances (Note 24)     | (29,317,145)    | (24,850,342)    |
| Net debt                                   | 91,880,266      | 92,933,750      |
| <b>Gearing ratio</b>                       | <b>35%</b>      | <b>37%</b>      |

## 43. Subsequent events

On 26th September 2025, the Company signed a Power Purchase Agreement (PPA) with Kenya Power and Lighting Company PLC (KPLC) for the Muhoroni GT Power Plant. The PPA will run for the interim period spelled out in the contract and one year from the signing date. The agreement sets out the commercial and operational terms governing the sale of electricity generated from the plant to KPLC. The signing of the PPA marks a key milestone towards the optimisation and continued utilisation of the Muhoroni facility in line with the Company's strategic objective of enhancing generation capacity and supporting national grid stability. This event occurred after the reporting date. However, the impact on the financial statements for the year ended 30 June 2025 had been considered.

# Appendix I:

## Implementation Status of Auditor-General prior year recommendations

The following is the summary of issues raised by the external auditor and management comments that were provided.

| Reference No. on the external audit Report | Issue / Observations from Auditor                                                                                                                                                                                                                                      | Management comments                                                                                                                                                                                                                                   | Status: (Resolved / Not Resolved) | Timeframe: (Put a date when you expect the issue to be resolved) |
|--------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------|------------------------------------------------------------------|
| 1                                          | Non-Compensation of the Company's Land by National Lands Commission and Kenya National Highways Authority<br>Part of the Company's property in Changamwe was acquired by the Kenya National Highways Authority (KENHA) for the dualling of the Mombasa-Mariakani Road. | Management is proactively following up with KeNHA and the National Land Commission to ensure that the compensation amount of Kshs. 250,611,659 in respect to the Company's land acquired for the dualling of the Mombasa-Mariakani Road is collected. | In progress                       | 30 <sup>th</sup> June 2026                                       |

## Appendix I:

### Implementation Status of Auditor-General prior year recommendations (cont'd)

| Reference<br>No. on the<br>external<br>audit Report | Issue / Observations from Auditor                                                                                                                                                                                                                                                                 | Management comments                                                                                                                                            | Status:<br>(Resolved / Not<br>Resolved) | Timeframe:<br>(Put a date<br>when you<br>expect the<br>issue to be<br>resolved) |
|-----------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------|---------------------------------------------------------------------------------|
| 2                                                   | Kipevu III Power Station Fuel Penalties<br>The Power Purchase Agreement for Kipevu III Power Plant between the Company and Kenya Power sets fuel penalties when the daily fuel stock does not meet the set threshold of eleven thousand five hundred and sixty metric tonnes (11,560 MT) per day. | KenGen shifted to a consignment stocking system where it pays only for fuel consumed monthly, reducing costs from unused stock as thermal generation declines. | Resolved                                |                                                                                 |



# Appendix I:

## Implementation Status of Auditor-General prior year recommendations (cont'd)

| Reference<br>No. on the<br>external<br>audit Report | Issue / Observations from Auditor                                                                                                                             | Management comments                                                                                                                                                                                             | Status:<br>(Resolved / Not<br>Resolved) | Timeframe:<br>(Put a date<br>when you<br>expect the<br>issue to be<br>resolved) |
|-----------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------|---------------------------------------------------------------------------------|
| 3                                                   | <p>Secondment of the Staff</p> <p>During the year under review, the Company had seconded fourteen (14) members of staff to different Government entities.</p> | <p>KenGen has addressed the issue of staff secondment and reduced the number of seconded staff from eleven (11) to only three (3). Salaries for the remaining seconded staff were stopped in February 2025.</p> |                                         |                                                                                 |

## Appendix I:

### Implementation Status of Auditor-General prior year recommendations (cont'd)

| Reference No. on the external audit Report | Issue / Observations from Auditor                                                                                                                                                                                                                                                                                     | Management comments                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Status: (Resolved / Not Resolved) | Timeframe: (Put a date when you expect the issue to be resolved) |
|--------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------|------------------------------------------------------------------|
| 4                                          | <p>Ownership Documents for Turkwel Land.</p> <p>The Company operates a Hydro Power Plant in Turkwel Multi-Purpose dam which is also utilized by Kerio Valley Development Authority. Management provided the letter of allotment for the land signifying progress undertaken in the acquisition of the title deed.</p> | <p>The 1999 Principal Agreement vested KenGen with ownership of the land hosting the Turkwel Power Station and related infrastructure, which the company has since utilized without interruption. KenGen has been working to secure a title for the land, but the survey process has been delayed by security challenges in the area.</p> <p>The company continues to engage security agencies on suitable timing for the survey and is also seeking support from the Ministry of Lands to complete the titling process.</p> | Resolved                          |                                                                  |

**Peter Njenga- Managing Director & CEO**

  
30 October 2025

## Appendix II:

### Projects implemented

#### Projects

#### Projects implemented by Company and funded by development partners

| Project title                                                             | Project Number | Donor      | Period/ duration | Donor commitment | Separate donor reporting required as per the donor agreement (Yes/No) | Consolidated in these financial statements (Yes/No)          |
|---------------------------------------------------------------------------|----------------|------------|------------------|------------------|-----------------------------------------------------------------------|--------------------------------------------------------------|
| EAST AFRICA SKILLS FOR TRANSFORMATION AND REGIONAL INTEGRATION (EASTRIP). | P163399        | World Bank | 8 years          | EURO 9,280,000   | Yes                                                                   | Yes -All Projects are managed under one KenGen CAPEX Records |

#### Status of Projects completion

| Project                                                                   | Total project Cost | Total expended to date                                                                            | Completion % to date | Budget                                      | Actual                                                      | Sources of funds           |
|---------------------------------------------------------------------------|--------------------|---------------------------------------------------------------------------------------------------|----------------------|---------------------------------------------|-------------------------------------------------------------|----------------------------|
| EAST AFRICA SKILLS FOR TRANSFORMATION AND REGIONAL INTEGRATION (EASTRIP). | Shs 1,297,215,701  | Payments to date 30 <sup>th</sup> June 2025<br>Kshs 656,430,181<br>WIP to Date<br>Shs 743,733,058 | 96%                  | Gok Budget<br>FY2024/2025<br>Shs 500Million | Receipts From<br>NT/MOE&P<br>FY2024/2025<br>Shs 427,055,047 | Receipts from<br>NT/ MOE&P |

## Historical Performance

## Company's Ten Years Financial Review

## Plant Performance

|                                                                                    | 2025              | 2024              | 2023              | 2022              | 2021              | 2020              | 2019              | 2018              | 2017              | 2016              |
|------------------------------------------------------------------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| Units Sold(GWh)                                                                    | 8,482             | 8,383             | 8,027             | 7,918             | 8,447             | 8,233             | 8,277             | 7,989             | 7,556             | 7,819             |
| Average weighted tariff (Shs/KWh)                                                  | 4.76              | 4.92              | 4.83              | 3.91              | 4.13              | 4.10              | 3.60              | 3.67              | 3.84              | 3.70              |
|                                                                                    |                   |                   |                   |                   |                   |                   |                   |                   |                   |                   |
| <b>Statement of Profit or loss and other comprehensive income</b>                  | <b>2025</b>       | <b>2024</b>       | <b>2023</b>       | <b>2022</b>       | <b>2021</b>       | <b>2020</b>       | <b>2019</b>       | <b>2018</b>       | <b>2017</b>       | <b>2016</b>       |
|                                                                                    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    | <b>Shs'000</b>    |
| Electricity revenue                                                                | 40,410,264        | 41,252,372        | 38,783,964        | 30,973,503        | 34,901,252        | 33,783,190        | 29,796,983        | 29,285,691        | 29,006,622        | 28,933,568        |
| Steam revenue                                                                      | 5,644,330         | 6,875,964         | 6,129,269         | 5,119,412         | 5,227,392         | 5,549,684         | 5,871,921         | 6,222,056         | 5,189,072         | 6,856,018         |
| Fuel charge                                                                        | 9,607,542         | 7,923,700         | 8,165,345         | 9,672,038         | 3,674,626         | 4,155,499         | 10,111,516        | 9,622,740         | 9,069,403         | 3,182,623         |
| Water charge                                                                       | 172,275           | 166,593           | 125,892           | 164,872           | 204,408           | 181,774           | 185,226           | 159,172           | 166,822           | 329,079           |
| Revenue from diversification sources                                               | 263,626           | 78,593            | 759,207           | 1,546,647         | 1,783,693         | 440,344           | -                 | -                 | -                 | -                 |
| <b>Reimbursable expenses</b>                                                       | <b>56,098,037</b> | <b>56,297,222</b> | <b>53,963,677</b> | <b>47,476,472</b> | <b>45,791,372</b> | <b>44,110,492</b> | <b>45,965,646</b> | <b>45,289,660</b> | <b>43,431,920</b> | <b>39,301,288</b> |
| Fuel costs                                                                         | (9,474,812)       | (7,836,831)       | (7,995,258)       | (9,587,828)       | (3,955,710)       | (4,106,504)       | (10,006,336)      | (9,246,855)       | (8,812,614)       | (3,261,460)       |
| Water costs                                                                        | (172,275)         | (166,593)         | (125,892)         | (164,872)         | (204,408)         | (181,786)         | (185,226)         | (159,172)         | (166,822)         | (329,079)         |
| <b>Revenue less reimbursable expenses</b>                                          | <b>46,450,950</b> | <b>48,293,798</b> | <b>45,842,527</b> | <b>37,723,772</b> | <b>41,631,254</b> | <b>39,822,202</b> | <b>35,774,084</b> | <b>35,883,633</b> | <b>34,452,483</b> | <b>35,710,749</b> |
| Other income                                                                       | 851,139           | 1,297,070         | 2,083,709         | 769,403           | 676,853           | 472,526           | 618,822           | 274,771           | 553,148           | 1,945,524         |
| Other gains/(losses) – net foreign exchange and fair valuation of financial assets | 1,452,929         | (722,117)         | 428,317           | (514,978)         | 1,539,746         | 6,382,970         | 3,179,185         | (1,049,948)       | 343,268           | (7,384,454)       |
| Operating income                                                                   | <b>48,755,018</b> | <b>48,868,751</b> | <b>48,354,553</b> | <b>37,978,197</b> | <b>43,847,853</b> | <b>46,677,698</b> | <b>39,572,091</b> | <b>35,108,456</b> | <b>35,348,899</b> | <b>30,271,819</b> |
| <b>Expenses</b>                                                                    |                   |                   |                   |                   |                   |                   |                   |                   |                   |                   |
| Depreciation and amortization                                                      | (14,484,645)      | (15,707,703)      | (15,800,445)      | (12,461,630)      | (11,520,128)      | (12,029,561)      | (10,360,329)      | (10,147,886)      | (9,244,422)       | (10,223,370)      |

|                                                            |                   |                   |                  |                   |                   |                   |                   |                   |                   |                   |
|------------------------------------------------------------|-------------------|-------------------|------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| Employee expenses                                          | (9,210,137)       | (10,376,066)      | (9,206,178)      | (8,246,955)       | (7,685,411)       | (7,082,496)       | (6,800,376)       | (6,132,305)       | (5,754,748)       | (4,951,535)       |
| Steam costs                                                | (3,496,434)       | (4,393,595)       | (3,731,112)      | (3,093,308)       | (3,028,982)       | (3,160,582)       | (3,357,126)       | (3,549,428)       | (2,795,798)       | (3,167,173)       |
| Plant operation and maintenance expenses                   | (2,337,451)       | (3,667,517)       | (2,979,740)      | (3,151,087)       | (1,880,704)       | (1,503,237)       | (1,512,278)       | (1,669,068)       | (1,554,480)       | (1,624,005)       |
| Other expenses                                             | (4,847,405)       | (5,740,196)       | (7,067,800)      | (4,343,426)       | (2,821,651)       | (2,298,972)       | (2,257,402)       | (2,168,131)       | (2,454,146)       | (2,465,306)       |
| Allowance for expected credit losses -(charge)/credit      | (762,397)         | 567,366           | (1,162)          | (601,984)         | (493,196)         | -                 | -                 | -                 | -                 | -                 |
| <b>Operating Profit</b>                                    | <b>13,616,549</b> | <b>9,551,040</b>  | <b>9,568,116</b> | <b>6,079,807</b>  | <b>16,417,781</b> | <b>20,602,850</b> | <b>15,284,580</b> | <b>11,441,638</b> | <b>13,545,304</b> | <b>7,840,430</b>  |
| Compensating tax                                           | -                 | -                 | -                | -                 | -                 | -                 | -                 | -                 | -                 | (2,431,022)       |
| Finance income                                             | 4,109,861         | 4,201,745         | 1,688,805        | 2,072,598         | 1,938,538         | 1,431,118         | 1,423,062         | 3,341,383         | 1,333,325         | 8,893,845         |
| Finance costs                                              | (2,253,457)       | (2,805,920)       | (2,732,105)      | (1,960,420)       | (3,053,208)       | (8,244,181)       | (5,053,924)       | (3,037,554)       | (3,417,442)       | (3,132,187)       |
| Profit Before Tax                                          | <b>1,856,404</b>  | <b>10,946,865</b> | <b>8,524,816</b> | <b>6,191,985</b>  | <b>15,303,111</b> | <b>13,789,787</b> | <b>11,653,717</b> | <b>11,745,467</b> | <b>11,461,187</b> | <b>11,171,066</b> |
| Taxation (charge)/credit                                   | (4,991,876)       | (4,149,853)       | (3,508,339)      | (2,810,237)       | (13,472,564)      | 4,587,306         | (3,769,382)       | (3,854,834)       | (2,454,972)       | (4,492,659)       |
| <b>Profit After Tax</b>                                    | <b>10,481,077</b> | <b>6,797,012</b>  | <b>5,016,477</b> | <b>3,381,748</b>  | <b>1,830,547</b>  | <b>18,377,093</b> | <b>7,884,335</b>  | <b>7,890,633</b>  | <b>9,006,216</b>  | <b>6,678,407</b>  |
| Other comprehensive income/(loss) for the year, net of tax | 246,954           | (906,188)         | (4,101,756)      | 66,211,409        | (205,069)         | (374,610)         | (62,060)          | (622,921)         | (528,500)         | (351,569)         |
| <b>Total Comprehensive Income</b>                          | <b>10,728,031</b> | <b>5,890,824</b>  | <b>914,721</b>   | <b>69,593,157</b> | <b>1,625,478</b>  | <b>18,002,483</b> | <b>7,822,275</b>  | <b>7,267,712</b>  | <b>8,477,716</b>  | <b>6,326,839</b>  |
| Number of Shares Issued                                    | 6,594,522,339     | 6,594,522,339     | 6,594,522,339    | 6,594,522,339     | 6,594,522,339     | 6,594,522,339     | 6,594,522,339     | 6,594,522,339     | 6,594,522,339     | 6,243,098,469     |
| Earnings per share -                                       |                   |                   |                  |                   |                   |                   |                   |                   |                   |                   |
| Basic and diluted (Shs)                                    | 1.59              | 1.03              | 0.76             | 0.51              | 0.28              | 2.79              | 1.20              | 1.20              | 1.37              | 1.07              |
| Dividends per share(Shs)                                   | 0.90              | 0.65              | 0.30             | 0.20              | 0.30              | 0.30              | 0.25              | 0.40              | -                 | -                 |
| Number of Employees                                        | 2,425             | 2,516             | 2,593            | 2,476             | 2,572             | 2,519             | 2,526             | 2,508             | 2,476             | 2,406             |



## Historical Performance

## Company's Ten Years Financial Review

## Statement of financial position

| ASSETS                                 | 2025               | 2024               | 2023               | 2022               | 2021               | 2020               | 2019               | 2018               | 2017               | 2016               |
|----------------------------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
|                                        | Shs'000            | Shs'000            | Shs'000            | Shs'000            | Shs'000            | Shs'000            | Shs'000            | Shs'000            | Shs'000            | Shs'000            |
| <b>Non-current assets</b>              |                    |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| Property, plant and equipment          | 429,556,183        | 426,723,308        | 432,483,315        | 440,181,406        | 353,249,245        | 349,619,269        | 346,737,310        | 328,082,460        | 323,843,363        | 320,932,976        |
| Prepaid leases on land                 | -                  | -                  | 2,256,114          | -                  | -                  | -                  | 4,110,583          | 4,170,183          | 4,229,783          | 4,150,673          |
| Intangible Assets                      | 2,226,724          | 2,118,932          | 6,579,750          | 2,259,146          | 1,523,213          | 1,528,948          | 1,524,693          | 1,477,691          | 1,317,066          | 1,181,241          |
| Right of Use Asset                     | 6,948,159          | 6,665,185          | -                  | 6,817,943          | 4,733,193          | 4,936,545          | -                  | -                  | -                  | -                  |
| Non-current receivables                | -                  | -                  | -                  | -                  | -                  | -                  | -                  | 987,875            | 1,032,014          | 1,147,368          |
| Treasury bonds                         | -                  | -                  | -                  | -                  | -                  | -                  | -                  | 2,407,047          | 2,414,108          | 2,420,560          |
| Financial asset at amorised costs      | 4,004,585          | 4,153,672          | 4,358,942          | 4,443,409          | 4,642,164          | 4,545,797          | 3,319,106          | -                  | -                  | -                  |
| Contract asset                         | -                  | -                  | 5,347,560          | 4,595,112          | 4,496,503          | 4,571,009          | -                  | -                  | -                  | -                  |
| Fair value asset through profit & loss | 6,177,905          | 728,515            | 17,816,799         | 2,888,923          | 8,526,063          | 8,334,673          | 11,958,359         | 10,490,414         | 13,117,376         | 13,890,353         |
| Retirement benefit asset               | -                  | -                  | -                  | -                  | -                  | -                  | 143,025            | 325,268            | 1,136,503          | 1,098,771          |
| Restricted cash                        | 3,169,124          | 2,712,749          | 1,861,357          | 1,344,220          | 1,117,241          | 924,966            | -                  | -                  | -                  | -                  |
|                                        | <b>452,082,680</b> | <b>443,102,361</b> | <b>470,703,837</b> | <b>462,530,159</b> | <b>378,287,622</b> | <b>374,461,206</b> | <b>367,793,076</b> | <b>347,940,938</b> | <b>347,090,213</b> | <b>344,821,942</b> |
| <b>Current assets</b>                  |                    |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| Inventories                            | 2,923,924          | 2,136,284          | 1,848,446          | 1,447,124          | 2,051,828          | 1,371,280          | 1,324,294          | 1,149,180          | 1,082,044          | 866,698            |
| Trade receivables                      | 16,646,382         | 16,629,593         | 21,448,878         | 20,594,295         | 24,348,846         | 23,402,447         | 18,855,494         | 21,842,957         | 15,751,937         | 9,347,411          |
| Coporate tax recievable                | 448,697            | 195,667            | 441,713            | 348,627            | 385,696            | 305,068            | 150,942            | 126,988            | -                  | -                  |
| Financial asset at amortised cost      | 129,083            | 133,954            | 137,244            | 136,046            | 140,653            | 42,911             | 41,061             | 40,321             | -                  | -                  |
| Fair value through profit & loss       | 1,311,203          | 895,818            | 2,236,554          | 1,104,809          | 1,084,721          | 1,209,899          | 1,116,274          | 815,682            | 888,457            | 698,229            |
| Other receivables and prepayments      | 2,340,298          | 3,027,582          | 4,441,700          | 1,428,312          | 1,755,119          | 2,099,012          | 2,597,941          | 3,359,793          | 3,741,225          | 3,925,727          |
| Asset held for sale                    | -                  | -                  | -                  | -                  | -                  | -                  | -                  | 344,053            | -                  | -                  |
| Treasury bonds                         | 373,716            | 321,154            | 320,422            | 338,920            | 360,957            | 365,181            | 367,837            | 349,690            | 344,603            | 322,031            |
| Cash and cash balances                 | 29,317,145         | 24,850,342         | 14,998,431         | 12,383,934         | 12,505,186         | 4,391,024          | 9,175,330          | 3,383,402          | 7,831,103          | 6,756,324          |
|                                        | <b>53,490,448</b>  | <b>48,190,394</b>  | <b>45,873,388</b>  | <b>37,782,067</b>  | <b>42,633,006</b>  | <b>33,186,823</b>  | <b>33,629,173</b>  | <b>31,412,067</b>  | <b>29,639,369</b>  | <b>21,916,420</b>  |

|                                     |                    |                    |                    |                    |                    |                    |                    |                    |                    |                    |
|-------------------------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
| <b>TOTAL ASSETS</b>                 | <b>505,573,128</b> | <b>491,292,755</b> | <b>516,577,225</b> | <b>500,312,226</b> | <b>420,920,628</b> | <b>407,648,029</b> | <b>401,422,249</b> | <b>379,353,005</b> | <b>376,729,583</b> | <b>366,738,362</b> |
| <b>EQUITY AND LIABILITIES</b>       |                    |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| <b>Capital and reserves</b>         |                    |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| Share capital                       | 16,486,305         | 16,487,710         | 16,487,710         | 16,487,710         | 16,487,710         | 16,487,710         | 16,487,710         | 16,487,710         | 16,487,710         | 15,609,684         |
| Share premium                       | 22,148,855         | 22,151,131         | 22,151,131         | 22,151,131         | 22,151,131         | 22,151,131         | 22,151,131         | 22,151,131         | 22,151,131         | 21,056,341         |
| Other reserves                      | 116,314,989        | 118,730,184        | 122,361,165        | 129,272,244        | 65,051,484         | 67,235,860         | 69,696,451         | 71,805,994         | 74,588,305         | 77,248,388         |
| Retained earnings                   | 129,593,680        | 120,736,895        | 113,193,447        | 106,686,340        | 103,291,982        | 101,460,485        | 86,629,244         | 79,658,790         | 69,608,767         | 58,470,964         |
|                                     | 284,543,829        | 278,105,920        | 274,193,453        | 274,597,425        | 206,982,307        | 207,335,186        | 194,964,536        | 190,103,625        | 182,835,914        | 172,385,377        |
| <b>Non-current liabilities</b>      |                    |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| Borrowings                          | 109,271,273        | 107,748,716        | 137,042,085        | 122,216,146        | 134,777,599        | 137,349,669        | 128,771,882        | 121,287,608        | 127,884,286        | 126,149,009        |
| Deferred income tax                 | 88,649,269         | 84,531,405         | 81,629,986         | 80,216,843         | 55,786,804         | 42,678,446         | 48,868,799         | 45,496,036         | 42,056,582         | 40,073,728         |
| Lease Liability                     | 768,324            | 891,499            | 691,876            | 828,574            | 656,192            | 744,568            | -                  | -                  | -                  | -                  |
| Grants                              | 1,948,090          | 1,228,401          | 833,351            | 331,949            | 200,000            | 200,000            | -                  | -                  | -                  | -                  |
| Long term Contract payables         | -                  | -                  | -                  | -                  | 1,030,082          | 857,431            | 3,219,566          | 1,586,258          | 3,859,604          | 9,940,189          |
|                                     | 200,636,956        | 194,400,021        | 220,197,298        | 203,593,512        | 192,450,677        | 181,830,114        | 180,860,247        | 168,369,902        | 173,800,472        | 176,162,926        |
| <b>Current liabilities</b>          |                    |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| Borrowings due within one year      | 11,926,138         | 10,035,376         | 12,809,721         | 11,916,546         | 10,797,898         | 8,481,495          | 12,463,018         | 10,620,761         | 10,829,802         | 10,757,003         |
| Trade and other payables            | 8,332,919          | 8,579,311          | 8,293,841          | 8,594,803          | 8,115,264          | 6,785,498          | 9,127,257          | 7,927,695          | 6,771,915          | 4,943,371          |
| Compensating Tax                    | -                  | -                  | -                  | -                  | 401,022            | 1,361,022          | 2,161,022          | 2,331,022          | 2,431,022          | 2,431,022          |
| Tax Payable                         | -                  | -                  | -                  | -                  | -                  | -                  | -                  | -                  | 60,458             | 58,663             |
| Lease liability due within one year | 133,286            | 172,127            | 159,826            | 225,312            | 195,103            | 206,083            | -                  | -                  | -                  | -                  |
| Dividends payable                   | -                  | -                  | 923,086            | 1,384,628          | 1,978,357          | 1,648,631          | 1,846,170          | -                  | -                  | -                  |
|                                     | 20,392,343         | 18,786,814         | 22,186,474         | 22,121,289         | 21,487,644         | 18,482,729         | 25,597,466         | 20,879,478         | 20,093,197         | 18,190,059         |
| <b>TOTAL EQUITY AND LIABILITIES</b> | <b>505,573,128</b> | <b>491,292,755</b> | <b>516,577,225</b> | <b>500,312,226</b> | <b>420,920,628</b> | <b>407,648,029</b> | <b>401,422,249</b> | <b>379,353,005</b> | <b>376,729,583</b> | <b>366,738,362</b> |
| <b>CAPEX</b>                        | <b>17,733,413</b>  | <b>11,235,968</b>  | <b>14,346,902</b>  | <b>14,472,131</b>  | <b>15,398,536</b>  | <b>18,060,828</b>  | <b>29,566,784</b>  | <b>15,311,876</b>  | <b>13,509,704</b>  | <b>27,545,275</b>  |

## Historical Performance

## Company's Ten Years Financial Review

## EBITDA Review for the last Ten Years

|                                    | 2025              | 2024              | 2023              | 2022              | 2021              | 2020              | 2019              | 2018              | 2017              | 2016              |
|------------------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
|                                    | Shs'000           | Shs'000           | Shs'000           | Shs'000           | Shs'000           | Shs'000           | Shs'000           | Shs'000           | Shs'000           | Shs'000           |
| Revenue                            | 56,098,037        | 56,297,222        | 53,963,677        | 47,476,472        | 45,791,372        | 44,110,492        | 45,965,646        | 45,289,660        | 43,431,920        | 39,301,288        |
| Reimbursable expenses              | (9,647,087)       | (8,003,424)       | (8,121,150)       | (9,752,700)       | (4,160,118)       | (4,288,290)       | (10,191,562)      | (9,406,027)       | (8,979,437)       | (3,590,539)       |
| Revenue less reimbursable expenses | <b>46,450,950</b> | <b>48,293,798</b> | <b>45,842,527</b> | <b>37,723,772</b> | <b>41,631,254</b> | <b>39,822,202</b> | <b>35,774,084</b> | <b>35,883,633</b> | <b>34,452,483</b> | <b>35,710,749</b> |
| Other income                       | 851,139           | 1,296,534         | 2,083,709         | 769,403           | 676,853           | 472,526           | 618,822           | 274,771           | 553,148           | 1,945,524         |
| Operating expenses                 | (20,653,824)      | (23,609,472)      | (22,985,992)      | (19,436,760)      | (15,909,943)      | (14,045,287)      | (13,927,183)      | (13,518,931)      | (12,559,173)      | (12,208,019)      |
| <b>EBITDA</b>                      | <b>26,648,265</b> | <b>25,980,860</b> | <b>24,940,244</b> | <b>19,056,415</b> | <b>26,398,164</b> | <b>26,249,441</b> | <b>22,465,723</b> | <b>22,639,473</b> | <b>22,446,458</b> | <b>25,448,254</b> |
| Depreciation & Amortisation        | (14,484,645)      | (15,707,703)      | (15,800,445)      | (12,461,630)      | (11,520,128)      | (12,029,561)      | (10,360,329)      | (10,147,887)      | (9,244,421)       | (10,223,370)      |
| <b>EBIT</b>                        | <b>12,163,620</b> | <b>10,273,157</b> | <b>9,139,799</b>  | <b>6,594,785</b>  | <b>14,878,036</b> | <b>14,219,880</b> | <b>12,105,394</b> | <b>12,491,586</b> | <b>13,202,037</b> | <b>15,224,884</b> |
| Compensating tax                   | -                 | -                 | -                 | -                 | -                 | -                 | -                 | -                 | -                 | (2,431,022)       |
| Other (losses)/gains               | 1,452,929         | (722,117)         | 428,317           | (514,978)         | 1,539,746         | 6,382,970         | 3,179,185         | (1,049,948)       | 343,268           | (7,384,454)       |
| Finance income                     | 4,109,861         | 4,201,745         | 1,688,805         | 2,072,598         | 1,938,538         | 1,431,118         | 1,423,062         | 3,341,383         | 1,333,325         | 8,893,845         |
| Finance costs                      | (2,253,457)       | (2,805,920)       | (2,732,105)       | (1,960,420)       | (3,053,209)       | (8,244,181)       | (5,053,924)       | (3,037,554)       | (3,417,442)       | (3,132,187)       |
| <b>Profit Before Tax</b>           | <b>15,472,953</b> | <b>10,946,865</b> | <b>8,524,816</b>  | <b>6,191,985</b>  | <b>15,303,111</b> | <b>13,789,787</b> | <b>11,653,717</b> | <b>11,745,467</b> | <b>11,461,188</b> | <b>11,171,066</b> |
| Taxation (charge)/credit           | (4,991,876)       | (4,149,853)       | (3,508,339)       | (2,810,237)       | (13,472,564)      | 4,587,306         | (3,769,382)       | (3,854,834)       | (2,454,972)       | (4,492,659)       |
| <b>Profit After Tax</b>            | <b>10,481,077</b> | <b>6,797,012</b>  | <b>5,016,477</b>  | <b>3,381,748</b>  | <b>1,830,547</b>  | <b>18,377,093</b> | <b>7,884,335</b>  | <b>7,890,633</b>  | <b>9,006,216</b>  | <b>6,678,407</b>  |
| <b>External funding</b>            | <b>5,922,033</b>  | <b>1,620,282</b>  | <b>12,471,626</b> | <b>1,688,919</b>  | <b>10,525,728</b> | <b>6,945,856</b>  | <b>16,424,322</b> | <b>4,948,566</b>  | <b>11,848,974</b> | <b>9,422,158</b>  |
| <b>Internal funding</b>            | <b>11,811,379</b> | <b>9,615,687</b>  | <b>1,875,276</b>  | <b>12,783,213</b> | <b>4,872,808</b>  | <b>11,114,972</b> | <b>13,142,462</b> | <b>10,363,309</b> | <b>1,660,730</b>  | <b>18,123,117</b> |

# STATISTICS

## Historical Performance Company's Ten Years Financial Review Financial ratios

|                             | 2025       | 2024       | 2023       | 2022       | 2021       | 2020       | 2019       | 2018       | 2017       | 2016       |
|-----------------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
|                             | Value or % | Value or % | Value or % | Value or % | Value or % | Value or % | Value or % | Value or % | Value or % | Value or % |
| Net Profit Margin           | 22.56%     | 14.07%     | 10.94%     | 8.96%      | 4.40%      | 46.15%     | 22.04%     | 21.99%     | 26.14%     | 18.70%     |
| Return on total assets      | 2.41%      | 1.59%      | 1.09%      | 0.76%      | 0.56%      | 5.74%      | 2.71%      | 2.67%      | 2.95%      | 2.45%      |
| Current Ratio               | 2.62       | 2.57       | 2.07       | 1.71       | 1.98       | 1.80       | 1.31       | 1.50       | 1.48       | 1.20       |
| Debt Service Coverage Ratio | 3.05       | 2.36       | 1.55       | 1.86       | 2.28       | 2.15       | 1.96       | 2.08       | 1.95       | 2.58       |
| Self Financing Ratio        | 172.36%    | 175.94%    | 144.47%    | 106.08%    | 79.80%     | 127.68%    | 81.31%     | 125.17%    | 88.91%     | 61.20%     |
| Debt/(Debt+Equity)          | 24.41%     | 25.05%     | 32.97%     | 30.68%     | 39.13%     | 40.55%     | 40.38%     | 40.34%     | 41.72%     | 43.02%     |
| Return on Equity            | 3.68%      | 2.44%      | 1.83%      | 1.23%      | 0.88%      | 8.86%      | 4.04%      | 4.15%      | 4.93%      | 3.87%      |

# STATISTICS

## Installed vs Effective Capacity (MW)

| Power Plant        | 2025          |               | 2024          |               | 2023          |               | 2022          |               | 2021          |               |
|--------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
|                    | Installed     | Effective     | Installed     | Effective     | Installed     | Effective     | Installed     | Effective     | Installed     | Effective     |
| <b>HYDRO</b>       |               |               |               |               |               |               |               |               |               |               |
| Tana               | 25.70         | 20.00         | 25.70         | 20.00         | 25.70         | 20.00         | 25.70         | 20.00         | 25.70         | 20.00         |
| Masinga            | 41.20         | 40.00         | 41.20         | 40.00         | 41.20         | 40.00         | 41.20         | 40.00         | 41.20         | 40.00         |
| Kamburu            | 94.20         | 90.00         | 94.20         | 90.00         | 94.20         | 90.00         | 94.20         | 90.00         | 94.20         | 90.00         |
| Gitaru             | 225.00        | 216.00        | 225.00        | 216.00        | 225.00        | 216.00        | 225.00        | 216.00        | 225.00        | 216.00        |
| Kindaruma          | 72.00         | 70.50         | 72.00         | 70.50         | 72.00         | 70.50         | 72.00         | 70.50         | 72.00         | 70.50         |
| Kiambere           | 168.00        | 164.00        | 168.00        | 164.00        | 168.00        | 164.00        | 168.00        | 164.00        | 168.00        | 164.00        |
| Turkwel            | 106.00        | 105.00        | 106.00        | 105.00        | 106.00        | 105.00        | 106.00        | 105.00        | 106.00        | 105.00        |
| Sondu Miriu        | 60.66         | 60.00         | 60.66         | 60.00         | 60.66         | 60.00         | 60.66         | 60.00         | 60.66         | 60.00         |
| Sang'oro           | 21.20         | 20.00         | 21.20         | 20.00         | 21.20         | 20.00         | 21.20         | 20.00         | 21.20         | 20.00         |
| Small Hydros       | 12.09         | 11.68         | 12.49         | 11.23         | 12.49         | 11.23         | 12.49         | 11.83         | 11.73         | 11.22         |
| <b>Hydro Total</b> | <b>826.05</b> | <b>797.18</b> | <b>826.45</b> | <b>796.73</b> | <b>826.45</b> | <b>796.73</b> | <b>826.45</b> | <b>797.33</b> | <b>825.69</b> | <b>796.72</b> |



# STATISTICS

## Installed vs Effective Capacity (MW)

| Power Plant      | 2025      |           | 2024      |           | 2023      |           | 2022      |           | 2021      |           |
|------------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
|                  | Installed | Effective | Installed | Effective | Installed | Effective | Installed | Effective | Installed | Effective |
| GEOTHERMAL       |           |           |           |           |           |           |           |           |           |           |
| Olkaria I        | 0.00      | 0.00      | 0.00      | 0.00      | 45.00     | 30.00     | 45.00     | 44.00     | 45.00     | 44.00     |
| Olkaria I AU 4&5 | 150.52    | 140.00    | 150.52    | 140.00    | 150.52    | 140.00    | 150.52    | 40.00     | 150.52    | 140.00    |
| Olkaria I AU 6   | 86.88     | 80.00     | 86.60     | 80.00     | 86.60     | 80.00     | 86.60     | 80.00     |           |           |
| Olkaria II       | 105.00    | 101.00    | 104.49    | 101.00    | 104.49    | 101.00    | 104.49    | 101.00    | 104.49    | 101.00    |
| Olkaria IV       | 149.85    | 140.00    | 149.85    | 140.00    | 149.85    | 140.00    | 149.85    | 140.00    | 149.85    | 140.00    |
| Olkaria V        | 172.33    | 158.00    | 172.33    | 158.00    | 172.33    | 158.00    | 172.33    | 158.00    | 172.33    | 158.00    |
| Eburru           | 2.44      | 2.10      | 2.44      | 2.10      | 2.44      | 2.10      | 2.44      | 2.10      | 2.44      | 2.10      |
| Wellhead 37      | 16.50     | 15.00     | 16.50     | 15.00     | 16.50     | 15.00     | 16.50     | 15.00     | 16.50     | 15.00     |
| Wellhead 43      | 12.80     | 10.00     | 14.00     | 10.00     | 14.00     | 10.00     | 14.00     | 10.00     | 14.00     | 10.00     |
| Wellhead 914     | 29.30     | 25.00     | 30.50     | 25.00     | 30.50     | 25.00     | 30.50     | 25.00     | 30.50     | 25.00     |
| Wellhead 915     | 11.00     | 10.00     | 11.00     | 10.00     | 11.00     | 10.00     | 11.00     | 10.00     | 11.00     | 10.00     |
| Wellhead 919     | 5.50      | 5.00      | 5.50      | 5.00      | 5.50      | 5.00      | 5.50      | 5.00      | 5.50      | 5.00      |
| Wellhead 905     | 5.50      | 2.50      | 5.50      | 2.50      | 5.50      | 2.50      | 5.50      | 2.50      | 5.50      | 2.50      |
| Wellhead 39      | 5.50      | 2.50      | 5.50      | 2.50      | 5.50      | 2.50      | 5.50      | 2.50      | 5.50      | 2.50      |
| Wellheads Total  | 86.10     | 70.00     | 88.50     | 70.00     | 88.50     | 70.00     | 88.50     | 70.00     | 88.50     | 70.00     |
| Geothermal Total | 753.12    | 691.10    | 754.73    | 691.10    | 799.73    | 721.10    | 799.73    | 735.10    | 713.13    | 655.10    |

# STATISTICS

## Installed vs Effective Capacity (MW)

| Power Plant           | 2025            |                 | 2024            |                 | 2023            |                 | 2022            |                 | 2021            |                 |
|-----------------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                       | Installed       | Effective       | Installed       | Effective       | Installed       | Effective       | Installed       | Effective       | Installed       | Effective       |
| <b>THERMAL</b>        |                 |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Kipevu 1              | -               | -               | -               | -               | 73.50           | 60.00           | 73.50           | 60.00           | 73.50           | 60.00           |
| Kipevu III            | 120.00          | 115.00          | 120.00          | 115.00          | 120.00          | 115.00          | 120.00          | 115.00          | 120.00          | 115.00          |
| Muhoroni GT1*         | 60.00           | 53.00           | -               | -               | 30.00           | 28.00           | 30.00           | 28.00           | 30.00           | 28.00           |
| Muhoroni GT2* (MVarh) | 60.00           | 54.00           | -               | -               | 30.00           | 28.00           | 30.00           | 28.00           | 30.00           | 28.00           |
| Garissa & Lamu        |                 |                 | -               | -               | -               | -               | -               | -               | -               | -               |
| <b>Total Thermal</b>  | <b>180.00</b>   | <b>168.00</b>   | <b>120.00</b>   | <b>115.00</b>   | <b>253.50</b>   | <b>231.00</b>   | <b>253.50</b>   | <b>231.00</b>   | <b>253.50</b>   | <b>231.00</b>   |
|                       |                 |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| <b>WIND</b>           |                 |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Ngong I phase I & II  | 11.90           | 11.90           | 11.90           | 11.90           | 11.90           | 11.90           | 11.90           | 11.90           | 11.90           | 11.90           |
| Ngong II              | 13.60           | 13.60           | 13.60           | 13.60           | 13.60           | 13.60           | 13.60           | 13.60           | 13.60           | 13.60           |
| <b>Wind Total</b>     | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    | <b>25.50</b>    |
| <b>KenGen TOTAL</b>   | <b>1,784.67</b> | <b>1,681.78</b> | <b>1,726.68</b> | <b>1,628.33</b> | <b>1,905.18</b> | <b>1,774.33</b> | <b>1,905.18</b> | <b>1,788.93</b> | <b>1,817.82</b> | <b>1,708.32</b> |

### Notes:

- 1) \* Active/Reactive power
- 2) Installed capacity corrected to reflect the actual machine rating

# STATISTICS

Units Sent out (GWh)

| Power Plant        | 2025            |                 | 2024            |                 | 2023            |                 | 2022            |                 | 2021            |                 |
|--------------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                    | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           |
| <b>HYDRO</b>       |                 |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Tana               | 111.59          | 108.88          | 120.69          | 117.84          | 84.25           | 82.02           | 89.03           | 87.07           | 126.09          | 123.32          |
| Masinga            | 161.40          | 161.19          | 116.77          | 115.56          | 76.57           | 77.00           | 154.45          | 154.27          | 176.41          | 176.20          |
| Kamburu            | 401.24          | 399.34          | 407.89          | 407.12          | 236.60          | 236.23          | 369.18          | 368.13          | 443.86          | 442.60          |
| Gitaru             | 783.32          | 777.18          | 809.92          | 806.20          | 532.21          | 455.88          | 738.02          | 716.35          | 910.43          | 883.69          |
| Kindaruma          | 187.89          | 187.10          | 188.87          | 188.47          | 104.18          | 101.73          | 165.77          | 165.11          | 184.26          | 183.53          |
| Kiambere           | 808.17          | 802.03          | 807.34          | 806.00          | 517.17          | 516.43          | 797.13          | 795.75          | 978.31          | 976.62          |
| Turkwel            | 574.78          | 573.78          | 416.01          | 413.28          | 538.95          | 486.37          | 540.89          | 538.95          | 717.72          | 715.14          |
| Sondu Miriu        | 235.68          | 234.89          | 280.47          | 279.52          | 375.91          | 374.97          | 339.98          | 339.08          | 428.78          | 427.65          |
| Sang'oro           | 128.69          | 128.45          | 126.54          | 126.25          | 122.63          | 122.39          | 109.65          | 109.50          | 144.22          | 144.02          |
| Sagana             | 9.78            | 9.78            | 8.36            | 8.51            | 7.33            | 7.33            | 7.42            | 7.42            | 8.45            | 8.45            |
| Mesco              | 2.76            | 2.76            | 3.14            | 3.14            | 2.43            | 2.43            | 2.72            | 2.72            | 3.06            | 3.06            |
| Wanjji             | 58.34           | 57.74           | 57.14           | 56.56           | 51.58           | 51.18           | 19.25           | 19.25           | -               | -               |
| Gogo               | 5.19            | 5.19            | 6.48            | 6.57            | 6.67            | 6.40            | 3.49            | 3.49            | 4.08            | 4.08            |
| Sosiani            |                 |                 | -               | -               | -               | -               | -               | -               | -               | -               |
| <b>Total Hydro</b> | <b>3,468.82</b> | <b>3,448.31</b> | <b>3,349.63</b> | <b>3,335.01</b> | <b>2,656.48</b> | <b>2,520.36</b> | <b>3,336.99</b> | <b>3,307.09</b> | <b>4,125.68</b> | <b>4,088.35</b> |

# STATISTICS

Units Sent out (GWh)

| Power Plant                  | 2025            |                 | 2024            |                 | 2023            |                 | 2022            |                 | 2021            |                 |
|------------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                              | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           |
| <b>GEO THERMAL</b>           |                 |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Olkaria I                    |                 |                 | -               | -               | 119.68          | 113.05          | 216.37          | 204.43          | 74.21           | 70.12           |
| Olkaria I AU unit 4&5        | 816.08          | 786.13          | 1,062.55        | 1,019.71        | 1084.76         | 1042.42         | 810.78          | 774.24          | 901.59          | 860.96          |
| Olkaria I AU unit 6          | 610.80          | 586.20          | 606.34          | 583.46          | 628.18          | 607.31          | 118.25          | 112.92          |                 |                 |
| Olkaria II                   | 722.32          | 688.42          | 661.25          | 626.50          | 754.09          | 730.05          | 517.13          | 488.46          | 528.87          | 499.55          |
| Olkaria IV                   | 1030.17         | 993.27          | 1,004.80        | 969.64          | 1056.84         | 1012.70         | 1,056.21        | 1,007.08        | 1,007.03        | 960.19          |
| Olkaria V                    | 1232.15         | 1182.25         | 1,216.68        | 1,164.23        | 1317.45         | 1266.29         | 1,105.93        | 1,066.18        | 1,314.98        | 1,267.72        |
| Eburru                       | 4.55            | 3.96            | 10.01           | 8.71            | 8.79            | 7.65            | 4.05            | 3.56            | 8.68            | 7.63            |
| Wellhead 37 & 39             | 65.95           | 54.03           | 61.06           | 56.01           | 75.55           | 70.30           | 71.91           | 64.98           | 108.23          | 97.79           |
| Wellhead 43                  | 40.21           | 36.89           | 46.98           | 43.81           | 31.04           | 28.80           | 41.58           | 40.18           | 52.01           | 50.26           |
| Wellhead 914, 919, 905 & 915 | 189.87          | 177.29          | 177.49          | 160.54          | 226.78          | 210.82          | 229.25          | 215.31          | 242.32          | 227.59          |
| Wellheads Total              | 300.58          | 272.17          | 285.53          | 260.36          | 333.37          | 309.92          | 343.44          | 320.47          | 402.56          | 375.63          |
| <b>Total Geothermal</b>      | <b>4,712.09</b> | <b>4,508.71</b> | <b>4,847.17</b> | <b>4,632.61</b> | <b>5,303.16</b> | <b>5,089.39</b> | <b>4,172.16</b> | <b>3,977.34</b> | <b>4,237.93</b> | <b>4,041.80</b> |

# STATISTICS

Units Sent out (GWh)

| Power Plant                            | 2025            |                 | 2024            |                 | 2023            |                 | 2022            |                 | 2021            |                 |
|----------------------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                                        | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           | Generated       | Sales           |
| <b>THERMAL</b>                         |                 |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Kipevu I                               | -               | -               | -               | -               | 95.64           | 93.14           | 143.71          | 140.73          | 56.45           | 55.28           |
| Kipevu III                             | 468.67          | 460.90          | 371.04          | 364.64          | 235.04          | 231.41          | 405.81          | 398.97          | 149.61          | 147.08          |
| Embakasi/Muhoroni Gas Turbine (Active) | 1.56            | 1.56            | -               | 0.09            | 35.44           | 35.30           | 40.19           | 40.00           | 42.98           | 42.98           |
| Embakasi/Muhoroni Gas Turbine (Active) |                 |                 | -               | -               | 0.18            | 0.18            | 0.29            | 0.29            | 0.02            | 0.02            |
| <b>Total Thermal</b>                   | <b>470.23</b>   | <b>462.46</b>   | <b>371.04</b>   | <b>364.73</b>   | <b>366.12</b>   | <b>359.85</b>   | <b>589.72</b>   | <b>579.70</b>   | <b>249.04</b>   | <b>245.35</b>   |
| <b>WIND</b>                            |                 |                 |                 |                 |                 |                 |                 |                 |                 |                 |
| Ngong I Phase I & II                   | 24.60           | 24.06           | 23.98           | 23.72           | 31.08           | 30.72           | 30.51           | 29.70           | 26.82           | 26.10           |
| Ngong II                               | 25.41           | 24.42           | 27.74           | 26.77           | 26.63           | 26.58           | 24.75           | 24.06           | 28.26           | 27.47           |
| <b>Total Wind</b>                      | <b>49.99</b>    | <b>48.48</b>    |                 | <b>50.49</b>    | <b>57.71</b>    | <b>57.30</b>    | <b>55.26</b>    | <b>53.76</b>    | <b>55.08</b>    | <b>53.58</b>    |
| <b>TOTAL KenGen</b>                    | <b>8,701.13</b> | <b>8,467.97</b> | <b>8,567.83</b> | <b>8,382.85</b> | <b>8,383.47</b> | <b>8,026.91</b> | <b>8,154.13</b> | <b>7,917.88</b> | <b>8,667.74</b> | <b>8,429.07</b> |

## Notes:

- 1) The difference between the units generated and sold out is due to system losses and auxiliary consumption
- 2) System losses comprise of technical and non-technical losses
- 3) PPA for Olkaria I, Kipevu I and Muhoroni GT expired in the course of the year



Weighted Factors(%) as at 30th June 2025

Power plant

|                          | 2025               |              |             | 2024               |              |             | 2023               |              |             | 2022               |              |             | 2021               |              |             |
|--------------------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|
|                          | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor |
|                          | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           |
| <b>HYDRO</b>             |                    |              |             |                    |              |             |                    |              |             |                    |              |             |                    |              |             |
| Sagana                   | 1.5                | 95.87        | 74.44       | 1.5                | 99.17        | 62.04       | 1.5                | 91.12        | 46.95       | 1.50               | 91.28        | 56.22       | 1.50               | 80.36        | 64.00       |
| Mesco                    | 0.42               | 95.26        | 73.22       | 0.43               | 87.53        | 92.64       | 0.43               | 89.34        | 64.28       | 0.43               | 85.65        | 77.67       | 0.36               | 96.65        | 86.98       |
| Wanjji                   | 8.16               | 96.3         | 81.59       | 7.4                | 95.74        | 86.24       | 7.4                | 96.29        | 73.41       | 8.00               | 46.30        | 30.41       | 7.40               | -            | -           |
| Tana                     | 20                 | 95.84        | 63.20       | 20                 | 94.02        | 65.84       | 20                 | 95.64        | 36.88       | 20.00              | 96.46        | 49.55       | 20.00              | 91.07        | 70.24       |
| Masinga                  | 40                 | 64.31        | 46.57       | 40                 | 72.33        | 32.98       | 40                 | 73.13        | 22.27       | 40.00              | 81.28        | 44.02       | 40.00              | 71.56        | 50.23       |
| Kamburu                  | 90                 | 96.60        | 49.16       | 90                 | 96.76        | 50.79       | 90                 | 97.22        | 28.95       | 90.00              | 96.76        | 46.62       | 90.00              | 94.71        | 55.87       |
| Gituru                   | 216                | 91.63        | 40.18       | 216                | 94.52        | 41.92       | 216                | 93.85        | 23.32       | 216.00             | 97.23        | 37.83       | 216.00             | 94.65        | 46.49       |
| Kindaruma                | 70.5               | 97.55        | 30.12       | 70.5               | 92.16        | 29.16       | 70.5               | 96.77        | 15.89       | 70.50              | 92.86        | 26.69       | 70.50              | 95.01        | 29.58       |
| Kiambere                 | 164                | 89.99        | 55.52       | 164                | 95.37        | 54.71       | 164                | 94.79        | 37.75       | 164.00             | 93.98        | 55.36       | 164.00             | 92.70        | 67.69       |
| Turkwel                  | 105                | 96.27        | 62.73       | 105                | 95.48        | 45.61       | 105                | 95.35        | 54.05       | 105.00             | 90.60        | 58.60       | 105.00             | 98.74        | 77.57       |
| Sondu Miriu              | 60                 | 48.82        | 44.34       | 60                 | 56.31        | 53.56       | 60                 | 96.27        | 62.51       | 60.00              | 95.53        | 64.44       | 60.00              | 98.03        | 81.54       |
| Sang'oro                 | 20                 | 68.30        | 69.36       | 20                 | 90.47        | 69.12       | 20                 | 94.41        | 58.59       | 20.00              | 94.21        | 60.61       | 20.00              | 97.28        | 79.38       |
| Gogo                     | 1.6                | 90.10        | 29.27       | 1.6                | 79.08        | 38.18       | 1.6                | 80.52        | 37.82       | 1.60               | 33.65        | 19.85       | 1.60               | 41.07        | 23.14       |
| Sosiani                  |                    |              |             | 0.3                | -            | -           | 0.3                | -            | -           | 0.30               | -            | -           | 0.36               | -            | -           |
| Total Effective Capacity | 797.18             |              |             | 796.73             |              |             | 796.73             |              |             | 797.33             |              |             | 796.72             |              |             |
| Weighted Factors - Hydro |                    | 87.97        | 48.86       |                    | 90.71        | 46.39       |                    | 94.03        | 34.41       |                    | 93.53        | 47.03       |                    | 92.84        | 58.32       |

## Weighted Factors(%) as at 30th June 2025

### Power plant

| Power plant                    | 2025               |              |             | 2024               |              |             | 2023               |              |             | 2022               |              |             | 2021               |              |             |
|--------------------------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|
|                                | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor |
|                                | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           |
| GEOTHERMAL                     |                    |              |             |                    |              |             |                    |              |             |                    |              |             |                    |              |             |
| Olkaria I                      | -                  | -            | -           | -                  | -            | -           | 30                 | 79.74        | 71.86       | 45.00              | 90.78        | 53.04       | 44.00              | 31.16        | 15.64       |
| Olkaria I AU unit 4&5          | 140                | 69.71        | 64.64       | 140                | 94.47        | 83.67       | 140                | 93.33        | 82.83       | 140.00             | 71.55        | 63.13       | 140.00             | 82.47        | 64.73       |
| Olkaria I AU unit 6            | 80                 | 89.14        | 77.98       | 80                 | 90.39        | 84.45       | 80                 | 88.93        | 86.46       | 80.00              | 92.93        | 92.93       |                    |              |             |
| Olkaria II                     | 101                | 78.96        | 74.54       | 101                | 71.79        | 70.38       | 101                | 80.51        | 85.58       | 101.00             | 56.62        | 55.21       | 101.00             | 56.85        | 52.98       |
| Olkaria IV                     | 140                | 94.95        | 74.11       | 140                | 96.59        | 79.94       | 220                | 93.68        | 81.80       | 140.00             | 89.53        | 82.12       | 140.00             | 91.78        | 64.68       |
| Olkaria V                      | 158                | 98.39        | 77.98       | 158                | 97.14        | 85.20       | 158                | 96.87        | 91.38       | 158.00             | 78.94        | 77.03       | 158.00             | 95.42        | 83.92       |
| Eburru                         | 2.1                | 48.26        | 21.32       | 2.1                | 92.13        | 41.19       | 2.1                | 81.88        | 41.76       | 2.10               | 37.05        | 19.35       | 2.10               | 84.78        | 36.67       |
| Wellhead KWG12, KWG13, 37 & 39 | 17.5               | 58.37        | 33.12       | 17.5               | 64.34        | 36.53       | 17.5               | 74.45        | 45.19       | 17.50              | 70.45        | 42.38       | 17.50              | 84.47        | 64.41       |
| Wellhead 43                    | 10                 | 94.20        | 38.43       | 10                 | 87.65        | 50.01       | 10                 | 54.18        | 27.99       | 10.00              | 66.12        | 45.87       | 10.00              | 83.10        | 48.15       |
| Wellhead 914, 919, 905 & 915   | 42.5               | 78.22        | 52.49       | 42.5               | 72.55        | 43.12       | 42.5               | 82.41        | 52.56       | 42.50              | 81.46        | 57.83       | 42.50              | 83.96        | 57.98       |
| Total Effective Capacity       | 691.1              |              |             | 691.1              |              |             | 801.10             |              |             | 736.10             |              |             | 655.10             |              |             |
| Weighted Factors - Hydro       |                    | 85.51        | 70.54       |                    | 89.5         | 77.1        |                    | 90.05        | 81.31       |                    | 78.38        | 70.10       |                    | 80.36        | 63.45       |

## Weighted Factors(%) as at 30th June 2025

## Power plant

| Power plant                | 2025               |              |             | 2024               |              |             | 2023               |              |             | 2022               |              |             | 2021               |              |             |
|----------------------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|--------------------|--------------|-------------|
|                            | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor |
|                            | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           | MW                 | %            | %           |
| <b>THERMAL</b>             |                    |              |             |                    |              |             |                    |              |             |                    |              |             |                    |              |             |
| Kipevu I Diesel            | -                  | -            | -           | -                  | -            | -           | 60                 | 59.82        | 19.07       | 60.00              | 56.98        | 26.84       | 60.00              | 66.22        | 10.62       |
| Kipevu III Diesel          | 115                | 88.09        | 46.46       | 115                | 88.77        | 36.34       | 115                | 94.98        | 21.97       | 115.00             | 93.45        | 39.81       | 115.00             | 97.46        | 14.56       |
| Muhoroni Gas Turbine       | 53.00              | 77.91        | 5.85        |                    |              |             |                    |              |             |                    |              |             |                    |              |             |
| Total Effective Capacity   | 115                |              |             | 115                |              |             | 175.00             |              |             | 175.00             |              |             | 175.00             |              |             |
| Weighted Factors - Thermal |                    | 84.88        | 33.65       |                    | 88.77        | 36.3        |                    | 82.93        | 20.97       |                    | 80.95        | 35.36       |                    | 86.75        | 13.21       |
| <b>GAS TURBINES</b>        |                    |              |             |                    |              |             |                    |              |             |                    |              |             |                    |              |             |
| Gas Turbines               | 54                 | 73.39        | 4.20        | 56.0               | -            | -           | 56                 | 62.04        | 7.82        | 56.00              | 82.28        | 8.18        | 56.00              | 54.35        | 8.78        |
| Total Effective Capacity   | 54                 |              |             |                    |              | 56.00       |                    |              | 56.00       |                    |              |             |                    |              |             |
| Weighted Factors - Thermal |                    | 73.39        | 4.20        | -                  | -            |             | 62.04              | 7.82         |             | 82.28              | 8.18         |             | 54.35              | 8.78         | 13.21       |
| <b>ISOLATED THERMALS</b>   |                    |              |             |                    |              |             |                    |              |             |                    |              |             |                    |              |             |
| Garissa (KenGen)           |                    |              |             |                    |              |             |                    |              |             | -                  |              |             | -                  | -            | -           |
| Garissa (Aggreko)          |                    |              |             |                    |              |             |                    |              |             | -                  |              |             | -                  | -            | -           |
| Lamu                       |                    |              |             |                    |              |             |                    |              |             | -                  |              |             | -                  | -            | -           |
| Total Effective Capacity   |                    |              |             |                    |              |             |                    |              |             | -                  |              |             | -                  | -            | -           |
| Weighted Factors - Thermal |                    |              |             |                    |              |             |                    |              |             | -                  |              |             | -                  | -            | -           |

## Weighted Factors(%) as at 30th June 2025

### Power plant

|                                 | 2025               |              |             | 2024               |              |              | 2023               |              |              | 2022               |              |              | 2021               |              |              |
|---------------------------------|--------------------|--------------|-------------|--------------------|--------------|--------------|--------------------|--------------|--------------|--------------------|--------------|--------------|--------------------|--------------|--------------|
|                                 | Effective Capacity | Availability | Load factor | Effective Capacity | Availability | Load factor  | Effective Capacity | Availability | Load factor  | Effective Capacity | Availability | Load factor  | Effective Capacity | Availability | Load factor  |
|                                 | MW                 | %            | %           | MW                 | %            | %            | MW                 | %            | %            | MW                 | %            | %            | MW                 | %            | %            |
| <b>WIND</b>                     |                    |              |             |                    |              |              |                    |              |              |                    |              |              |                    |              |              |
| Ngong I phase I                 | 5.1                | 82.80        | 26.62       | 5.1                | 87.45        | 28.39        | 5.1                | 88.01        | 40.49        | 5.10               | 98.59        | 36.81        | 5.10               | 85.10        | 31.78        |
| Ngong I phase II                | 6.8                | 94.15        | 19.12       | 6.8                | 92.90        | 20.92        | 6.8                | 91.92        | 25.65        | 6.80               | 97.27        | 22.18        | 6.80               | 78.87        | 19.94        |
| Ngong II                        | 13.6               | 84.00        | 21.25       | 13.6               | 78.91        | 23.50        | 13.6               | 71.51        | 23.71        | 13.60              | 69.10        | 20.17        | 13.60              | 76.04        | 23.03        |
| <b>Total Effective Capacity</b> | 25.5               |              |             |                    |              | <b>25.50</b> |                    |              | <b>25.50</b> |                    |              | <b>25.50</b> |                    |              |              |
| <b>Weighted Factors - Wind</b>  |                    | 86.47        | 21.76       |                    | <b>84.35</b> | <b>23.79</b> |                    | <b>80.25</b> | <b>27.59</b> |                    | <b>82.51</b> | <b>24.03</b> |                    | <b>78.61</b> | <b>23.96</b> |

### Notes

1) Availability and Load Factor is a Percentage (%)

2) Effective Capacity is in Megawatts (MW)



*KenGen shareholders, tour the Olkaria I AU control room during a visit to learn about the company's geothermal operations*



*General Manager, Geothermal, Peketsa Mangi, delivers his remarks to shareholders during the Olkaria site tour and engagement session*



# Shareholders Calendar

## Notice of the Annual General Meeting

NOTICE IS HEREBY GIVEN to Shareholders that, in accordance with the provisions of section 280 of the Companies Act, 2015 and Articles of Association of the Company Article 67, the Seventy-third Annual General Meeting of Kenya Electricity Generating Company PLC will be held via electronic communication on Thursday, 4 December 2025 at 11.00 a.m. for the purpose of considering and, if thought fit, passing the resolutions set out below:

### Ordinary Business

1. To table the proxies and note the presence of a quorum.
2. To read the Notice convening the meeting.
3. To consider and if approved, adopt the Company's Audited Financial Statements for the year ended 30th June 2025, together with the Chairman's, Directors' and Auditors' Reports thereon.
4. To approve the payment of a final dividend of Kshs. 0.90 per ordinary share of Kshs. 2.50, subject to withholding tax where applicable, in respect of the financial year ended 30 June 2025.
5. To consider and approve the Directors' Remuneration Report and approve payment of the Directors Fees for the year ended 30 June 2025.
6. Auditors: To note that the audit of the Company's books of accounts will continue to be undertaken by the Auditor-General or an audit firm appointed by her in accordance with Section 23 of the Public Audit Act 2015.
7. To authorize the Directors to fix the remuneration of the Auditors.
8. To Elect Directors:
  - i. Hon. Stephen Mutai who retires on rotation in accordance with Article 126 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director of the Company
  - ii. Ms. Josephine Koisaba who retires on rotation in accordance with Article 126 of the Articles of Association of the Company and being eligible, offers herself for re-election as a Director of the Company
  - iii. Mr. William Rahedi who retires on rotation in accordance with Article 126 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director of the Company
9. In accordance with the provisions of Section 769 of the Companies Act, 2015 the following directors, being members of the Audit, Risk & Compliance Committee of the Board be elected to continue to serve as members of the said Committee:
  - i. CPA Bernard Ngugi
  - ii. Hon. Stephen Mutai [Subject to his re-election to the Board as per Agenda item 8(i)]
  - iii. Ms. Josephine Koisaba [Subject to her re-election to the Board as per Agenda item 8(ii)]
  - iv. Mr. Umuro Wario
  - v. Mr. Kennedy Ondieki (Alternate Director to Cabinet Secretary-The National Treasury)

### 10. SPECIAL BUSINESS

#### Approval of Company Policies

To authorise the Board to formulate, approve and regularly review policy documents as a continuing obligation envisaged under Regulation 8.21 of the Thirteenth Schedule of the Capital Markets (Public Offers, Listing and Disclosures) Regulations, 2023 for:

- a. Remuneration Policy
  - b. Stakeholder Engagement and Communication Policy
  - c. Effective Communication with Stakeholders Policy
  - d. Disputes Resolution Policy
  - e. Policy on Retention and Attraction of Board Members of the Company
11. To consider any other business for which due notice has been given.

### By Order of the Board



**FCS. Austin Ouko**  
*Company Secretary*

13 November 2025

# Shareholders Calendar

## Notice of the Annual General Meeting



### Notes:

1. KenGen PLC has convened and will conduct its Seventy third Annual General Meeting via virtual/ electronic means in accordance with Article 67 of the Articles of Association of the Company which provides that "The Members may, if they think fit, confer or hold a meeting by radio, telephone, closed circuit television, video conferencing or other electronic, or other, means of audio or audio/visual communication, or a combination thereof ("Conference"). Notwithstanding that the Members are not present together in one place at the time of the Conference, a resolution passed by the Members constituting a quorum at such a Conference shall be deemed to have been passed at a General Meeting held on the day on which and at the time at which the Conference was held. The provisions of these Articles relating to proceedings of Members apply insofar as they are capable of application mutatis mutandis to such Conference." KenGen intends to hold a Virtual Annual General Meeting for the financial year ended 30th June 2025.
2. Shareholders will be able to register to follow the meeting, vote electronically or by proxy and may ask questions in advance before the date of the Annual General meeting.
3. Shareholders wishing to participate in the meeting should register for the AGM using either of the following means:
  - Dialling **\*483\*903#** on their mobile telephone and follow the various prompts on the registration process or;
  - Send an email request to be registered to **kengenagm@image.co.ke** providing their details i.e., Name, Passport/ID No., CDS No. and Mobile telephone number requesting to be registered. Image Registrars Limited shall register shareholders and send them an email notification once registered.
4. Shareholders with email addresses will receive a registration link via email through which they can use to register.
5. To complete the registration process, shareholders will need to provide their National ID/Passport Numbers which they used to purchase their shares and/or their CDSC Account Number. For assistance shareholders should dial the following helpline number: **+254 709170 000/709170 039** from 9.00 a.m. to 3.00 p.m. from Monday to Friday. Shareholders outside Kenya should dial the helpline number for assistance during registration.
6. Registration for the AGM opens on **Thursday, 13 November 2025 at 9.00 a.m.** and will close on **Tuesday, 2 December 2025 at 5.00 p.m.** Shareholders will not be able to register after this time.
7. In accordance with Article 168 of the Company's Articles of Association, the following documents may be viewed on the Company's website **www.kengen.co.ke** (a) A copy of this Notice and the Proxy Form; (b) The Company's Annual Report & Audited Financial Statements for the year ended 30th June 2025;
8. The reports may also be accessed upon request by dialling the USSD **\*483\*903#** and selecting the reports option. The reports and agenda can also be accessed on the livestream link.
9. Any shareholder who is entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his/her stead. Such proxy need not be a member of the Company.
10. A Proxy Form is provided with the Integrated Annual Report & Accounts. The Proxy Form can also be obtained from the Company's website **www.kengen.co.ke** or from Image Registrars Limited, Absa Towers (formerly Barclays Plaza), 5th Floor, Loita Street, P. O. Box 9287 -00100, Nairobi, Kenya. Shareholders who do not wish to attend the Annual General Meeting have an option to complete and return the Proxy Form to Image Registrars Limited, or alternatively to the Registered Office of the Company so as to arrive not later than **11.00 a.m. on 2 December 2025.**

# Shareholders Calendar

## Notice of the Annual General Meeting

11. Duly signed proxy forms may also be emailed to **kengenagm@image.co.ke** in PDF format. A proxy form must be signed by the appointor, or his attorney duly authorized in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under the Company's common seal or under the hand of an officer or duly authorized attorney of such body corporate.
12. Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by sending their written questions:
  - i. Sending their written questions by email to **agmquestions@kengen.co.ke**; or
  - ii. By dialling **USSD code \*483\*903#** and selecting the option (Ask Question) on the prompts; or
  - iii. To the extent possible, physically delivering or posting their written questions with a return physical, postal or email address to the registered office of the Company or P.O. Box 47938 – 00100, Nairobi, or to Image Registrars offices at P. O. Box 9287 – 00100, Nairobi, Kenya.
  - iv. Shareholders must provide their full details (full names, National ID/Passport Number/CDSC Account Number) when submitting their questions or clarifications via email or letter.
  - v. The Company's Directors will provide responses to questions received via the channel used by shareholders to send their questions i.e. SMS (for USSD option), Email, Letters or Telephone call. Questions will also be responded to during the meeting. A full list of all questions received, and the answers thereto will be published on the Company's website not later than 24 hours following the conclusion of the meeting.
13. The AGM will be streamed live via a link which shall be provided to all shareholders who will have registered to participate in the AGM. Duly registered shareholders and proxies will receive a short message service (SMS/USSD) prompt on their registered mobile numbers, 24 hours prior to the AGM acting as a reminder of the AGM. A second SMS/USSD prompt shall be sent one hour ahead of the AGM, as a reminder that the AGM will begin in one hour and providing a link to the live stream.
14. Shareholders and proxies who have registered to attend the AGM may follow the proceedings using the live stream platform, access the agenda and vote when prompted by the Chairman via the USSD prompts.
15. Results of the resolutions voted on will be published on the Company's website that is, **www.kengen.co.ke** within 24 hours following conclusion of the AGM. Shareholders are encouraged to continuously monitor the Company's website for any updates relating to the AGM.
16. **Dividends:** To ensure receipt of future dividends in a timely manner, Shareholders are hereby requested to provide their bank details and update their payment option to electronic funds transfer method through their respective stockbrokers or the Registrar to facilitate remittance of dividends through their bank accounts in future. In addition, shareholders can opt-in for their future dividends to be paid to them via mobile money transfer when registering for the AGM.

# Shareholders Calendar

## Ilani ya Mkutano Mkuu wa Kila Mwaka



TAARIFA IMETOLEWA HAPA kwa Wenye-hisa kwamba, kwa mujibu wa kanuni za vipengele vya sehemu ya 280 ya Sheria za Kampuni, 2015 na Hati ya Ushirika ya Kampuni, Kifungu cha 67, Mkutano Mkuu wa Sabini na tatu wa Kila Mwaka wa Kampuni ya Kenya Electricity Generating PLC utafanywa kupitia mawasiliano ya kielektroniki siku ya Alhamisi, tarehe 4 Decemba 2025 saa 5.00 asubuhi. kwa madhumuni ya kuzingatia na, ikiwa sawa, kupitisha maamuzi yaliyobainishwa hapa chini:

### Shughuli ya Kawaida

1. Kuwasilisha majina ya washirika na kutambua uwepo wa idadi ya kutosha ya wanachama kuendesha mkutano.
2. Kusoma Taarifa inayoitisha mkutano
3. Kuzingatia na ikiidhinishwa, kupitisha Taarifa za Kifedha za Kampuni zilizofanyiwa ukaguzi kwa mwaka uliokamilika tarehe 30 Juni 2025, pamoja na Ripoti za Mwenyekiti, Wakurugenzi Watendaji na Wakaguzi waliomo.
4. Kuidhinisha malipo ya mgao wa mwisho wa mapato ya hisa wa Kshs. 0.90 kwa kila hisa ya kawaida ya Kshs. 2.50, inayotolewa kodi inayoshikiliwa panapohitajika, katika mwaka wa kifedha uliokamilika tarehe 30 Juni 2025.
5. Kujadili na kuidhinisha Ripoti ya Mshahara wa Wakurugenzi Watendaji na kuidhinisha malipo ya ada za Wakurugenzi Watendaji kwa mwaka uliokamilika tarehe 30 Juni 2025.
6. Wakaguzi: Kubaini kuwa ukaguzi wa vitabu vya akaunti za Kampuni utaendelea kufanywa na Mkaguzi Mkuu au na shirika la ukaguzi atakaloliteua kwa mujibu wa Sehemu ya 23 ya Sheria ya Ukaguzi wa Umma ya 2015.
7. Kuidhinisha Wakurugenzi Watendaji kusuluhisha malipo kwa Wakaguzi
8. Kuchagua Wakurugenzi
  - i. Bi. Josphine Koisaba ambaye anastaafu kwa awamu kulingana na Kifungu cha 126 cha Hati ya Ushirika ya Kampuni na kwa kuwa anastahiki, anajitokeza kuchaguliwa tena kama Mkurugenzi Mtendaji wa Kampuni
  - ii. Bw. Stephen Mutai ambaye anastaafu kwa awamu kulingana na Kifungu cha 126 cha Hati ya Ushirika ya Kampuni na kwa kuwa anastahiki, anajitokeza kuchaguliwa tena kama Mkurugenzi Mtendaji wa Kampuni
  - iii. Bw. William Rahedi ambaye anastaafu kwa awamu kulingana na Kifungu cha 126 cha Hati ya Ushirika ya Kampuni na kwa kuwa anastahiki, anajitokeza kuchaguliwa tena kama Mkurugenzi Mtendaji wa Kampuni.
9. Kwa mujibu wa kanuni za Sehemu ya 769 za Sheria ya Kampuni ya 2015, wakurugenzi watendaji wafuatao, kwa kuwa wanachama wa Kamati ya Bodi ya Ukaguzi, Hatari na Utiifu ya Bodi wanachaguliwa kuendelea kuhudumu kama wanachama wa Kamati husika:
  - i. CPA Bernard Ngugi
  - ii. Bw. Stephen Mutai [Kutegemea iwapo atachaguliwa tena katika Bodi kulingana na kipengee cha 8(ii)]
  - iii. Bi. Josphine Koisaba [Kutegemea iwapo atachaguliwa tena katika Bodi kulingana na kipengee cha 8(ii)]
  - iv. Bw. Umuro Wario
  - v. Bw. Kennedy Ondieki Mwakilishi wa Bw. John Mbadi (Waziri wa Fedha)

### 10. SPECIAL BUSINESS

#### Approval of Company Policies

To authorise the Board to formulate, approve and regularly review policy documents as a continuing obligation envisaged under Regulation 8.21 of the Thirteenth Schedule of the Capital Markets (Public Offers, Listing and Disclosures) Regulations, 2023 for:

- a. Remuneration Policy
- b. Stakeholder Engagement and Communication Policy
- c. Effective Communication with Stakeholders Policy
- d. Disputes Resolution Policy
- e. Policy on Retention and Attraction of Board Members of the Company

11. Kuzingatia shughuli nyingine yoyote ambayo taarifa yake imetolewa

### Kwa Agizo la Bodi

**FCS. Austin Ouko**  
Katibu wa Kampuni

Novemba 13 2025

# Shareholders Calendar

## Ilani ya Mkutano Mkuu wa Kila Mwaka

### Vidokezo:

Wenyehisa wataweza kujisajili ili kufuatilia mkutano, kupiga kura kwa njia ya kielektroniki au kupitia washirika na wanaweza kuuliza maswali mapema kabla ya tarehe ya Mkutano Mkuu wa Kila Mwaka kwa namna iliyobainishwa ifuatavyo:

- Shirika la KenGen PLC limeita na litaendesha mkutano wake wa Sabini na mbili wa Kila Mwaka kupitia mtandao/ kielektroniki kwa mujibu wa Kifungu cha 67 cha Makala ya Ushirika ya Kampuni kinasema kwamba "Wanachama wanaweza, ikiwa watafikiri ni sawa, kuendesha au kufanya mkutano kupitia radio, simu, televisheni, mkutano wa video au kifaa chochote cha kielektroniki, au njia nyingine za mawasiliano ya sauti/picha, au mchanganyiko wazo ("Mkutano"). Licha ya kwamba Wanachama hawako pamoja wakati wa Mkutano, uamuzi utakaopitishwa na Wanachama ambao wamefikisha idadi hitajika katika Mkutano kama huo utachukuliwa kuwa umepitishwa katika Mkutano Mkuu uliofanyika siku na wakati ambapo Mkutano ulifanywa. Kanuni katika Vifungu hivi zinazohusiana na vikao vya Wanachama zinatumika kadri zinavyoweza kutekeleza hitaji la kubadilisha masuala yanayohitajika kubadilika katika Mkutano kama huo. KenGen inanua kufanya Mkutano Mkuu wa Kila Mwaka Mtandaoni kwa mwaka wa kifedha unaoisha tarehe 30 Juni, 2025.
- Wenyehisa wataweza kujisajili kwa AGM, kupiga kura kielektroniki na kuuliza maswali kabla ya siku ya Mkutano Mkuu wa mwaka.
- Wenyehisa ambao wangependa kushiriki katika mkutano huu wanapaswa kujisajili kwa ajili ya AGM kwa kutumia mojawapo ya njia zifuatazo:
  - Kubofya **\*483\*903#** kwenye simu zao za mkononi na kufuata maelekezo kuhusu mchakato wa kujisajili au;
  - Watume ombi la baruapepe ili usajiliwe kwenda **kengenagm@image.co.ke** kwa kutoa maelezo yao yaani., Jina, Nambari ya Pasipoti au Kitambulisho., Nambari ya CDS na nambari ya simu ya mkononi wakiomba kusajiliwa. Image Registrars Limited itasajili wenyehisa na kuwatumia arifa za baruapepe baada ya kuwasajili.
- Wenyehisa walio na anwani za baruapepe watapokea kiungo cha kujisajili kupitia baruapepe ambacho wanaweza kutumia kujisajili.
- Ili kukamilisha mchakato wa kujisajili, wenye hisa watahitaji kutoa Nambari za Kitambulisho cha Kitaifa/ Pasipoti ambayo walitumia kununua hisa zao na/au Nambari Yao ya Akaunti ya CDSC. Kwa usaidizi, wenyehisa wanapaswa kupiga nambari ifuatayo ya usaidizi: +254 709170 000/709170 039 kuanzia saa 3.00 asubuhi hadi saa 9.00 jioni Jumatatu hadi Ijumaa. Wenyehisa walio nje ya Kenya wanapaswa kupiga nambari ya usaidizi ili kupata usaidizi wakati wa usajili.
- Usajili kwa ajili ya AGM unafunguliwa **Alhamisi 13 Novemba, 2025 saa 3.00 asubuhi**. na utafungwa **Jumanne, tarehe 2 Decemba 2025 saa 11.00 jioni**. Wenyehisa hawataweza kujisajili baada ya wakati huu.
- Kwa mujibu wa Kifungu cha 168 cha Hati ya Ushirika ya Kampuni, hati zifuatazo zinaweza kutazamwa kwenye wavuti wa Kampuni [www.kengen.co.ke](http://www.kengen.co.ke).
  - Nakala ya Taarifa hii na Fomu ya Mshirika;
  - Ripoti ya Kila Mwaka na Taarifa za Kifedha Zilizokaguliwa za Kampuni za mwaka uliokamilika tarehe 30 Juni 2025;
- Ripoti hizi pia zinaweza kufikiwa baada ya kuombwa kwa kupiga msimbo wa USSD wa **\*483\*903#** na kuteua chaguo la **"ripoti"**. Ripoti na ajenda pia inaweza kufikiwa kwenye kiungo cha kutiririsha mkutano moja kwa moja.
- Mwenyehisa yeyote ambaye ana haki ya kuhudhuria na kupiga kura katika Mkutano Mkuu wa Kila Mwaka ana haki ya kuteua mshirika kuhudhuria na kupiga kuwa kwa niaba yake. Si lazima mshirika kama huyo awe mwanachama wa Kampuni.



# Shareholders Calendar

## Ilani ya Mkutano Mkuu wa Kila Mwaka



10. Fomu ya Mshirika imetolewa pamoja na Ripoti ya Kila mwaka na Akaunti. Fomu ya Mshirika pia inaweza kupatikana kwenye wavuti wa Kampuni [www.kengen.co.ke](http://www.kengen.co.ke) au kutoka Image Registrars Limited, Jumba la Absa (lililokuwa Jumba la Barclays), Orofa ya 5, Barabara ya Loita, S.L.P 9287 – 00100, Nairobi, Kenya. Wenye hisa ambao hawangependa kuhudhuria Mkutano Mkuu wa Kila Mwaka wana chaguo la kukamilisha na kurejesha Fomu ya Mshirika kwa Image Registrars Limited, au vinginevyo kwa Ofisi Iliyosajiliwa ya Kampuni ili ifike sio baada ya **saa 5:00 asubuhi tarehe 2 Decemba 2025**.
11. Fomu za mshirika zilizotiwa sahihi ifaavyo pia inaweza kutumwa kwa **[kengenagm@image.co.ke](mailto:kengenagm@image.co.ke)** katika umbizo la PDF. Fomu ya mshirika lazima itiwie sahihi na mteuzi au wakili wake ambaye amehalalishwa kupitia maandishi. Ikiwa mteuzi ni shirika, chombo kinachoteua mshirika kitatolewa chini ya muhuri ya kawaida ya Kampuni au chini ya mkono wa afisa au wakili aliyehalalishwa wa shirika kama hilo.
12. Wenye hisa ambao wangependa kuuliza maswali yoyote au ufafanuzi kuhusiana na AGM wanaweza kufanya hivyo kwa kutuma maswali yake yaliyoandikwa.
  - a. Kutuma maswali yaliyoandikwa kupitia baruapepe kwa [agmquestions@kengen.co.ke](mailto:agmquestions@kengen.co.ke); au
  - b. Kwa kubofya msimbo wa USSD \*483\*903# na kuteua chaguo la (Uliza Swali) kwenye vidokezo; au
  - c. Kadiri iwezekanavyo, kuleta maswali yao yaliyoandikwa wao wenyewe mahali halisi au kuchapisha maswali yao yaliyoandikwa kwa anwani ya posta au ya barua pepe kwenye ofisi iliyosajiliwa ya Kampuni au S.L.P 47938 – 00100, Nairobi, au katika ofisi za Image Registrars kwa S.L.P 9287 – 00100, Nairobi, Kenya.
  - d. Ni lazima Wenye hisa watoe maelezo yao kamili (majina kamili, Kitambulisho cha Kitaifa/Nambari ya Paspoti/Nambari ya Akaunti ya CDSC) wanapotuma maswali au ufafanuzi wao.
  - e. Wakurugenzi wa Kampuni watatoa majibu ya maswali yaliyopokelewa kupitia kituo kinachotumiwa na wenye hisa kutuma maswali yao yaani., SMS (chaguo la USSD), Baruapepe, Barua au Simu. Maswali pia yatajiibiwa wakati wa mkutano. Orodha kamili ya maswali yaliyopokewa na majibu yaliyofuata baadaye yatachapishwa kwenye wavuti wa Kampuni muda usiozidi saa 24 baada ya kuhitimishwa kwa mkutano.
13. Mkutano wa AGM utatiririshwa moja kwa moja kupitia kiungo ambacho kitatolewa kwa wenye hisa wote ambao wamejisajili kushiriki katika AGM. Wenye hisa waliosajiliwa halali na washirika watapokea ujumbe mfupi (SMS)/USSD kwenye nambari zao za simu zilizosajiliwa, saa 24 kabla ya mkutano wa AGM kuanza hii ikiwa ni kikumbusho kuhusu AGM. Ujumbe wa pili wa SMS/USSD utatumwa saa moja kabla ya AGM, ukiwakumbusha wenye hisa na washirika waliosajiliwa halali kwamba AGM itaanza baada ya saa moja na kutoa kiungo cha kutiririsha moja kwa moja.
14. Wenye hisa na washirika wao ambao wamejisajili kushiriki katika AGM wanaweza kufuatilia vikao kwa kutumia jukwaa la kutiririsha moja kwa moja, kufikia agenda na kupiga kura Mwenyekiti akiwaomba kufanya hivyo kupitia USSD.
15. Matokeo ya maamuzi yaliyopigiwa kura yatachapishwa kwenye wavuti wa Kampuni ambao ni, **[www.kengen.co.ke](http://www.kengen.co.ke)** ndani ya saa 24 baada ya kuhitimishwa kwa AGM. Wenye hisa wanahimizwa kuendelea kufuatilia wavuti wa Kampuni kwa taarifa zozote zinazohusiana na mkutano wa AGM.
16. **Migao:** Ili kuhakikisha kuwa wenye hisa wanapata migao yao ijayo kwa muda ufao, Wenye hisa wanaombwa kutoa taarifa zao za benki na kusasisha njia zao za malipo iwe njia ya uhamishaji wa fedha kielektroniki kupitia mabroka wao husika au Msajili ili kuwezesha migao itumwe kwenye akaunti zao za benki siku zijazo. Kando na hayo, wenye hisa wanaweza kuchagua migao yao ya siku zijazo ilipwe kupitia uhamisho wa pesa kwenye simu wanapojisajili kwa ajili ya AGM.

# Proxy Form

**THE COMPANY SECRETARY,  
Kenya Electricity Generating Company PLC  
P. O. BOX 47936-00100  
NAIROBI, KENYA**

I/We \_\_\_\_\_

Share A/c No \_\_\_\_\_ of (Address) \_\_\_\_\_

Being a member(s) of KenGen PLC, hereby appoint: \_\_\_\_\_

Or failing him/her, the duly appointed Chairman of the Meeting, to be my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company, to be held on Thursday, December 4, 2025, and at any adjournment thereof. As witness, I/we lay my/our hand(s) this \_\_\_\_\_ day of \_\_\_\_\_ 2025.

Signature \_\_\_\_\_ Signature \_\_\_\_\_

## NOTES

1. If a member is unable to attend personally, this Proxy Form should be completed and returned not later than Tuesday, 2nd December 2025 at 11.00 a.m., to the Company Secretary P.O. Box 47936 -00100 GPO Nairobi or physically to the registered office of the Company at Pension Plaza, Kolobot Road, Parklands, Nairobi, or to the Company's Shares Registrar firm, Image Registrars Ltd on P. O. Box 9287 - 00100, Nairobi, Kenya. Alternatively, duly signed proxies can be scanned and emailed to info@image.co.ke in PDF format.
2. In case of a member being a corporate body, the proxy form must be under its common seal or under the hand of an officer or duly authorized attorney of such corporate body.
3. As a shareholder you are entitled to appoint one proxy to exercise all or any of your shareholder rights to attend and to speak and vote on your behalf at the meeting. The appointment of the Chairman of the meeting as proxy has been included for convenience. To appoint as a proxy any other person, delete the words "the Chairman of the Meeting or" and insert the full name of your proxy in the space provided. A proxy need not to be a shareholder of the Company.
4. Completion and submission of the form of proxy will not prevent you from attending the meeting and voting at the meeting in person, in which case any votes cast by your proxy will be excluded.
5. To be valid, a proxy form, which is available from the Company's Head Office or the Share Registrar's offices, must be completed and signed by the shareholder or the duly authorised attorney of the shareholder and must be either emailed to info@image.co.ke or lodged at the offices of the Company's Share Registrar firm, Image Registrars Ltd, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, Nairobi, so as to arrive not later than Tuesday, 2nd December 2025 at 11.00 a.m.

# Fomu ya Uwakilishi

**Katibu Wa Kampuni ya Kenya Electricity Generating PLC**  
**S.L.P 47936-00100**  
**NAIROBI, KENYA**

Mimi/Sisi \_\_\_\_\_

Nambari ya Akaunti ya Hisa \_\_\_\_\_ wa (Anwani) \_\_\_\_\_

Kwa kuwa mwachama wa KenGen PLC, ninamteua hapa: \_\_\_\_\_

Au yeye akikosa, Mwenyekiti aliyechauliwa wa Mkutano, awe mshirika wangu, kunipigia kura mimi/sisi na kwa niaba yangu/yetu katika Mkutano Mkuu wa Kila Mwaka wa Kampuni, utakaofanyika siku ya Alhamisi, tarehe 4 Decemba 2025 na wakati wowote ule wa kufungwa kwa mkutano. Kama shahidi, Mimi/Sisi ninaweza kuweka mikono yangu/yetu siku hii ya \_\_\_\_\_ ya \_\_\_\_\_ 2025.

Sahihi \_\_\_\_\_ Sahihi \_\_\_\_\_

## VIDOKEZO

1. Ikiwa mwanachama hawezi kuhudhuria mwenyewe, Fomu hii ya Mwakilishi inafaa kujazwa na kurudishwa si baada ya Jumanne, 2 Decemba 2025 saa tano asubuhi, kwa Katibu wa Kampuni S.L.P 47936 -00100 GPO Nairobi au mwenyewe katika ofisi zilizosajiliwa za Kampuni katika Jumba la Pension, Barabara ya Kolobot, Parklands, Nairobi, au kwa shirika la Rejistra wa Hisa za Kampuni, Image Registrars katika S.L.P 9287 - 00100, Nairobi, Kenya. Vinginevyo, fomu za mshirika zilizotiwa sahihi ifaavyo pia zinaweza kutumwa kwa [info@image.co.ke](mailto:info@image.co.ke) katika umbizo la PDF.
2. Ikiwa mwanachama ni shirika la kibiashara, fomu ya mshirika lazima ipigwe muhuri ya kawaida ya shirika hilo au kutiwa saini na afisa au wakili aliyeidhinishwa halali wa shirika kama hilo.
3. Kama mwenyehisa, una haki ya kuteua shirika moja au zaidi kutekeleza haki zako zote au haki yoyote ile ya kuhudhuria na kuzungumza na kupiga kura kwa niaba yako katika mkutano. Uteuzi wa Mwenyekiti wa mkutano kama mshirika umejumuishwa kwa ajili ya kurahisisha mambo. Ili kuteua mtu yeyote kuwa mshirika, futa maneno "Mwenyekiti wa Mkutano au" na uweke jina kamili la mshirika wako katika nafasi iliyoachwa wazi. Si lazima mshirika awe mwenyehisa katika Kampuni.
4. Kukamilisha na kuwasilisha fomu ya mshirika hakutakuzuia kuhudhuria mkutano na kupiga kura mwenyewe katika mkutano, hii ikitokea kura zozote zilizopigwa na mwakilishi wako hazitajumuishwa.
5. Ili iwe halali, fomu ya mshirika, ambayo inapatikana katika Ofisi Kuu ya Kampuni au katika ofisi za Rejistra wa Hisa, lazima ijazwe na kutiwa saini na mwenyehisa au wakili aliyeishinishwa na ni lazima ama itumwe kupitia barua pepe kwa [info@image.co.ke](mailto:info@image.co.ke) au kuwasilishwa katika ofisi za Shirika la Rejistra wa Hisa za Kampuni, Image Registrars Ltd, Orofa ya 5, Jumba la Absa (iliyokuwa Jumba la Barclays), Barabara ya Loita, Nairobi, ili makataa ya kupokewa kwake iwe Jumanne, tarehe 2 Decemba, 2025 saa 5.00 asubuhi.

# Shareholder Notifications

## Final Dividend for the Financial Year ended 30 June 2025

### Date of Payment

If approved, the dividend will be paid, less withholding tax where applicable on or about Thursday, 12th February 2026 to the shareholders whose names appear in the Register of Members at the close of business on Thursday, 4th December 2025.

### Update of Particulars

- For all CDS account holders, please update your postal address, email address and bank account details at the CDSC through your Stockbroker or Custodian Bank
- For all Share Certificate holders, please update your postal address, email address and bank account details at the offices of Image Registrars Ltd, Absa Plaza 5th Floor, Loita Street, P.O. BOX 9287-00100 GPO Nairobi.

### Mgao wa Mwisho wa Mwaka 30 Juni 2025

#### Tarehe ya Malipo

Ikiwa itaidhinishwa, mgao wa faida utalipwa baada ya kuondoa ushuru wa kushikilia mnamo au karibu Jumanne, 12 Februari 2026, kwa wenyekisa ambao majina yao yamo orodha ya wenyekisa mnamo Alhamisi, 4 Decemba 2025.

#### Kuteng'eneza Upya/Kurekebisha Maelezo

- Kwa wote walio na akaunti za CDS, tafadhali toa maelezo mapya kuhusu anwani yako, barua pepe na akaunti ya benki katika CDSC kupitia wakala wako wa hisa au Benki Angalizi.
- Kwa wote walio na vyeti vya kumili hisa, tafadhali toa malezo upya kuhusu anwani yako ya posta, barua pepe na maelezo kuhusu akaunti yako ya benki katika afisi za Image Registrars, Absa Towers ghorofa ya tano barabara ya Loita, SLP P.O. BOX 9287-00100 GPO Nairobi.

### Dematerialization

The Central Depository and Settlement Corporation (CDSC) commenced operations in 2004 with the intention of facilitating the holding of shares in electronic accounts instead of paper/physical share certificates to enable electronic trading & settlement of shares. This migration would shorten the settlement period, and enhance the safety & security of dealing with shares listed on the securities. The first step towards achieving electronic trading of shares was immobilization of share certificates which commenced in 2004. The number of Central Depository System (CDS) accounts has grown significantly and CDSC is now targeting to have all the shares owned by Kenyans to be transferred into electronic accounts by 1st November 2013 through a process called Dematerialization.

# Shareholder Notifications

## Dematerialization (continued)

We trust that the following FAQ's will explain the dematerialization process:

### 1. What is Dematerialization?

Dematerialization is the next step after immobilization. On the dematerialization date, the underlying physical certificates will cease to be evidence of ownership under the Company listed at the Nairobi Securities Exchange (NSE). Evidence of ownership will be in the electronic holdings maintained in the Central Depository System (CDS) operated by CDSC.

### 2. What is a Dematerialized Security?

It is a book entry security which has been prescribed by CDSC under section 24 of the Central Depositories Act, whereby the underlying physical certificate is no longer recognized as evidence of ownership under the Companies Act Cap 486 on or after the dematerialization date.

### 3. What is the impact of dematerialization?

Currently, shares can be withdrawn from a CDS account and held in a certificated form. With effect from the dematerialization date, shares will not be withdrawn from the CDS account because the law does not permit the issuing of share certificates with respect to a dematerialized security. Share Certificates will no longer be recognized as prima facie evidence of ownership and will be replaced with an electronic record at CDSC.

### 4. What do I need to do as a shareholder if I have already deposited all my shares in the CDS account?

You shall not be required to take any further action as a result of dematerialization

### 5. What happens if I do not immobilize my share certificates by the dematerialization date?

After the Dematerialization date, all shares that have not been immobilized will be reflected as a record in the CDS in the shareholder's name.

### 6. What if I want to access my shares which are held in CDS?

If you wish to access your shares for purposes of trading, you will be required to open a CDS account and follow a verification process through KenGen's shares registrar firm, Image Registrars Limited, after which your shares will be transferred to your personal CDS account.

### 7. When is the dematerialization date?

CDSC dematerialized securities of listed companies in three groups/tranches on 1st September 2013, 1st October 2013 and 1st November 2013 respectively. KenGen's dematerialization date is 1st November 2013. Additionally, KenGen will place a notice in the newspapers informing the public about the dematerialization date for KenGen shares. In the meantime, we urge shareholders who still hold physical certificates to immediately contact any Stockbroker for assistance to immobilize their shares.

### 8. How do I keep track of my shares?

CDSC shall send you monthly statements if your account is active otherwise; you will receive your statement only once a year. However, if you would like to view/download/print your statements, you can visit the CDSC website at [www.cdsckenya.com](http://www.cdsckenya.com). You can also subscribe to the CDSC mobile services where you will receive an alert every time there is an activity in your accounts such as sale or purchase of shares for a minimum fee of Kshs.10.00 per alert. To subscribe, send the word 'register' to 22372 and follow the instructions.



# Shareholder Notifications

## Bank Details

We encourage all shareholders who hold certificates and whose dividends are paid via cheques to provide their bank details to our Company's shares registrar firm, Image Registrars Limited, ABSA Towers 5th Floor, Loita Street, Nairobi P.O. Box 9287, 00100 GPO, Nairobi Tel: +254709170000, email: info@image.co.ke to enable us post the future dividends directly to their bank accounts. Also, we encourage all shareholders who hold CDSC accounts and whose dividends are paid via cheques to provide their bank details through their stockbrokers to enable us pay future dividends directly to their bank accounts.

## Unclaimed Dividends

Further to the Unclaimed Financial Assets Act 2011, we are appealing to Shareholders who have unclaimed dividends to do so with immediate effect to avoid the dividends being surrendered to the Unclaimed Assets Authority. Dividend enquiries can be made at the Shares & Securities Office, KenGen Pension Plaza 2, Kolobot Road, Parklands, Nairobi P.O. Box 47936-00100 Nairobi, Tel: 020-3666961/5, 0711036961/5, email: shares@kengen.co.ke or offices of the Company's shares registrar firm, Image Registrars Limited, ABSA Towers 5th Floor, Loita Street, Nairobi P.O. Box 9287, 00100 GPO, Nairobi Tel: 254709170000, email: info@image.co.ke

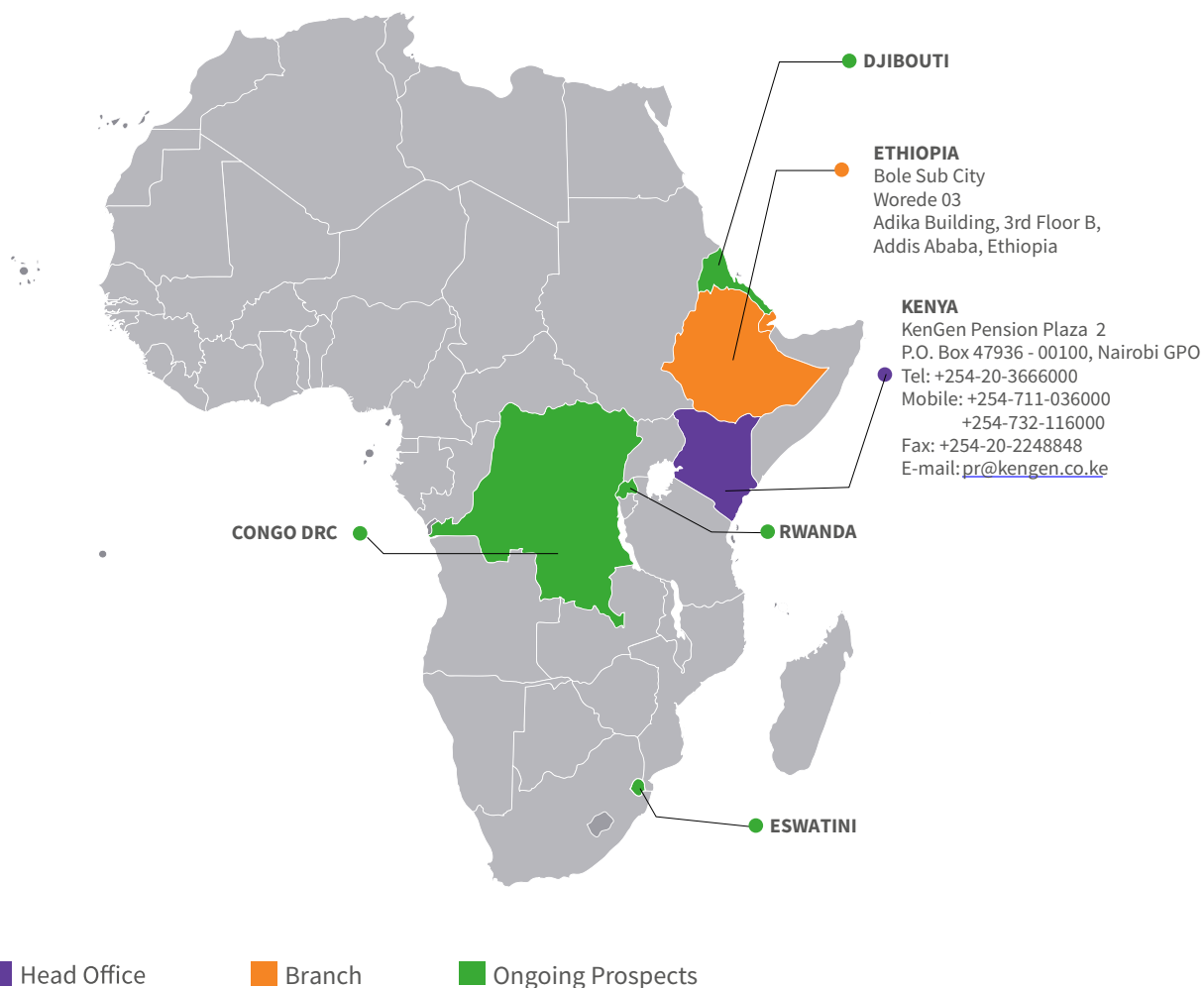
## Declaration of Dormancy on Inactive CDS Accounts

The Central Depository and Settlement Corporation Limited (CDSC) has formulated, and the Capital Markets Authority has approved the CDS Accounts Dormancy Rules and Procedures. The declaration of dormancy is intended to safeguard investors' holding in CDS accounts. An investor will not be able to carry out any transactions in a CDS Account that has been declared dormant. CDSC has granted a grace period of seven (7) months beginning June 1st 2020 before the declaration of dormancy is affected. Pursuant to the Dormancy Rules, CDS Accounts (Individual or Corporate, Local or Foreign) with no activity for a continuous period of twenty-four (24) months will be declared dormant. CDS account holders are advised that one may re-active a dormant account by submitting a duly completed re-activation request and identification documents to their CDA or stockbroker. Account holders are further advised to visit their CDAs or stockbrokers to update their account details and ensure the names, ID or passport number, postal address, email address mobile phone number(s) and other information is accurately recorded.





# OUR FOOTPRINT





# KenGen

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